

Central Depository Services (India) Ltd. (CDSL)

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Call: Aug 2022

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Central Depository Services (India) Limited
CDSL/CS/NSE/HS/2022/138 August 03, 2022

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051.

Symbol: CDSL
ISIN: INE736A01011

Dear Madam/ Sir,

Sub: Analyst /Investor Call /Conference Call held on August 01, 2022.

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

This is with reference to our intimation dated July 28, 2022 for scheduling of Conference Call
on August 01, 2022, please find attached the transcript of the aforesaid conference call.

The above information is also available on the website of the Company: www.cdslindia.com.

This is for your information and record.

Thanking you,
Yours faithfully,

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal

Encl: As above
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“Central Depository Services (India) Limited
Q1 FY2023 Earnings Conference Call ”

August 01, 2022

ANALYST : MR. ANSHUMAN SINGH - AXIS CAPITAL LIMITED

MANAGEMENT : MR. NEHAL VORA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CDSL
MR. GIRISH AMESARA – CHIEF FINANCIAL OFFICER -
CDSL
MR. SUNIL ALVARES – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CDSL VENTURES
MR. RAMKUMAR K– CHIEF OF BUSINESS
DEVELOPMENT , OPERATIONS AND NEW PROJECTS -
CDSL

MS. NAYANA OVALEKAR – CHIEF REGULATORY
OFFICER - CDSL
MR. VINAY MADAN - CHIEF RISK OFFICER - CDSL
MR. SWAROOPKUMAR GOTHİ – VICE PRESIDENT -
CDSL
MR. NILESH KITTUR – ASSISTANT VICE PRESIDENT –
CDSL

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Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2023 Earnings Conference Call of CDSL (India), hosted by Axis Capital Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. Please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL’s outlook for the future or which could be construed as forward -looking statement must be reviewed in conjunction with the risk that the company faces. I now hand the conference over to Mr. Anshuman Singh from Axis Capital Limited . Thank you and over to you Sir!

Anshuman Singh : Thank you Jacob . Good morning everyone, on behalf of Axis Capital a very warm welcome to the Q1 FY2023 conference call of CDSL (India) Limited. We have the management team of CDSL represented by Mr. Nehal Vora, MD and CEO, Mr. Girish Amesara, CFO , Mr. Sunil Alvares, MD & CEO , CDSL Ventures, Mr. Ramkumar, Chief of Business Development, Operations & New Projects , Ms. Nayana Ovalekar, Chief Regulatory Officer , Mr. Vinay Madan, Chief Risk Officer, Mr. Swaroopkumar Gothi, VP and Mr. Nilesh Kittur, AVP . Without further ado I would hand over the floor to the management for their opening remarks post which we will open the floor for Q&A. Thank you and Nehal Sir over to you.

Nehal Vora : Thank you Anshuman. A very good morning and welcome everyone I hope each one of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL’s financial results the first quarter financial year 2022 -2023.

As in the previous quarters , we have posted a detailed financial presentation on our website for your reference. I am joined by the CDSL group’s leadership team. We are happy to present the first quarter of the new financial year. Our primary focus in the first quarter this year remained on maintaining an organic and sustainable growth and providing diversified services. Our services for DP’s, investors and other market participants bring on the promise of making it easier to access markets independently and improve the experience of all market participants. This is a result of being innovative and using technology deliver a unique experience.

During the quarter the number of active companies with CDSL as on June 30, 2022 stood at about 18798 an increase of 12% on the number of active companies as on June 30, 2021. Further the value of securities and Demat custody with CDSL as on June 30, 2022 stood at about 33 lakh Crores , there is an increase of about 6% in the value as on June 30, 2022. CDSL added 55 lakh beneficiary owner accounts taking the number of beneficiary accounts to 6.85 Crores at the end of the quarter with a market share of CDSL at about 71% compared to 64% in Q1 of 2021 -2022.

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The growth has been possible because of our focus on technology and CDSL’s reach which covers about 98% of the pin codes in India through over 20700 service locations. Having said that while the Indian securities market has increased remarkably over the past few years , only a small minority of the population -7%- have DMAT accounts , signifying great potential for expansion in this area. Simply put India is a long way from being fully penetrated by the securities market and large portion of the population still does not have access to the securities market.

We have been following this path for a long time and our technology has been continually evolving to fit the ne

eds of our various clients and the investors. We are working with the regulator and various other market infrastructure institutions to build various platforms for all market participants and we continue to take a cue from the Honorable Prime Minister speech earlier this month during the launch of the digital India platform .hence the emphasis on technology will enable us to remain part of this transformation which India is witnessing.

We aim to leverage our reach and continue a long-term strategy of investing in our technology infrastructure to ensure our investors and customers enjoy best in class experience and security, while staying consistent with our values of being convenient, dependable and secure. As India celebrates the 75th year of Independence, while we find ourselves at a crossroad, whether the decision we make today will shape the future we build tomorrow, further reflect on our past efforts that we have spent years constructing this future that is defined by our steepest commitment of better to India, our shared objective to empower every Indian through financial independence making them an 'Atmanirbhar Ni veshak' and the opportunity to build a better economy for all Indians.

Considering this a long-term goal at CDSL is not only to grow individually but to grow collectively as responsible contributors to the growth of our nation. We will also need to learn how to serve our nation in ways that are most effective. To achieve the same, CDSL as a market infrastructure institution will continue to deliver on our promise of making the securities market a continent and secured place.

Finally I would like to take this opportunity to thank all our stakeholders - Regulators, Investors, Issuers, the Registrar and Transfer Agents, Depository Participants, partners, associates and employees who have played an extremely important role in the growth of our company. Now I request our CFO, Shri Girish Amesara to take you through our financial performance.

Girish Amesara : Thank you, Nehal. Good morning to everyone. On a Y-o-Y performance the consolidated total income for the quarter ended June 30, 2022 has increased by 16 Crores which is 12%
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increase to an amount of ₹ 145.49 Crores compared to ₹ 129.79 Crores for the quarter ended June 30, 2021.

The net profit on a consolidated basis for the quarter is achieved at ₹ 57.61 Crores as against net profit of ₹ 63.99 Crores for June 2021.

The total income on a standalone basis for the quarter ended June 2022 and has increased by ₹ 35.83 Crores which is 29% increase to an amount of ₹ 157.52 Crores as against ₹ 121.69 Crores for the quarter June 2021. The net profit on a standalone basis for the quarter ended June 2022 is at ₹ 89.10 Crores as against ₹ 73.30 Crores for the quarter ended June 2021.

Now I shall request Shri Sunil Alvares to give an update about the operations of wholly owned subsidiary, CDSL Ventures Limited. Thank you. Over to you Sunil!

Sunil Alvares : Thanks Girish. Good morning everyone and thanks for joining this investor call of CDSL. So far as CDSL Ventures was concerned, the operational income was down by 2% as compared with Q1 FY2022. The operational income in Q1 FY2023 was ₹ 27.67 Crores as compared to ₹ 28.11 Crores in Q1 FY2022.

Other income took a substantial hit as in Q1 FY2023 income was just ₹ 23 lakhs as against ₹ 2.74 Crores in Q1 FY2022. The total income was down by 10% to ₹ 27.90 Crores as against ₹ 30.86 Crores. Profit before tax for Q1FY23 was ₹ 14.17 Crores as compared to ₹ 18.84 Crores in Q1FY22.

So far as the core business is concerned in terms of KYC creation CVL added 30 lakh new KYC records as compared to 29.37 lakhs in Q1 FY2022 taking the overall KYC records to 4.61 Crores as of June 30, 2022. So far as KYC fetch was concerned there was

a marginal

drop by 6% in line with the total market conditions. In terms of KYC interoperability it was higher by 42% to 3.52 lakh KYCs as compared to 2.44 lakh KYCs last year.

In the RTA space, we have added 30 companies taking the total number of companies to 870 similarly, from GST filings we were higher by 14% at 55.48 lakhs as compared to 48.86 lakhs in Q1FY22. With this I open the floor for questions and we would be very happy to take any questions. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Prakash Kapadia from Anived Portfolio Managers. Please go ahead.

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Prakash Kapadia : Thank you for the opportunity. Couple of questions from my end; Sunil, if I look at the KYC business the subsidiary business past two years we have seen a 2% revenue decline you mentioned in your opening remarks the additions in the fetches were less so is the revenue decline due to some pricing mix or some competitive pressure or is it just lesser fetches from the mutual fund industry if you could give us some sense?

Sunil Alvares : It is a combination of all. There is pricing pressure because of the competition as well as lower fetches because so far as the KYC business is concerned around 80% of the income

would come from fetches.

Prakash Kapadia : Because that volume is less you are saying that affected ?

Sunil Alvares : Absolutely.

Prakash Kapadia : This KYC fetch would be the largest contributor to our subsidiary business right though the others are still relatively smaller ?

Sunil Alvares : Yes, the other business are in a nascent stage.

Nehal Vora : To add to what Sunil is saying is that there is a n overall market sentiment also if you see in this quarter. There has been muted volume in the overall market picture so obviously that kind of derives its business from there it is a function of the overall market participation.

Prakash Kapadia : But, on the other side the depository segment has still grown 26% . if you could give us some sense of despite capital markets being volatile, despite the cash volumes being lower what has driven this revenue growth for us or if Girish has the numbers handy in terms of the key revenue items that will give us more clarity?

Nehal Vora : Second is CDSL has a function of two principle sources of revenue one is obviously the market related revenue and second is the annuity which we received from company so in overall both of them and also basically IPOs and the corporate actions etc. , which is in a way not directly related to markets but it is connected to markets. So it is a function of both these that which are strictly directly related to the market volumes and some which are kind of an annuity base and that is why the culmination of CDSL' s revenue mix is a combination of both these factors and therefore that has led to a 28% increase.

Prakash Kapadia : On the employee cost there was a ■ 10.86 Crores payout to subsidiary what was that and to which subsidiary and was there some milestone to t hat and even if I exclude that from the base employee costs are up almost 25%, 26% so is it due to the annual bonuses and hikes which are captured in this quart er kind of a cost for employees?

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Nehal Vora : Yes, basically it is not to subsidiaries it is on a ccount of the bonus and hike . So it is all linked as per what is our internal policy

Prakash Kapadia : And given that most of this is there in the base the addition to employee cost should be much lower right?

Nehal Vora : No, it is a combination . We are even in an expansion mode but there are regulat ory responsibilities which are also inc reasing and our prime focus as MII

is to ensure the

regulatory responsibilities , that t hrust in the system is being built , technology also is our second focus . We have all seen that there have been huge amount of attrition all around especially in the IT sector but also in the other areas so to get the right people , the right expertise y ou need to ensure that you adequately compensating .

Prakash Kapadia : Lastly the other income has fallen by more than 50% what would be the M2M impact or the hit you would have taken because of rising interest rat es if you could quantify Girish?

Girish Ames ara: If you compare our quarter -to-quarter last quarter we had an Mark to Market income of investment income of almost ■11 Crores , this year we have closed at ■ 4.75 so the difference you can consider as M to M hit.

Prakash Kapadia : I will join back the queue for more questions. Thank you.

Moderator : Thank yo u. The next question is from the line of Madhukar Ladha from Elara Capital. Please go ahead.

Madhukar Ladha : Thank you for this opportunity. Good morning Sir. can I get the revenue breakup in terms of annual issuer charges, transaction charges, IPO and online data charges for the quarter , that would be helpful. Second one thing I wanted to understand that the standalone net profit is about 89 Crores and the consolidated net profit is at about 57.6 Crores I can see that there is 9 Crores of loss from associates coming in so that would still need a difference of about 23 Crores so which is a negative item. So is the subsidiary for the contributing a negative amount of about 23 Crores is that right.

Nehal Vora : I just ask Girish to answer.

Girish Amesara : First to answer your question on the standalone profit in this qu arter we have received dividend from our subsidiary CDSL Ventures Limited of ■ 41.50 Crores that the reason standalone profits are higher and this dividend gets eliminated on consolidation so consolidated profits are lower. Answering your breakup of income , we have report ed annual issuer income of ■ 45.23 Crores in this quarter, transaction charge of ■ 40.81 Crores, KRA/ Central Depository Services (India) Limited

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KYC charges at ■ 22.54 Crores, IPO corpo rate action income of ■ 14 Crores, CAS income of ■ 4.5 Crores, e-voting income of ■ 2.84 Crores . this breakup covers almost 90% of our

operating income.

Madhukar Ladha : I will just go through the presentation and if I have any questions I will come back in the queue. Thank you.

Moderator : Thank you. The next question is from the line of Sanketh Godha from Spark Capital . Please go ahead.

Sanketh Godha : Thank you for the opportunity. Sir we see that the annual issuer charges substantially increased in the current quarter to almost ₹ 45 Crores which last year, quarter was in the range of ₹ 20 Crores to ₹ 29 Crores so just wanted to understand what led to this growth and how do we see this number to payout for subsequent quarters so it should broadly remain the same range going ahead ?

Nehal Vora : This is more linked to the overall newer companies getting added to the fold also the newer investors coming in to the fold. It is a combination of this which kind of has led to an increase in the annual issuer fees and so the reply to that is it.

Sanketh Godha : Even it is more sticky or annuity in nature, so this number should remain same for subsequent quarters to for the year because we believe some of these happens at the start of the year.

Nehal Vora : Yes, we do not give any future guidance.

Sanketh Godha : Can we get this breakup of ₹ 45 Crores I think you have given that number to the past due broken down into listed and unlisted companies?

Girish Amesara : Income from unlisted company is ₹ 1.47 Crores in this quarter.

Sanketh Godha : One more data keeping point I believe you said the transaction income was to the tune of ₹ 40.8 Crores so again just

wanted to understand how pledge income is behaving compared to the numbers what we have delivered in the past so to the extent I remember it was closer to ₹ 4 Crores in last quarter so can we get a single number in current quarter ?

Girish Amesara : So income from pledge is ₹ 3.41 Crores in this quarter.

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Sanketh Godha : Just again on the same question on the employee cost even if we knock off the performance bonus kind of a thing still that number around ₹ 15 Crores seems to be higher compared to the quarterly run rate of ₹ 13 Crores what we paid in previous four quarters. So even if I adjust for the inflation and all those things it seems to be still on the higher side. Sir just wanted to understand is that the employee growth is more because of the new initiatives or the hikes have been very strong because of the very strong last two years that how do we read these number basically?

Nehal Vora : I will say that we need to understand that CDSL is on a growth trajectory and two principle costs are technology and employees . So we need the right people and we need to expand our employee teams to kind of garner and able to achieve the increased growth on a sustainable basis both from a business standpoint, the technology standpoint and operational standpoint and lastly but most importantly from an regulatory standpoint . So, I think what is important to state is that as the revenue is growing the employee cost will also have to kind of being link in some form or the other to ensure that it is able to it is sustained the growth is expected.

Sanketh Godha : Finally, can you give debtor and provision cost? That is from my side .

Girish Amesara : ₹ 3.41 Crores.

Sanketh Godha : Thank you.

Moderator : Thank you. The next question is from the line of Ravin Kurwa from ICICI Securities. Please go ahead.

Ravin Kurwa : Thanks for the opportunity. My question is related to employee cost only so what will be the quarterly run rate which we can expect going forward and some sense on FY2024 also and secondly our other expenditure has also risen sharply so if you can help us to understand which line item has led to the increase in the cost ? Thanks.

Nehal Vora : We do not give any future guidance so that I will have to kind of pass that is for you to kind of judge. I have given you very transparently the reason why this has led to an increase, and it is in sync in terms of the overall performance of the company. In terms of the other expenses, I will ask Girish to give the breakup.

Girish Amesara : First employee cost has increased by ₹ 13.91 Crores, depreciation has increased by ₹ 2.5 Crores, debtors provision has increased by ₹ 75 lakhs, technology cost has increased by ₹ 3.22 Crores, so roughly all this if you look at these numbers this gives the breakup of the incremental cost that we have incurred in this quarter.

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Ravin Kurwa : Thanks .

Moderator : Thank you. The next question is from the line of Santosh Kumar Keshri from Keshri Wealth .

Please go ahead.

Santosh Kumar Keshri : Thank you so much for giving me an opportunity. I just wanted to ask you two questions. One is that about RTA so you said that there are 837 companies that CDSL group is serving in terms of RTA so if you can give a sense of revenue that is there and the profitability and where do we stand in the market that we are in, among our peer companies do you stand in terms of five top ten, if you can give that and after that I will come to the second question.

Nehal Vora : So far as the RTA business is concerned right now we are focusing only on the unlisted companies so to that extent we will not be able to benchmark ourselves as within the top five or top ten because we are not handling any listed public company and typically the RTA revenue is about 1 Crores per annum.

Santosh Kumar Keshri : So it is very less as of now.

Nehal Vora : That is right.

Santosh Kumar Keshri : Sir any reason that we are focusing only on listed companies like we have such an expertise serving larger market participants, bigger companies, all the technologies were with us. We can serve as well the bigger companies and the better service provider in the market place being more trusted so any reason that we are limiting ourselves only to listed companies.

Nehal Vora : Yes, because you need very specialized team for this and it is in terms of the graduated approach so if we are trying to achieve that our principal form of business and within CVL is of the KYC registering agency and also serving basically the unlisted space so we want to ensure that our core competence remains and as Sunil mentioned the RTA business is also very specialized business so as we gain the traction and experience we may think about it in future. But as of now our focus remains here.

Santosh Kumar Keshri : And lastly my second question had there been no special bonus to employees in the current quarter what would have been the hike in employee cost, if you can give me that number.

Nehal Vora : We do not generally disclose the internal workings, what is the analysis of this has actually happened so what is the actual growth is what, and anyway bonuses are payable at the end of the financial year every year and it is a function of the financial performance of the company.

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Santosh Kumar Keshri : So just want to know, so is this something that is given to all the employees across the board or it has given only to the senior management.

Nehal Vora : It is given to all the employees.

Santosh Kumar Keshri : That makes me very clear thank you so much. Wish you all the best.

Moderator : Thank you. The next question is from the line of Pratik Shah an individual investor. Please go ahead.

Pratik Shah : Just want to ask as we all know that we have recently launched our exchange India's first bullion exchange so just want to ask like is there any role for CDSL in that and can we expect some revenue from this current quarter once the operation starts.

Nehal Vora : Yes, I think that is a very good question CDSL was as a pioneer in terms of setting up the depository at a gift city but in line with the overall ecosystem consortium of BSE, NSE, MCX, NSE as CDSL was strong to own the gold ecosystem which comprises of the exchange, clearing corporation and the depository. Now therefore the CDSL IFSC has been sold to that consortium and CDSL is now a part of entire consortium so it owns the entire ecosystem and therefore again this is kind of a future guidance so I will kind of refrain from saying whether what will happen in future. But the expectation and the intent behind is that we contribute to the entire ecosystem rather than owning the depository space in the GIFT city which is a new and upcoming area which was recently inaugurated by the Hon'ble Prime Minister.

Pratik Shah : So like CDSL will definitely play a major role in this bullion exchange with our operations right.

Madhukar Ladha : Yes, absolutely.

Pratik Shah : Okay good luck for the future Sir.

Moderator : Thank you. The next question is from the line of Madhukar Ladha from Elara Capital. Please go ahead.

Madhukar Ladha : Hi! Thank you for taking my question again. If I look at the online data charges which is mainly the CVL business that is down on a QoQ basis from about ₹ 31 Crores to ₹ 23 Crores I think partly it is lower fetches what are the fetch numbers I think you had said it in the opening remarks but there were two new numbers I missed that and how much has the drop year-over-year and quarter-over-quarter and

and I believe there is also some pricing pressure and

competing technologies as well in the KYC space so can you elaborate a little bit on that in

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terms of what are the kind of pricing pressure that we are seeing and some sort of narrative around how the business is evolving more there that will be helpful.

Sunil Alvares : In Q1 FY2023 the number of fetches, were 6.58 lakhs as compared in Q1 FY2022 it was 17.06 lakhs. So, if I compare this financial quarter to last year financial quarter it is down by about 6%. Typically, if you see the overall demat and broking accounts since last quarter has been down so since our business is intrinsically link to the number of demat and broking account opened obviously the number of fetches has cut down but the number of records created have been higher by about 5%. So far as the business is concerned the SEBI has recently come up with the KYC amended regulation where the KRAs would be playing a larger role in terms of validating etc., KYC record. So, considering this we are here to choose.

Madhukar Ladha : And maybe what would that larger role entail can you describe that little bit more in detail.

Nehal Vora : It is overall as a market infrastructure institution ecosystem and KRAs is a part of that entire ecosystem. So this is in line with the building the entire ecosystem were as to kind of ensure a higher financial with the inclusion at the same time convenience and security to be enhanced that is centralized level, so as more and more participants are expected to join the securities market that is supposed to be a part of that entire level of story.

Madhukar Ladha : Got it thanks.

Moderator : Thank you. The next question is from the line of Deepan from Trustline. Please go ahead.

Deepan : Good morning everyone and thanks a lot for the opportunity. So firstly, wanted to understand about annual issuer charges so the increase that you mentioned was due to higher companies addition so can you please mention what kind of company additions happened during past quarter.

Girish Amesara : Initially we had told that the increase in annual issuer income is at combination of increase in the investor account so it is a kind of a consolidated thing of the number of companies as well as the number of investors as of now we do not disclose the number of companies which have been added in terms of the annual issuer. So as you see that is a consolidated number.

Deepan : Current the price increase and the annual issuer charges business has been due for long time so are we in discussion with SEBI and is it expected anytime sooner.

Nehal Vora : Yes, means it is overall in terms of this will be joined initiative of both the depositories so there are numerous things which has happened simultaneously so that we will see as the year progresses as to how it is to be handled.

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Deepan : So other than GIFT city so any update on other newer businesses what we are working on.

Nehal Vora : There is a gold spot exchange in the local market also which the circular has been issued so CDSL is very much a part of that entire ecosystem.

Deepan : Okay Sir thank you and all the best.

Moderator : Thank you. The next question is from the line of Abhay an Individual Investor. Please go ahead.

Abhay : Just two questions one the absolute ₹10.96 Crores of payment to employees do we envisage any payments in any other quarter in this year Sir as of date.

Nehal Vora : There is going to be the employee cost every quarter right that the salary cost which happens every day and every month.

Abhay : No but in addition to this, I mean, this ₹10.96 is sort of a annual special payment or bonus or whatever so do we envisage basically...

Nehal Vora : No

Normally that is paid at the end of the financial year so in terms of as of now it will go as per what is the routine salary cost and then based on the performance there is performance appraisal done at the end of the year.

Abhay : So these costs were not very high in the first quarter of last year so as you are saying a reason is that your annual performance has been very good in last two years therefore the amounts are large and obviously there is attrition so what is it based on, is it based on annual profit growth or is it based on annual absolute level of profit in a year what will be the basis of payment based on...

Nehal Vora : It is a combination of various and it is SEBI has laid down and there is a regulation as to how compensation on the broad thing that needs to be construed and done so it is completely in compliance that there was broad factors which have been put in place.

Abhay : So just as a guideline do we take this ₹11 Crores paid in the first quarter this year to be some sort of a benchmark and assume similar payments in future first quarters.

Nehal Vora : We do not give any future guidance so I am not able to answer that.

Abhay : Thank you Sir.

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Moderator : Thank you. The next question is from the line of Ravin Kurwa from ICICI Securities. Please go ahead.

Ravin Kurwa : My one more question was in the transaction revenue which we have built in the quarter what the net income will be .

Girish Amesara : ■ 3.50 Crores.

Ravin Kurwa : And what will be that in last quarter.

Girish Amesara : you are asking last quarter means March or you are asking June.

Ravin Kurwa : March.

Girish Amesara : March was something around that only.

Ravin Kurwa : So Sir is there any slowdown in the pledge which we are seeing post Q1 FY2023 because market has picked that in March something like that so post that are we think any reduction in pledges which has been taken place right now.

Nehal Vora :

Nehal Vora : We generally do not provide these number it is at a corrugated value in terms of that revenue which is there.

Moderator : Thank you. The next question is from the line of Amit Chandra from HDFC Securities . Please go ahead.

Amit Chandra : Hi! Sir and thanks for the opportunity. My question is on the technology spend so you have mentioned that there is increased focus on enhancing the technology and we have increase in the expenses significantly there on the technology so is there any specific areas where we are trying to spend or we are spend to upgrade or increase the capacity and where we can see the technology spend flattening or maybe some projects are still remaining or the process of value now in a sense that where we can see the technology spend stabilizing.

Nehal Vora : It is a continuous process of basically evolution because regulation is also getting evolved with newer product, newer processes, newer controls in place. We are building our sustainable long-term solutions so that it is flexible enough to kind of incorporate all these challenges both from a regulatory standpoint and also from a business standpoint make it more and more easy as well as efficient for our customers to kind of access so it will be Central Depository Services (India) Limited

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difficult to segregate between what is new and what is old but it is kind of making the entire technology system more robust as well as more flexible and nimble to kind of cater to the changing requirements both from a regulation standpoint as well as from a business standpoint. So it is a continuous process of kind of reviewing our technology needs and trying to bring in line with whatever is the sophisticated technology systems of the world.

Amit Chandra : And if you can provide the total of all of the employees that you

have in the standalone entity

and CIRL, CDSL Ventures Limited and how that number of employees have increased over the last two years.

Girish Amesara : See as of now as on June quarter we have the count is 250 and in March we had account of 246 last year June the count was around 219.

Amit Chandra : And in terms of the newer initiatives mostly on the insurance repository side and will be come out your repository side what is the progress amount any developments are there?

Nehal Vora : No, so we are kind of be ready with our systems in terms of our commodities we are talking about the gold spot right.

Amit Chandra : No so the Commodity Repository Limited C CRL and CIRL.

Nehal Vora : Yes, so that continuous to evolve I think there is some changes in the act which are pending with the Honorable Parliament, but we are continuously evolving ourselves to be in sync with whatever are the changing requirements and as soon as that act is passed then that will kind of change the entire way of governing things significantly.

Amit Chandra : And in terms of the revenue contribution how much is initial depository contributing if any what was that number, please.

Nehal Vora : Yes, I will ask Girish it is not significant as of now but I will ask Girish.

Girish Amesara : It is less than 1%.

Amit Chandra : Even the other cost of revenue like the revenue booking which was and AGM which was there.

Girish Amesara : I think you are talking about e-voting.

Amit Chandra : Yes.

Girish Amesara : E-voting income is ■ 2.84 Crores in this quarter.

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Amit Chandra : And in terms of the AGMs also because of the last year it was COVID year so the virtual AGMs were deferred so in this year we can see gross in that revenue if you can quantify what was the contribution of AGM revenue in the last year numbers YoY if you can give that e - voting and AGM.

Girish Amesara : As of now I think there is an option given for holding the meetings through VCs we will have to wait and see as to how it culminates by 30th September.

Moderator : Thank you. The next question is from the line of Kunal Thanvi from Banyan Tree Advisors Private Limited . Please go ahead.

Kunal Thanvi : Thanks for the opportunity. Two question, the first one was a book keeping one if you can help us with the cash basis revenue for this quarter and second was on our transaction income so if you look at the overall cash volumes in the market and the settlement volumes there has been a sharp fall in last two three months looking at the market session when we look at CDSL's transaction income the fall has been not that bad like comparatively it has been resilient so what should one read into it is it because of the rise in the pledge business or any other sector that played in that respect if you can help me with that. Thank s.

Girish Amesara : CASincome is ₹ 4.5 Crores in this quarter.

Nehal Vora : And the second question is the reply to that would be that it is a combination it is a lot of the newer investors coming and I think the delivery based volume is what has been there it is a combination of your pledge , re-pledge , the delivery based volumes which constitutes the transaction charges the entire way of doing things is significantly being modified so there are multiple legs which are there in the entire market cycle so you will have to see that in that sense so your initial remark that this pledge re -pledge that is part of it but it is also delivery based volumes etc. and the newer people coming in which is leading to a higher level of delivery based volumes.

Kunal Thanvi : So even if I look at the delivery based volumes right which is the settlement volume that SEBI gives on there that based on their website the fall for this particular quarter for both depositaries has been very higher like if I look at

even since CDSL the fall has been now 36%

on a Q -o-Q basis whereas when we look at the revenues for transaction income the fall is 22% for CDSL on a Q -o-Q basis so the differential is like quite large so is it like apart from...

Nehal Vora : Pledge re -pledge system I think that would be one of the principal factors there are other ancillary factors but this is one of the principal.

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Kunal Thanvi : And last one if I can squeeze is on the annual issuer charges sorry I joined the call late if you can help us understand the sharp increase in the annual issuer charges, more number of companies getting added but when I look at our last four, five quarters number we can figure out that the addition has been there for while now like we have been adding decent number of companies every quarter what has changed in this quarter particularly both on a Q -o-Q and a Y-o-Y basis because the jump has been very sharp like is it that building cycle comes in this quarter enhance this numbers that how should one read into it.

Nehal Vora : Yes, so the billing normally happen in the first quarter of every year so you should look at it from that perspective and quantum is a function you joined late this question was asked earlier so we have already replied to this it is a function of newer companies joining and number of newer investors which I have also joined the ecosystem it is combination of that which it leads to the increase in the annual fee issuer.

Kunal Thanvi : Sure, so there is no impact of pricing as of now it is just the volumes that have. Okay thanks Nehal and all the best for future.

Moderator : Thank you. The next question is from the line of Narendra Porwal an individual investor . Please go ahead.

Narendra Porwal : Sir my question is that when the month end is there, the customers who have opened the repository account, we just give them two or three days late, every time, and when all the auto companies are there, they give on the 1st. Today also it happened that in your website, it is not updated and from the NSE website, is also not updated, why do we do like this, since this is a digital age, when the customers who were there on 30th, 31st June, they were 6 lakh Crores, this month, how much have been added, whether we will get to know about that tomorrow or 3rd, because our announcements are coming late two or three days, why do not have such kind of technology, that would give us some update on the number of customers in that particular month. This would be very beneficial for us.

Nehal Vora : From our side, CDSL, we update it immediately, that has been the regular practice.

Narendra Porwal : I have opened the website, but there is no update, if it had opened, then I would not have questioned. I am checking it every month.

Nehal Vora : If you allow me, then only I can answer to your question. What I am trying to tell you is that whatever is the end of the month numbers that only comes on the first of each month we do not update on a daily basis that is the standard operating procedure and that is followed by both the depositories, CDSL has been extremely prompt in ensuring that his numbers are always put out on the first of the month without fail so if you are facing some issue or you
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want to see that and you can send us an Email we will send you the link etc., where you need to look at it.

Moderator : Thank you. The next question is from the line of Anoop Biswas an individual investor. Please go ahead.

Anoop Biswas : Thank you Sir for giving me the opportunity. I also joined late I am questioning on the annual issuer charge so has annual issuer charge now SEBI Rs.11 is there, during your last quarter also you informed us that we have done

the two exchange in SEBI and after that it will be updated. So, what is your thinking about it?

Nehal Vora : The thinking is that this will have to be a joint proposal, has to be approved by SEBI and generally the overall trend is not to increase the charges all over but however it is in line with whatever is really the inflation etc. We have to see that SEBI will take its own call as to what has to take into consideration all the conditions of the markets so far it is really proposal there we have to wait and see.

Anoop Biswas : Last thing is in the 1995.

Nehal Vora : No, 2015.

Anoop Biswas : Okay thank you very much Sir.

Moderator : Thank you. The next question is from the line of Prateek Shah an individual investor. Please go ahead.

Pratik Shah : Thank you for taking my question again. Sir at the end of last quarter we have declared Rs.15 dividend, right? So, is this the 60% of operating profit as we have at fixed dividend policy so just want a confirmation on that?

Girish Amesara : It is 60% of the net profit and it would be paid after the shareholders approve it.

Pratik Shah : Thank you.

Nehal Vora : Just on the previous question I have just got an update from my team that some days the numbers are getting updated by second or third also on some of the days that is basically the process of internal reconciliation sometimes is done so we will try to move towards coming on the first so thank you for pointing it out.

Moderator : Thank you. In the interest of time that was the last question. I would now like to hand the conference back over to the management for closing remarks.

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Nehal Vora : I just wanted to ensure that all of you remain safe continue to remain safe there are a lot of health hazards which keep on seeing as news so ensure that your family remain safe and secure and our intent of CDSL is to ensure that we continuously build India as a new kind of an ecosystem and want to partner in the growth of the entire ecosystem that has been our focus from a technology standpoint. Thank you.

Moderator : Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2022

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Central Depository Services (India) Limited
CDSL/CS/NSE/ RD/2022/ 218 November 03, 2022

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on October 28, 2022

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated October 25, 2022, for scheduling of Conference Call on October 28, 2022 , please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company: www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl : As above
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“CDSL Central Depository Services Limited
Q2 FY '23 Earnings Conference Call ”
October 28, 2022

Management: Mr. Nehal Vora – Managing Director and Chief
Executive Officer – Central Depository Services (India)
Limited
Mr. Girish Amesara – Chief Financial Officer – Central
Depository Services (India) Limited
Mr. Sunil Alvares – Managing Director and Chief
Executive Officer – CDSL Ventures Limited

Moderator: Mr. Praveen Agarwal - Axis Capital Limited

Moderator : Good morning, ladies and gentlemen, and welcome to the Q2 FY '23 Earnings Conference Call of Central Depository Services (India) Limited (CDSL) , hosted by Axis Capital Limited.

Please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be constructed as forward -looking statement must be reviewed in conjunction with the risks that the company faces. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Agarwal from Axis Capital Limited. Thank you.

And over to you, sir.

Praveen Agarwal: Thank you, Michel. Good day, everyone, and welcome to the Earnings Call of CDSL. We have the entire management team of CDSL with us here on the call, headed by Mr. Nehal Vora, MD and CEO. I would request Mr. Vora to take us through the initial remarks, and then we'll open the floor for Q&A. Over to you, Mr. Vora.

Nehal Vora: Thank you, Praveen. A very -very good morning and welcome, everybody. I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the second quarter of the financial year 2022 -23.

As in the previous quarters, we have posted a detailed financial presentation on our website for your reference. I'm joined by the CDSL group's leadership team. Before I go further, I would like to wish each one of you and your loved ones a very happy Diwali and a prosperous New Year . May the year be filled with light and happiness.

We are happy to present CDSL's performance for the second quarter of this financial year. Our strong and sustainable financial performance marked the end of a successful first half of the financial year. We are happy to report that India has strengthened its overall participation in the Indian capital markets . The overall number of demat / investors account in India during the Q2, FY '23 crossed the 10 crore s milestone as CDSL crossed the milestone of 7 crore s demat accounts. The number of demat accounts held with CDSL at the end of Q2 FY '23 stands at 7.34 crores.

On a separate note or rather on a lighter note , if demat holders were a separate country, it would rank 15th amongst the world's most populous countries. This growth is a reward of the digital innovation and presence carved across years, especially in the Tier 2 and Tier 3 cities. We are also very proud to announce that history was created this Diwali as India's first successful Electronic Gold Receipts transaction was executed during the Muhurat Trading session in BSE, and the securities were settled through CDSL.

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Our focus is to provide a convenient and secure capital market technology for all the participant on a sustainable basis. Our ability to understand the requirements, think and build on technologies and to deliver diversified experiences continues to drive strong values for our stakeholders and shareholders.

During the quarter, the number of active companies admitted with CDSL as on September 30, 2022, stood at 19,301, an increase of 12% from the number of active companies as on September 30, 2021. Furthermore, the value of securities in demat custody as on September 30, 2022, stood at INR 38 lakh crores, an increase of 9% from the value of securities held on September 30, 2021.

We have been following the path of building a simplified process and technology for all investors

for the past years, and that technology has been continued to evolve to fit the needs of our customers. We at CDSL, in line with the spirit of Diwali, strive to empower the investors with their inner light, power and self -sufficiency through our services to help them transcend into an Atmanirbhar Niveshak or a self -sufficient investor. With this belief, we at CDSL wish to renew our commitment of providing convenient, dependable and secure digital services.

The financial performance of this quarter continues to be strengthened by a sustainable long -term strategy of investing in a digital ecosystem and robust technology to provide all market participants an easy and secure platform. Today, using CDSL services, investors have the power to hold, operate and monitor their investments safely from the comfort of their homes. Further , our services like the eAGM, e -Voting, et cetera empower the shareholders to connect with

companies directly and conveniently.

In conclusion, as the market condition evolves, we believe that CDSL, with its easy and diversified services, has the ability to leverage the opportunities and be a catalyst in the India's growth story.

Finally, I would like to take this opportunity to thank all our stakeholders, regulators, investors, issuers, registrar and share transfer agents, depository participants, partners, associates and employees and all other stakeholders who have played an extremely important role in the growth of our company.

Now I request Shri Girish Amesara, CFO, to take us through our financial performance. Over to you.

Girish Amesara: Thank you, Nehal. Good morning to everyone. On an year-on-year basis, the consolidated total income for the quarter ended September, 2022, has increased by INR 5 crores to an amount of INR 170 crores, compared to INR 165 crores for the quarter ended September, 2021. The net profit on a consolidated basis for the quarter ended September, 2022 stood at INR 80.46 crores, as against net profit of INR 86.06 crores for the quarter ended September '21.

On a quarter-to-quarter performance, the consolidated total income for the quarter ended September, 2022 has increased by INR 24 crores to INR 170 crores, compared to INR 146.30 crores for the quarter ended September, 2021. Central Depository Services (India) Limited
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crores for the quarter ended June, 2022. The net profit on a consolidated basis for the quarter ended September, 2022 stood at INR 80.46 crores, as against net profit of INR 57.61 crores for the quarter ended June, 2022.

Talking on stand-alone basis, the year-on-year total income for the quarter ended September, 2022 has increased by INR 13 crores to an amount of INR 140.54 crores, as against INR 127.92 crores for the quarter ended September, 2021. The net profit on a stand alone basis for the quarter ended September, 2022 stood at INR 68.61 crores, as against profit of INR 68.40 crores for the quarter ended September, 2021.

On the quarter-to-quarter performance, the total standalone income for the quarter ended September, 2022 has achieved at INR 140.54 crores, as against INR 157.81 crores for the quarter ended June, 2022. The net profit on a stand alone basis for the quarter ended September, 2022 stood at INR 68.61 crores, as against net profit of INR 89.10 crores for the quarter ended June, 2022. It may be noted that CDSL subsidiary CDSL Ventures Limited had paid dividend of INR 41.50 crores in the quarter ended June, 2022.

Now I shall request Shri Sunil Alvares to give an update about the operation of only one subsidiary, CDSL Ventures Limited. Thank you. Over to you, sir.

Sunil Alvares: Good morning, everyone. At the outset, I would like to take this opportunity to wish you all a very happy Diwali to you and your loved ones. H1 FY '23, we saw a significant drop in the new demat and broking accounts as well as the mutual portfolios. And since a

ll these account

openings are intrinsically linked to the KYC, there was a dip in the KYCs created and the KYCs fetched. This had a slight impact on the number of KYCs created in CVL, so the number of KYCs dipped by 9% from 64 lakh to 58 lakh in this financial year. And the number of KYCs fetched dipped from 1.56 crores to 1.31 crores, which was a dip of 16%.

So far as the operational income was concerned, the operational income dipped by 13% in H1 FY '23 to INR 53.49 crores from INR 61.72 crores. And the total income dipped by 15% to INR 57.11 crores, as against INR 67.50 crores. The expenses increased by 2% from INR 24.50 crores to INR 25.15 crores. The profit before tax dropped by 26% from INR 43 crores to INR 32 crores, and the profit after tax dipped by 28% from INR 32 crores to INR 23 crores.

With this, I'd open the floor for questions from the participants.

Moderator: Thank you, very much. We will now begin with the question-and-answer-session. Anyone, who wish to ask a question may press star and one on their touchtone phone. If you wish to remove 'yourself' from the question queue you may press star and two. Participants are requested to use handset to ask a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Pratik Rathi from Choice Capital.

Pratik Rathi: Congratulations on a good set of results. So I just wanted to understand regarding the insurance team materialization. Like with effect from 1st November, it has been made mandatory, so what Central Depository Services (India) Limited
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kind of revenue growth do we see in this team? And what could be the onetime opportunity do we see here?

Nehal Vora : So the insurance repository -- there's a separate subsidiary for the insurance repository. It will be done through that company, and it is mandatory from the end of this calendar year for new policies, and for existing policies, one more year has been given. It is yet going through the regulatory framework. It is getting discussed and getting created, but we are completely on top of it. As soon as that gets announced, then we'll come to know what will be the likely impact. Anyway, we don't give any future and forward-looking statements.

Pratik Rath: So for this quarter, there won't be any impact from next calendar year onwards, probably there could be some impact, right?

Nehal Vora : Whether there'll be an impact or not, that we'll have to see, but in this quarter, it is not - it will be "as is where is" basis.

Pratik Rath: And my second question is regarding the increase in the employee benefit expenses. So I believe, in last quarter, we had some onetime expenses of one of the subsidiary, but even in current quarter, there is a good amount of increase in employee benefit expenses. Is there any particular reason for this?

Nehal Vora : No, it's a combination there is a general expectation that the CDSL's size is growing and we need to invest in the right kind of people. Technology and People are the two main important components of our company and we need to have key resources to be deployed. And also there is a larger regulatory responsibility which is getting formulated in terms of front-line regulator, and therefore, we need to continue to invest in the right people. Apart from these, the regulatory area has grown also as CDSL's size grows. So in all forms, be it technology, be it the operations and the regulatory teams, have to be appropriately strengthened to ensure that we are able to ensure the continued growth which we are witnessing.

Pratik Rath: So this kind of run rate would continue to grow ahead. There is no onetime expense in this quarter in the employee benefits caption.

Nehal Vora : Yes. It means broadly I will not be able to give any specifics on the future, but this is the overall theme on

which we are working on in terms of the investment in our people.

Moderator: Before we take the next question a reminder to all the participants to press star and one to ask a question. The next question is from the line of Amit Chandra from HDFC Securities Limited.

Please go ahead.

Amit Chandra: Sir, my question is on the insurance opportunity, so as you said that obviously it's kind of thing which is visible in the near term. But if I see the finances of the insurance subsidiary, then there the realization per policy for the life policies has been declining over the last four, five years.

And currently it is INR 25 per policy and it is down around 28% Y-o-Y, right? And for the health and motor, it's around INR 10 per policy, so in terms of the pricing, how do you see the pricing

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panning out? Because here the volumes are very, very thin, but as the volumes will grow, can we see a pricing war here? Or is the pricing being fixed by the regulator, or is it regulated?

Nehal Vora : So it is a different paradigm which we are expecting to go in, and pricing will be a function of that, because now it's becoming kind of a regulatory mandate. And it will have to be, and that's how the -- in the depository space also the pricing had evolved; started up on a high note, but once it becomes mandatory, it was rationalized. So I think I will not be able to second guess what the regulator has in mind, but I think we'll have to wait and watch how this moves forward. Once it becomes mandatory, it's a different scale, so it's not comparable with the past where it was on a voluntary basis.

Amit Chandra: And also in terms of the pricing differential between life and motor, or health policies. So the general insurance policies, which is more shorter duration, there the pricing can be much lower than what is existing today?

Nehal Vora : We'll have to see how it evolves, Amit, not able to give a firm answer at this stage. This is all going through various regulatory deliberations and we'll have to wait and watch how this really evolves.

Amit Chandra: And also, sir, if I see the shareholding pattern of all the four insurance repositories. So I think most of them are 100% hold -- held by the parent, versus CDSL which is mostly held by most of the life insurance companies, so is this going to have any specific advantage in terms of the incremental volumes coming to CDSL?

Nehal Vora : Again, we'll have to wait and watch, we don't give any future outlook. Our intent is to provide the best in terms of technology platforms, a very transparent governance platform; and then leave it to the market to kind of choose which is the best way forward. That has been our philosophy in CDSL and will continue to remain in CDSL group also.

Amit Chandra: And sir, lastly on this piece. So in terms of expenses, we have an expense of around one crore in this subsidiary. So how we can expect the expenses. So is it the platform costs? Or the technology investments have already been done. Or we can expect high investments in

technologies from here on. So how do...

Nehal Vora : Well, like any platform, Amit, it will evolve because you need the right kind of people, the kind of technologies. And once the regulatory framework gets created, that will evolve in terms of ensuring the best -in-class services. So whatever it takes because this is basically a long -term play rather than in short -term play . We need to have the right people and the resources and the right technology to take this business forward as we move ahead.

Amit Chandra: And sir, on the demat account addition, obviously there has been some slowdown there, but if I see the incremental revenue per demat -- so that has gone down significantly, so this implies that, the newer account that is being added, those are not contributing anything to our top line

Or the contribution is very, very less, in fact 1/4 of what it was earlier, right? So in terms of the newer account additions, how is the activity there? And if you can give some color in terms of Central Depository Services (India) Limited
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the demographics or how it is panning out. And can we expect that to increase as these, like, new -- these people start doing activity and hence the incremental contribution from these additions will start to reflect in our top line going ahead?

Nehal Vora: So really, Amit, you should look at it as a consolidated revenue mix. If you see the overall market volumes, more particularly the delivery volumes across the exchanges has also taken a dip. So , it's the demat account -related revenue is related to that activity and it's a variety of factors, be it the -- basically the geopolitical issues or the general uncertainty about inflation, et c. So, participation in the markets has taken a dip over the last few months. And this is kind of in sync, but as compared to that, the overall revenue mix has been in sync with one of the more bull phases. So that has been the key strength of CDSL . That it has kind of been able to basically sustain that kind of revenue despite there being a general market contraction in terms of participation. And that has been our philosophy, that it becomes more and more insulated whilst we are there in terms of the best -in-class technology.

So as the market volumes grow, we are there for it. And it is similar to a road , so how many cars come on the road is a function of various factors, and similarly, the market volume is a function of various factors. The important thing is that we are there. And the incremental market share continues to remain very -very strong and robust. Our technology remains very strong and robust. And we're using this time to ensuring that our technology remains kind of in A class as we move forward.

Amit Chandra: And any color on the demographics of the new account additions? Anything you can like tell us incrementally in terms of from where the accounts are getting added? Is there any shift that you're seeing or anything... ?

Nehal Vora: There is no shift. It's kind of the general same trend which continues. We don't give out in the public domain as of now the mix . But it's kind of broadly , it is the same framework which continues as we move forward. Obviously the level of participation has gone down, but overall the trend remains the same.

Moderator: Thank you. The next question is from the line of Santosh Kumar Keshri from Keshri Wealth. Please go ahead.

Santosh Keshri: I have two questions. One is about the number of employees that the company has on a stand alone basis and in as well total group level basis , year-on-year as well as quarter -on-quarter, if you can give that number ?

Girish Amesara : So our total employee on a stand alone basis is around 260 employees, and on a group level it is around 325.

Santosh Keshri: This is as of September 30 , 2022 , right?

Girish Amesara : As on date. As on 30th September , 2022 , you can consider.

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Santosh Keshri: Yes. And what could have been the number as of 31st March '22?

Girish Amesara : 31st March '22, it was 246 on a standalone basis. And on a consolidated basis, it was around 300.

Moderator: Thank you. Reminder to all the participants, to press star and one to ask a question . The next question is from the line of Sanketh Godha from Spark Capital. Please go ahead.

Sanketh Godha: Sir, with respect to the insurance business again, yes, there is one source of revenue which might come -- which is regarding dematerialization of the policy. And second thing is with respect to...

Moderator: I'm sorry to interrupt. Mr. Godha, your voice is fluctuating. Can you please use your hand

dset to

ask your question?

Sanketh Godha: Sure, sure. Is it better now?

Moderator: Thank you so much. Kindly proceed.

Sanketh Godha: Yes. Sir, my question again is with respect to the insurance thing. Because one source of revenue which IRDA is trying to generate for the repositories is compulsory dematerialization of the policies. And second thing is regarding the centralization of KYC thing. So which I believe will be also done by insurance repositories. So just wanted to understand because, till date, we believe that KYC is largely done for life insurance companies. It's hardly done for motor or health policies, so I mean this itself can be a very big opportunity, or any thoughts on these lines would be very useful, sir?

Nehal Vora: Yes. So again, Mr. Sanketh, it will be something which we'll have to wait and watch till the regulatory framework gets announced formally. There has been a policy announcement, but there is hectic rounds of deliberations going around as to how the operation modalities will get worked out. Once that gets finalized, then we'll be able to really comment on the extent of the opportunity. So it's something, it's a little premature at this stage. We'll have to wait and watch how this gets evolved as we move forward.

Sanketh Godha: And the second thing again with the insurance thing, is that our market share, compared to other insurance repositories, historically has been lower. So now, though, because it was maybe voluntary, maybe it was not so much a focus in the past but now becoming mandatory, and given it's a big opportunity, any market share what you are thinking on? Because, I mean, currently we are less than 10 or closer to 10, I believe, in the number of policies which are in EAI accounts. So how we want to like accelerate it given we are a little laggard with respect to this particular piece?

Nehal Vora: So our philosophy, be it CDSL or any of the group companies, be it CDSL also where we have about a 60%, 65% market, we have a large market share in the KRA business. The intent is that we don't go after the numbers or the market share. We go after giving the best-in-class

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technology platforms, a value proposition; and kind of leave it to the market to then choose which platform works best.

So our focus has been in bringing in that quality in our platforms, in our products, security in our products and platforms, and more importantly, a value proposition. And that will be the same ethos with which we will continue to work in our insurance repository also. We are not going after numbers. We are going after the quality of our offerings as the main focus area. And our experience has been over the last three years, four years is that this has been the single most important driving factor in driving the market share up. So it's kind of not the intent. The intent is to get the best-in-class products, and basically the result of that is that more-and-more people would like to use that platform.

Sanketh Godha: So sir, on those lines, I mean, any additional hiring or initiatives you have taken given these new opportunities coming...?

Nehal Vora: That is kind of an ongoing process. It will continue to happen, and the Board, not only the Board of CDSL, but even the Board of the insurance repository is fully in sync in ensuring that we have the right kind of people in that repository to ensure that we're able to build that business well.

Sanketh Godha: Sir, a few data-keeping questions. If you can give a few data points, one is pledge income in the quarter then annual issuer income broken down into listed and unlisted companies and probably the debtor provisioning number in the quarter?

Nehal Vora: I'll ask the CFO, Girish.

Girish Amesara: So the pledge income is INR 3.5 crores in the quarter.

Sanketh Godha: And annual

issuer charges from the listed and...?

Girish Amesara: Unlisted is INR 1.30 crores in the quarter.

Sanketh Godha: From unlisted companies, right, sir?

Girish Amesara: Yes.

Sanketh Godha: And the debtor provisioning?

Girish Amesara: Debtor's provisioning is around INR 3 crores in the quarter.

Sanketh Godha: And final one, sir, if you can break down the operating revenue, or if you can give a little more details on CAS income and e-Voting income, which probably has not been in the presentation.

If you can give that information, it will be useful, sir?

Girish Amesara: e-Voting is achieved at INR 14 crores in this quarter.

Sanketh Godha: And CAS, sir?

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Girish Amesara: CAS is INR 5.09 cores.

Moderator: Participants, who want to ask a question, may press star and one on their touchtone phone now. The next question is from the line of Pratik Shah, an individual investor. Please go ahead.

Pratik Shah: I have really one question. Like as we all know, that India has already started the operation of the GIFT City for bullion exchange, so is there any revenue we have on in this quarter? And the second one is regarding , sir, if you can just explain, as you mentioned, that the first transaction happened on the Muhurat Trading of this Gold Receipt , how CDSL will work? And how we'll get revenue from this storing this Gold Receipt to CDSL account?

Nehal Vora: So on the first question , it's a part of the consortium of BSE, NSE, MCX, NSDL and CDSL which owns the depository. So CDSL , it was a fully owned subsidiary which has been sold to the consortium. This is in line with the overall national objectives of ensuring that we do n't compete in GIFT City. We remain as a unified force and compete with the world. These are kind of in early days yet. So we are equal partners not only in the depository but in the exchange and the clearing corporation of the bullion exchange and clearing corporation , entire ecosystem. So we'll have to wait and watch. As of now, these are in early days.

As regards your second question, on the EGRs. We are part of -- we are basically a repository or a depository for the Gold Receipts. And it will have similar contours in terms of the transaction charges as well as of the new kind of issuances which are put in. It will be on a similar line. These are kind of in early days, so it will be difficult to give any framework. So it's a new line of business which we've gone in.

Again our focus is to ensure a value proposition, ease of doing business , but at the same time having a very secured way of insuring and a tech-enabled platform , so that more and more people are able to connect from whichever, from different parts of the country, to enhance the entire reach of this ecosystem.

Pratik Shah: And so I just want to confirm , the CDSL platform is ready, right, to cater all of this... ?

Nehal Vora: Yes. In fact, the first trade, which happened on the Muhurat Trading, and the securities settlement was done through CDSL. I said that as a part of my speech. So we were kind of first trade settlement -- part of this first trade settlement which was happened on EGR.

Moderator: Thank you. Before we take the next question reminder to the participants, anyone wishing to ask a question, may press star and one on their touchtone phone now. There is a follow-up question from the line of Pratik Rathie from Choice Capital. Please go ahead.

Pratik Rathie: Sir, a few weeks ago, we saw one of the news articles regarding single demat account , infrastructure development for single demat account. So how soon do we see this as a reality, like a single demat account for all FDs, insurance, PPF, post office as well as shares .

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Nehal Vora: Again , this is something which we

are in and we'll have to wait and watch till the formal

announcement comes. I would not like to comment on news articles which is not backed by a SEBI circular or a circular from the regulatory authorities. The intent is that we are technology ready, and whenever the framework gets announced, we should be able to participate in it.

Moderator: Thank you. Anyone wishes to ask a question. May press star and one now. The next question is from the line of Anshuman Deb from ICICI Securities Limited.

Anshuman Deb: My question is regarding the annual issuer charges and the price hike possibility. So we have not had price hikes, we understand, but do you think, in near future, is there any scope? Or there is no consideration for that at the moment. That is my only question?

Nehal Vora: So again we'll have to really assess that because the general theme and ethos is to bring in more and more players in. So what the regulator will think, because this will have to be approved by the regulator. And it will have to be a joint proposal by both the depositories. Yet but there have been some discussions. But I think at this stage we'll have to just wait and watch. It will be difficult to comment on this at this stage.

Moderator: Thank you. Participants who want to ask a question may press star and one on your touchtone now. The next question is from the line of Ameet Kalyanpur from East India Securities.

Ameet Kalyanpur: Sir, on -- I'm referring to the Slide 20 of the investor presentation, where you've given a breakup of the income. There's an item called other income, comprising INR 30 crores, so can you please give a breakup of that?

Nehal Vora: I'll ask CFO Girish to answer.

Girish Amesara: So other income largely consists of settlement charges, inter-KRA charges, eKYC, CKYC, account maintenance charges, user facility charges, foreign portfolio monitoring charges, document storage charges, CAS charges and E-Voting charges. So , this all included in the Other Income.

Ameet Kalyanpur: So, you gave the number of e-Voting and cash as well...

Girish Amesara: Yes, so that's a total of INR 20 crore s, both put together.

Ameet Kalyanpur: I'm asking whether there's any other major item like INR 5 crore s item or...

Girish Amesara: No. These two are the major ones, CAS and E -Voting. Both, put together is INR 20 crore s. Rest of them all are around INR 1 crore s, less than INR 90 lakhs or INR 80 lakhs .

Moderator: Thank you. A reminder to all the participants. Anyone who wishes to ask a question, please press star and one now. You may press start and one to ask a question. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

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Nehal Vora: Thank you so much. I see two questions which have now just popped up...

Moderator: Sure, sir. Can we take the questions?

Nehal Vora: Yes.

Moderator: Okay. The next question is from the line of V. Bala from Finspurt Capital. Mr. Bala I have unmuted your line, kindly proceed with your question. As Mr. Bala has left the queue, will take the next question, which is from the line of Nikhil Agarwal from VT Capital. Please go ahead.

Nikhil Agarwal: Sir, I just wanted to understand. My question is on the value of KYC business model. So when you fetch a record, when a customer fetch a record, and the KYC has been made by, say, CAMS.

So, if it goes through an HDFC AMC, so when HDFC AMC too fetch the KYC record through CDSL, will CDSL get that INR 35, or will it go CAMS?

Nehal Vora: Nikhil, it's not CDSL. It's CVL, CDSL Ventures.

Nikhil Agarwal: I mean, yes. Sorry...

Sunil Alvares : So it's like this the record -- KYC record with CAMS and subsidiary is connected to CVL, the subsidiary can fetch the record from CAMS through CVL, charge the intermediary and then pass

on the revenue to CAMS .

Nikhil Agarwal: So CDSL won't get anything from that because the onetime of...

Sunil Alvares : It will be revenue is neutral -based.

Nikhil Agarwal: Sorry...

Sunil Alvares : It will be revenue neutral. From one hand, I'll be taking it from the intermediary and passing it on to CAMS.

Nikhil Agarwal: Okay. So that also means that, whichever record you are creating in the future, if that client goes to another intermediary for a demat account or SIP accounts, that will always come to you. The INR 35 from that client, it will always come to you if that client has taken its record once with CVL ?

Sunil Alvares : That's correct. So the KRA which holds the record, the revenue will always come to that KRA.

Nikhil Agarwal: And sir, like I'm -- if this is given somewhere. How many clients are there under the KYC and the CVL who have created a record with CAM ?

Sunil Alvares : I didn't get your question. Come again.

Nikhil Agarwal: How many records has CVL created till date?

Sunil Alvares : We have 4.8 crore s records.

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Nikhil Agarwal: 4.8 crores. And what would be the market share?

Sunil Alvares : See, these figures are not reported anywhere by the KRAs. So our estimate is it should be around 65%.

Moderator: The next question is from the line of Anoop Biswas from CDSL Limited . Please go ahead.

Anoop Biswas : Sir, I have a question on repository business. Is LIC...

Nehal Vora: Anoop. Can I ask you, from which company are you?

Anoop Biswas: No sir, I am an individual Investor. So this LIC is, Life Insurance India, is this company is register with our repository business?

Nehal Vora: Yes. Can you repeat the question?

Sunil Alvares: So LIC is one of the promoters of the insurance repository in CDSL, but it has not yet joined the repository through DEMAT of the insurance policies.

Anoop Biswas: But in this case, what is your comment on that?

Nehal Vora: Comment on what?

Sunil Alvares: No. It is totally to the management of LIC to decide when they want to join. So they have -- they are exploring it, and once they feel that it is the right time, they will join.

Moderator: Thank you. Sir, right now we do not have anybody in the queue. Do you want me to...

Nehal Vora: Yes, we can now close. Thank you.

Moderator: Okay, sir. Any closing comments from your end?

Nehal Vora: Yes. I just wanted to ask all of you remain safe and secure. And wishing you all the very best in the new Samvat year, happy Diwali and a prosperous New Year to you and your family. Thank you.

Girish Amesara : Thank you.

Sunil Alvares : Thank you.

Moderator: On behalf of Axis Capital Limited: That concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

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Central Depository Services (India) Limited
CDSL/CS/NSE/ AJ/2023 /35 February 10, 2023

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on February 03, 2023

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated January 31, 2023 , for scheduling of Conference Call on February 03, 2023 , please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company: www.cdsindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above
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MANAGEMENT : MR. NEHAL VORA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CENTRAL DEPOSITORY
SERVICES LIMITED
MR. GIRISH AMESARA – CHIEF FINANCIAL OFFICER –
CENTRAL DEPOSITORY SERVICES LIMITED
MR. SUNIL ALVARES – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CDSL VENTURES
LIMITED
MR. RAMKUMAR , CHIEF OF BUSINESS DEVELOPMENT
AND NEW PROJECTS
MR. VINAY MADAN , CHIEF RISK OFFICER
MR. SWAROOP GOTHY , FINANCIAL CONTROLLER
MR. NILESH KITTUR , AVP FINANCE

MODERATOR : MR. PRAVEEN AGARWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen good day and welcome to the Central Depository Services (India) Limited Q3 FY '23 Investor Call hosted by Axis Capital Limited. Please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL's outlook for the future or which could be construed as forward-looking statements must be reviewed in conjunction with the risk that the company faces. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Agarwal from Axis Capital Limited. Thank you, and over to you, sir.

Praveen Agarwal: Thank you, Dr. Good afternoon, everyone, and welcome to the earnings call of Central Depository Services (India) Limited (CDSL). We have with us Mr. Nehal Vora, MD and CEO along with his other team members to be answering your questions. I would request Mr. Nehal to share his initial highlights for the results, post which we'll open the floor for Q&A. Over to you, sir.

Nehal Vora: Thank you so much. A very good afternoon, and welcome, everyone. I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the third quarter of the financial year '22-'23. As in previous quarters, we have posted a detailed financial presentation on our website for your reference. I'm joined by the CDSL Group's leadership team. This quarter, India further strengthened its retail participation in Indian capital markets, and has registered investors with the stock exchanges which stands at 12 crores plus. The total number of demat accounts, investors with CDSL as on 31st December, '22 reached 7.78 crores demat accounts. The same number as on December 31, '21, was 5.56 crores, an increase of about 40%.

The new milestones that India has achieved are due to a combination of two factors: growth of the digital online movement and the empowerment of investors, the convenience and ease of doing business; digital services, such as online account openings, eDIS, Margin Pledge and Repledge mechanism, eAGM and e-Voting, etc. are, in the hands of the investor in various corners of the country has started it into the growth story for the Indian retail investors. Having said that, we believe that this is just the beginning.

Our primary focus remains on the continuous improvement of the financial ecosystem by making it more efficient and transparent. Speaking further on our performance, CDSL has been following its strategy to keep the business growing on a sustainable foundation with a diversified revenue while investing in advanced technology and its people. For the quarter, a number of active accounts admitted with CDSL as on December 31, '22, stood at 19,724, an increase of 12% from the number of active companies as on December 31, 2021.

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Furthermore, the value of securities in demat custody with CDSL stood at INR 41 lakh crores as on 31 December '22, an increase of about 11% from the value of securities held as of the previous year. Our ability to understand the requirements, innovate and build on technologies and to deliver diversified experience, this continues to drive strong value for our stakeholders and investors. Before I hand it over to our CFO, Shri Girish Amesara, I would just like to say that the growth of Indian securities market is an extremely encouraging sign of India's potential. I also want to place an appreciation and gratitude to

to all our stakeholders, regulators, depository participants, investors, issuers and other market participants and employees for their constant faith in us.

So I would now hand it over to our CFO, Shri Girish Amesara.

Girish Amesara: Thank you, Nehal. Good afternoon to everyone. On a year-on-year performance, the consolidated total income for the December '22 quarter is at ₹ 160.87 crores compared to ₹ 162.93 crores for the December '21 quarter. The net profit on a consolidated basis for December '22 quarter is achieved at ₹ 74.77 crores as against ₹ 83.63 crores for the December '21 quarter.

The total income on a standalone basis on a year-on-year basis for December '22 quarter is at ■ 132.94 crores as against ■ 121.55 crores for the December '21 quarter. The net profit on a stand-alone basis on an year-on-year basis is at ■ 62.71 crores as against ■ 63.77 crores for the December '21 quarter.

Now I shall request Sunil Alvares to give an update about the operation of fully owned subsidiary, CDSL Ventures Limited. Thank you. Over to you, Sunil.

Sunil Alvares: Yes, good afternoon, everyone, and welcome to the CDSL earnings call. I would like to present the results of CDSL Ventures Limited (CVL) for the quarter ended December 31, 2022. On the quarter ended December '22, the operational income was ■ 23.07 crores as compared to ■ 25.82 crores for the quarter ended September '22, which was a drop of about 10%. The other income was at ■ 4.05 crores as against ■ 2.89 crores, which was a jump of 40%. The total income was at ■ 27.13 crores as against ■ 28.71 crores, which was a slight drop of 5%. Total income -- total expenses dropped by 3% from ■ 10.92 crores to ■ 10.54 crores during this quarter. The profit before tax was ■ 16.59 crores as against ■ 17.78 crores, and the profit after tax was ■ 12.59 crores as against ■ 13.44 crores. During this period, we saw a slight dip in the KYC creation from, 27.91 lakh to 26.86 lakhs. The KYC Fetch was at 58.76 lakhs from 65.06 lakhs.

So I'd like to open the call for any questions that you all have. Thank you.

Moderator: The first question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.

Prakash Kapadia: Two or three questions from my end. If I look at the subsidiary, the CKYC business, it's I think the third quarter in a row where the revenues have degrown for us. So if you could give us some Central Depository Services Limited
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sense what is impacting revenues? Because revenues are not so large, but still we are degrowing. That's the first question.

Second question is, what kind of capex we've done for the current year? And what is the likely capex for next year? And lastly, out of the total demat account, if you could give us some sense of what are the unique or active demand accounts because we've grown rapidly in the last 2, 2.5 years. So if you could give us some colour on that? Those are my three questions.

Nehal Vora: Yes. So I'll first answer your third question, and I'll refer your second question to the CFO, Girish, and the first question to Sunil. On the first and third question, I think CVLs is a measure of the total volumes in the market. And there has been some muted volumes over the last few months due to the -- basically the geopolitical issues, the interest rates firming up, et c.

In terms of demat accounts, we don't give out the numbers from a privacy point of view as to how many are active or inactive what is given out is basically the total number of demat accounts. But it shows that whatever is our demat accounts maybe transaction-based income has also kind of been about at the same levels over the last 3, 4 months. So that kind of gives you a kind of an indication of what has been basically the market participation.

I'll hand it over to Girish to answer the capex question.

Girish Amesara: So till D

December, we have incurred a capital expenditure of roughly ■ 17 crores. And this is in line with our overall budgetary approvals that we do every year. About future, I will not be able to make any comments about the future because we don't do any forecasting. I will hand it over to Sunil to answer your next question.

Sunil Alvares: Yes. As Nehal has just pointed out that for the 9-month period December 31, 2022, the markets have been very muted. So if you do the count of number of KYC records, which are fetched, created are intrinsic to the number of demat and broking accounts which are opened. So with a drop in the new demat and broking accounts, it has also impacted the KYC records. So I hope that answers your question.

Moderator: The next question is from the line of Homeyar from Kotak Mahindra.

Homeyar: I have just one question for you. What is the number of deliverable trades, is that fit with the CDSL accounts? Number, because that is what affects our revenue. So the number of accounts is in consequences, what is the number of deliverable trades on a weekly or a monthly basis?

Nehal Vora: You may refer the exchange website for the delivery trades.

Homeyar: No, exchange gives the volumes. And volume is not total volumes for share -- for each share it gives volumes. It doesn't give the total number of trades that takes places. Total volume is also do not says. As you said, that you charge a particular fee of each trade, it is for sure the volume of the trade. So if that can sell 1 crores shares also, but the deliver that takes places on 1 delivery, you only charge -- will be charged only one-time fees.

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Nehal Vora: Yes. So we don't share that information. So that...

Homeyar: But why is it -- what is so private about number? I'm not asking per person. I'm not asking per person. I'm asking the total number of trades that take place. There's nothing private about it. What is -- who is going to inform okay. I'm asking for total number of trades that takes places. I'm not asking for individual or this person or this share or that share. Total number of trades that take place.

Nehal Vora: We have taken your point on record. There are certain regulatory frameworks, we will kind of assess it and examine. Whatever is possible, we can put it out.

Homeyar: Sir, you can at least share this with the shareholders. This is nothing to do with privacy, it's just total number of trades that take place.

Nehal Vora: We have noted the question. You can send us an e-mail, and we will send a reply on that.

Homeyar: Can you confirm the e-mail address, please.

Nehal Vora: It is there on our website.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sir, the question is more on the industry outlook and not specific to CDSL. So if you look at the kind of report the regulator has implemented. but then it showcase that only 10% of the active traders and F&O actually make profits. And by line of this does not impact your business, but that it does impact the sentiments on the street and that will eventually will lead to an impact on the number of demat accounts that get opened.

Apart from that, other regulations that have come through, do you think that the pace of demat account addition is kind of it has slowed down, obviously, in the last say 3 to 4 quarters. Do you see any pickup that can happen or what could trigger the pickup of demat accounts again?

Nehal Vora: So I think it's a good question, Prayesh. I think what the SEBI study from an industry outlook is kind of showcasing is that investors should be aware about its suitability norms and our objectives before kind of really attempting in complex products like futures and options.

Now this business is a business of faith and trust. So I think it is a long-term

play, which is more

important. So I think the important thing is that as a market infrastructure institution our intent and our focus has been and will continue to be to ensure more and more transparency from an investor point of view.

He or she should be able to 'do it' himself or herself. So that brings in the trust factor. Also, it brings in basically the responsibility in terms of how one trades because it is your own wealth. And that's where I see the key driver is that when there is a clear focus on ensuring transparency as well as basically allowing people to really understand -- more and more people will be able to participate in the securities market.

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Today, we're at about 6% to 7% of the population. In India we have a population which is very young. And hence, it is really being important that we continue to embark in this reform journey of ensuring more and more transparency in the way we conduct ourselves.. It's more of a long-term foundation which we are looking at. So that's how I would really basically approach this question.

Prayesh Jain: And the other one is we heard ASBA thing, what has been spoken about and that ASBA kind of thing to be implemented for the secondary markets. Now that kind of takes away -- how will it float income of brokers. But does that really increase the compliances from your end? Or what is the kind of impact that CDSL will have to go through in case that is implemented?

Nehal Vora: So that is not really majorly applicable from a depository point of view. It's more on the clearing corporation point of view of funds. So anyway, securities, there is kind of reform, which has already been put in place where the investors' shares are blocked and only once the obligation translates into a public transfer, which happens. So I think that's the general move in which we are moving towards. And hence, this is something which may not be really applicable to CDSL.

Prayesh Jain: And last question, Nehal, could you talk about what are the new avenues of revenue that you are looking at to garner, say, in the next 3 to 5 years? I know not forward-looking -- you don't give forward-looking statements. But from a strategy perspective, if you could give us some thoughts as to what are the aspects that you're looking at, that would be helpful.

Nehal Vora: So I think CDSL has a generic, with out giving into any forward-looking statements and I'm very conscious about that principle. Is that we'll continue to embark upon our journey of making it on technology, where we would like to focus more and more into technology and a more of B2C kind of information flow where more and more investors are able to observe, see their demat accounts, operate their demat account themselves, that's the entire ethos with which we are working.

More and more kind of asset classes are going to come into dematerialisation, Because that is what is basically the society would want that kind of ease of doing business, the transparency factor and the security factor. These are some of the key aspects in which we will be working.

Prayesh Jain: So sir, I'll just slip in one more. Any thoughts on the insurance repository business as to how that's shaped up? And what is the status from IRDA on this?

Nehal Vora: So I think it's going through its own process of the implementation. It's a big reform. And all the insurance companies are kind of gearing up towards that.

Prayesh Jain: Any data that you can share as to what is the size that has happened? Currently, how many accounts are there in the industry? And what is the kind of number of policies that are covered in the EI so far?

Nehal Vora: So as of now, there are no specific numbers to put out on basically in the public domain. It is going through the process of the reforms in terms of this entire move, which is kind of in

happening. But maybe Ramkumar, you want to add to anything to this?

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Ramkumar K : No, sir, you have covered it. And only in the annual report we'll give the yearly figures as is required. But otherwise, generally, we don't put it in the public domain, as far as mentioned.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Yes. Sir, my first question is on the ransomware attack that you had. So can you please provide some more update on what actually went wrong there? And also, like more from a technology perspective, so what kind of investments are required in terms of our technology structure. So is it total revamp is required or are you going to expand it in all your team? So that is the first question.

And second is in terms of the investment in the office space that we have done around capex of INR 163 crores, 46,000 square feet. So it's like massive investment at least 2.5x like bigger than the last office space we bought. So what is the reason behind buying such a large office space? And also in terms of the impact in the other stream that we had because of a drop in e-voting. So if you can quantify what is the exact drop in e-voting that we had prior to last quarter?

Nehal Vora: So on the first question on malware, and we've put out a detailed press release, it was a CDSL securities operation system, which was from the first major expenses which CDSL has embarked upon in the new management team. We have the state-of-art. So it itself basically detected this. And we see that this is the trend in one of the large companies also, be it the global companies also face these kind of safety outages. The important thing is how far you're able to really restore your operations. And CDSL was very quick in ensuring the restoration. The regulatory requirements on filing of reports, etc. will continue to happen as and when we are supposed to do it.

But the important thing is that CDSL has able to basically restore its entire operations. In terms of after this episode has taken place. We continue to embark upon. I think the system was sophisticated enough to be detect it. So we continue to ensure that the top-class consultants and we will continue to embark upon the sophistication of our existing framework to come in line with what are the best international practices, cutting edge in terms of ensuring and that is going to be our focus.

Your second question on the property. The intent is we are embarking upon our sophistication of technology and people, but these are the two key aspects. It has gone through a rigorous kind of processing at the Board level to assess what will be the requirements, both from a regulatory side, because the regulatory responsibilities are also increasing, the technology response also increasing, the subsidiaries are growing.

And the important thing is to have CDSL group as a focus where all subsidiaries are working within the same building. So that there is a kind of an integration which is continuing to really embark upon. And the third question, I'll ask the CFO, Girish, to answer that question.

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Girish Amesara: So if you look at our historical data, traditionally e-voting business has been on maximum in the second quarter. So second quarter, we had clocked income of ₹ 14.18 crores. However, in this quarter also, we have achieved an income of ₹ 3.78 crores. I hope this answers your question.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama.

Madhukar Ladha: I wanted to get a sense of what were the KRA records at the end of the period and how many got created and what were the fetches? You used to give this number on calls. So it will be good to sort of get this detail right now.

Sunil Alvares:

It's not there in the public domain.

Madhukar Ladha: Can I have it for the quarter end?

Sunil Alvares: Yes, for the 9 months FY '23, we did 85.72 lakhs records as against 1.11 crores last year. And from the fetch side, we did 1.9 crores as against 2.51 crores last year. So on both cases, it was a dip of about 23% to 24%.

Madhukar Ladha: I understand the KYC business, if I recollect correctly, we make around ₹ 20 per record creation and about ₹ 35 per fetch. Has there been any change in the economics? That's part one of the question.

Part 2 was also the adoption of Aadhaar-based KYC could actually impact these revenues. So any comments around that will be helpful in terms of where the competing technology is and whether that will be used in financial services?

Sunil Alvares: Two things. One is the Aadhaar-based technology is already being used by most intermediaries. And after the KYC is fetched from Aadhaar, okay, the record is then uploaded in the KRA. So in a way, it is actually facilitates the online journey of customers and has increased the number of KYC records in the KRA. I didn't get your first question, sorry.

Madhukar Ladha: So I understand in that Aadhaar-based technology, the realizations could be lower from the current realization. Has that changed?

Nehal Vora: This will be a more futuristic question. So I would recommend that let's kind of remain out of this because we don't give a future outlook. It will have to be seen how it will pan out as we move forward. But what we're able to kind of focus on is what is happening as on today.

Madhukar Ladha: Understood. And currently, we are still realizing ₹ 20 per record created and is about ₹ 35 for fetches, is that understanding correct?

Sunil Alvares: See, that understanding is correct so far as our rack rates are concerned, but there are certain discounts.

Moderator: The next question is from the line of Sanketh Godha from Spark Capital.

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Sanketh Godha: So I have two questions and a couple of data-keeping points. So first one is on insurance repository. I just wanted to understand or if you can give a color whether we have already started in intense discussions with the insurance companies? And what charges we are requiring -- we are charging and whether entire industry is thinking to outsource this to the depository or they intend to do it in-house? And where the charges will settle? So just if you can give a little bit of colour, how it will play out in from next fiscal year? That's the first question on insurance repository.

And second question is with respect to this KYC itself. Yesterday in the budget or day before in the budget, Finance Ministry has spoken about DigiLocker or the public cost structure and KYC linkage. So just wanted to understand whether this will have any impact on the current CVL's KRA business or how it will compete with the KYC income?

Nehal Vora: So both questions, I think are more futuristic. Insurance, something which you'll have to wait and watch how will it play out on how they will be kind of putting it where that charges will stabilize, etc. The teams are going ahead with their normal process of reaching out to the insurance companies, and we'll have to wait and watch.

Sanketh Godha: Sorry, but sir, on this one, just a small follow-up. Is there any pushback from insurance companies that they want to do it in-house or they are okay to outsource it to the repositories?

Nehal Vora: It's difficult to kind of gauge at this stage because they're all going through their own process of kind of really assessing the situation. But the regulations require it to have kind of an account. So I don't see that, I think the rules are pretty clear as to how it needs to be done. So they'll have to follow that.

Sanketh Godha: And sir, the reason I'm asking is that even the KYC

thing has gone live from 1 April -- sorry, 1

Jan for the insurance -- every insurance product. So any colour there because it has already gone live?

Nehal Vora: Yes, that is for the new -- and that also is going through a process of basically the evolution is for the new insurance policies. So again, that's going through its own process of how it will basically stabilize because each one has its own way of ensuring its technology also is in compliance with all these requirements.

As regards to your second question on the KYC also. This will have to be just an announcement made. There is no formal process. And I think there are certain nuances and value adds, which the KRA as a process is involved in. And I think those are expected to continue. I don't think there is going to be any change, which is expected at this stage.

Sanketh Godha: Got it, sir. And probably a few data-keeping questions. Sir, if you can let us know the pledge

income, annualized income broken down into listed and unlisted and cash income? And then if you can provide data provision also, it will be great because I think we used to disclose all these numbers in the past?

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Girish Amesara: So the income from unlisted company in the quarter is at ₹ 89 lakhs and for 9 months, it is at ₹ 3.66 crores. With respect to margin pledge, the income for this quarter is ₹ 3.27 crores. And third, you had said about what?

Sanketh Godha: CAS income.

Girish Amesara: CAS is at ₹ 5 crores.

Sanketh Godha: And finally, debtors provision?

Girish Amesara: Debtors provision is at ₹ 3 crores.

Moderator: The next question is from Pranav Muchhala from Reliance General Insurance.

Pranav Muchhala: Yes, Sir, two quick questions. First, the question that I had is, sir, if you could give any guidance on the capex that we intend to do in terms of the technology cost for the forthcoming year?

Nehal Vora: Yes, Pranav, normally, we don't give any future outlook. So that we'll not be able to give any specifics.

Pranav Muchhala: Sir, because we've talked quite a lot about the technology. So it will be much more helpful to understand or if you could give or the management could give a retrospective guidance or a ballpark's percentage of top line, which could be earmarked towards the technology costs in terms of an investment?

Nehal Vora: So we will not be able to give any specific numbers. – As I told you, we continue to ensure that technology is going to be our key driver in terms of our main business. But as a policy, we don't give any future outlook.

Pranav Muchhala: Sir, my second question is, in this financial year, as we speak by, have we revised or has there been any revision in terms of prices in transaction charges or annual issuer charges?

Nehal Vora: No, not yet.

Pranav Muchhala: And in FY '24, since this is being duopolistic, are we envisaging any upward revision in either of these charges?

Nehal Vora: That will be driven by basically the regulator. So we'll have to see how that pans out. And that's, again, futuristic, so we'll have to wait and watch.

Pranav Muchhala: So have we taken it up with the regulator? Have we put in an application for upward revision in the charges for the same?

Nehal Vora: Again, there are various points. – I don't think these are really put out in basically the public domain on our conversation with the regulator. But all as I can say as and when, if at all, it is approved, it will be put out in the public domain.

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Moderator: The next question is from the line of Paresh G. Sangani from Club Millionaire.

Paresh Sangani: Yes. The first question is, we have seen a big jump in the employee cost almost more than 30% on a Y-o-Y basis. Wanted to know how many people have been added, I mean, which

divisions

or functions are these people being assigned to?

Nehal Vora: Yes. So I'll – we – generally, we don't give the count out, but I am saying the areas which are going to be in focus is basically the regulatory area, because there we are going to be a regulatory focus, technology are the 2 key areas.

And obviously, overall, basically the operations also as our number of demat accounts and our size of the operations grow. So these are the 3 principal areas in which we are growing. However, there is an overall increase in our operations. So the ancillary support functions will also continue to see a growth.

Paresh Sangani: Okay. Noted. And Nehal, has there been any increase in our repository business in terms of people being added over there, because KYC would come into being just before of 1st of January and even digitization announcement have come due from November. So have you added headcount over there? And how are we well positioned on that?

Nehal Vora: We are going through our own internal process of – it's assessing the requirements as per the business opportunities. And that is again futuristic. So we will have to wait and watch how that pans out. But we are fully aware of the business opportunity, and we continue to kind of embark upon putting that right kind of people there to ensure that we are able to really explore and execute basically the business opportunity, which is there.

Paresh Sangani: Nehal, I understand, I don't want any futuristic guidance there. I'm referring to the expenses that

have been incurred for the past quarter in terms of employees or manpower that you guided on the insurance side? I mean, is there a headcount or is there...

Nehal Vora: It is going through its own process of recruitment, etc. So that is something in process. ..

Paresh Sangani: And generally, Nehal, we now, almost 8 years -plus, right, that we have not had a price increase. I know discussions are being on and sometimes not being on as well. What is the plateau on it?

Because if you see the costs have actually gone up in terms of technology, as you mentioned, regulatory costs have gone up, compliance costs have gone up, operational technology, manpower cost has gone up, right, we've gone up to IIT chargings. So what is status on that?

Nehal Vora: So again, there are two ways of looking at it. On one side, there are certain costs which grow on a certain year-on-year basis or after a period of time. Sometimes the costs are even expected to go down, that is what is the expectation. So where this particular thing will fall, we'll have to wait and watch.

The important thing is that as ethos again and as a focus is that we want to have as many more people joining our fold, make it easier for them. Because any sales is a function of 2 aspects.

One is the rate we charge and also the number of people who are joining, the volume of business.

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So what is the -- rate is basically what -- basically the regulator will decide and we will take into consideration a lot of points before it moves forward. But at least where the volume is something, we want to create that value kind of proposition so that more and more people can join us.

Paresh Sangani: Sure. Has there been any discussions with the SEBI on this, Nehal, in terms of giving a price hike?

Nehal Vora: Sorry, Paresh, --we don't discuss our regulatory conversations in basically the public domain. way-.

Moderator: The next question is from the line of Rabinder Singh Sikand from GSS.

Rabinder Sikand: My question is relating to the malware attack. I think somebody had already brought the subject up. Was any data compromised. And considering that you are doing KYC, isn't it something that should be on updates given to shareholders and the public more frequently than just a onetime press release?

Nehal Vora: So it is

going through its own process of the regulatory interactions. At a suitable time, we will be giving out whatever is required to be done, but it is a process of certain amount of confidentiality, which has to be maintained from the overall scheme of things and that regulatory interactions which we are going through.

I would like to kind of really assure you that the highest level of security has been imposed, and there will not be any situation to really think about that there are any compromise, which has happened in terms of in that, but we continue to work on ensuring that the security is at its highest level.

I would request you to that we are going through a regulatory process and in terms of once at an appropriate time, we will be able to give that out.

Rabinder Sikand: And second follow-up question would be, how do you benchmark the technology that you're using? Do you compare it to what is used and what is comparable in, say, the United States and Europe, more developed economies? Are you benchmarking it against something? Or is that an OS that you're using?

And secondly, your password, considering you say that you're investing heavily in technology, have you seen the password that you use is only alphanumeric. It doesn't allow you to use special characters, isn't that something that you should be concerned about or has no one looked into this?

Nehal Vora: No. So we will take that because there are multiple ways of security. Password is just one angle.

There are other ways in which it is being done. But however, I'll ask my security teams to look at that going forward. We have other mechanisms in which also the things have been made secured. In terms of how we benchmark ourselves, India is at a very unique position where we have a more -- most of the Western world is -- on the depository space is on a B2B business.

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There is no client level visibility, which is given. It's the intermediary, which gives the visibility to the client. Whilst in India, we have more of where the customer is able to view his or her demat account directly with the CDSL. And in that sense, we are far superior. Even basically the authorization of onetime passwords, etc, directly happens with the customer with CDSL, which is kind of unique to the world in terms of the business security.

Rabinder Sikand: No. But are we using an OS that is globally acceptable? Is this a home-developed operating system? Is it updated? Because the app or the website never asks for any updates, any security updates ever. As a user I've never had to update my, the website or the app and I use an Apple phone. On the Apple, there's no update on the app.

So what is the OS that we're using -- that you're using for this? And the password is the only access that a customer has to enter the site? What is the -- when you said multiple means of securing the account, the password is the only entry into the website, into a customer's this thing, what are the multiple points that you are referring to?

Nehal Vora: So whenever there is transaction, which has to be conducted, there is a transaction pin and there's a onetime password which is required mandatorily, which is the additional forms of security, and that keeps on changing.

It goes to a two-factor authentication. Besides that, over and above that, every transaction is mapped with the obligation with the clearing corporation also at an individual level before the transfer takes place. That's why there are multiple forms of checks, which are taking place.

Before these things move forward, even on basically, the pledge mechanism, basically the margin pledge mechanism also, there's a one-time password to be put it before the transaction moves forward. So it is not just basically the password, but there are various modes in which the transaction is getting secured.

ed.

Rabinder Sikand: But I don't know if anyone is actually following your Twitter feed. There are so many complaints every day on the lack of response to customer queries. Has anyone audited how your customer representatives actually interact with the individual customers? Is there any audit on that? I mean do you actually check dispute resolution?

Because if you look at your Twitter feed, it is full of people complaining and comparing. I know it's not a good thing, but one, you need to be aware, the people comparing your -- comparing CDSL with an STL in terms of response, in terms of customer query resolution. Is anyone auditing this? And has this been -- has this ever been discussed by anybody?

Nehal Vora: : Yes, this is closely being monitored. And as far as my review and reporting goes, most of the queries have been satisfactorily resolved and replied to. In fact, the continuous growth in demat accounts or the new demat accounts testifies that this is something which the market at large has been fairly satisfied with.

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Rabinder Sikand: Yes. And the last point, you made a comment saying that you have in your opening remarks, working towards building wealth for investors. Market cap has eroded by nearly 70% in the last year or about 1 year, 1.5 years. What value are you creating?

Nehal Vora: See, I think the point is that it's important to ensure in a market infrastructure institutional business. And this is a long-term play. We are creating the infrastructure for the country as a whole. And these are the lines of business which has to be seen in that perspective and in that context other than on a quarter-on-quarter basis.

Rabinder Sikand: No, this is over a year, right? I mean we...

Nehal Vora: You will need to see what has been the market conditions at large. But there are basically the other extraneous factors which have taken place, be it basically the geopolitical issues, the interest issues, which have really impacted the market.

So I think every stock is kind of being mapped to the overall market conditions and not in its isolation. The important thing as a focus for a market infrastructure institution is to ensure that the company is focusing on building the right building blocks so that as and when the business opportunity is growing, it has the right toolkit within itself to ensure that, that growth is executed.

Rabinder Sikand: I take this with the spirit in which you have answered because I'm a very, very long-term investor. I've been investing in the stock from the time of the IPO. But my only request is that the security aspect be strengthened and we get a little more detail on what exactly we're using. I mean is it absolutely safe for, we don't want to be taken by, you don't want to be blindsided by another malware attack or something that we read about only in the press.

And the other thing is that please whoever is handling your Twitter feed, please handle it with a little more sensitivity, because the responses just do not match up to what you've just said over the telephone. It just does not match up. So if someone deals with this with a little more eye to detail, it would be nice.

Moderator: The next question is from the line of Prithvish Uppal from Asian Market Securities.

Prithvish Uppal: Sir, I just wanted to know from a data-keeping perspective, what is the split of annual issuer charges from the slab and folio-based method? That's the first. And again, in terms of annual insurance charges, what would be the split between listed and unlisted? Because this is something we used to provide earlier.

Nehal Vora: The first charge we don't provide in the public domain. I'll ask Girish Amesara to respond on

second one.

Girish Amesara : the income from unlisted companies is at ■ 89 lakhs during this quarter and ■ 3.66 crores for the 9 months.

Prithvish Uppal : Okay. Because, sir, I think one of your Q1 '19 calls, you've given the split between the slab and folio -based. So, or if you could just give any color like your total income, which -- how the

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growth has been from either the slab -- from both the slab and folio based? And as a mix, how that would have possibly moved as well?

Girish Amesara : So if we look at our annual issuer income and if you look at last year, it was at ■ 29 crores. However, this quarter, if you look at our income, it is at ■ 47 crores. So it has moved positively, and the increase is almost 57%.

Prithvish Uppal: Sir, I was asking more from a perspective of how much the growth would have been driven from folios and how much would have been driven from slab?

Nehal Vora: We don't give that as part of our disclosures.

Moderator: The next question is from the line of Hemant , an Individual Investor.

Hemant : Sir, the first question which I have is, we have basically seen the revenue decline over the past few quarters, maybe 2 to 3 quarters. So what is the reason behind the decline in the revenue?

And from when we can expect an upstream?

Nehal Vora: So revenue is a function of, again, as I said earlier, it's a function of the overall market volumes to some extent and to some extent, is kind of really an annuity. So to the extent of the impact of the overall markets have seen. So as and when we see the market picking up on its volumes and the level of activity at that point of time, we'll be able to see that. But again, that's a futuristic question, so I'll not be able to give a specific answer on that.

Hemant : And sir, you have given the split between the annual issuer charges of the unlisted and the listed, I think you mentioned ■ 89 lakhs of unlisted. What is it from the listed company?

Girish Amesara : Our total annual issuer income for the quarter is at ■ 45 crores, out of this the income from unlisted companies is ■ 89 lakhs. Thus, the remaining is from listed companies.

Hemant : Okay. And sir, just a basic question from my end. Could the KYC part, which we are doing it from a subsidiary, is it only related to the mutual fund KYC or is it across? It may be a basic question to you.

Nehal Vora: No. It is across.

Moderator: The next question is from the line of Rahul Agarwal, an Individual Investor.

Rahul Agarwal : I have a question regarding the EGR. Could you please comment about the EGR revenue that has been...

Nehal Vora: We don't give us a product -specific revenue. And it is in the process of it will start going forward, but we don't give any product -specific revenue.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

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Nehal Vora: Yes. Thank you. To that one query on the Twitter feeds, I've just got an update from my team, I just thought I'll give you, that we do a weekly review of all the Twitter feeds and whether they have been replied.

However, we will take your feedback on record, and we will see if there have been anything which has not been replied to. In terms of overall , I would like to request all of you all to remain safe and sound and continue to be happy shareholders of CDSL. Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited that concludes this conference call. Thank you for joining us you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2023

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Central Depository Services (India) Limited
CDSL/CS/NSE/ AJ/2023 /123 May 09, 2023

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on May 03, 2023

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated April 27, 2023 , for scheduling of Conference Call on May 03, 2023 , please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company: www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above
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“Central Depository Services (India) Limited
Q4 FY 2023 Earnings Conference Call ”
May 03, 2023

Analyst: Mr. Praveen Agarwal – Axis Capital Limited

Management: Mr. Nehal Vora, Managing Director & Chief Executive Officer,
Central Depository Services (India) Limited
Shri Girish Amesara, Chief Financial Officer. Central Depository
Services (India) Limited
Shri Sunil Alvares, Managing Director & Chief Executive
Officer, CDSL Ventures Limited
Smt. Nayana Ovalekar, Chief Regulatory Officer
Shri Ramkumar K, Chief of Business Development and New

Projects

Shri Rajesh Saraf , Chief Data and Operations Officer

Shri Vinay Madan, Chief Risk Officer

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Moderator : Ladies and gentlemen, good day and welcome to the Central Depository Services (India) Limited Q4 FY2023 Earnings Conference Call hosted by Axis Capital Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL 's outlook for the future or which could be construed as forward looking statement must be reviewed in conjunction with the risk that the company faces. I now hand the conference over to Mr. Praveen Agarwal from Axis Capital Limited . Thank you and over to you!

Praveen Agarwal : Thank you . Good afternoon everyone and welcome to this earnings call of CDSL. We have the entire management team of CDSL with us led by Mr. Nehal Vora, MD and CEO . We will start with a brief on the results from Mr. Nehal and then we will move on to Q&A. Over to you Sir for the opening remarks please. Thank you.

Nehal Vora: Thank you Praveen. Good afternoon and welcome everyone. I hope each of you and your loved ones are safe and healthy . Thank you for joining us today to discuss CDSL financial results for the Q4 and full year financial year ended March 31, 2023. As in the previous quarters we have posted a detailed financial presentation on our website for your reference. I am joined by the CDSL Group 's leadership team.

Let me start with the industry highlights and then take you through some of the key aspects of our performance . To begin let me highlight the industry trends and then discuss some of our key performance aspects. During FY2023 the capital market industry experienced a mixed performance while certain sections continue to show a growth momentum. Retail market participation remains muted as compared to FY2022. The business environment in the Q4 was similar to the full year trends described above. In addition to these industry developments several new regulations were introduced during the year. We believe that these regulations will benefit the industry in a medium term as they aim to protect the interest of the retail investors as well as the investors at large and reduce the systemic risk. Overall, we view these regulatory measures as positive for the industry' s long -term growth. This quarter India further strengthened its retail participation in the Indian capital markets. The total number of demat account investors in India touched a new milestone of more than 11.3 Crores in Q4 of FY2023 , of which 8.3 Crores demat account investors got registered with CDSL . The registered investors as on March 31, 2022 were 6.3 Crores which shows an increase of 32% over the last year.

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We are harnessing the benefits of the digital innovation and the presence carved out across years especially in the Tier-2 and the Tier-3 cities. The availability of digital services such as eDIS, margin pledge and re -pledge mechanism, eAGM and e-Voting and online account opening has had a significant impact on the growth of Indian retail investors. However , this is just the beginning , and our primary goal is to continuously enhance the financial ecosystem by making it more efficient and transparent. In terms of the performance our strategy focuses on accelerating the core annuity income , simplifying the process of emerging investors and fostering new developments in the Indian securities market. CDSL has committed to growing its business s

ustainably by diversifying its revenue , investing in advanced technology and cultivating its people. As we celebrate our 25th year of operations our focus remains on improving the financial ecosystem by enhancing its efficiency and transparency. We would like to prioritize and focus our Aatmanirbhar Niveshak approach by striving for innovation resulting in consistent and a healthy financial performance . We are dedicated in curating a secured financial ecosystem and providing differentiated experiences that create value to our investors and stakeholders. Before I hand it over to Shri. Girish Amesara, our Chief Financial Officer I would like to say that the growth of the Indian securities market is an extremely encouraging sign of India's potential. I also want to place our appreciation and gratitude to

all our stakeholders, our regulators, depository participants, investors, issuers and other market participants and employees who have constant faith in us. With this I would like to hand it over to our CFO, Shri Girish Amesara.

Girish Amesara: Thank you Neha. Good afternoon to everyone. Speaking on yearly performance total standalone income has increased by 13% for the year ended March 31, 2023, at Rs. 544 Crores as compared to Rs.483 Crores from the previous year. The net profit on a standalone basis is up by 3% to Rs.272 Crores as compared to Rs.264 Crores during the last previous year. On a consolidated basis the total income has increased by Rs.15 Crores to Rs.621 Crores for the year ended March 31, 2023, as compared to Rs.606 Crores from the previous year. The net profit on a consolidated basis is down by 11% to Rs. 276 Crores as compared to Rs.312 Crores.

Speaking on quarterly performance the standalone total income for the March 2023 quarter has increased by 3% to Rs.112 Crores as against same quarter previous year of Rs.109 Crores. The standalone net profit on a quarterly basis for the March quarter is at Rs.52 Crores as against Rs.58 Crores for the previous year same quarter. On a consolidated basis the total income for the March quarter has decreased by 3% to Rs.144 Crores as against Rs.148 Crores for the same quarter previous year. The consolidated net profit on a consolidated basis is at Rs.63 Crores for the March quarter 2023 as against Rs.78 Crores for the same quarter previous year. Now I shall request Shri Sunil Alvares to give an update about the operations of the wholly owned subsidiary CDSL Ventures Limited. Thank you. Over to you Sunil.

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Sunil Alvares: I think the numbers are already shared so that we can start off with the Q&A session directly.

Moderator: Thank you. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while we pause for questions. Our first question comes from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited. Please go ahead.

Prakash Kapadia: A couple of questions from my end. If I look at CDSL Ventures, we have seen a revenue degrowth for almost all quarters during the year so can you explain what is happening at a time when SIP flows are strong, new demat accounts are strong so is there pricing pressure, is there some change in the business model, is it competition, what is leading to this fall in revenues?

Nehal Vora: So you want to finish both your questions?

Prakash Kapadia: Of the employee cost we have seen a 60% increase in 2023 so if you can share the fixed or variable nature of this to understand how would this move forward on a going forward basis and lastly what is the capex and technology spends done in 2023? These were my three questions.

Nehal Vora: First one I will ask Sunil to answer and the remaining two I will ask CFO Girish to answer.

Sunil Alvares: Yes if you see the KYC business there are

two major sources of income, one on the creation

side and the second is on the fetch side. Now the KYC business a lot depends on the state of the primary as well as the secondary market. If you see last year the number of IPOs reduced substantially as compared to the previous year so it had an impact on the number of new accounts being opened that is demat accounts and broking accounts so if you see overall stats I think the demat accounts were impacted by about 35% so to that extent I would disagree with you that though the money is coming in SIPs, but these are accounts which are already opened and for which KYC is already done. Thus, the KYC has got impacted as the number of broking and demat accounts has gone down.

Prakash Kapadia: You are saying the pace has slowed down Sunil what you are saying is they were growing at X percent?

Sunil Alvares: What I am saying is if the demat accounts have gone down by about 30% to 35% then the KYC also has got impacted by about 25% to 35% so it goes hand-in-hand. So, you can not have more KYCs and less demat accounts opening so it is directly a function of the demat accounts or the broking accounts that have opened. This has impacted the number of KYCs and the overall revenue.

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Prakash Kapadia: This fetch thing because incrementally you are saying the flows are coming in the same folios in mutual fund and folio addition is not so strong so the fetch business also gets affected?

Sunil Alvares: Absolutely, because we charge only a one time on the fetch side. Once the record is fetched, it is free for the lifetime of that KYC record. Even if you fetch a particular KYC record, say 12 times a year or 24 times a year, I have already charged you once and there are no further charges thereafter.

Prakash Kapadia: So there is no real pricing change or competitive intensity which is leading to this fall ?

Sunil Alvares: There are pricing pressures on the creation side because so long as there is competition they will try to pull your customers by offering lower charges. That is a part of market competition so that will go on anyway .

Girish Amesara : So in terms of employee cost if you look at historically CDSL 's employee cost was in single digit if you compare previous year 's expenditure to total revenue and now it is at 8%, last year this year it was at 13%. If you recall previous two years were high growth years and our operations had almost increased compared to what it was prior to two years and in terms of that we had planned to increase manpower base so current year on a net basis there is increase in the employee strength of roughly 35 people and typically if you look at the SEBI regulations also , the bonus is one third of fixed cost so basically that is how the categorization of the combination works and addition of 33 employees during this quarter.

Nehal Vora: To add to what Girish said the regulations do not allow any ESOPs to be granted so obviously to retain talent you need to kind of appropriately compensate them to get the best of people and to retain the team. As compared to our comparison of employee cost as a percentage of revenue to other market infrastructure institutions , we are one of the lowest so I think that continues even after this , but we need to continue to retain talent to ensure that we get the best in class as a part of our structure .

Prakash Kapadia: Girish you mentioned employee cost I think if I look at consolidated , they are almost 15 % of sales so is it some operating leverage because subsidiaries have not grown so that is why also on a consolidated basis it looks higher than the standalone businesses is that right understanding?

Girish Amesara: I gave you the details on consolidated basis. We always speak on consolidated basis.

Prakash Kapadia: Rs.555 Crores revenue , employee cost was Rs.80 Crores so that is 15% and not 12% or 13% which I think you mentioned ?

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Girish Amesara: Turnover on consolidated basis is Rs.620 Crores.

Prakash Kapadia: I think you are adding other income I am just checking income from operations so may be that.

Girish Amesara: When I am comparing I will always compare with total revenue . I will not compare it with operating revenue .

Prakash Kapadia: Understood and on the last question on the capex side if you could give some idea what has been the capex trend in 2023?

Girish Amesara: The capex expenditure that we have incurred is in line with the implementation strategy that we had implemented and it is also driven by the regulator .

Nehal Vora: I will just take that question. I think it is driven more with the new age regulatory reforms which we are bringing into place whether it is basically the authorization happens at the depository and directly with a customer and also bringing in sync with new hardware , servers and the new tech infrastructure . As our volumes are growing it has to kind of be in sync with that the new age technology and also as our people are growing we need more space so this is the two broad areas in which we are going to be spending money .

Prakash Kapadia: If you could quantify that amount what we have spent in 2023?

Girish Amesara : I will come back on that during the call.

Prakash Kapadia: Sure. I will join back if I have more questions. Thank you.

Moderator: Thank you . Our next question comes from the line of Swarnabh Mukherjee from B&K Securities . Please go ahead.

Swarnabh Mukherjee: Thank you for the opportunity so three to four questions from my side? Firstly on the employee expense the discussion just happened so wanted to understand that this bonus cost that you have mentioned which is roundabout a third of the fixed cost so is this prorated or provisioned over the years , over the four quarters or will it come disproportionately in the Q1 because I think last year Q1 also there seems to be a bump in the employee expense so that is the first question ? Secondly I wanted to understand so in the KYC business what proportion of it will be coming from the demat account opening and what proportion will be coming from say KYC for other financial products ? Thirdly if I were to understand if I have to mix some color on how would be the number of folios that you have say at the end of FY2023 on an average of over FY2023 vis-à-vis what it was over 2022 in the demat accounts just to have Central Depository Services (India) Limited
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an understanding of how the annual issuance charges could move not looking for a forward looking statement but since the year is over you must already be having the details about

number of folios that you have so some ballpark number about the growth will also be good that is the third question and tech expenses spend are we kind of reaching the peak or should we see kind of continue to increase here also? So these are the four questions.

Nehal Vora: I will answer the first and fourth question first. On the employee cost last year, it was done in one quarter for additional bonus which the Board had recommended. This year it is each quarter wise it has been pro-rated so that is how it is done. On the tech cost it is a constant because we are in the business of providing infrastructure and technology is the key driving force and the key differentiator and technology is something which needs to continuously evolve as we move forward so based on that, this will be a process which we will continuously kind of assess and see as and when it is required we will be putting it in place. There is an

entire structure in place before we kind of go into play but there will be a continuous focus on ensuring that our technology is really up to speed with the latest so that the ease of doing business as well as basically the efficiencies of business continue to remain with CDSL. The second question on the KYC I do not think we give that details between the mutual fund folios as well as that because it is kind of a consolidated number and a kind of difficult because there could be a single investor doing both in terms of direct equity and mutual funds. As regards the folio I will ask the CFO what has been the increase over the last year as compared to this year. It is part of the presentation but I think he will just pull it out.

Girish Amesara: The number of folio previous year it was Rs.7.68 Crores and this year it is Rs.13.22 Crores. I am saying 2021-22 compared to 2022-23.

Swarnabh Mukherjee: Sir this growth is it safe to understand that if I only were to look at the listed corporates this growth would be fairly similar what we have seen vis-à-vis 2020?

Nehal Vora: No this is kind of a combination of both listed as well as unlisted space so this will continue to embark upon as we move forward. The listed space on new kind of investors and yes unlisted space the companies are coming into the folio.

Swarnabh Mukherjee: But in terms of overall say number of folios in the listed space dominate the number of folios in the listed part of the company because I think the number of shareholders seem to be limited there?

Nehal Vora: Folios obviously would dominate in a listed space because the number of investors by its very definition has to be more than 200. In unlisted it is lower than 200 investors so obviously by that very definition the domination would be in the listed space.

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Swarnabh Mukherjee: Sure Sir so just again a quick followup on the KYC numbers I understand that you do not give a broad detail but would it be fair to some kind of ballpark say 80% or 90% coming from the demat so that we can understand?

Nehal Vora: It will be kind of difficult to assess because there are a lot of common ones which could be across both the asset classes so it will be difficult to come to a ballpark number on that.

Sunil Alvares: See what happens is when somebody fetches a KYC record, the KRA maintains a tag of that intermediary. That intermediary maybe opening and fetching the KYC record for a demat account or for a broking account or for some mutual fund investment. We only have a tag of the intermediary, so it is very difficult for us to figure out for what particular purpose the KYC has been fetched.

Swarnabh Mukherjee: Got it Sir very helpful. Thank you so much Sir and all the best.

Moderator: Thank you. Our next question comes from the line of Senthil Kumar from Joindre Capital Services Limited. Please go ahead.

Senthil Kumar: Good afternoon. I could see capital work in progress of Rs.173 Crores can you please elaborate on that what kind of investment?

Nehal Vora: I will ask the CFO to answer that.

Girish Amesara: So last year we have purchased two floors at the Marathon Futurex building that represents the capital work in progress.

Senthil Kumar: The whole Rs.173 Crores am I right?

Girish Amesara: Yes.

Senthil Kumar: My second question is on insurance respository compared to the last year even though in the last year in the concal I the management said like we are in the early stage of implementation so any strategies to improve again market share in that?

Nehal Vora: Yes so there is a move towards, we have already recruited a professional MD and CEO. He is the process of joining and there will be a management team which will get created but however the regulatory changes are also at the cusp of change. It

is yet on a voluntary basis.

It has yet not been converted into a mandatory basis but there is definitely a value proposition both from an investor as well as from an insurance company point of view so as the market

evolves and matures they will understand the key there will be benefits to it and that will
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move towards that. Also the regulator is also looking at it very closely and it is going to come out with the necessary policy formulations as soon as they feel it is required.

Senthil Kumar: Any timeline for that when can we expect?

Nehal Vora: I can not predict how that regulator will come out with a policy formulation so we are in constant touch whatever inputs they need we are giving them but that is up to them to finalize when they will come out.

Senthil Kumar: Thank you Sir. That is it from my side.

Moderator: Thank you. Our next question comes from the line of Karthik Chellappa from Indus Capital Advisors (HK) Limited. Please go ahead.

Karthik Chellappa: Thank you very much for the opportunity Sir. I have three questions. The first one is despite the strong growth in our depository accounts the revenue growth still seems to be challenged especially on the transaction charges side, apart from lower retail participation which you alluded to at the beginning of the call. Are there any other factors at play which is impacting revenue growth?

Nehal Vora: Yes it is basically the delivery volumes of the exchanges which drives the market base in transaction and over the last financial year there has been a reduction at about 33% of the delivery based volumes on the exchanges and that kind of explains the reduced charges or the revenue for the depository because it is only when it culminates into a delivery that is when the charges are paid to us as a depository.

Karthik Chellappa: Got it so apart from that there is really no rate reduction or any sort of competitive pressures which are at play which is causing this it is just purely volume driven?

Nehal Vora: Yes it is purely volume driven exactly.

Karthik Chellappa: Second question is on the technology spends which you alluded to where you are saying continuously you need to assess the volume and the requirement and enhance the spends if we were to bifurcate the spends between those which are directly related to higher volumes versus a different kind of technology what would that split be if you were to do that for your total expense?

Nehal Vora: We have already created that framework which makes the infrastructure really scalable and it is done with the exponential growth which we have seen in the number of demat accounts over the last two to three years so from that spend, the spend is more or less done but however
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there is a constant assessment done in bringing in value proposition on how basically the transactions are getting really processed so that there is a throughput time comes down it can handle scale, so there is a complex web of various kind of technological basically inputs which are put in to play which kind of really assess that where we need to spend on the application side, on the hardware side depending so that basically the stakeholders will continue to enjoy ease of doing business and a value proposition with CDSL.

Karthik Chellappa: To ask it in a different way if I just look at the Q4 number of about Rs.10 Crores to Rs.11 Crores of computer related op ex would an annualize that be more or less in line with let us say what you are thinking subject to volume changes?

Nehal Vora: Future it will be difficult for me to predict that but I can assure you that there is a very robust process which is done in terms of what is absolutely essential,

is getting spent and there is a framework as a company we do not give future kind of guidance so I will have to kind of not be able to answer that question.

Karthik Chellappa: Got it. The last question Sir you mentioned that you have now reached about 83 million accounts out of let us say about 113 million which implies a market share of somewhere close to 72% to 73% which means on an incremental market share basis it is even higher would it be fair to say that with growth more or less moderating or normalizing the market shares have more or less peaked for you?

Nehal Vora: Difficult to again say about the future because three years ago we were at 46% and at that time also somebody could have said that this is kind of an optimum level at which both if the market will function but there has been a surge which has happened so again market is basically a dynamic place difficult to really predict whether you have reached or not. My intent is and I think overall the ecosystem is about 6% to 7% of the population is only yet in the securities market so the market at large has a huge potential to grow. Whether that growth happens in the next one year, two years, three years, five years or 10 years that is for something which we will have to see, but there is a potential and I am not looking at what is

the current trend it is more of the potential which is yet not come into the market . India has a young population and we are adding youngsters and large middle class into a population every year there is a huge potential which is there .

Karthik Chellappa: One just follow -up Sir based on the response that you gave if you were to look at unique accounts at a household level what will it be on a household penetration level?

Nehal Vora: That again will be a little difficult to answer because people sometimes have more than one account also which is permissible under the law and sometimes they are in basically they are Central Depository Services (India) Limited

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in joint holder with the family member so again each household is depending on how many people are there also, so it is difficult to really assess how much will be the penetration from a household level but I can say that today CDSL is about 98 % of the pin codes of the country where the demat accounts is there so there is a fairly comprehensive spread in where the CDSL demat accounts are there.

Karthik Chellappa: Got it. That is all from my side Sir. Wish you and the team all the very best.

Moderator: Thank you . Our next question comes from the line of Prithvish Uppal from AMSEC . Please go ahead.

Prithvish Uppal: Thank you for taking my question. Sir first question I had was just a followup on the transaction income that we report so again for this quarter we have seen that for demat account realization has it was roughly averaging close to about Rs.24 and it has gone down substantially so I understand one reason you mentioned is the fact that there have been lower retail market participation but despite a higher increment in terms especially in this quarter in incremental demat accounts so is it fair to assess that the amount of per demat account transaction has also reduced substantially and do we expect this kind of dip the number to sort of the kind of new normal because last two years the per account number of transactions would have obviously peaked for us so have you seen that this has come back to sort of pre - COVID levels that would be my first question ? Second question is in terms of the uses of cash so apart from the investments that we make and the dividend that we have been declaring any other cash uses that you see in terms of from a growth perspective any color on that you could give and third this has been talked about on previous calls which is the pricing on issuer charges from Rs.11 so any discussion

on from the regulator where this is how the conversation is? These are my three questions .

Nehal Vora: On the first one it is not only as I said in my reply to an earlier question is the delivery based volume. If you see the delivery based volume s have seen a reduction of about 33% over the last year and that is really the key reason . Whether we have reached a peak or not is very difficult to assess because it is the market function and it is very difficult to predict volumes in the coming years and therefore the important thing is to create the right toolkits and right value proposition so that it is there to support any volumes as we move forward. Could you repeat your second question ?

Prithvish Uppal: It was to do with the operating cash flow that we are generating .

Nehal Vora: We are infrastructure company so the strength of the balance sheet becomes very critical as more and more assets and more and more demat accounts are added to your fold it kind of Central Depository Services (India) Limited

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gives that comfort factor. There are areas of growth both in the securities markets and in the other markets where we have our subsidiaries and there is a constant endeavor as India embarks upon its journey of digitization. More and more products and platforms are going to come into the core which will require that kind of investment both in terms of system, technology and people to ensure that we are kind of specifically in sync with what the reforms are implemented . Also we have just added the account aggregator model where we have gone live as a financial information provider and that is a new line of business which CDSL has recently started and it is the first depository to go live . Second , the other sectors like the commodities repository and the insurance sector , where we shall continuously need to assess as we move forward and third, we have a consistent dividend payout which has been consistent over the years , at about 60% of the net profit which gets paid as dividend.

Prithvish Uppal: Sir just on the last question about the pricing ?

Nehal Vora: That will be difficult to comment because normally we do not disclose the SEBI conversations it is kind of confidential but that is the kind of process which we will follow and as and when in whichever form it gets approved that will get promptly communicated to the market.

Prithvish Uppal: This is a data keeping question. You mentioned the folio number to an earlier participant so

I just missed the number so if you could just repeat that please?

Nehal Vora: It is part of the presentation which is uploaded on our website it will become easier. We can repeat it but I think it will be easier for you to just look at that.

Girish Amesara: In FY2021-22 we had a folio count of 7.68 Crores and for FY2022-23 we had count of 13.72 Crores.

Prithvish Uppal: Thank you Sir. That is it from my side. All the best.

Moderator: Thank you. Our next question comes from the line of Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: Sir I just wanted to know recently you came out and you mentioned in your previous statement about the account aggregator model can you explain to me in detail how do you plan to go ahead and does it benefit CDSL?

Nehal Vora: So the account aggregator model is where basically the information flow from various sectors be it banking, insurance, securities market can be accessed based on client consent and given to an information user who can curate the data and give it to him in a structured format and Central Depository Services (India) Limited

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there are various components which are expected to be added to it be it basically the income tax, GST, etc., so it is a common information flow framework which is client consent

based

and that is where we are a part of the larger ecosystem.

Parimal Mithani: Does this data monetizable or how does it help us?

Nehal Vora: It is kind of really early days as to how the commercials will get factored in but there will be some amount of commercials which will come in at some stage.

Parimal Mithani: Thank you.

Moderator: Thank you. Our next question comes from the line of Vivek Sethia from HDFC Securities. Please go ahead.

Vivek Sethia: Thanks for the opportunity so in our last call you had mentioned some numbers about CDSL Ventures, their financials, the creation and fetches so if you could just help me with those numbers for Q4?

Girish Amesara: Total annual issuer income that we have achieved during the financial year is Rs.183 Crores as against previous year income of Rs.115 Crores. In case of CVL we have achieved the operating income of Rs.87 Crores during this financial year as compared to Rs.120 Crores of previous financial year.

Vivek Sethia: The profitability?

Girish Amesara: We have put all the numbers on the presentation also.

Vivek Sethia: The presentation I do not think there are these numbers in the presentation neither creation nor fetches I have been looking at the presentation.

Nehal Vora: In terms of presentation we have creation and fetch normally we just give us a broad trend finally it has to culminate into revenue and that is more critical so from again our financial disclosure point of view we are more focused on how it culminates into basically the revenue so I think that would be a fair reply to your question.

Vivek Sethia: So the other components of other income like e-cas, e-voting if you could give a broad number of those?

Girish Amesara: I will still repeat. You want on quarterly basis or you want the full year?

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Vivek Sethia: Anything would do.

Girish Amesara: So on a quarterly basis we have closed transaction charge at Rs.33 Crores, online data charge which is CVL income at Rs.22 Crores, IPO & corporate action at Rs.7 Crores, annual issuer income at Rs.47 Crores, eCAS and e-voting put together at Rs.9 Crores, this constitute almost 96% of our total operating revenue.

Vivek Sethia: The pledge income?

Nehal Vora: I do not think we gave that pledge income separately right it is part of the transaction income.

Vivek Sethia: Just wanted to understand about your outlook like going forward are we completely dependent on growth in the retail participation or like how are we planning to grow our business and will it be purely volume driven going forward or are we looking into other avenues as well so what is the outlook like?

Nehal Vora: Again future outlook we do not give as a policy.

Vivek Sethia: No in terms of numbers but the strategy?

Nehal Vora: It is important that we are going to continue to invest in technology because the entire digital journey is something which is going to grow as we move forward and CDSL is going to be at the forefront of that journey both from the ease of doing business, from a investor

protection point of view, making investors self sufficient so giving more to the investors to take decisions themselves that is going to be our cornerstone of our entire focus. Obviously, we will be kind of part of the market infrastructure institutional framework which SEBI has prescribed so that is something which will continue to really embark upon and as more and more new policies, products and platforms get permitted by SEBI, CDSL would be as a part of that framework.

Vivek Sethia: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Sir just two data points if you can give the full provision

ing
cost in the current quarter and second just wanted to understand that the corporate action income is seasonally weak in Q4 is that a fair assumption to make Sir?

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Nehal Vora: So I will answer the second question first and I will ask the first question to be answered by the CFO. Normally the AGMs technically occur in the Q2 and Q3 means if it gets extended otherwise it the Q1 and Q2 so it is kind of connected with the AGM so it is a kind of a broad trend that you see major incomes happening in Q1 and Q2 and when it gets extended like it has been do in the past two years to the Q3 also. I will request Girish to answer the first question.

Girish Amesara: In terms of debtor provision there is a reversal of Rs.2.4 Crores.

Sanketh Godha: Two questions with respect to the business just a KYC for insurance company especially the general insurance company was made mandatory from January 2023 and just wanted to understand that this revenue is somehow flowing to our insurance repository business if we are doing the KYC for the insurance company or is it done through CKYC predominantly and therefore we are not accreting any revenue with respect to KYC on insurance which has been made mandatory from 2023?

Nehal Vora: There was a draft circular which was proposing to make it mandatory. It has not converted itself into a final circular so it yet remains in a draft stage so as of now it is not mandatory, it is optional.

Sanketh Godha: Conversion into a demat format is voluntary yet but KYC has been made mandatory from January 1, 2023 so just wondering if the KYC income flow is somehow getting reflected in our insurance repository income or not?

Ramkumar K: Sir this KYC that you are talking about is for the creation of the policy for the existing policy which is handled by the insurance company themselves because bulk of the policies are stored in the physical format so this does not come to the depository base in terms of our group company CVL for the reason that is the share of CVL because it is in the physical form so this KYC is done by the insurance company's internally.

Sanketh Godha: You mean to say that when the depository or demat format becomes a reality compulsory and not voluntary you have two revenue sources one is KYC income probably and second is the charges with respect to the repository income right?

Nehal Vora: That is normally how this business works so there is both sides business which is potentially expected to flow but it depends as and when it is made mandatory.

Sanketh Godha: Got it and Sir the last one from my side is that this account aggregator SIP what are the charges we are going to charge for SIP as an information provider and finally do we want to

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get into TSP that is technology service provider or we just wanted to remain high providing financial information to the guys who ask for it?

Nehal Vora: So the commercials as I said earlier, it is early days it is yet not yet finalized it is in the process of first really establishing the framework and then the commercials will kind of follow so that is for us to wait and watch in the future. CDSL will continuously assess which part of the account aggregator model. The SIP was mandated by the regulator and we are kind of the first depository which has done it, whether we are part of the account aggregator model and the FRU that the financial information user model is something which we will have to really assess as the system really grows and matures.

Sanketh Godha: Perfect. Thanks for answering my question.

Moderator: Thank you. Our next question comes from the line of Sujal Hazare an Individual Investor. Please go ahead.

Sujal

Hazare: Good afternoon Sir. My first question was that the IRDAI mandated the dematerialization of new insurance policy I guess that you have answered in previous questions so that is not an issue . I am a naïve investor so I just wanted to ask you what are the key revenue drivers in your company of CDSL?

Nehal Vora: Basically there are three principal revenue drivers one will be for demat accounts that transaction revenue so every debit is charged by the depositories so that is a revenue charge. Second is the companies which are dematerialized or whose shares are dematerialized pay us an annual fee that is the second charge and the third is know your customer , there is a repository in which our subsidiary CDSL Ventures is there so that is the third source that for every creation of know your customer or a fetch by anybody in the system is a charge with CVL again so these are the three principal charges besides that for the annual general meetings we conducted through online mode so we charge companies for that the value add service. There is e-voting platform which we have so that is the other area where we charge so these are principally the broad areas of revenue for C VL.

Sujal Hazare: Which is the most revenue gaining of all of this which you stated ?

Nehal Vora: I would recommend there is a fairly easy to comprehend presentation on our website . It will give you not only what is the comparison how has the growth been over the years . It is a fairly pictorially represented presentation . It will be easy for you to understand. For any follow -on questions feel free to e -mail us we will give you a reply .

Sujal Hazare: Thank you Sir. That is all from my side.

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Moderator: Thank you. Our next question comes from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited . Please go ahead.

Prakash Kapadia: Yes if that capex figure is available I just wanted to know that ?

Girish Amesara -: On a consolidated basis we have capitalized Rs.35 Crores capital expenditure , and on a standalone basis we have capitalized Rs.22.5 Crores .

Prakash Kapadia: Thanks Girish.

Moderator: Thank you . Our next question comes from the line of Vinutha Sugur from Infosys . Please go ahead. Since there was no response we move on to our next question which is from the line of Rajesh Gajra from Informist . Please go ahead.

Rajesh Gajra : My question is with regard to the Q4 transaction charges trend in that , you mentioned that it is based on capex that take place and it is linked to the delivery volume obviously so I wanted to understand two things from this one is key what was the trend in the delivery volume in Q4 versus the year ago quarter and secondly I wanted to understand if the per debit charges that are applied is it based on the value of the trade which is where the debit is taking place or is it based on per debit that is going on a fixed charge or is it based on the number of shares that are getting debited so just wanted a clear understanding of this ? Thank you .

Nehal Vora: So the response to your question is , there is a 31% reduction in the year -on-year delivery volume across exchanges over the previous financial year and as compared to this financial year so that gives you an overall trend that why there has been a lower transaction revenue . The second question is that we charge on our per debit basis; however, it is basically a slab wise approach so a person who is a frequent user of the system has to pay a per debit lower charge as compared to infrequent user of our system so it ranges from Rs.5.50 per debit to Rs.4.25 per debit depending on the number of transactions which you are doing. It is not linked to the number of shares or the value of the number of shares it is per debit instruction where the charge

s are done .

Rajesh Gajra : Thank you very much.

Moderator: Thank you . Our next question comes from the line of Sanketh Godha from Avendus Spark . Please go ahead.

Sanketh Godha: Thanks for the opportunity again. Sir in the past you have disclosed the annual issuer charges broken down into listed and unlisted and similarly you used to give the pledge mortgage income or pledge income in the transaction side it will be great if you can share this time too?

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Nehal Vora: The first one we never used to do it listed and unlisted I think pledge is what the CFO tells me that they do disclose .

Girish Amesara: In this quarter we have made an income of Rs.3 Crores.

Sanketh Godha: Perfect. Thank you.

Moderator: Thank you . As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments .

Nehal Vora: I would like to thank you for all your questions and continue to remain safe and secure . Take

care. Thank you.

Moderator: Thank you . On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

Regd. Office : Marathon Futurex, A Wing, 25th Floor,
Mafatlal Mills Compound, N M Joshi Marg, Lower Parel (E), Mumbai - 400 013.
Phone: 91-22-2302 3333 • Fax: 91-22-2300 2036 • CIN: L67120MH1997PLC112443
Website: www.cdslindia.com
Central Depository Services (India) Limited
CDSL/CS/NSE/JB/2023/222 August 17, 2023

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on August 10, 2023

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated August 03, 2023, for scheduling of Conference Call on August 10, 2023, please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company: www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above
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“Central Depository Services Limited
Q1 FY '24 Conference Call”
August 10, 2023

MANAGEMENT : M R. NEHAL VORA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CENTRAL DEPOSITORY
SERVICES (INDIA) LIMITED
MR. GIRISH AMESARA – CHIEF FINANCIAL OFFICER –
CENTRAL DEPOSITORY SERVICES (INDIA) LIMITED
MR. SUNIL ALVARES – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CDSL VENTURES
LIMITED

MODERATOR : M R. AMIT CHANDRA – HDFC SECURITIES

Central Depository Services Limited
August 10, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q1 FY '24 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be on listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDS's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, Mr. Chandra.

Amit Chandra: Thank you, operator. So good morning, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 1 FY '24 Earnings Call. We have with us today the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We will start with a brief on results from Mr. Nehal Vora, and then we'll start with the Q&A. Thank you, and over to you, sir.

Nehal Vora: Thank you so much, Amit, for that kind introduction. Good morning to everybody. I hope each of you and loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the first quarter of the new financial year FY '23 '24 call. We've posted a detailed presentation on our website for your reference. I'm joined by the CDSL Group leadership team.

Let me start with the industry highlights and then take you through some of the key aspects of our performance.

During the Q1 of FY '23, '24, the overall Indian capital markets demonstrated a healthy growth. The total market capitalization increased by 15% to about INR296 lakh crores as on June 30, 2023, compared to INR258 lakh crores as on March 31, 2023.

Furthermore, the daily turnover for Q1 of FY '24 witnessed an 11% increase when compared to the Q4 of FY '23. The quantity of shares delivered also displayed a quarter-on-quarter growth of about 10%. All these trends indicate a renewed confidence amongst the investors in the Indian capital markets.

The numbers also truly underscore the strengthening belief in the potential of our markets. These positive trends are also attributable to the recent industry advancements implemented. We believe that these new implementations will benefit the industry in the long term as they aim to protect the interest of all kinds of private investors and reduce the systemic risk.

Overall, we view these regulatory measures as positive for the industry's long-term growth. This quarter, India further strengthened its retail participation in the Indian capital markets. The total number of demat account investors in the country achieved a significant milestone of over 12 Central Depository Services Limited

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crores in July, out of which more than 9 crores demat account investors are registered with CDSL.

Comparing the numbers, the registered investors with CDSL as on June 30, 2023, were 8.83 crores and which shows a remarkable 29% increase over the same quarter last year. This growth can be attributed to the increased use of digital innovation and also being able to connect to the interiors of India, including the Tier 2 and Tier 3 towns.

In terms of performance, our strategy focuses on accelerating core annuity income, simplifying the process for emerging investors and fostering new developments in the Indian securities market. It has and will continue to be team CDSL's relentless endeavor to empower the Indian capital markets with innovative technolo

gy and tools, such as the AGM e-voting, EDIS, margin

pledged mechanism, etcetera, that enhance the experience and security of market participants.

As we present another successful quarter in terms of both business and financial performance, we at CDSL would like to express a heart for gratitude to our investors and the people of India, whose unstinted faith in us continues to serve as a guiding light. Our focus remains steadfast on building value for our stakeholders, while playing our part in enabling and securing a robust Indian digital financial ecosystem for our investors.

Before I hand it over to our Chief Financial Officer, I'd just like to say that the growth of the Indian securities market is an extremely encouraging sign of India's potential. I also want to place our appreciation and gratitude to all our stakeholders, our regulators, depository participants, investors, issuers and all other market participants and employees for their constant faith in us.

Thank you for your continued support and trust in us. I would like to hand it over to our Chief Financial Officer, Girish Amesara, for the key highlights of the financial performance.

Girish Amesara: Thank you, Nehal. Good morning to everyone. The total consolidated income for the quarter ended June 23 has increased by 19% to INR174 crores as against INR146 crores for the same quarter during the previous year. Accordingly, the consolidated net profit for the quarter ended June 23 is achieved at INR74 crores as against INR58 crores for the same quarter during the previous year.

Talking for the stand-alone basis, the total income for the quarter ended June 23 is increased by 8% to INR170 crores as against INR158 crores for the same quarter during the previous year. And the resulted net profit for the quarter ended June 23 achieved at INR92 crores as against INR89 crores for the same quarter during the previous year.

Now I shall request Sunil Alvares to give an update about the operation of lean subsidiary, CDSL Ventures Limited. Thank you. Over to you, Sunil.

Sunil Alvares: Good morning, everyone. So far as CDSL Ventures Limited income was concerned, total income for Q1 FY '24 was INR32.7 crores as against INR28.0 crores for Q1 FY '23, which was an increase of INR3.67 crores or 13%. The profit before tax was INR15.63 crores as against Central Depository Services Limited

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INR14.17 crores, which was again an increase of about 10%. And the profit after tax is INR11.90 crores against INR9.94 crores, an increase of 20%. With this now, we may start the Q&A session.

Moderator: We'll take the first question from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: So 2, 3 questions. First of all, if you could highlight the reason for the jump in the annual issuer charges? Was there any particular -- seeing that drove maybe the increase in number of policies -- sorry number of folios that you have, which would have resulted in this? And also if you could share the number of folios with you, which is there for building the annual issuer charges for this year? So that is the first.

And the second is on the cost side. So yes, if I see on the standalone business, the other expenses ahead that you have reported has increased quite sizably, both from the last quarter and also compared to the last year's first quarter. So if you could throw some light on this one.

Nehal Vora: Okay. First question, the number of folios have increased in terms of the number of demat accounts also increased, and that has led a consequential increase in number of folios registered with CDSL as the primary reason for the increase in the annual issuance charges, which we've charged the companies, and hence, that revenue has grown. We don't share the folios in the public domain. So that remains a consolidated revenue impact as you see on a quarter-on-quarter basis. For the second question, I'll ask

Girish to answer.

Girish Amesara: So the other head expense largely has increased due to certain regulatory expense, which we have to incur, and are based on the operating revenue of the company and increase in collection of the annual issuer fees. So it is consequent to the increase in operating profit and increase in annual issuer fees.

Swarnabh Mukherjee: Okay. So just as a follow-up on the first question. As you have mentioned that I mean it is understood that the number of folios have increased. I just wanted to check from you that is it something like, say, for example, last year, there was a LIC IPO, which brought a lot of new investors to the market. Is it a factor of that? Or is it a steady-state thing that you were seeing a big increase, please? I just wanted to see if there is some one-off net number.

Nehal Vora: No. It's a combination. See, with the buoyant market conditions, the participation has grown overall. And therefore, the secondary market participation has also grown, as I had stated as part of my comments in the initial part of my speech. And also because of buoyant market conditions, there are also the IPOs, which are getting the market. So it's a combination of all these factors, which has led to this increase.

Swarnabh Mukherjee: So just wanted to, again, to drill a little bit deeper. So what we have seen in the capital markets right now is that the cash delivery part of the market which I think primarily impacts your revenue side, that is essentially cyclical that is not expanding that significantly while the derivative side is expanding. So any thoughts in context of that in terms of the annual insured income.

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Nehal Vora: . So what you see as the secondary market increase is only quarter-on-quarter. But if you see over a period of time, the buoyant market conditions is what leads to a higher participation of

shareholders and companies, and that leads to increase in folios. That's the point I was trying to explain.

Swarnabh Mukherjee: Understood, Sir, and in terms of the number of folios, you had given some colour last time. So even if not the exact number, if you can give us some ballpark that would also help us in understanding how this number overall issuer charges. So we request some ballpark on that.

Nehal Vora: Typically, we don't give the folios as per the regulatory standpoint. But as of now, we don't do that. In case if we do that, then we'll put it out on our public domain. But I think you can take it as a general trend that as the delivery volume, the market volume increases, leading to a growth of folios in a conceptual sense it is a factor of that.

Moderator: The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.

Prakash Kapadia: A couple of questions from my end. If I look at our subsidiary fetch business, 5 quarters in a row subsidiary revenues have degrown. So can you give us some understanding how much of revenue is from new folio creation? How much on the Fetch side, is there some pricing-related pressure, which is causing this degrowth to continue? If you could give us some direction on the subsidiary business. Secondly, on the total other income of INR24 crores, how much is mark-to-market gains on that portfolio? And how much is capital gains if you have that figure ready? And lastly, one data-keeping point. If you could share the revenue of e-voting and consolidate DCS for the quarter?

Nehal Vora: Okay. On the first point, I think the extent of degrowth, if you see the quarters, one in the June quarter ended April, May months were muted. It's only in the month of June where there was buoyancy seen. And therefore, that will have a lag effect on CVL's income. I'll ask Sunil to answer that. But before he answers, I just ask Girish to answer your second part of second question.

Girish Amesara: The mark-to-market g

ain is INR13.36 crores in total INR24 crores income.

Nehal Vora: And Sunil, if you can answer that, though we don't give any specific numbers on catches on new and versus...

Prakash Kapadia: Yes, I am looking for a direction...

Nehal Vora: It's a conceptual answer, I'll ask Sunil to take it.

Sunil Alvares: Yes. So like Nehal rightly said, April and May have a slightly muted increase. And secondly, the question on how many fetches are linked to new folios that we will not know because -- those are actually set by the intermediaries and then whether there's a new folio or an old folio, that is really not knownt.

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Prakash Kapadia: And is there is some pricing-related pressure because 5 quarters, we've obviously degrown. The pace of degrowth maybe has come off, but still there is degrowth happening. So is there some competition or pricing pressure which we should be aware in terms of the degrowth happening.

Sunil Alvares: Not really.

Prakash Kapadia: Okay, fine. And in case, Girish, you have those revenue breakups of those 2 subfields?

Girish Amesara: That we have provided slides on breakup of income and expenditure, both that we are doing for the last 2 quarters. If you want, I will repeat it, but we have already provided.

Prakash Kapadia: I just wanted the E-voting and ECAS. I have the annual charges, transaction charges.

Girish Amesara: E-voting, we have achieved at INR3.40 crores. And ECASE we have achieved at INR8 crores.

Moderator: We'll take the next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: So my question is on the annual issue charges. I know that the annual issue charges is linked to the number of issuers, and it's a lag indicator in terms of the retail shareholders that increased last year. The impact is in the first quarter. But if I see the increase in the total retail shareholding in FY '23, that has been in the renowned 18% to 20% Y-o-Y growth. And in FY '22, it was around 55%. So that is reflected in quarter 1 numbers, but quarter 1 FY '24 numbers are much higher than what the actual retail shareholding has increased. So is there any other thing that we need to know in the annual issue charges that is getting included here?

Nehal Vora: So I think, Amit, the way the charges are formulated is that there is a ceiling. And if the folio increases beyond a certain limit and it's folio-based charges. So the holding in some of the top companies has grown higher than overall increase. So what you are seeing is the retail participation increase over the entire year. But how that gets further fragmented in terms of its holding in terms of the top companies versus the other companies is getting reflected in the issuer charges.

Amit Chandra: Okay. And sir, my second question is on the e-voting. So we have seen significant traction there. So last year in FY '23, it was INR25 crores, and it is 80% growth. So I just want to understand that have we achieved the adoption of e-voting by most of the companies or the companies which you target in terms of e-voting, what kind of growth we will see? I know this is forward-looking.

But in terms of adoption, if you can throw some light, how many companies that we target have adopted in voting and how many left?

Nehal Vora: So I think rather than specific numbers, I would say the broad trend is our focus on technology.

And more-and-more, we focus on technology, the value proposition, which the products provide to the stakeholders. There are more-and-more people who are wanting to adopt CDSL platforms.. And that is going to continue to remain our endeavour.

Our philosophy as a management team is going after the value proposition of products and then that will reflect in the renewed participation of more-and-more people wanting to adopt that

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because there is a clear ea

se of doing business, it's a clear value proposition and what the products are getting offered. And you have your ear to the ground to ensure that whatever the needs of the relevant stakeholders are getting reflected in the products which are getting rolled out.

Amit Chandra: And sir, you have mentioned a lot of innovative services that we're offering. So out of these services do think the DLP is one thing which is being implemented across the depositories. So can you throw some more light on what can we be a potential in terms of is monetization and expanding these services over other classes?

Nehal Vora: So again, that's a forward-looking statement. I'll not give specific numbers. But from a reforms point of view, it's leading to a more systematic way of monitoring of the bonds and covenants, which are the ecosystem. So, the intent is that it becomes a systematic solution to ensure that there is more accuracy as we move forward. And it's a system-driven solution. So more-and-more trust gets built in the system. So therefore, the participation would go up. And as the participation goes up, the relevant numbers is at least the hope and prayer as the participation grows or those will get reflected in the numbers also.

Amit Chandra: Okay. Lastly, on the insurance repository, are we seeing traction there in terms of the participation from more-and-more companies and more on insurance policies getting demat? So, any view there?

Nehal Vora: I think on insurance, it's still on a voluntary basis. So it depends on the insurance holder and the insurance company on to the extent they would like to adopt e-insurance framework. Definitely, there is a proposition for ease of doing business from an insurance holder because custody of the insurance policy, the ease of access and also basically the ability to raise funds out of that insurance policy becomes a more sophisticated way than it is in a physical mode. So, I think as that benefits gets percolated to the last mile, more-and-more people are hoping. We hope that more-and-more people would like to really adopt it as we go forward.

Moderator: Thank you. We'll take the next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, just wanted to understand bit on more transaction income because cash segment volumes for the country as a whole has done well in the current quarter even compared to first quarter of FY '23. Then we see a bit of weakness or not that much amount of growth in the transaction income from INR33 crores, it has grown to INR36 crores. So just wanted to understand what led to little muted growth in the transaction income given the cash volumes are doing well for the country as a whole.

And second, within the INR36 crores, if you can give how much is pledge related income, it would be useful, sir. That's my first question.

Nehal Vora: So the first question, the first two months of this quarter was a muted growth in terms of delivery volumes, etc. It's only in the last month of the quarter where we've started seeing some buoyancy.

And therefore, what we report is on a quarterly basis. And hence, the basically the muted growth

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because it was low delivery volumes in the first two months of this quarter. The second question, I'll ask the CFO to answer.

Girish Amesara: Sanket, the Margin Pledge income is INR3 crores in this quarter.

Sanketh Godha: Okay. And just given you have said that the exit month that is June month has been better. So is it fair to assume that compared to April and May run rate of transaction income, June is meaningfully better than even July cash volumes data is much superior. So you are clearly seeing numbers the trajectory of better transaction income playing out?

Nehal Vora: It's a future-looking statement, I'm sorry, I will not be able to comment on this.

Sanketh Godha: Okay, sir. And I as

t second question on the other costs. So just wanted to understand whether this -- you alluded to the point that the regulatory costs led to the growth. But is it somewhere related to the impairment cost also, they just wanted to know that number has that played any role in increase in the other opex?

Girish Amesara: No. It is not led to the impairment, it is as per our regular standard.

Sanketh Godha: So what's the number, sir, if you can tell that for the quarter?

Girish Amesara: INR1.7 crores.

Sanketh Godha: Okay. And this regulatory cost is the only reason or there are some other costs which has led to that growth basically because regulatory costs as per the presentation is only INR8 crores, but in that number, which has grown, but other expenses looking the other expense seems to have grown. So I just wanted to understand the part better.

Girish Amesara: So regulatory, if you look at the component of regulatory, it consists of a 5% charge on operating profit. So if operating profit is on a higher side, obviously, the charge is going to be on the higher side. Then there is SEBI fees, incentives, which are linked to the issuer fees. Now, if the issuer fees collection is on a higher side, these charges are also going to be on a higher side. So, whenever we see a very good profit number or very good operating margin number, this number would also be on a higher side.

Sanketh Godha: Got it, sir. And lastly, on the employee cost last year, in the same period, we had that one-off with respect of or rather one-time payout to the employees of INR10.8 crores. But if I knock up that number in the base and see the growth, the growth is year-on-year 50 percentage in the employee cost, which is much higher than the top-line growth. So just wanted to understand this INR22.6 crores of employee cost has any similar kind of a one-off? Or this is the number what we need to see in subsequent quarters?

Girish Amesara : You refer to INR22 crores in consolidated result, right?

Sanketh Godha: Yes, consolidated.

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Nehal Vora: Yes. we are a financial infrastructure company. And there are two critical inputs. One is technology and second is the human resource. And this is the specialized human resource. It is very, very pertinent to this line of business. And also, there is increased regulatory expectations as we move forward. So that regulatory staff footprint also has to grow with a risk also has to grow. And since there is exponential growth, it has to be hand-in-hand with the control functions of the business also. Besides the business as well as the operations, human resource, to support the renewed growth to ensure that our services don't continue to remain top class and grow as we grow.

Sanketh Godha: Got it, sir. But this number is going to remain right around INR22 crores.

Nehal Vora: Yes.

Moderator: Thank you. We'll take the next question from the line of Jeet Suchak from Nuvama Wealth Management. Please go ahead.

Jeet Suchak: Okay. So I have two questions, starting with the first one. So out of the total issuers registered, how many are early stage registered from the total?

Nehal Vora: I'll ask CFO to answer, Girish.

Girish Amesara: You are asking during this quarter, right?

Jeet Suchak: Yes, for this quarter end.

Girish Amesara: Okay. Unlisted admitted is 423 companies during this quarter.

Jeet Suchak: It is incremental. So what is the closing figure assets, total issuers at the end?

Girish Amesara: We'll give you during the course of this discussion.

Jeet Suchak: Okay. And other question was, can you give me any colour out of the INR630 million revenue from annual issuers? How much can be from unlisted issuers and out of the listed issuers? Any idea of that?

Nehal Vora: We generally don't give that breakup. It's consolidated number.

Moderator: Thank you. We'll take the next question from the line of Prayesh Jain

from Motilal Oswal. Please

go ahead.

Prayesh Jain: Yes. Just one question on the issuer charges. Time and again, you have told that there is that you will consider going to the regulator for an increase. What has been the thoughts around it? And with your investments into the businesses increasing with regards to your employee expense, all with regards to your tech expense, do you think it would be the right time to go back to the regulator and ask for an increase in the issuer charges?

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Nehal Vora: I think we're not able to answer that in a specific format because it's again a culmination of various factors the overall growth, which we are seeing in issuer income because the regulator is also seeing all of that. So, when the regulator will feel would be an appropriate time for the increase to take place is something which I will not be able to answer. But we continue to engage with them to give them the relevant numbers and where the growth has seen. You have to see basically the overall scheme of things that how and when, if at all they permit an increase.

Prayesh Jain: Perfect. And secondly, the investments with regards to technology in particular. And I assume both would be the tech expenses would be split of between employee and the tech expense that you report separately. So I know I'm asking a forward-looking statement, and I might not get an answer for this, but still, I'm trying my luck with regards to this as to what increase we should start look because it's been some time that you've been investing into our employees and the tech part. Do you think that the increase in that run rate could slow down going ahead?

Nehal Vora: Difficult to answer that question because in any infrastructure business, the quality and the value proposition of the product is of prime most importance. And technology is the DNA with which our business function. We need to not only be up to date and up to speed with the latest changes in the tech field, but also ensure that it is comprehensive and very relevant to our line of business and continue to provide a value proposition to ensure a loyal customer base not only is retained but enhances as we move forward. So I think that's our ethos, which we work. I think whilst the tech expenses, human resource expenses are growing. But as we can see that, that has been able to support the renewed participation in the securities market, and that is our main focus as a management team.

Prayesh Jain: And on the insurance depository business, apart from account opening and annual charges, I think these are the two heads where you, on income, if I'm correct?

Nehal Vora: Yes.

Prayesh Jain: So apart from that, any other new line items that have emerged recently with regards to loan against insurance policies or any other servicing that would have been more, say, in the last some time or we could see in the next take couple of quarters or years.

Nehal Vora: So I don't know whether it will emerge in the next couple of quarters or years. But as the participation grows, probably the market will also come to realize that this could be another use case for that platform to be used or loan against the insurance policies. Now we have seen a muted response at least where our subsidiary is concerned. How that will pan out as we move forward? There is something which we also have to wait on.

Moderator: We'll take the next question from the line of Devansh Nigotia from SIMPL.

Devansh Nigotia: Yes, insurance repository, I mean, you used some initial remarks and also clarified now, and we also mentioned in the PPT that there are no charges for customers. So if you can just elaborate a bit more at what can figure revenue from this line item?

Nehal Vora: I'll just ask the CFO to answer that.

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Girish Amesara: The charges are not levied to the end policyholders. These are paid by the insurance companies.

Devansh Nigotia: Okay. And what is the current revenue mix or the current revenue from insurance deposit rates?

Girish Amesara: We generally don't discuss this mix of the revenue of annual maintenance and addition. Currently, the income from operation in this quarter that we have achieved is roughly INR16 lakhs as against 1 lakh of the previous quarter.

Devansh Nigotia: 16 lakhs from insurance repository?

Girish Amesara: Yes.

Devansh Nigotia: Okay. And what is the underlying user base? A number of customers who have the policies?

Girish Amesara: We generally don't give the number of customers and all that. Because this is not available in public domain.

Moderator: We'll take the next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Sir, if I see most of the business lines for us has recovered. But if I see the online data charges, that has been flat for almost five quarters now. So if you can share some views of what is the mix in terms of fetch and creation and what part is getting impacted there? And are we seeing any recovery as you said in transaction, there has been only 1 month of higher activity. Are we seeing similar activity change in online data charges as well?

Nehal Vora: So again, really, basically, Amit, as the charges as the renewed activity grows, there is obviously a lag effect on the CVL in terms of fetch and all that. And so I think we should just wait and watch for 1 or 2 quarters as to how this will pan out. It may be early to predict based on the first quarter impact because, as I have said earlier that it was the June quarter, which showed some renewed interest. April and May were muted. So obviously, the lag effect will continue. So we should wait for 1 or 2 quarters and see how this moves.

Amit Chandra: So why I'm asking this because generally, with the increase in the account additions because you

have seen that the account addition has actually picked up in 2, 3 months. So there is an account opening KYC that comes in, that generally follows that. So it is not getting reflected. So I'm wondering if there is a bigger in terms of leakage in terms of even that is happening in the base.

Nehal Vora: It's difficult to predict at this stage. But I think, as I said earlier, there is obviously a lag effect, which continues. So I think we should wait for 1 or 2 whether this is a real impact or the lag.

Amit Chandra: Okay. And one question to the CFO. Sir, the facility expenses in terms of the new expansion that you have done. So have we incorporated the higher facility expense charges? Is it in the base? Or is it yet to come?

Girish Amesara: Facility charges in the sense?

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Amit Chandra: Like new property that you have bought. So in terms of depreciation in terms of the expenses that goes up generally in terms of expansion?

Girish Amesara: Yeah, work is still going on. So it's shown as a capital work in progress in the financial statement as of now. Is that when we capitalize it, the depreciation will start.

Moderator: We'll take the next question from the line of Franklin Moraes from Equentis Wealth Advisory.

Franklin Moraes: So in this quarter's employee cost, what percentage would be on account of variable payout?

Nehal Vora: We generally don't give out these breakouts. See, I think from an organization point of view, total compensation is more critical. How much is variable, how much is fixed, is a function of various market conditions, etcetera. So I think that's how we will be in the new reporting.

Franklin Moraes: So what I was trying to understand is we had made a change wherein the variable will be more amortized now going forward. So whether that has already gotten implemented and this would be amortized over the entire year?

Nehal Vora: So I think we continue to work on basically t

he accounting standards and advice given by with the statutory auditors. And that is in line with what we have been doing. We are not able to answer specifics on this because this is not in public to.

Moderator: We'll take the next question from the line of Santosh Keshri from Keshri Wealth.

Santosh Keshri: Okay. So I have two questions. One is that the technology investment that we started on around 4, 5 quarters back, is that done? And are you done with that? Or do we have some more plans to expand on technology? That's my first question.

Nehal Vora: So technology is something which is continuously has to be assessed and the latest changes, updations. Also, there are newer products, platforms and regulatory requirements, which are getting rolled out on a month-on-month basis, which also requires the technology to get really upgraded and to ensure that it all goes seamlessly.

Also, the participation of newer demat accounts also leads to a potential capacity assessment, which has to be done to ensure that service standards continue to remain very, very high even as we see a growth. So technology is something which is our core input, as I said earlier. And human resources are core input. These are two critical expenses to ensure that the business continues to run seamlessly.

Santosh Keshri: Right. But then we need to distinguish between the technology expense that is a maintenance expense may be to take care of the increased demat additions or increased volume of the business. But the expense which is to bring an altogether a different technology paradigm. And I believe that 4, 5 quarters back, we spoke about INR10 crores be spent on the new technology platform. So my question is more with regard to -- are we done with the new technology platform? Or it is all the maintenance expense that we are incurring now?

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Nehal Vora: So what we have done earlier has been completed, but there is continuously a proactive assessment being done whether the technology platforms needs to get further upgraded the applications need to get further upgraded in line with the latest trends to ensure that the people who are basically the relevant with the stakeholders, be it the issuers or the retail between investments and the depository participants continue to see that renewed technology platform being really up to speed with what their requirements are.

So it will be difficult to give a very straight jacket answer because the continuous assessment is being done. And we are bringing in more and more changes, which is more maintenance-oriented also, but also even the newer way the technology platform is done. Your specific question about what had spoken for 5 quarters earlier, that process has been completed.

Santosh Keshri: Okay. Makes sense. And secondly, my second question is regarding the recent notices to the questions that you made on 3rd of August were in the SEBI has given instruction and they had

an observation. So my question was that did it involve any panel implication for the company?

What is the amount of...

Nehal Vora: There is no financial impact, there is no penal, it is basically a warning which is issued and that is more from a process point of view which is in the process of getting done.

Moderator: We'll take the next question from the line of Jeet Suchak from Nuvama Wealth Management.

Jeet Suchak: So you talked over the call that a total number of unleased issuers will be described during the call.

Nehal Vora: So we'll send it to you on in e-mail, if you can mail it to our CFO, his email is on the -- and we will send you the numbers.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments. Over to you, sir.

Nehal Vora: As I wish you all the very best, and thank you for all your questions. I would want you to continue

to remain loyal and chose CDSL. And as a management team, our constant endeavour is to ensure that CDSL continues to remain more and more tech-savvy to ensure more and more stakeholders continue CDSL and its platforms. Thank you, everyone. Stay safe. Stay healthy.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of HDFC Securities, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability.

Call: Nov 2023

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Central Depository Services (India) Limited
CDSL/CS/NSE/SJ/2023/ 329 November 07, 2023

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on November 01 , 2023

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated October 23 , 2023 , for scheduling of
Conference Call on November 01 , 2023 , please find attached the transcript of the
aforesaid Conference Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

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“Central Depository Services (India) Limited
Q2 FY '24 Investor Call”
November 01, 2023

Management: Mr. Nehal Vora–Managing Director and Chief
Executive Officer– Central Depository Services
Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services Limited
Mr. Sunil Alvares–Managing Director and Chief
Executive Officer – Central Depository Services
Limited Ventures
Mr. Rajesh Saraf – Chief of Data and Operations

Mr. Vinay Madan – Chief Risk Officer
Mr. Amit Mahajan – Chief Technology Officer
Mr. Swaroop Gothi – Financial Controller
Mr. Nilesh Kittur – AVP Finance
Ms. Sandhya Dubey – Sr. Manager

Moderator: MR. AMIT CHANDRA – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to CDSL's Q2 FY '24 Conference Call, hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be viewed in conjunction with the risks that the company faces.

I now hand the conference over to Mr. Amit Chandra from HDFC Securities. Thank you and over to you, Mr. Chandra.

Amit Chandra: Yes. Thank you, operator. So good morning, everyone. On behalf of HDFC Securities, we welcome you all to this CDSL Quarter 2 FY '24 Earnings Call. We have with us today the management team of CDSL, represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We will start with a brief overview of the results by Mr. Nehal Vora and then we will start with the Q&A. Thank you and over to you, sir.

Nehal Vora: Thank you so much, Amit. A very, very good morning to all the listeners and participants and welcome, everyone, I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the second quarter for the financial year, FY 2023, '24. We posted a detailed investor presentation on our website for your reference. I'm joined by the CDSL Group's leadership team.

Let me start with the industry highlights and then take you through some of the key aspects of our performance. During the Q2 FY 2023-24 the overall Indian capital markets demonstrated a healthy growth. The total demat accounts as on September 30, 2023, stood at INR12.96 crores, of which CDSL's share was at INR9.62 crores. The net demat accounts opened in India in this quarter was at 91.58 lakh, of which 80.28 lakhs were registered with CDSL in the Q2 FY '23, '24. The comparative numbers for CDSL were 52 lakhs for Q1 of FY 23-24 and 48 lakhs for Q2 of FY'22-23.

The total market capitalization of the market increased by 8% as at the end of this quarter, reaching INR319 lakh crores compared to INR296 lakh crores as on June 30, 2023. Furthermore, the daily turnover for Q2 FY24 witnessed a 33% increase when compared to Q1 of FY24.

These positive trends reflect the financial inclusion and an increased participation by the investors in the Indian capital markets. These positive trends in the markets also attributed to the recent industry advancements and regulatory measures. We believe these measures will benefit Central Depository Services (India) Limited

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the industry in the long run by protecting the interests of retail investors and reducing the systemic risk.

The 25th year of operation is also very special for us, as we celebrate the 9 crores demat accounts milestone in July 2023. And further, I'm delighted to announce that CDSL has received a recognition for its excellence in digital execution. In October 2023, we were honored the TechCircle business transformation award. As we reach the midpoint of our 25-year journey, we remain committed to enhancing ease of doing business and instilling trust within the financial ecosystem.

Our ongoing efforts have yielded promising results. The current financial year is also a representation where we have experienced a sustainable and healthy business and financial performance as a result of the efforts of all the market infrastructure institutions.

Before I hand it over to our Chief Financial Officer, I would like to take a brief moment to place

our appreciation and gratitude to all our stakeholders, the beneficiary owners, the depository participants, issuers and regulators, employees and other market participants for their constant faith in us. We extend a heartfelt gratitude to our investors and the people of India whose unwavering faith continues to guide us. Our focus remains steadfast on building value for our stakeholders and securing a robust Indian digital financial ecosystem. Thank you for your continued support and trust.

Over to you, Girish.

Girish Amesara: Thank you, Nehal. Good morning to all of you. Speaking on the quarterly performance, on a consolidated basis, the total income for the quarter ended September 2023 is increased by 35% to INR 230 crores, as against INR 170 crores for the corresponding period of the previous year. The net profit for the quarter ended September 2023 is increased by 35% at INR 109 crores, as against INR 81 crores for the same quarter during the previous year.

Speaking on the half yearly numbers, on a consolidated basis, the total income has increased by 28% to INR 404 crores, as against INR 316 crores. The consolidated net profit for the 6 months ended September 2023 has increased by 32% to INR 183 crores, as against INR 138 crores during the 1st half of previous year.

Speaking on a stand-alone basis, the total income for the quarter ended September 2023 is increased by 29% to INR 182 crores, as against INR 141 crores for the same quarter during previous year. The net profit for the quarter ended September 2023 is increased by 28% at INR 88 crores, as against INR 69 crores for the same quarter during the previous year.

Speaking on a half yearly basis, on a stand-alone basis, the total income is increased by 18% to INR 352 crores, as against INR 298 crores during the 1st half of previous year. The consolidated net profit has also increased, by 14%, to INR 180 crores, as against INR 158 crores during the 1st half of previous year.

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Now I shall hand over to Sunil Alvares to give an update about operations of the wholly owned subsidiary CDSL Ventures Limited. Thank you. And over to you, Sunil.

Sunil Alvares: Good morning to all the participants. So far as CDSL Ventures is concerned, the Q2 FY '24 operating income was higher by 67%, as compared to Q2 FY 23. The operational income was INR 43 crores in this quarter, as compared to INR 26 crores in same quarter of last financial year. The - other income was at INR 4 crores, as compared to INR 3 crores in the same quarter of previous year.

The total income was at INR 47 crores, as compared to INR 29 crores in the corresponding quarter of the previous financial year. And so far as the expenses are concerned, the expenses were higher by 66% at INR 18 crores, as against INR 11 crores as compared to the corresponding quarter of the previous financial year. The profit before tax for Q2 FY24 was INR 29 crores, as compared to INR 18 crores for Q2 FY23, which was higher by 63%. The net profit was higher by 61% at INR 22 crores, as compared to INR 13.44 crores in Q2 FY23.

I hand it over back to the moderator for the -- question-and-answer session.

Moderator: First question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: Yes. Great performance for the quarter. 2, 3 questions. First one, on the IPO, corporate action line item. So I just wanted to understand. How much of this growth can be kind of sticky? So if you could give us some color or a quantifiable breakup on how much of this has come due to IPOs, how much through AGMs etc and how much through corporate actions? So as to give us a flavor whether some part of this can be retained or whether there is a substantial seasonal element in this? So that's the first one.

Secondly, on the KYC KRA business, if you

could give us a sense why this performance has

been very strong. So whether the share of fetch transactions has increased or is it like the mix relatively similar and volume-driven, because of which the growth has come?

And thirdly, on the cost side, so if I look at the tech cost and so about a year back, it was somewhere around INR 9 crores, INR 10-odd crores. It has steadily moved up, around INR 15 crores run rate in this quarter, so are we peaking out, I mean, in terms of the run rate? Or should we expect further inflation in this given that you have previously also highlighted the technology intensive nature of the business?

And on the other expense increase, if you could highlight, in the stand-alone business, what is driving that? I understand that with some inter-KRA charges, KYC in subsidiary, but in the stand-alone business, what is driving that? That's all from my side, sir.

Nehal Vora: Okay, thank you. On your first question, on IPO and corporate actions, it's kind of market-driven,

so it's kind of difficult to predict. And we don't give any future reference points, so we would not be able to kind of give a picture of the future. That's for you to assess.
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Your second question was on the KRA charges, on fetch, and so I think it's broadly driven by the buoyant market conditions; number of demat accounts growing; and participation growing both in terms of delivery, volumes; etc. We don't generally give the bifurcation on how much is fetched versus creation it's a consolidated number. Sorry, your third question was?

Swarnabh Mukherjee: Sir, before that, if I could just ask you. Even if a quantifiable number this is possible, but if you could maybe some highlights whether this is relatively more fetch because -given their usual penetration on the other financial products are also increasing, etc. So I mean, is that an outcome of this? So...

Nehal Vora: Again it's difficult to predict what has caused this outcome. It's kind of the overall buoyant market conditions. What has led to whether it's fetch or increase in KYC creation? It's a culmination of variety of factors and it plays one upon the other, so it's difficult to give an answer which would be absolutely give the reason. It's a multiplicity of factors which leads to this, and hence, we are not able to give you a specific answer on that.

Swarnabh Mukherjee: Okay. Sir, on the previous question, on the IPO and corporate action, I don't want to have forward-looking guidance, but if you could at least give us a breakup between how much is due to IPOs and how much is due to other things which will at least on a year-on-year basis...

Girish Amesara: Yes. So basically this is IPO, corporate action, the head itself is based on the IPO that comes in the market, so it is totally market-driven activity. Higher number of IPOs, we will be able to process higher number of...

Swarnabh Mukherjee: So it's mainly due to IPOs.

Nehal Vora: Your answer is right.

Girish Amesara: So basically that's the answer.

Swarnabh Mukherjee: Okay, all right, sir. On the costs, if you could...

Nehal Vora: The costs. On technology, cost is something which is constant for that. We are growing in number of accounts. We have to plan and this is kind of a market infrastructure company, so it has to plan for the rise and growth. And then infrastructure takes time. And technology infrastructure, especially, needs to not only be built with what the current trends are but what are the future sophistications which are coming into the market, so it's going to be a constant investment which we will continue to do as we move forward.

This will be in sync with what is expected both from the regulators and the market, to ensure that we are able to give the best-in-class performance as we move forward. In terms of other expenses, I'll ask Girish to answer that...

Girish Amesara: See,

largely the other expenses, if you look at our cost structure, payment to SEBI is again related based on my profitability and billing done for annual issuer income. So higher the profitability, higher the income, there will be higher cost on these accounts. Again if you look at inter-KRA
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expense, it could be directly proportionate to the business, the earnings that I do on a top line in terms of KRA income. Proportionately there will be higher KRAs, inter-KRA charges. Having said this, certain costs will move in proportion to the movement in the income.

Swarnabh Mukherjee: Okay, sir. So on the regulatory bit, you what we said, other expense or I was talking in terms of the split that you have given in the presentation, where I think the regulatory cost is booked separately. So excluding that, I was kind of interested in understanding for the standalone. So for the KYC KRA, we have an understanding. For the remaining business, ex of regulatory cost was what I was pointing towards.

Girish Amesara: So the regulatory cost largely is on account of CDSL, okay? And these are driven by the regulation, so we can hardly do anything about it.

Swarnabh Mukherjee: Yes. So sir, outside that, if the breakup you have given. So there is one regulatory cost. The other hand is other expenses, which has moved from last quarter at INR 41 crores to this quarter at INR 52 crores. And I think in fourth quarter it was at INR 30-odd crores, so I wanted to understand that movement, if you could help me.

Girish Amesara: See, this being second quarter, okay, our e-voting business would also have cost equivalently incurred. So e-voting expense are there. Then we have consolidated account statement related expenses. Then such kind of expenses are there, which would be there in second quarter mostly because the income corresponding is higher in the second quarter.

Swarnabh Mukherjee: Understood. So it is largely granular. There is nothing lumpy about it...

Moderator: Next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Sir, my question is on the account addition, demat account addition. So obviously we have seen a lot of traction coming back in terms of the additions. And it has gone to the, I think, peak levels, but if I see the revenue per demat, it has been coming down. And if I see the revenue per incremental demat, it is also coming down, so how do you see the, like, newer account additions that are happening? So these are not contributing much to revenues, so how do you see this? And secondly, on the private companies demat opportunity that has come up recently there are around 14 lakh MCA-registered private companies. And taking the lowest slab, that comes to a bigger opportunity, so is there any timelines in terms of these companies getting, like, demat-ed? So if you can provide some overview on that.

Nehal Vora: On the first question, Amit, it's more of the building blocks getting created in terms of number of demat accounts. How the investors will react to as a group or as a collective group will be dependent on how the market conditions are, etc. See, we are in the business of creating the right building blocks. So for the people, to invest whenever there is an opportunity for them to, they would like to really invest.

And that for me is the biggest victory, that from a financial inclusion standpoint, more and more people are coming into the ecosystem. And that will kind of play out over the long term, so we
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are not on a quarter-to-quarter game plan that will be the revenue increase. It's more of a long-term sustainable game plan creating the right ecosystem and creating the right building blocks for us to take it forward from there. So that's the answer to the first question. On the second question: M

CA has just recently put out this regulation. I think the timelines are given by September, 24, if I'm not mistaken. So I think we are anyways, have been doing this for a long time, so from a technology and system point of view, we are ready to go. It's for them to now kind of really kind of approach the depositories for taking it forward.

Amit Chandra: Okay. And sir, on the e-voting and eCAS revenue, if you can provide the breakup. What was the e-voting and eCAS revenue in this quarter? And also, in terms of the private company opportunities, obviously the timelines is of September, but is there any incremental cost that will incur or any incentive schemes that we earlier used to have incentive scheme for getting companies because we have a lowermarket share there. So are there any plans of investing in that piece?

Nehal Vora: So the first question, I'll ask Girish to answer, but the second question is on the incentive schemes, see, we have been very transparent. And that's been the foundation of our entire ethos, so whatever schemes we have, we put it out on the public domain. And I think it's the costs will be a function of, as more and more people join the ecosystem, the technology infrastructure has to be enhanced, in sync with the increased participation, and to ensure that the service levels remain of high quality.

And therefore, there will be a constant assessment done and a constant investment done as to what is necessary and required to be put in from a technology standpoint. So again I would like to repeat that we are not in a quarter-on-quarter target point of view. We are more on a long-term sustainable business. We are in that business of creating a market infrastructure like building a road and the value proposition will then kind of come over a longer period of time. So that's how we see ourselves as we move forward. First question, I'll ask Girish to answer.

Girish Amesara: So the eCAS income for the quarter is INR 7 crores, as against INR 5.5 crores in the same quarter previous year. E-voting stood at INR 15 crores in this quarter, as against INR 14 crores in the same quarter previous year.

Moderator: Next question is from the line of Prakash Kapadia from Anived Portfolio.

Prakash Kapadia: Most of the questions are answered. I just have one question. If I look at annual issuer charges, they are at the run rate of around INR 63 crores, which is a huge bump-up on a year-on-year basis. Even last quarter, I think we were at this rate, so if you could give us some qualitative flavor on what is leading to this. Is it larger unlisted company revenues? Is it more folios given buoyancy of capital markets? Is there some pricing impacts? If you could give us some flavor.

Nehal Vora: See, pricing impact is obviously put out in the public domain. It's there is no change there, but it's a combination of both the first 2 factors. It's the increased number of private companies coming in into the fold as well as number of folios increasing which leads to this increase to take
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place, so the point is that, as any growth is concerned, our endeavor is to have multiple touch points to ensure that the growth remains very sustainable.

Prakash Kapadia: Touch points in terms of business development activities where we are ready for the opportunity as it comes is what you are hinting at, Nehal...

Nehal Vora: No, both things, also ready from a technology point of view but also ready from an ecosystem point of view, that as more and more opportunities come and multiple sources of this, whether it be folios, whether it be private limited companies. So there are multiple sources of how the revenue would grow. So based on that, that is basically how we are planning ourselves.

Prakash Kapadia: Okay. And if it's possible to just quantify the revenues from unlisted companies maybe at the year-end or in the first half

, if you can just share a number...

Nehal Vora: We generally don't share these numbers, so it will be difficult for us to do that.

Moderator: Next question is from the line of Paresh from Club Millionaire.

Paresh: Nehal, congratulations to you and your entire team for a fantastic performance yet again. Most of my questions, I mean, have been answered, but really a couple of clarifications. And before I ask, Girish, clarifications on the financial numbers: Maybe you have thoughts on the demat...

Moderator: Paresh, we are losing your audio.

Paresh: Yes. So Nehal, maybe again on the larger question, longer-term question. You're having all the financial assets in one place. Where are we in the journey? We've seen what the private companies, the private listed companies, from these announcements that come through. A clarification on that: What will define a small company? And the newspaper article mentions the number of small companies is just about 50,000 out of, say, 13 lakh, 14 lakh companies which are on the private space. A clarification on that. What will be the definition?

Nehal Vora: So we have to wait and watch because the regulations have just come in. The rules are yet to be notified, so I think that is going through the process. And we are also kind of really examining this, but that intent is that it's like any regulatory approach, it's basically a top-down approach where the larger companies are first subjected to the reform.

And then as the success grows, the knowledge grows, it's kind of the meter would go to the remaining part of the group. So that's really the intent behind and that is how they have gone about doing this.

Paresh: Okay. So Nehal, on the other asset classes basically, whether it's insurance, whether it's commodities or whether it's mutual funds, any update on what is the progress? Or any other what's the update on that?

Nehal Vora: So insurance is, anyways, permitted through our subsidiary, insurance repository. The mutual funds are on a voluntary basis. And I think the important thing from an India point of view and Central Depository Services (India) Limited

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that's how we look at ourselves, that for us, India is the prime most focus. It's that there's a unique identifier of PAN and PAN-Aadhaar combination which kind of gives it that unique identity.

So if it needs to get aggregated at some point and even the account aggregator system is something which has also been rolled out. So that will give a lot of information and data on the investor to kind of pull for his or her consumption and for further analysis. And that's how we will see how the system evolves, matures and is taken forward, but the right building blocks have been created to create a very strong foundation on which this entire structure can be built.

Moderator: Paresh, sorry, but we are losing your audio...

Paresh: Yes. Really just wanted to seek clarification whether you started charging the account aggregator in terms of a full basis for the information that they seek?

Nehal Vora: Not yet.

Paresh: Okay. And then just some questions to Girish as well. So Girish, our revenues and profit both have grown by 35%, but actually other expenses grew by about 44%, so do we have any one-off on those expenses?

Girish Amesara: No, there are no one-offs in the expenses.

Paresh: Okay. And then regarding the SEBI charges, Girish, I saw that that's gone up by 50% even though the revenues from our depository side, just up to 33%. Has there been any change? Or what actually led to a faster growth in SEBI fee this time compared to our depository revenues?

Girish Amesara: See, SEBI fees are basically based on the collection and not revenue. So if we have collected, say, revenue of previous year or before 3 years, then we have to pay 2% of those collected amount to SEBI. So basically that's the reason how it works.

Paresh: Can you clarify that once again, Girish? For

some reason, I don't understand. I thought the percentage of the revenue...

Girish Amesara: The SEBI circular specifies that, whatever annual issuer income that you levy to your customer,

you collect that and whatever is the collection amount, 2% has to be paid to SEBI as a fee. Now suppose in this financial year we have collected, say, for previous year or previous 2 years. So the incidence of fee would happen in this year.

Paresh: Okay, sir, understood. So whatever the pending receivables are, they get added on this year, okay. And...

Girish Amesara: Yes, So basically our collection has improved. That's the answer.

Paresh: Understood, Sir, have you had any write-backs because of that because you normally provide for the annual issuer charges?

Girish Amesara: No.

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Paresh: Okay. So Girish, just one more clarification on the same thing. For example, when there are transaction charges, charges, does it need to be included and be part of the SEBI fees, right?

Girish Amesara: No, only annual issuer fees.

Paresh: Only annual issuer, okay, okay.

Moderator: Next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: Sir Nehal, for the first question. If I look at your employee costs and I am talking about the stand-alone business. The employee costs have stabilized vis-à-vis the first quarter. Should we assume this to be the run rate going forward as well? So that's the first question before I go into my other questions.

Nehal Vora: I think it will be difficult. We don't give forward-looking statements, but the important thing is that this is a specialized business. We need really the specialized personnel. And as we embark on our growth journey, we will need to kind of earmark more and more people also. Besides the technology increase, even the human resource needs to be enhanced to ensure that it's able to handle the increased growth.

Supratim Datta: Okay. On the MCA and the notification by MCA. So, like, people, before me also discussed. There are around 14 million, 15 million companies -- 14 lakh companies, 14 lakh, 15 lakh companies. How out of this, how many would fall into this bucket of above INR40 crores turnover? Do you have any sense around that?

Nehal Vora: We are yet analyzing this. It's just come in, but it will be the small companies which are kind of out of this embed. I don't think that number is there at this stage, but this is something which we are analyzing, so I will not able to give you a definitive answer at this stage.

Supratim Datta: Got it. And typically we have seen that unlisted players have gone with NSDL, as compared to CDSL, so are you working on certain aspects to better target these companies as and when they come for demat services?

Nehal Vora: As I've said earlier, I'm not in a quarter-to-quarter game. I'm not in a competition game. I'm gearing for a long-term value proposition for India. And that has been our thoughts as a management team, that you prepare. you put across a platform which gives the best-in-class services to the people and let the market choose whichever is the better platform. Like we've seen in demat accounts, we were lower. We've increased. That has been the culmination of a long-term strategy. Same thing is what we will follow in this particular space also.

Supratim Datta: Got it, got it. And last question from my side: So on the KRA charges, could you give a breakdown of how much of this will be coming from mutual funds and mutual fund account opening versus the demat account openings?

Nehal Vora: We generally don't give that number. I'm sorry I'm not able to show it.

Supratim Datta: Okay, but could you give a broad sense about which would be the bigger...

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Nehal Vora: We generally do not provide this. .

Sunil Alvares: So it's actually d

ifficult to say because there are many brokers who offer credit of mutual fund securities in the demat accounts. So, it will be difficult to say whether a broker is creating / fetching a KYC record for a mutual fund investment or for any other investment. or both.

Supratim Datta: Got it. And final question from my side, on the insurance repository business. One of your peers is working on launching an app which would not only be an insurance repository but provide additional functions as well, as in you could have all your policies at the same place and other services, so are you also looking at enhancing the service? How are you thinking about that business ecosystem...

Nehal Vora: We have a new management team now. We have a new MD and CEO who has joined the insurance repository, and he would be driving the entire strategy. I am pretty confident he will

be driving basically the digital journey, so that is something which we'll have to see in future.

Moderator: Next question is from the line of Arushi Shah from Sushil Financial.

Arushi Shah: Just one question from my side. The transaction in our financial performance consolidated, which has increased substantially from Q1 to Q2 because of new accounts are being opened or the absolute charges have increased, if you could throw some light on that?

Nehal Vora: So we don't charge anything for account opening. It's only on debit transaction that we charge.

Arushi Shah: Okay. Sir, what I meant that since new accounts are being opened to like per account, whatever per transactions, what we charge. So since more transactions are...

Nehal Vora: I'm just coming to that. So therefore, it's a culmination of both existing as well as new investors.

And that can be showcased as I have given the industry highlight as to how the daily traded volume, the delivery volume, etc., is growing quarter-on-quarter as compared to the last quarter.

That kind of showcases the increased participation. But difficult to bifurcate between whether this is from new investors or from old investors. It's a combination.

Arushi Shah: Okay. And also like per transaction or meeting our transaction charges have in absolute terms, like if you are charging INR 1, we charge INR 1.5, something like that?

Nehal Vora: We've actually brought it down.

Arushi Shah: Okay. So it's reduced.

Nehal Vora: We have actually have introduced additional layer of transaction charges. We have a layer-based transaction based on your slab. So we induced a lower slab.

Arushi Shah: Okay. So more like a volume play, right? That's the correct what you read?

Nehal Vora: Yes. So more the volumes, the lower the charges you pay.

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Moderator: Next question is from the line of Miraj from Arihant Capital.

Miraj: Congratulations on a great set of numbers, sir. I have 2 questions. The first one is regarding the announcement that came some time ago regarding the settlement, T+1 hour settlement which this SEBI aiming to do by January and later subsequently by October, they are planning a instant settlement. I wanted to understand that any infrastructure layout that needs to be put up the expenses are supposed to be done by us? If yes, then have we incurred anything in this regard yet?

And secondly, I wanted to understand that, is this play i.e. idea of introducing T+1 hour settlement more towards increasing volumes? Or is there any other goal for this? And this was my first question, sir.

Nehal Vora: Yes. So this is going to be a constant process of investment. As reforms happen, we need to kind of --? and each market infrastructure institution will have to incur its own cost of implementing these changes and whatever share is of both CDSL and NSDL will have to incur it themselves.

So that's something which is something. The intent is it's going to be on an optional basis. It's very clearly put out by the SEBI, is giving more

power to the investor to choose. And if him. he

or she would like to get instantaneous settlement, moving towards an instantaneous settlement, thereby reducing basically the risk which is there in the system, where he or she can get the funds immediately.

So it is moving, given more products for the person to opt for. Somebody can offer a T+1 or T+0. And finally, moving to instantaneous settlement.

Miraj: Understood, sir. So in this regard from our end, have we incurred any expenses yet to set up T+1 hour or instant?

Nehal Vora: Yes. It's a constant process, as I said, that we will have to evaluate as we are in a constant process of investment. Our technical team is obviously working to ensure that it is able to be satisfied timelines, which would be prescribed by SEBI in this regard.

Miraj: Understand. And my final question, sir, is that on the annual issuer charges revision part, if I'm not wrong, it is currently 11% annual issuer charges. Has there been any discussion on the revision part?

Nehal Vora: Not yet. It's a constant process. So we've not yet and we generally don't discuss our regulatory matters in this forum. So that's something which is a separate discussion.

Moderator: Next question is from Santosh from Kesari Finance.

Santosh: Thank you for such a great set of numbers. I have 2 questions. One is that typically, the number of additions that we are seeing in the demat account. So looking at that, if you can share what incremental revenue we get out of every demat account that's gets? Because typically, a customer is getting charge something like INR 500 if my understanding is correct, but some brokers do not charge as much. For example, Zerodha charging just INR 200. So we are not getting a sense,

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but how much is the CDSL revenue from each incremental demat account that comes? If you can just throw some light. .

Nehal Vora: We don't charge anything for retail. So for retail it is completely free. And for the nonretail corporate accounts, it's about INR 500 a year.

Santosh: Okay. So by retail mean the?

Nehal Vora: Yes.

Santosh: Do you want to divided it from me?

Nehal Vora: Yes.

Santosh: And corporate is private sector -- private companies or FII's and things like that, right?

Nehal Vora: Yes.

Santosh: Okay. So for anything that you don't charge for demat because you're providing such a valuable service to investors and it's free as you have been saying and maintaining all along. It's such an infra, such a big, huge infra or this. Then any reason that we are not charging, is there a bar from SEBI?

Nehal Vora: No. from SEBI. It's more to do with our responsibility towards a country also. We are kind of contributing to financial inclusion. And whilst commercial aspects are critical, but also the market development is extremely critical as a theme for us to continuously grow and our contribution to enhancing the sophistication of the securities market in India.

And that's one of the reasons why we want more and more people coming into. Today, CDSL is there at 98% , - 99% of the pin codes in India. And there has been a growth which has taken place in terms of number of demat accounts. We want more and more people to join this ecosystem.

So therefore, the entry is kind of remains, especially for the retail. We are trying to kind of really encourage more and more people to join the ecosystem and hence, there is no charge.

Moderator: Next question is from the line of Sanketh from Avendus Spark.

Sanketh Godha: Sir, again, this question of private companies mandatory to be done of the shareholders, you probably on about the number of companies, which are less than INR 4 crores credit capital of INR 40 crores turnover. But in your guess, how much that will be, if you have any wild guess on that one? And then second, your are is INR 2,500 on the unlisted company. Is such a big volume come

, whether we can see downward pricing pressure from INR 2,500 to come down, which could have an impact on the potential revenue realization? That's my first question. .

Nehal Vora: So on the first part, I would not like to give any wild answers. I would like it to go through a proper working before I can reveal that, I'm not able to give any numbers on what are the numbers. In terms of the pricing, it's a function of various things. And anyway, the depository pricing is approved by SEBI also. So in terms of that, it will go through its own process. I think Central Depository Services (India) Limited
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it's a fairly low chart our in-house helps get paid probably more than this. So I don't think a company should have a problem in kind of paying up the charges. They are very, very, very less and nominal.

Sanketh Godha: Got it. And the second question, what we have said -- what I have is that income, which has done in the current quarter. So there seems to be a very strong correlation when the IPO activity is very strong in the year or in the quarter. Then when we see a very bump up in KYC income.

Sir, just wanted to understand, out of the INR 59 crores of KYC income, how much you can attribute to -- or directionally, how much you can attribute to the IPO activities? If it slows down a in subsequent quarters, we will see a moderation in the KYC income?

Sunil Alvares: Actually, that's going to be difficult because when an entity fetches a particular record, creates a particular record, we have no clue whether it is because of an IPO or because he's using it elsewhere. So that is something we will not be able to track.

Sanketh Godha: But is it safe to assume that activity has a meaningful impact on the KYC income growth, right?

Sunil Alvares: Because IPOs will add to the number of demat and...

Nehal Vora: But again, it's difficult for us to predict that it's because of IPO or it's because of other factors.

It's basically the participation in the securities market will cause this impact to occur. Now the participation is due to IPOs or due to secondary markets or due to mutual funds is difficult to predict in the future. And that's why we are really unable to see.

Sanketh Godha: Got it. Got sir. And 2 data-keeping questions. I think in the past, you have disclosed these numbers. First is on impairment cost, which has happened in the current quarter. Second is pledge income. And then third is also charges from unlisted entities.

Nehal Vora: I'll ask Girish to answer.

Girish Amesara: I think we are not disclosing the unlisted annual issuer fees. But yes, margin pledge, we are disclosing. We have achieved INR 4.19 crores income during the quarter. And with to

impairment, value is INR 3.3 crores in this quarter.

Sanketh Godha: Okay. So it has gone up compared to last quarter, right? It was INR 1.7 crores. So is it due to any specific reason? Or is this conservative...

Girish Amesara: If you understand the ECL requirement on the provision, it is basically based on the history of the collection. Now in one quarter, there could be higher collection. And because of that, there could be a lower charge. So it will not and we cannot derive any fixed formula for that, yes, in this quarter, the cost will remain the same. And accordingly, we can make predictions. That would not be possible to do it for impairment.

Moderator: Next question is from the line of from Sundram Mutual Fund.

Sundram: One question. You mentioned that online charges are dependent on the demat account offering, delivery volumes and IPOs. So if I do a sequential comparison, demat has gone by 9% and

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delivery volumes by 41%. However, online charge is up about 80% growth sequentially. So the gap, can I assume it to be IPO driven?

Nehal Vora: Yes, you can possibly take that as your derivation, but we it's diffic

ult to, again, predict that

whether it is only because of this factor, there are multitude of factors which happened which play upon that because one can impact the other factor also. But as a broad thumb rule, probably what you have analyzed, you can take that.

Girish Amesara: Just one clarification. The income due to the delivery volume correlation would be for the depository business and not KRA business.

Moderator: Next follow-up question is from Swarnabh Mukherjee from B&K Securities. .

Swarnabh Mukherjee: Yes. So on similar lines of, I just wanted to understand if I look at the growth in the number of demat accounts there in first quarter versus second quarter, that growth is around 55%. So given that, that revenue moved close to 80%. So I could not understand what is the difference of around 20%, 25% remaining growth. So some highlighting some on that would be?

Nehal Vora: It's overall the market activity, because whatever are there we charge for the debits, we charge for the margin pledges, we charge for corporate actions so it's again a multitude of factors. so one-to-one correlation on the factors is difficult to do because it's a culmination of these transactions which lead to whatever is the income which is really drawn out of that.

Swarnabh Mukherjee: Sir, just to clarify, for or the online data are, we only book the revenue from the KYC business, right? Or is there anything else also?

Girish Amesara: That's right.

Nehal Vora: That's right. That's right.

Swarnabh Mukherjee: Yes. So I'm not sure -- I'm not getting how transactions are this will a transaction and we it will also benefit the if you could explain?

Nehal Vora: No, it depends on how the tech takes place. And what -- whether that will lead to a debit, whether he has transacted in 1 stock or 5 stocks or 50 stocks or 100 stocks, that's difficult to predict. And whether that will lead to revenue, whether that is done through 1 account or through many accounts. So, whether the fetch for many accounts will be much more. If it's one account fetch, it will be less but all the transaction income will be more. So therefore, 1:1 correlation is not possible. That is the point I was trying to make.

Swarnabh Mukherjee: Okay, sir. I'll take this off-line for.

Moderator: The next follow-up question is from the line of Santosh from Finance.

Santosh: I just wanted to know that what is the market share of CDRL in the business site?

Nehal Vora: CDRL?

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Santosh: Sorry, your KYC business, CDSL, right? CDSL Ventures.

Sunil Alvares: The figures are, but our estimate is about 65%.

Santosh: 65%. Okay. But our will be.

Nehal Vora: That not only an estimate. So I think that should be very clear.

Santosh: 65%. So are you going to increase your market share and decreasing market share over the past year or so?

Sunil Alvares: It's been more or less constant.

Moderator: The next follow-up question is from the line of Miraj from Arihant Capital.

Miraj: Sir, just a follow-up on the same point I had earlier regarding the T+1 settlement. It is planned to be implemented from January onwards. So is there any circular on it that SEBI has released? Or is this just -- is there any discussion paper or anything on that?

Nehal Vora: Yes, we should expect something. There will be a circular to that effect or discussion paper. I will not be able to comment on how the regulator will do it. But there will be a formal kind of an announcement. So what will be the time lines, etc, based on that.

Moderator: Next question is from the line of Sanket Godha from Avendus Park.

Sanketh Godha: One small data-keeping question is how many capital market records we have last ended up with around INR 5.5 crores number. What it would be today?

Nehal Vora: All right. The question is not clear. What do you mean by capital market record?

Sanketh Godha: The KYC records what you have with

you, which was around INR 5.5 crores?

Sunil Alvares: At the end of September quarter, we had about INR 6.1 crores.

Sanketh Godha: Okay. Perfect. And the second question, sir, was, again, a simple question that given in the current year, promoters did a lot of selling which means that the number of folios probably at the retail level will increase. So that benefit might not be reflected in the corner, right, because what you have charged on an issue is based on last year number of full years. So that benefit should flow in FY 25 as the number will increase. So my understanding is right there, sir?

Nehal Vora: Again, I'm not able to predict how this will pan out over the next course of the next 2, 3 quarters. It's only compared at the end of the year as to how many folios are there. Again, these are forward-looking statements, so we don't give any forward-looking statements. So I'll not be able to give a specific answer on this.

Sanketh Godha: Got it, sir. Actually, it was to understand directionally that we...

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Nehal Vora: I understand what you are saying, but my point is that tomorrow in the next quarter, there could be a reversal which could happen. Promoters start buying more and the retail starts selling. So how will I tell you that whether this is wrong, right, etc. So again, it will be what is at the end of the year the folios that the formula will be applied as per the numbers on that.

Moderator: As there are no further questions, now I'd like to hand the conference over to Mr. Nehal Vora for closing comments. .

Nehal Vora: So I'd like to thank all the people for their questions and the participation. Please stay safe and well. Thank you.

Girish Amesara: Thank you.

Moderator: Thank you very much. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

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Central Depository Services (India) Limited

CDSL/CS/NSE/RG/2024/ 37 February 13, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on February 07, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated January 31, 2024 , for scheduling of
Conference Call on February 07, 2024 , please find attached the transcript of the aforesaid
Conference Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

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Central Depository Services (India) Limited
Q3 FY '24 Conference Call
February 07, 2024

Management: Mr. Nehal Vora–Managing Director and Chief Executive
Officer– Central Depository Services (India) Limited
Mr. Girish Amesara – Chief Financial Officer – Central

Depository Services (India) Limited
Mr. Sunil Alvares – CDSL Ventures Limited
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

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Moderator: Ladies and gentlemen, good day, and welcome to CDSL's Q3 FY '24 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for future or which could be constituted as a forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, sir.

Amit Chandra: Yes. Thank you, operator. So good evening, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 3 FY '24 Earnings Call. Today, we have with us the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, the CFO, and other senior leaders. And we will start with a brief overview of the quarter given by Mr. Nehal, and then we will start with the Q&A.

Thank you, and over to you, sir.

Nehal Vora: Thank you, Amit. A very, very good afternoon to everybody. I trust all of you are well, safe and in good health. Thank you for joining us today to discuss CDSL's financial results for the third quarter of the financial year '23-'24. For your convenience, we have provided a comprehensive investor presentation on our website. I'm joined by the CDSL Group's leadership team.

I'd like to begin by highlighting some key aspects of the securities market before going into our company's performance. Commencing with the broader industry landscape, the retail equity average daily turnover saw sequential quarter-on-quarter increase of about 4%. Notably, December was a good month with a remarkable 50% growth compared to the preceding months of November and October.

In line with CDSL's efforts towards enhancing ease of business, we introduced a new series this quarter such as the facilitation of ASBA in secondary markets, multilingual CAS and chatbot services in 4 languages. Investors now have the convenience of accessing their Consolidated Account Statements, CAS in the preferred language among the 23 operating languages in India, while our chatbot service currently is in 4 languages.

So basically, all these initiatives are aimed at promoting the concept of financial inclusion and really access to all. Our overarching goal is to make the capital markets more accessible, convenient and secured for both retail and institutional investors. As we move towards our silver jubilee, we remain steadfast on our commitment towards our efforts towards enhancing trust in the financial ecosystem and really empowering Atmanirbharta amongst the securities market

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investors. The sustainable financial growth has been a byproduct of our effort towards simplifying the entire journey and enhancing market accessibility for all.

I will request our CFO, Shri Girish Amesara, to take you through the financial performance.

However, before I hand it over to him, I would like to express our gratitude to all our stakeholders, the beneficiary owners, the depository participants, issuers, regulators, employees and other market participants for their support in ensuring CDSL continues to grow. I additionally extend heartfelt appreciation to our investors whose trust continues to drive us forward. Our focus remains on creating value for all our stakeholders and enhancing the

Indian

digital capital market ecosystem.

Thank you for your continued support and trust in us. I'll now hand it over to the CFO, Shri Girish Amesara.

Girish Amesara: Thank you, Nehal. Good afternoon to everyone. I'll first speak on the consolidated part. So on a

quarterly performance on consolidated, the total income for December quarter has increased by 47% to INR236 crores as against INR161 crores for the same quarter during previous year. The net profit for the quarter ended December '23 is increased by 44% at INR107 crores as against INR74 crores for the same quarter during the previous year.

Now for 9 months ended December, on a consolidated basis, the total income has increased by 34% to INR640 crores as against INR477 crores in the previous 9 months. The consolidated net profit for the 9 months has increased by 36% to INR290 crores as against INR213 crores of the previous 9 months.

Now I'll speak about stand-alone. The stand-alone quarterly total income for the December quarter has increased by 40% to INR186 crores as against INR133 crores for the same quarter during the previous year. The net profit for the quarter ended December is increased by 37% to INR86 crores as against INR63 crores for the same quarter during the previous year. On a 9-month basis, on a stand-alone basis, the total income has increased by 25% to INR538 crores as against INR431 crores in the previous 9 months. The net profit on a stand-alone basis for the 9 months has increased by 21% to INR266 crores as against INR220 crores.

Now I shall request Shri Sunil Alvares to give an update about operation of the wholly owned subsidiary, CDSL Ventures Limited. Thank you. Over to you, Sunil.

Sunil Alvares: Good evening, and welcome to this call. To give you a brief about CDSL Ventures' financial performance, the operational income increased by INR 38 crores to INR114 crores as against INR76 crores for the 9-month period ending December 31, which was an increase of about 50%. The total income increased to INR128 crores as against INR84 crores in the same period last year, which was again an increase of 52%. The total expenses increased by 51% from INR35 crores to INR53 crores. And the profit after tax was at INR56 crores as against INR35 crores, which was again an increase of 57%.

I now request that we can have the Q&A session so we can start with the questions.

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Moderator: First question is from the line of Prakash Kapadia from Anived Portfolio Management Private Limited. Please go ahead.

Prakash Kapadia: Yes. A couple of questions from my end. If you could give us some sense on what is the year-to-date capex on technology in FY '24. Secondly, if I look at other expenditure, it is up 52% for the quarter. Any one-offs in this?

And Sunil mentioned about the growth. So if I look at the subsidiary growth, the KYC business, you've seen a 50% growth in the 9 months. So what has changed? Has pricing helped? Is it more volume? Is it the low base of last year? If you could give us some sense.

And just one data keeping question, if we can have the breakup of e-CAS and e-Voting charges for the quarter. These were my questions.

Nehal Vora: I'll just ask Girish to answer 3 questions pertaining to CDSL, and then Sunil can answer CVL.

Girish Amesara: So to start with your first question on the capex, we have incurred around INR20 crores towards capital expenditure on technology. With respect to the breakup of the other income, CAS is around INR10 crores in this quarter, e-Voting income was achieved at INR3 crores in this quarter.

Prakash Kapadia: Okay, understood.

Girish Amesara: Other expenses if you look at, largely the mix is almost equivalent to what it was in the last quarter. But if you look at the increase in operating income, it has led to increase in various variable expenses, like payment to SEBI and related exp

enditure, other operational expenses like SMS alerts, etc., which are in line with the increase in operating income.

Prakash Kapadia: No one-off. It is just the volume growth...

Girish Amesara: It's largely on account of volume growth.

Prakash Kapadia: Right, understood.

Sunil Alvares: On the CVL front, again, it's more because of the volume growth. So if you see the number of demat and broking accounts which have been added in this financial year, it's much higher compared to the previous financial year in the same period. So as the number of accounts increase, it has a direct impact on the KYC because each account requires a KYC to be done. So I hope that answers your question.

Prakash Kapadia: Okay, fine. I will come back if I have more questions. Thank you.

Sunil Alvares: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.
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Siddhant Dand: Yes. I just had a question about the term limits of the MD. So will you be throwing your hat in again for the second term?

Nehal Vora: The rule is that one term can be of 5 years and maximum of 10 years. So I am currently eligible for another term. So we'll see how the process goes.

Siddhant Dand: Okay. Second question was you rightfully shared the number of accounts. But because we are seeing a lot of double and triple accounts being opened by people, is it possible to share the number of unique PAN holders at some point?

Nehal Vora: We don't share that as part of our public domain. So we continue to whatever we have already shared.

Siddhant Dand: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, so thanks for the opportunity. So my question is on the unlisted opportunity that you have spoken last time. So what's the progress on that? And have we done any analysis based on the new rule? What is the kind of potential, or the company is eligible for the unlisted? And from when we can see that coming in the revenues?

Nehal Vora: So the law is that if there are any changes in the promoter holding or any raising or any transfer of holding or raising of capital for private companies which has INR40 crores turnover or INR4 crores of share capital, and that is going to come in by September of '24. So we'll have to see how it pans out. We are engaging the right stakeholders to ensure that any queries, etc., are getting addressed. But towards September, we'll come to know and only when there are changes in the share capital or any transfer, then only it's required. So we'll see how it goes.

Amit Chandra: Okay. And sir, the second part of the question would be on the overall costing part. So obviously, we are investing in the business, and there's also some SEBI or regulator-related things that we have to do. So that is scaling up our expenses. but if you see in terms of the expense per employee or our overall expenses, that is around 30% to 40% higher than what the competition is doing. So is it that we are under-invested and still we have to increase our expenses overall at a higher rate? Or we can say that most of the investments are now behind and we can grow the expenses will grow along with the revenue or indexed to inflation?

Nehal Vora: So Amit, as I've told earlier, we are like infrastructure companies building like a road. So ensuring that the right kind of technology and people, these are kind of the specialized on both accounts are required. So we'll have to continue to invest in both to ensure that we get good value proposition to the clients, customers and to the securities market at large.

And so it will be a function of that. It's difficult to forecast, anyway, we don't give any forward-looking statements. but the intent is to ensure that the value proposition continues to remain, the

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platform continues to be kind of a preferred platform, and that is going to be our intent, and to ensure that it is safe, convenient and secure.

Amit Chandra: Okay. And sir, lastly, on the newer opportunities, obviously, we have some areas where we can see some potential in terms of revenue. So insurance is like one of them. Apart from that, can you identify any other areas which can be big in the coming years? Or is it work in progress right now? Or if you can throw some light on that.

Nehal Vora: Again, it's forward-looking statement. So we kind of not give a firm reply. But the overall intent is to ensure that India remains securities market infrastructure sophisticated and really top notch, so more and more people can link up, participate in the securities market seamlessly. And as and when the regulators permit newer kinds of asset classes to come in, we are in terms of an infrastructure provider, be ready to kind of take that on.

Amit Chandra: Okay. And sir, my last question is on the online data charges. So is there a flat fee in terms of creation and fetch for all the DPs? Or is there a slab that we operate there? And what would be the range in terms of discounts that we give to the larger members there?

Sunil Alvares: We have a flat fee. But so far as discounts are concerned, we don't discuss it in the public domain.

Amit Chandra: Okay sir. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Kesari from Kesari Finance. Please go ahead.

Santosh Kesari: Hello, sir. Congratulations for a good set of numbers. I had a few queries. One is that regarding CIRL, that is CDSL Insurance Repository, we do not seem to have the number of policies growing compared to quarter-on-quarter every year. And it appears that the management is not pushing very hard in terms of business penetration or tie-up with other insurance companies or making the business really acceptable at a large public level the way we have pursued the depository industry. So is that perception correct? Or there is something that's going on that we

are not aware of?

Nehal Vora: See, again, I think from an effort point of view, again, we are like an infrastructure provider, and insurance also is another such set of business. The linkages with insurance companies is there but it's not really mandatory for insurance policies to be converted into a demat. So it's on a voluntary basis. So only as and when people feel the need, they would do it.

The important thing is that we have the right kind of technology and platform to ensure that the value proposition continues to be driven both from a lower cost and a higher efficiency to the market. And the same ethos is continued from an insurance point of view.

Santosh Kesari: Right, sir. At present, there are companies in competition who are tying up with, let's say, Oriental Insurance and other public sector insurance. And there, it becomes a joint DBE of the insurance company as well as the insurance repository company to sell the product and get more business from the clients.

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So if that kind of effort is there, it should be brought in public domain. Because it appears that the number of policies remain stagnant quarter-on-quarter and it's not moving beyond 15 lakhs. As I can see, it is just 13 lakhs or 12 lakhs policies that's there. Even in the last quarter, it was same. So the business has become stagnant. That was my question.

Nehal Vora: No, it means the business is not stagnant. There is a considerable effort, and we are in really ramping up in terms of the senior employees also. So we are hopeful and we continue to invest in that business. I don't see it as an issue.

Santosh Kesari: Yes. So basically, we are not getting into very active tie-up with large insurance companies to be

really big in the space.

Nehal Vora: I don't think this would be the forum to really discuss the strategy on what we are planning to do. Intent is to provide as a broad thought that to ensure that our platform is available. Because it's not about specific insurance. But these are all finally forward-looking statements. So we'll continue to invest and ensure that technology platforms continue to remain the right kind where the value proposition would remain.

Santosh Kesari: Okay. Great. And my second question is regarding the cash balance that you have, the consolidated one. And since it is 25 years. So any consideration from the management side on bonus or share split or any other special dividend?

Nehal Vora: The feedback is taken. It has come through various forums. The Board will take it up at an appropriate time.

Santosh Kesari: Right, sir. And what is the cash balance on a consolidated basis?

Girish Amesara: We have an investment of roughly INR700 crores.

Santosh Kesari: Okay. Thank you so much. Wish you all good luck.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Pratik Shah an individual investor.

Pratik Shah: Yes. So firstly, just congratulations to the CDSL team for the good set of numbers. And also, I'd like to congratulate for having this INR10 crores in active demat account is like a milestone really, and I can see in the presentation, there are a lot of awards CDSL has won this time around. So congratulations for that.

A couple of questions from my side. First one is like, I mean, is CDSL using any of this artificial intelligence technique in any of the processes for you, if you're moving in the security domain? And second question is just you answer that, I mean, since last couple of, CDSL has raised capital from IPO and a lot of cash in Balance Sheet, while parent BSE has also given a buyback and bonus. So why CDSL is not focusing on to gain the investor back? So these are my 2 questions.

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Nehal Vora: So see, artificial intelligence and all are various tools, so CDSL uses various tools in various facets, be it regulation or technology or whatever, to ensure that the value proposition is. So it's finally a tool and there are various such tools which are used in our day to day functioning.

Regards your question on buyback, etc., as I said earlier, it has come as a feedback. We will surely be speaking up with the Board and we'll see at what time and in what form, if at all it comes, will be taken up.

Pratik Shah: Yes, that's it. And hopefully, Nehal Vora will be the MD & CEO continuing for the next 5 years.

Nehal Vora: I would really thank you for your vision. Thank you.

Pratik Shah: Thank you.

Moderator: Next question is from the line of Bhargav Sangi from AMSEC.

Bhargav Sangi: Hello sir, Can you provide the number of folios for the quarter?

Nehal Vora: We generally don't give that number on the public domain.

Bhargav Sangi: Ok. Thank you.

Moderator: Thank you. Next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thank you for the opportunity. My first question is on the faster settlement that the regulator has been pursuing. So just wanted to understand what is the current timelines that we are working with on that? And what kind of investment or change in infrastructure, what CDSL has to take to adapt to these changes when it comes to faster settlement? That's the first question.

And the second question is on the compulsory dematerialization of private company shares. Now I understand that all the companies will have to get their shares dematted by September '24. So, when should we start seeing the companies coming up to CDSL and your competitor, NSDL and getting their shares dematted? Should that start happening from the fourth quarter or first quarter next year? When do you start seeing

the volumes? Those are my 2 questions. Thank you.

Nehal Vora: On the first question, SEBI has released a public consultation paper on faster settlement. So once the comments are received, they will kind of be deliberating internally. And once they issue the circulars, then they will kind of be moving. As an optional, there are public consultation talks about an optional T plus zero and instantaneous. So CDSL as part of the ecosystem of the MIIs is working very closely around how the entire processing will have to be done. And we are putting in the right kind of infrastructure as well as processing to ensure that we're able to comply with that.

On your second question sorry?

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Supratim Datta: If I could just have a follow-up on the first one. So I understand that you are putting in the right kind of infrastructure. But when you say right kind, does it mean more people or does it mean more investment in technology? If you could just elaborate on what does right mean.

Nehal Vora: Yes, we don't give forward-looking statements. But technically, it will need people as well as technology both in terms of investment and whether the shorter settlement cycle comes or not, that is kind of the core building blocks for CDSL as we move along and as more and more customers come in. So these are the 2 core areas which needs to be constantly be reviewed and invested on to ensure that the value proposition continues to grow.

And on the second question, as I said earlier, on September '24, it is not for all the private limited companies as per the current rule of MCA. It's for people above share capital of INR4 crores or a turnover of INR40 crores. And only for those companies which are going to either transfer their securities or raise further share capital, where compulsory demat will be required.

So we'll have to wait and watch how that will pan out because of these conditions which are there. So I don't think we'll be able to really predict from whereon that revenue will be able to grow.

And anyway, it's a forward-looking statements, so we don't give forward guidance.

Supratim Datta: Got it, got it. Understood. And just last year, you had given that number of folios. So you had said that it was around 137 million at the end of cycle for you. So is it possible at least to give a relative...

Nehal Vora: I don't think 137 million would have been our number. I think you may have got it from, at least, we have not given that number. So I don't know, I'm a little surprised seeing this number has come from us. But anyways, we don't provide that number. So I don't think we're able to give that.

Supratim Datta: Okay, no problem. Thank you.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Yes, hi, sir. Thank you for the opportunity. I just wanted to understand a little bit more on the private company side following up on the previous participant's query. So first of all, if you could highlight if you have done any kind of assessment, basically that how many companies would be there from with this turnover and capital limits that you have highlighted, which could be addressed by the depositories. Overall, if you could give us the opportunity size.

And secondly, for the September '24 deadline, which companies would need to dematerialize? Ones who are doing this corporate action in the current financial year, is the rule for them? And then henceforth, as and when companies continue to further do corporate actions, then they will come into ambit of the law. If you could give some bit more granularity on that. That is the first question.

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Second is in terms of the T plus zero settlement or instantaneous settlement, I understand that

you would not like to give a forward-looking statement. But broadly, sir, when we moved from T plus two to T plus one, could you highlight that had that resulted in a higher proportion of transaction income last time and that had benefited us? If you could give some color on that. That is the second question.

And thirdly, on the online data charges. So the number has been flat in third quarter vis-a-vis second quarter. However, I think in third quarter, particularly towards the end, the number of new demat accounts opened had increased quite significantly. So beside that if you could explain why number is flat.

And also if you can give some color that we understand that January has been fairly strong in line with, I mean, even better than December. But how are you seeing the trends in the first few days of February? Is a similar run rate being maintained? That would be very helpful. Yes, sir. Those are my questions.

Nehal Vora: I just hope I can remember all the questions, but I will try my best. On the first question on the private limited, it is difficult to assess because the kind of the eligibility comes in by September '24. So it could range from a few thousands to a few lakhs companies. But out of that, only those which kind of indulge in any raising of capital or transfer of holding will be required to demat before they can do such a thing.

So it is a condition contingent upon that action, which will prompt them to move into compulsory demat. Voluntary basis, people can anyways do it even now. So therefore, it will be difficult to kind of give a firm number on what would be the opportunity because the number of companies from today to September can grow or can be closed down also. So we'll have to kind of assess in September as to how many number of companies will be there at that.

Your second question on T plus...

Swarnabh Mukherjee: Sir, before we move on to the next question, just a clarification. So the regulation would be saying that the number of companies who will fall in that above the limit of INR4 crores and INR40 crores, they will then from the following period will have to come and demat? Would that be a correct understanding?

Nehal Vora: No, those companies who then want to transfer their share capital or raise any share capital have to compulsory demat before they can...

Swarnabh Mukherjee: Yes, post September '24.

Nehal Vora: So there are 2 limits. The first limit is about this INR40 crores and INR4 crores. And second is that condition contingent that they have to raise any share capital or transfer any share capital, then they have to compulsory demat.

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Swarnabh Mukherjee: Right, sir. Right. And at this current stage, do you have a view on how many would be there? Maybe it might change at September, but currently, whatever data you have, would you like to share some view?

Nehal Vora: See, again, we do our kind of analysis. But again, that information will have no meaning today, it should not give a false picture about what will be the situation in September. So I think it has to wait until September once the rule really comes in before we can go in for that.

On your second question on T plus two to T plus one, I think there has been a significant participation, as you can see in the number of invested accounts, demat accounts, which have grown between T plus two and T plus one. So the credit, the risk in the market goes down. So therefore, the systemic risk goes down. How that will pan out with T plus zero will have to be seen. We don't anywhere give any forward-looking statements, but it will be difficult to assess at this stage.

We'll have to see once it comes, how that pans out. But overall, the ethos of the regulator is to make the market safer and more secure and reduce the systemic risk in the market. And therefore, these new initiatives are being taken.

Your

third question, I'm sorry, could you repeat your third question?

Swarnabh Mukherjee: Yes. Sir, so on the online data charges, Q3 over Q2 has been flat. However, I think the number of demat accounts added in the overall industry was significantly higher in third quarter. So if you could explain why our revenue remained flat despite that addition? And secondly, from public data, we see that January has been, I think, stronger than December as well. So how are the trends panning out in the first few days of February, if you could highlight?

Nehal Vora: Yes. So far as the number of accounts would have increased, but then each of these accounts are linked to one particular PAN itself. So I mean, somebody could have multiple accounts, but it is linked to one PAN. So to that extent, you really cannot compare it. There will be some increase in the income, increase in the demat and broking accounts, but you cannot take into account saying that because the demat and broking accounts have increased by so much the online data charges also has to increase proportionately. It will never be in proportion. I hope that answers your question.

Swarnabh Mukherjee: Yes. Sure, sir. Understood, sir. Any color on February, how it is going?

Nehal Vora: We don't give any forward-looking statements. And again, that once it comes in the public domain, we anyways disseminate the monthly number of accounts at the end of the month. So just wait for a few weeks, and you should be knowing what the number looks like.

Swarnabh Mukherjee: Sure, sir. Got it. Thank you so much. And all the best.

Nehal Vora: Thank you.

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Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity . Sir, I have a few data keeping questions. First of all, if you can provide data provision number in the current quarter. Because why I'm asking this number is that if this number played a role in increasing the other opex? Or irrespective of that, other opex has grown?

Nehal Vora: I'll ask CFO to answer that.

Girish Amesara: The provision for this quarter is around INR4 crores.

Sanketh Godha: Okay. Sir, which means that even if I take that number, the other admin expenses other than the regulatory cost, because regulatory costs have been flat year on year, quarter-on-quarter, INR10 crores, there has been 8% growth or 57% year-on-year growth in the other and admin expenses. So just wanted to understand, this is largely linked to the operational level growth or some line I think you have answered that question, but just wanted to reconfirm that number has been driven by some other spends which you might have done with respect to technology or instantaneous settlement or something, which is getting reflected here.

Girish Amesara: So in the first question, we had answered this, that there are no one-offs in this quarter, okay? All the expenses which we have incurred in this quarter are more or less directly related to rising operational income, and expenses which are to be required to be incurred continuously over a period of quarter have been incurred.

Sanketh Godha: Okay, sir. And the second question is that again, a data-related question. I think you used to give the data in the past, but if you can share now also it will be great. How much is your pledge income in the current quarter?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Sorry?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Okay. And if you can share your revenue earned from unlisted companies in annual issuer charges?

Girish Amesara: INR1.2 crores, revenue earned in this quarter from unlisted companies.

Sanketh Godha: And how much was it in second quarter, sir, if you can share that data?

Girish Amesara: More or less, it was similar.

Sanketh Godha: Okay, okay. Perfect, sir. And maybe sorry to harp on

this point, but we know a number of companies which are private. And we probably might have done the analysis that out of the Central Depository Services (India) Limited
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entire population of private companies, how many have a turnover of INR40 crores and INR4 crores net worth. I agree with your point that everyone will not come and raise capital or do a share transfer.

But if I want to identify the outstanding number of companies today based on your assessment which qualify for the first rule, that is INR40 crores turnover and INR4 crores shared capital, if you can give us an indicative number that will be useful just from an industry point of view to understand maybe a long-term opportunity.

Nehal Vora: Again, Sanketh, what I was trying to say that in September i.e between today and September, there's about 5 to 6 months yet left. And there can be companies which will open, which will shut. So again, giving today's numbers, in my opinion, will not have a meaning. We should kind

of reassess this question in September because that is when the true point will be in picture.

Sanketh Godha: Okay, sir perfect. That's it from my side. Thank you very much.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Hi, good evening and congratulations on a good set of numbers.

Nehal Vora: Thank you.

Madhukar Ladha: Sir, I wanted to understand just this one thing. There are a lot of new SEBI initiatives, especially on instantaneous settlement, I'm not sure whether this question was asked earlier. But any thoughts on or any sense on how the revenue model will change? That's question number one. And question number two, what would be the likely additional sort of expenses that we would need to incur for this? And what are the current timelines on this? And you could conceptually sort of help us also understand right now, for example, the settlement happens at the end of the day or T plus two is when the shares get debited. So how will it work in that in the new sort of revised framework?

Nehal Vora: So again, see, it is T plus one, it's not T plus two we have right now. So technically, the pain happens today in the morning on T plus one for the cash market equities and generally the securities markets. T plus zero will be on the same day.

The details and all will get finalized after SEBI receives comments from the public consultation paper, and they will firm up their rules as to what time and all that will be announced by SEBI.

As well as the instantaneous settlement also, the contours of how it will work will all get announced after SEBI finalizes the rules on that.

So the intent is that it makes basically the systemic risk lower because you are able to get your securities and funds faster. And hence, therefore, more and more people would want to participate in the securities market.

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I think that's the overall direction in which it is going. And we are today T plus one also, we're now one of the only leading markets to be on T plus one in the world. So I think that is also a great sense of kind of achievement also for the Indian securities markets to ensure that it continues to remain robust in terms of new reforms, etcetera.

Madhukar Ladha: Sure. All right. All the best.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Siddhant Dand: Hello. I just wanted to really understand the annual issuer charges. So it's the total number of folios divided by total number of working days in a financial year, right?

Nehal Vora: No, no. There is...

Girish Amesara: Sir, we didn't get your question fully understood.

Siddhant Dand: The annual issuer charges, how are they calculated? Can you just explain that again?

Girish Amesara: If you look at our operating instruction, there are two sets of charges mentioned. One is slab-based and another is based on folio. So at the year-end, what we do is we arrive at an average folio of a particular company and then we match with both the criteria. Now if the valuation based on INR11 is higher, then we raise the bill based on the higher amount that is generated.

Siddhant Dand: Okay. And so for the next year because it's quite stable every quarter, right? So for the next year, it will be decided based on this year's data.

Girish Amesara: This invoicing is done in the month of April for the full next year. It is not quarterly billing.

Siddhant Dand: Yes, yes. So on the P&L, I'm saying, of course. So it will be based on this year's data, right?

Girish Amesara: We do appropriation of the yearly invoicing that we have done on an accrual method of accounting.

Siddhant Dand: Correct. But the amount that will be decided for next year will be based on this year's data average?

Girish Amesara: Yes, for next year, the amount will be decided based on the average folio as on 31st of March '24.

Siddhant Dand: Correct. Perfect. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Keshri from Kesari Finance. Please go ahead.

Santosh Keshri: Sir, just I had one more question regarding sorry, sir, I'll come back in the queue. I'm so sorry.

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Nehal Vora: Okay.

Moderator: Next question is from the line of Hiten Jain from Invesco. Please go ahead.

Hiten Jain: Yes, thanks. I have one question. So I'm just trying to understand the growth in the other revenue sources ex of what you reported in your PPT, which is essentially all combined in terms of consolidated statement charges, the e-Voting. So what I've done is I've taken total revenue from operations minus annual issuer, minus transaction business, minus corporate action and minus online data charges.

So that number is coming down to this quarter at INR18.5 crores versus INR26.6 crores previous quarter. So it's sequentially down 30%. And if I take 9 months year-on-year data, it is up just 5%, 9 months growth. So can you just help me why this segment is seeing such low growth and sequentially it is down by 30%?

Girish Amesara: See, other revenues, if you have a question on the breakup of the other income, other income largely consists of 3 major portions. One is investment income, another is annual issuer charges sorry, CAS charges and e-Voting income. Now if you intend to have a breakup of what we have reported for this quarter, I can provide. Because I'm a little confused on your question because we are not able to figure out the difference of INR18 crores anywhere.

Hiten Jain: Yes, yes. So you can help me, what is the 9 months growth for e-Voting and what is the 9 months growth for your consolidated Account Statement i.e. CAS charges? That seems to be weak. Can you just help me understand why is that weak?

Girish Amesara: See, e-Voting, if you see predominantly e-Voting income would accrue majorly in second quarter.

Hiten Jain: But even 9 months growth is weak.

Girish Amesara: So irrespective of. That income would predominantly be at the highest, at the peak in the second quarter. So if you compare 9 months to 9 months, more or less, it is almost same.

Hiten Jain: Okay. So we haven't seen much growth there.

Girish Amesara: Yes.

Hiten Jain: Okay. And CAS charges?

Girish Amesara: You will see growth in the CAS charges because currently, we are sending CAS statement to all the investors.

Hiten Jain: Correct. So what is that number, 9 months versus 9 months absolute?

Girish Amesara: So if you look at in the current 9 months, we have earned an income from CAS at around INR25 crores on a 9-month basis. And in the previous 9 months, we had earned an income of INR17 crores.

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Hiten Jain: Okay. So it's e-Voting which has not grown much this year versus prior year?

Girish Amesara: It's grown by INR50 lakhs.

Hiten Jain: Okay. All right Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments.

Nehal Vora: Thank you all for your questions. I wish you all a very safe, secure and healthy life ahead. Thank you. Take care.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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CDSL/CS/NSE/RG/2024/ 37 February 13, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on February 07, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated January 31, 2024 , for scheduling of
Conference Call on February 07, 2024 , please find attached the transcript of the aforesaid
Conference Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

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Central Depository Services (India) Limited
Q3 FY '24 Conference Call
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Management: Mr. Nehal Vora–Managing Director and Chief Executive
Officer– Central Depository Services (India) Limited
Mr. Girish Amesara – Chief Financial Officer – Central

Depository Services (India) Limited
Mr. Sunil Alvares – CDSL Ventures Limited
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

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Moderator: Ladies and gentlemen, good day, and welcome to CDSL's Q3 FY '24 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for future or which could be constituted as a forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, sir.

Amit Chandra: Yes. Thank you, operator. So good evening, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 3 FY '24 Earnings Call. Today, we have with us the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, the CFO, and other senior leaders. And we will start with a brief overview of the quarter given by Mr. Nehal, and then we will start with the Q&A.

Thank you, and over to you, sir.

Nehal Vora: Thank you, Amit. A very, very good afternoon to everybody. I trust all of you are well, safe and in good health. Thank you for joining us today to discuss CDSL's financial results for the third quarter of the financial year '23-'24. For your convenience, we have provided a comprehensive investor presentation on our website. I'm joined by the CDSL Group's leadership team.

I'd like to begin by highlighting some key aspects of the securities market before going into our company's performance. Commencing with the broader industry landscape, the retail equity average daily turnover saw sequential quarter-on-quarter increase of about 4%. Notably, December was a good month with a remarkable 50% growth compared to the preceding months of November and October.

In line with CDSL's efforts towards enhancing ease of business, we introduced a new series this quarter such as the facilitation of ASBA in secondary markets, multilingual CAS and chatbot services in 4 languages. Investors now have the convenience of accessing their Consolidated Account Statements, CAS in the preferred language among the 23 operating languages in India, while our chatbot service currently is in 4 languages.

So basically, all these initiatives are aimed at promoting the concept of financial inclusion and really access to all. Our overarching goal is to make the capital markets more accessible, convenient and secured for both retail and institutional investors. As we move towards our silver jubilee, we remain steadfast on our commitment towards our efforts towards enhancing trust in the financial ecosystem and really empowering Atmanirbharta amongst the securities market

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investors. The sustainable financial growth has been a byproduct of our effort towards simplifying the entire journey and enhancing market accessibility for all.

I will request our CFO, Shri Girish Amesara, to take you through the financial performance.

However, before I hand it over to him, I would like to express our gratitude to all our stakeholders, the beneficiary owners, the depository participants, issuers, regulators, employees and other market participants for their support in ensuring CDSL continues to grow. I additionally extend heartfelt appreciation to our investors whose trust continues to drive us forward. Our focus remains on creating value for all our stakeholders and enhancing the

Indian

digital capital market ecosystem.

Thank you for your continued support and trust in us. I'll now hand it over to the CFO, Shri Girish Amesara.

Girish Amesara: Thank you, Nehal. Good afternoon to everyone. I'll first speak on the consolidated part. So on a

quarterly performance on consolidated, the total income for December quarter has increased by 47% to INR236 crores as against INR161 crores for the same quarter during previous year. The net profit for the quarter ended December '23 is increased by 44% at INR107 crores as against INR74 crores for the same quarter during the previous year.

Now for 9 months ended December, on a consolidated basis, the total income has increased by 34% to INR640 crores as against INR477 crores in the previous 9 months. The consolidated net profit for the 9 months has increased by 36% to INR290 crores as against INR213 crores of the previous 9 months.

Now I'll speak about stand-alone. The stand-alone quarterly total income for the December quarter has increased by 40% to INR186 crores as against INR133 crores for the same quarter during the previous year. The net profit for the quarter ended December is increased by 37% to INR86 crores as against INR63 crores for the same quarter during the previous year. On a 9-month basis, on a stand-alone basis, the total income has increased by 25% to INR538 crores as against INR431 crores in the previous 9 months. The net profit on a stand-alone basis for the 9 months has increased by 21% to INR266 crores as against INR220 crores.

Now I shall request Shri Sunil Alvares to give an update about operation of the wholly owned subsidiary, CDSL Ventures Limited. Thank you. Over to you, Sunil.

Sunil Alvares: Good evening, and welcome to this call. To give you a brief about CDSL Ventures' financial performance, the operational income increased by INR 38 crores to INR114 crores as against INR76 crores for the 9-month period ending December 31, which was an increase of about 50%. The total income increased to INR128 crores as against INR84 crores in the same period last year, which was again an increase of 52%. The total expenses increased by 51% from INR35 crores to INR53 crores. And the profit after tax was at INR56 crores as against INR35 crores, which was again an increase of 57%.

I now request that we can have the Q&A session so we can start with the questions.

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Moderator: First question is from the line of Prakash Kapadia from Anived Portfolio Management Private Limited. Please go ahead.

Prakash Kapadia: Yes. A couple of questions from my end. If you could give us some sense on what is the year-to-date capex on technology in FY '24. Secondly, if I look at other expenditure, it is up 52% for the quarter. Any one-offs in this?

And Sunil mentioned about the growth. So if I look at the subsidiary growth, the KYC business, you've seen a 50% growth in the 9 months. So what has changed? Has pricing helped? Is it more volume? Is it the low base of last year? If you could give us some sense.

And just one data keeping question, if we can have the breakup of e-CAS and e-Voting charges for the quarter. These were my questions.

Nehal Vora: I'll just ask Girish to answer 3 questions pertaining to CDSL, and then Sunil can answer CVL.

Girish Amesara: So to start with your first question on the capex, we have incurred around INR20 crores towards capital expenditure on technology. With respect to the breakup of the other income, CAS is around INR10 crores in this quarter, e-Voting income was achieved at INR3 crores in this quarter.

Prakash Kapadia: Okay, understood.

Girish Amesara: Other expenses if you look at, largely the mix is almost equivalent to what it was in the last quarter. But if you look at the increase in operating income, it has led to increase in various variable expenses, like payment to SEBI and related exp

enditure, other operational expenses like SMS alerts, etc., which are in line with the increase in operating income.

Prakash Kapadia: No one-off. It is just the volume growth...

Girish Amesara: It's largely on account of volume growth.

Prakash Kapadia: Right, understood.

Sunil Alvares: On the CVL front, again, it's more because of the volume growth. So if you see the number of demat and broking accounts which have been added in this financial year, it's much higher compared to the previous financial year in the same period. So as the number of accounts increase, it has a direct impact on the KYC because each account requires a KYC to be done. So I hope that answers your question.

Prakash Kapadia: Okay, fine. I will come back if I have more questions. Thank you.

Sunil Alvares: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.
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Siddhant Dand: Yes. I just had a question about the term limits of the MD. So will you be throwing your hat in again for the second term?

Nehal Vora: The rule is that one term can be of 5 years and maximum of 10 years. So I am currently eligible for another term. So we'll see how the process goes.

Siddhant Dand: Okay. Second question was you rightfully shared the number of accounts. But because we are seeing a lot of double and triple accounts being opened by people, is it possible to share the number of unique PAN holders at some point?

Nehal Vora: We don't share that as part of our public domain. So we continue to whatever we have already shared.

Siddhant Dand: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, so thanks for the opportunity. So my question is on the unlisted opportunity that you have spoken last time. So what's the progress on that? And have we done any analysis based on the new rule? What is the kind of potential, or the company is eligible for the unlisted? And from when we can see that coming in the revenues?

Nehal Vora: So the law is that if there are any changes in the promoter holding or any raising or any transfer of holding or raising of capital for private companies which has INR40 crores turnover or INR4 crores of share capital, and that is going to come in by September of '24. So we'll have to see how it pans out. We are engaging the right stakeholders to ensure that any queries, etc., are getting addressed. But towards September, we'll come to know and only when there are changes in the share capital or any transfer, then only it's required. So we'll see how it goes.

Amit Chandra: Okay. And sir, the second part of the question would be on the overall costing part. So obviously, we are investing in the business, and there's also some SEBI or regulator-related things that we have to do. So that is scaling up our expenses. but if you see in terms of the expense per employee or our overall expenses, that is around 30% to 40% higher than what the competition is doing. So is it that we are under-invested and still we have to increase our expenses overall at a higher rate? Or we can say that most of the investments are now behind and we can grow the expenses will grow along with the revenue or indexed to inflation?

Nehal Vora: So Amit, as I've told earlier, we are like infrastructure companies building like a road. So ensuring that the right kind of technology and people, these are kind of the specialized on both accounts are required. So we'll have to continue to invest in both to ensure that we get good value proposition to the clients, customers and to the securities market at large.

And so it will be a function of that. It's difficult to forecast, anyway, we don't give any forward-looking statements. but the intent is to ensure that the value proposition continues to remain, the

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platform continues to be kind of a preferred platform, and that is going to be our intent, and to ensure that it is safe, convenient and secure.

Amit Chandra: Okay. And sir, lastly, on the newer opportunities, obviously, we have some areas where we can see some potential in terms of revenue. So insurance is like one of them. Apart from that, can you identify any other areas which can be big in the coming years? Or is it work in progress right now? Or if you can throw some light on that.

Nehal Vora: Again, it's forward-looking statement. So we kind of not give a firm reply. But the overall intent is to ensure that India remains securities market infrastructure sophisticated and really top notch, so more and more people can link up, participate in the securities market seamlessly. And as and when the regulators permit newer kinds of asset classes to come in, we are in terms of an infrastructure provider, be ready to kind of take that on.

Amit Chandra: Okay. And sir, my last question is on the online data charges. So is there a flat fee in terms of creation and fetch for all the DPs? Or is there a slab that we operate there? And what would be the range in terms of discounts that we give to the larger members there?

Sunil Alvares: We have a flat fee. But so far as discounts are concerned, we don't discuss it in the public domain.

Amit Chandra: Okay sir. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Kesari from Kesari Finance. Please go ahead.

Santosh Kesari: Hello, sir. Congratulations for a good set of numbers. I had a few queries. One is that regarding CIRL, that is CDSL Insurance Repository, we do not seem to have the number of policies growing compared to quarter-on-quarter every year. And it appears that the management is not pushing very hard in terms of business penetration or tie-up with other insurance companies or making the business really acceptable at a large public level the way we have pursued the depository industry. So is that perception correct? Or there is something that's going on that we

are not aware of?

Nehal Vora: See, again, I think from an effort point of view, again, we are like an infrastructure provider, and insurance also is another such set of business. The linkages with insurance companies is there but it's not really mandatory for insurance policies to be converted into a demat. So it's on a voluntary basis. So only as and when people feel the need, they would do it.

The important thing is that we have the right kind of technology and platform to ensure that the value proposition continues to be driven both from a lower cost and a higher efficiency to the market. And the same ethos is continued from an insurance point of view.

Santosh Kesari: Right, sir. At present, there are companies in competition who are tying up with, let's say, Oriental Insurance and other public sector insurance. And there, it becomes a joint DBE of the insurance company as well as the insurance repository company to sell the product and get more business from the clients.

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So if that kind of effort is there, it should be brought in public domain. Because it appears that the number of policies remain stagnant quarter-on-quarter and it's not moving beyond 15 lakhs. As I can see, it is just 13 lakhs or 12 lakhs policies that's there. Even in the last quarter, it was same. So the business has become stagnant. That was my question.

Nehal Vora: No, it means the business is not stagnant. There is a considerable effort, and we are in really ramping up in terms of the senior employees also. So we are hopeful and we continue to invest in that business. I don't see it as an issue.

Santosh Kesari: Yes. So basically, we are not getting into very active tie-up with large insurance companies to be

really big in the space.

Nehal Vora: I don't think this would be the forum to really discuss the strategy on what we are planning to do. Intent is to provide as a broad thought that to ensure that our platform is available. Because it's not about specific insurance. But these are all finally forward-looking statements. So we'll continue to invest and ensure that technology platforms continue to remain the right kind where the value proposition would remain.

Santosh Kesari: Okay. Great. And my second question is regarding the cash balance that you have, the consolidated one. And since it is 25 years. So any consideration from the management side on bonus or share split or any other special dividend?

Nehal Vora: The feedback is taken. It has come through various forums. The Board will take it up at an appropriate time.

Santosh Kesari: Right, sir. And what is the cash balance on a consolidated basis?

Girish Amesara: We have an investment of roughly INR700 crores.

Santosh Kesari: Okay. Thank you so much. Wish you all good luck.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Pratik Shah an individual investor.

Pratik Shah: Yes. So firstly, just congratulations to the CDSL team for the good set of numbers. And also, I'd like to congratulate for having this INR10 crores in active demat account is like a milestone really, and I can see in the presentation, there are a lot of awards CDSL has won this time around. So congratulations for that.

A couple of questions from my side. First one is like, I mean, is CDSL using any of this artificial intelligence technique in any of the processes for you, if you're moving in the security domain? And second question is just you answer that, I mean, since last couple of, CDSL has raised capital from IPO and a lot of cash in Balance Sheet, while parent BSE has also given a buyback and bonus. So why CDSL is not focusing on to gain the investor back? So these are my 2 questions.

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Nehal Vora: So see, artificial intelligence and all are various tools, so CDSL uses various tools in various facets, be it regulation or technology or whatever, to ensure that the value proposition is. So it's finally a tool and there are various such tools which are used in our day to day functioning.

Regards your question on buyback, etc., as I said earlier, it has come as a feedback. We will surely be speaking up with the Board and we'll see at what time and in what form, if at all it comes, will be taken up.

Pratik Shah: Yes, that's it. And hopefully, Nehal Vora will be the MD & CEO continuing for the next 5 years.

Nehal Vora: I would really thank you for your vision. Thank you.

Pratik Shah: Thank you.

Moderator: Next question is from the line of Bhargav Sangi from AMSEC.

Bhargav Sangi: Hello sir, Can you provide the number of folios for the quarter?

Nehal Vora: We generally don't give that number on the public domain.

Bhargav Sangi: Ok. Thank you.

Moderator: Thank you. Next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thank you for the opportunity. My first question is on the faster settlement that the regulator has been pursuing. So just wanted to understand what is the current timelines that we are working with on that? And what kind of investment or change in infrastructure, what CDSL has to take to adapt to these changes when it comes to faster settlement? That's the first question.

And the second question is on the compulsory dematerialization of private company shares. Now I understand that all the companies will have to get their shares dematted by September '24. So, when should we start seeing the companies coming up to CDSL and your competitor, NSDL and getting their shares dematted? Should that start happening from the fourth quarter or first quarter next year? When do you start seeing

the volumes? Those are my 2 questions. Thank you.

Nehal Vora: On the first question, SEBI has released a public consultation paper on faster settlement. So once the comments are received, they will kind of be deliberating internally. And once they issue the circulars, then they will kind of be moving. As an optional, there are public consultation talks about an optional T plus zero and instantaneous. So CDSL as part of the ecosystem of the MIIs is working very closely around how the entire processing will have to be done. And we are putting in the right kind of infrastructure as well as processing to ensure that we're able to comply with that.

On your second question sorry?

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Supratim Datta: If I could just have a follow-up on the first one. So I understand that you are putting in the right kind of infrastructure. But when you say right kind, does it mean more people or does it mean more investment in technology? If you could just elaborate on what does right mean.

Nehal Vora: Yes, we don't give forward-looking statements. But technically, it will need people as well as technology both in terms of investment and whether the shorter settlement cycle comes or not, that is kind of the core building blocks for CDSL as we move along and as more and more customers come in. So these are the 2 core areas which needs to be constantly be reviewed and invested on to ensure that the value proposition continues to grow.

And on the second question, as I said earlier, on September '24, it is not for all the private limited companies as per the current rule of MCA. It's for people above share capital of INR4 crores or a turnover of INR40 crores. And only for those companies which are going to either transfer their securities or raise further share capital, where compulsory demat will be required.

So we'll have to wait and watch how that will pan out because of these conditions which are there. So I don't think we'll be able to really predict from whereon that revenue will be able to grow.

And anyway, it's a forward-looking statements, so we don't give forward guidance.

Supratim Datta: Got it, got it. Understood. And just last year, you had given that number of folios. So you had said that it was around 137 million at the end of cycle for you. So is it possible at least to give a relative...

Nehal Vora: I don't think 137 million would have been our number. I think you may have got it from, at least, we have not given that number. So I don't know, I'm a little surprised seeing this number has come from us. But anyways, we don't provide that number. So I don't think we're able to give that.

Supratim Datta: Okay, no problem. Thank you.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Yes, hi, sir. Thank you for the opportunity. I just wanted to understand a little bit more on the private company side following up on the previous participant's query. So first of all, if you could highlight if you have done any kind of assessment, basically that how many companies would be there from with this turnover and capital limits that you have highlighted, which could be addressed by the depositories. Overall, if you could give us the opportunity size.

And secondly, for the September '24 deadline, which companies would need to dematerialize? Ones who are doing this corporate action in the current financial year, is the rule for them? And then henceforth, as and when companies continue to further do corporate actions, then they will come into ambit of the law. If you could give some bit more granularity on that. That is the first question.

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Second is in terms of the T plus zero settlement or instantaneous settlement, I understand that

you would not like to give a forward-looking statement. But broadly, sir, when we moved from T plus two to T plus one, could you highlight that had that resulted in a higher proportion of transaction income last time and that had benefited us? If you could give some color on that.

That is the second question.

And thirdly, on the online data charges. So the number has been flat in third quarter vis-a-vis second quarter. However, I think in third quarter, particularly towards the end, the number of new demat accounts opened had increased quite significantly. So beside that if you could explain why number is flat.

And also if you can give some color that we understand that January has been fairly strong in line with, I mean, even better than December. But how are you seeing the trends in the first few days of February? Is a similar run rate being maintained? That would be very helpful. Yes, sir.

Those are my questions.

Nehal Vora: I just hope I can remember all the questions, but I will try my best. On the first question on the private limited, it is difficult to assess because the kind of the eligibility comes in by September '24. So it could range from a few thousands to a few lakhs companies. But out of that, only those which kind of indulge in any raising of capital or transfer of holding will be required to demat before they can do such a thing.

So it is a condition contingent upon that action, which will prompt them to move into compulsory demat. Voluntary basis, people can anyways do it even now. So therefore, it will be difficult to kind of give a firm number on what would be the opportunity because the number of companies from today to September can grow or can be closed down also. So we'll have to kind of assess in September as to how many number of companies will be there at that.

Your second question on T plus...

Swarnabh Mukherjee: Sir, before we move on to the next question, just a clarification. So the regulation would be saying that the number of companies who will fall in that above the limit of INR4 crores and INR40 crores, they will then from the following period will have to come and demat? Would that be a correct understanding?

Nehal Vora: No, those companies who then want to transfer their share capital or raise any share capital have to compulsory demat before they can...

Swarnabh Mukherjee: Yes, post September '24.

Nehal Vora: So there are 2 limits. The first limit is about this INR40 crores and INR4 crores. And second is that condition contingent that they have to raise any share capital or transfer any share capital, then they have to compulsory demat.

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Swarnabh Mukherjee: Right, sir. Right. And at this current stage, do you have a view on how many would be there? Maybe it might change at September, but currently, whatever data you have, would you like to share some view?

Nehal Vora: See, again, we do our kind of analysis. But again, that information will have no meaning today, it should not give a false picture about what will be the situation in September. So I think it has to wait until September once the rule really comes in before we can go in for that.

On your second question on T plus two to T plus one, I think there has been a significant participation, as you can see in the number of invested accounts, demat accounts, which have grown between T plus two and T plus one. So the credit, the risk in the market goes down. So therefore, the systemic risk goes down. How that will pan out with T plus zero will have to be seen. We don't anywhere give any forward-looking statements, but it will be difficult to assess at this stage.

We'll have to see once it comes, how that pans out. But overall, the ethos of the regulator is to make the market safer and more secure and reduce the systemic risk in the market. And therefore, these new initiatives are being taken.

Your

third question, I'm sorry, could you repeat your third question?

Swarnabh Mukherjee: Yes. Sir, so on the online data charges, Q3 over Q2 has been flat. However, I think the number of demat accounts added in the overall industry was significantly higher in third quarter. So if you could explain why our revenue remained flat despite that addition? And secondly, from public data, we see that January has been, I think, stronger than December as well. So how are the trends panning out in the first few days of February, if you could highlight?

Nehal Vora: Yes. So far as the number of accounts would have increased, but then each of these accounts are linked to one particular PAN itself. So I mean, somebody could have multiple accounts, but it is linked to one PAN. So to that extent, you really cannot compare it. There will be some increase in the income, increase in the demat and broking accounts, but you cannot take into account saying that because the demat and broking accounts have increased by so much the online data charges also has to increase proportionately. It will never be in proportion. I hope that answers your question.

Swarnabh Mukherjee: Yes. Sure, sir. Understood, sir. Any color on February, how it is going?

Nehal Vora: We don't give any forward-looking statements. And again, that once it comes in the public domain, we anyways disseminate the monthly number of accounts at the end of the month. So just wait for a few weeks, and you should be knowing what the number looks like.

Swarnabh Mukherjee: Sure, sir. Got it. Thank you so much. And all the best.

Nehal Vora: Thank you.

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Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity . Sir, I have a few data keeping questions. First of all, if you can provide data provision number in the current quarter. Because why I'm asking this number is that if this number played a role in increasing the other opex? Or irrespective of that, other opex has grown?

Nehal Vora: I'll ask CFO to answer that.

Girish Amesara: The provision for this quarter is around INR4 crores.

Sanketh Godha: Okay. Sir, which means that even if I take that number, the other admin expenses other than the regulatory cost, because regulatory costs have been flat year on year, quarter-on-quarter, INR10 crores, there has been 8% growth or 57% year-on-year growth in the other and admin expenses. So just wanted to understand, this is largely linked to the operational level growth or some line I think you have answered that question, but just wanted to reconfirm that number has been driven by some other spends which you might have done with respect to technology or instantaneous settlement or something, which is getting reflected here.

Girish Amesara: So in the first question, we had answered this, that there are no one-offs in this quarter, okay? All the expenses which we have incurred in this quarter are more or less directly related to rising operational income, and expenses which are to be required to be incurred continuously over a period of quarter have been incurred.

Sanketh Godha: Okay, sir. And the second question is that again, a data-related question. I think you used to give the data in the past, but if you can share now also it will be great. How much is your pledge income in the current quarter?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Sorry?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Okay. And if you can share your revenue earned from unlisted companies in annual issuer charges?

Girish Amesara: INR1.2 crores, revenue earned in this quarter from unlisted companies.

Sanketh Godha: And how much was it in second quarter, sir, if you can share that data?

Girish Amesara: More or less, it was similar.

Sanketh Godha: Okay, okay. Perfect, sir. And maybe sorry to harp on

this point, but we know a number of

companies which are private. And we probably might have done the analysis that out of the

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entire population of private companies, how many have a turnover of INR40 crores and INR4 crores net worth. I agree with your point that everyone will not come and raise capital or do a share transfer.

But if I want to identify the outstanding number of companies today based on your assessment which qualify for the first rule, that is INR40 crores turnover and INR4 crores shared capital, if you can give us an indicative number that will be useful just from an industry point of view to understand maybe a long-term opportunity.

Nehal Vora: Again, Sanketh, what I was trying to say that in September i.e between today and September, there's about 5 to 6 months yet left. And there can be companies which will open, which will shut. So again, giving today's numbers, in my opinion, will not have a meaning. We should kind

of reassess this question in September because that is when the true point will be in picture.

Sanketh Godha: Okay, sir perfect. That's it from my side. Thank you very much.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Hi, good evening and congratulations on a good set of numbers.

Nehal Vora: Thank you.

Madhukar Ladha: Sir, I wanted to understand just this one thing. There are a lot of new SEBI initiatives, especially on instantaneous settlement, I'm not sure whether this question was asked earlier. But any thoughts on or any sense on how the revenue model will change? That's question number one. And question number two, what would be the likely additional sort of expenses that we would need to incur for this? And what are the current timelines on this? And you could conceptually sort of help us also understand right now, for example, the settlement happens at the end of the day or T plus two is when the shares get debited. So how will it work in that in the new sort of revised framework?

Nehal Vora: So again, see, it is T plus one, it's not T plus two we have right now. So technically, the pain happens today in the morning on T plus one for the cash market equities and generally the securities markets. T plus zero will be on the same day.

The details and all will get finalized after SEBI receives comments from the public consultation paper, and they will firm up their rules as to what time and all that will be announced by SEBI.

As well as the instantaneous settlement also, the contours of how it will work will all get announced after SEBI finalizes the rules on that.

So the intent is that it makes basically the systemic risk lower because you are able to get your securities and funds faster. And hence, therefore, more and more people would want to participate in the securities market.

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I think that's the overall direction in which it is going. And we are today T plus one also, we're now one of the only leading markets to be on T plus one in the world. So I think that is also a great sense of kind of achievement also for the Indian securities markets to ensure that it continues to remain robust in terms of new reforms, etcetera.

Madhukar Ladha: Sure. All right. All the best.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Siddhant Dand: Hello. I just wanted to really understand the annual issuer charges. So it's the total number of folios divided by total number of working days in a financial year, right?

Nehal Vora: No, no. There is...

Girish Amesara: Sir, we didn't get your question fully understood.

Siddhant Dand: The annual issuer charges, how are they calculated? Can you just explain that again?

Girish Amesara: If you look at our operating instruction, there are two sets of charges mentioned. One is slab-based and another is based on folio. So at the year-end, what we do is we arrive at an average folio of a particular company and then we match with both the criteria. Now if the valuation based on INR11 is higher, then we raise the bill based on the higher amount that is generated.

Siddhant Dand: Okay. And so for the next year because it's quite stable every quarter, right? So for the next year, it will be decided based on this year's data.

Girish Amesara: This invoicing is done in the month of April for the full next year. It is not quarterly billing.

Siddhant Dand: Yes, yes. So on the P&L, I'm saying, of course. So it will be based on this year's data, right?

Girish Amesara: We do appropriation of the yearly invoicing that we have done on an accrual method of accounting.

Siddhant Dand: Correct. But the amount that will be decided for next year will be based on this year's data average?

Girish Amesara: Yes, for next year, the amount will be decided based on the average folio as on 31st of March '24.

Siddhant Dand: Correct. Perfect. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Keshri from Kesari Finance. Please go ahead.

Santosh Keshri: Sir, just I had one more question regarding sorry, sir, I'll come back in the queue. I'm so sorry.

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Nehal Vora: Okay.

Moderator: Next question is from the line of Hiten Jain from Invesco. Please go ahead.

Hiten Jain: Yes, thanks. I have one question. So I'm just trying to understand the growth in the other revenue sources ex of what you reported in your PPT, which is essentially all combined in terms of consolidated statement charges, the e-Voting. So what I've done is I've taken total revenue from operations minus annual issuer, minus transaction business, minus corporate action and minus online data charges.

So that number is coming down to this quarter at INR18.5 crores versus INR26.6 crores previous quarter. So it's sequentially down 30%. And if I take 9 months year-on-year data, it is up just 5%, 9 months growth. So can you just help me why this segment is seeing such low growth and sequentially it is down by 30%?

Girish Amesara: See, other revenues, if you have a question on the breakup of the other income, other income largely consists of 3 major portions. One is investment income, another is annual issuer charges sorry, CAS charges and e-Voting income. Now if you intend to have a breakup of what we have reported for this quarter, I can provide. Because I'm a little confused on your question because we are not able to figure out the difference of INR18 crores anywhere.

Hiten Jain: Yes, yes. So you can help me, what is the 9 months growth for e-Voting and what is the 9 months growth for your consolidated Account Statement i.e. CAS charges? That seems to be weak. Can you just help me understand why is that weak?

Girish Amesara: See, e-Voting, if you see predominantly e-Voting income would accrue majorly in second quarter.

Hiten Jain: But even 9 months growth is weak.

Girish Amesara: So irrespective of. That income would predominantly be at the highest, at the peak in the second quarter. So if you compare 9 months to 9 months, more or less, it is almost same.

Hiten Jain: Okay. So we haven't seen much growth there.

Girish Amesara: Yes.

Hiten Jain: Okay. And CAS charges?

Girish Amesara: You will see growth in the CAS charges because currently, we are sending CAS statement to all the investors.

Hiten Jain: Correct. So what is that number, 9 months versus 9 months absolute?

Girish Amesara: So if you look at in the current 9 months, we have earned an income from CAS at around INR25 crores on a 9-month basis. And in the previous 9 months, we had earned an income of INR17 crores.

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Hiten Jain: Okay. So it's e-Voting which has not grown much this year versus prior year?

Girish Amesara: It's grown by INR50 lakhs.

Hiten Jain: Okay. All right Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments.

Nehal Vora: Thank you all for your questions. I wish you all a very safe, secure and healthy life ahead. Thank you. Take care.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Central Depository Services (India) Limited
CDSL/CS/NSE/ SK/2024/ 98 May 09, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on May 06, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated April 25, 2024 , for scheduling of Conference
Call on May 06, 2024 , please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

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“Central Depository Services (India) Limited
Q4 FY '24 Conference Call”
May 06, 2024

Management: Mr. Nehal Vora–Managing Director and Chief
Executive Officer– Central Depository Services
(India) Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services (India) Limited
Mr. Sunil Alvares – CDSL Ventures Limited
Mr. Vinay Madan, Chief Risk Officer
Mr. Swaroopkumar Gothi, Financial Controller
Mr. Nilesh Kittur, Assistant Vice President

Moderator: Mr. Amit Chandra – HDFC Securities

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Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q4 FY '24 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that company faces.

I'll now hand the conference over to Mr. Amit Chandra from HDFC. Thank you, and over to you, sir.

Amit Chandra: Yes. Thank you, operator. So good morning, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 4 FY '24 Earnings Call. Today, we have with us the management team of CDSL represented by; Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We will start with a brief overview of the quarter by Mr. Nehal Vora and then we will open up for the question-and-answer session.

Thank you, and over to you, Nehal, sir.

Nehal Vora: Thank you, Amit, for the introduction. Very, very good morning to everyone and thank you for joining us today to discuss CDSL's financial results for the full year and fourth quarter of the financial year '23/'24.

We've provided a comprehensive investor presentation on our website for your convenience. I'm joined by the CDSL Group's leadership team today and we're happy to share our achievements with you. But before we dive into our company's performance, let's take a look at some key aspects of the securities market.

Starting with a broad capital market landscape, the equity turnover has seen a significant increase of more than 50%. Particularly noteworthy is the fourth quarter, we experienced a 126% growth on the year-on-year equity turnover marking it as an exceptional quarter for the entire securities market.

As for CDSL, this has been a special year for us as we celebrated our 25th year of existence. In line with this celebration and as for the momentum of growth in the capital market, we have also seen an increase in the number of demat accounts opened, more than 1 crore plus demat accounts have been opened in the fourth quarter of '23/'24, which is the highest in any quarter since our inception.

These kinds of achievements are a testament of the growing trust in the Indian capital markets. Our financial performance reflects the trust and efficiency in the capital markets. As a part of our performance, the Board of CDSL has recommended a final dividend of INR19 per equity share, and a special dividend on account of our 25th year anniversary celebration of INR3 per equity share, totalling to INR22 per equity share. All this is subject to shareholder approval.

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Coming back to the trust in the Indian capital markets to further enhance this trust and market efficiency, we've introduced several initiatives in the past year. These include the optional T+0 settlement, easier with registrations for basically alternative investment funds and the foreign portfolio investors, the facilitation of ASBA in secondary market, the electronic consolidated account statement in 23 languages and multilingual services on our website at which is all free to the market.

These initiatives are aimed at promoting the inclusivity and accessibility of all investors. As we transition from our 25th year and move to the next phase, we remain steadfast to our commitment towards our efforts towards enhancing trust in the

financial ecosystem and empowering the

Atmanirbharta. I would like to express our gratitude to all our stakeholders, basically to SEBI, and all the other regulators, the issuers, the depository participants, the beneficial owners, the employees and all other market participants for their support towards CDSL.

I would also like to extend my heartfelt appreciation to our investors whose trust continues to drive us forward. Our unwavering focus remains on creating value for all our stakeholders and enhancing the Indian securities market to the next level. Thank you for your continued support

and trust in us. I will now hand it over to Chief Finance Officer.

Girish Amesara: Thank you, Nehal. Good morning to everyone. Speaking on quarterly performance on the consolidated basis, total income for the quarter ended March 2024, has increased by 86% to INR267 crores as against INR144 crores during the same quarter during the previous year. The net profit for the quarter ended March 2024 has increased by 105% at INR129 crores as against INR63 crores for the same quarter during previous year.

For financial year 23-24 on a consolidated basis, the total income has increased by 46% at INR907 crores as against INR621 crores for the previous financial year. The consolidated net profit has increased by 52% to INR420 crores as against INR276 crores during the previous financial year.

On a stand-alone quarterly basis, the total income has increased by 82% to INR205 crores as against INR113 crores for the same quarter during previous year. The net profit on a stand-alone basis for the quarter ended March 2024 has increased by 89% to INR97 crores as against INR52 crores for the same quarter during the previous year.

Speaking on the stand-alone numbers for financial year 23-24, the total income has increased by 37% to INR743 crores as against INR544 crores during the previous financial year. The net profit on stand-alone basis has increased by 34% to INR363 crores as against INR272 crores during the previous financial year.

Now I shall request Sunil Alvares to give an update about the operation of the wholly owned subsidiary, CDSL Ventures Limited. Over to you, Sunil.

Sunil Alvares: Good morning, everyone. I'm pleased to report the figures for CDSL Ventures Limited. The total operational income increased by 65% for FY '24, okay, as compared to FY '23. That is, it was at INR169 crores as compared to INR102 crores for the previous year. The other income increased by 62% from INR11 crores to INR19 crores. As a result, the total income increased by 65% from Central Depository Services (India) Limited
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INR114 crores to INR188 crores. As far as expenses are concerned, there was an increase of 54% in the expenses in FY '24 from INR49 crores to INR76 crores. As a result, the profit before tax increased by 72% from INR65 crores to INR112 crores and the profit after tax increased by 76% from INR48 crores to INR86 crores.

With this, now I'd like to open the floor for question and answers.

Moderator: First question is from the line of Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee: Congratulations for a good set of numbers. I have 3 questions. First one on the number of folios. So I just wanted to understand from you that the number of folios i.e. billable folios, how it has moved between FY '23 and FY '24. If you could give some colour so that we can understand how the annual issuer changes can be from first quarter onwards. That is the first question. Second is, in terms of the 2 opportunities, which might give us some incremental traction on the top line front, just wanted to understand on the unlisted companies, the recent regulation if you could give us some idea about what opportunity sizes we were looking at, what could be the potential number of companies that you can target for this financial year and overall opportunity side. I understand that it'

s a moving target, but at the current standpoint, if some idea you can give.

And thirdly, on the insurance i.e. e-insurance side with the new regulation. How do you look at the landscape? And what could be our potential opportunity size?

Nehal Vora: So, the first question is a forward-looking statement. we don't give forward guidance. So, I would not be able to give an answer. The point in question is folios, which have happened in the previous financial year, which are get billed to the companies in the first quarter. So once the first quarter results, whatever would be announced, you will have some perspective at that stage. On the second question on the unlisted company. As I have said in my last investor call also, the deadline is September 2024. And it has conditions of private companies, which have a turnover of INR40 crores or share capital of INR4 crores. But only when these companies would like to either raise capital or transfer any capital that's the time the demat will be required to be done on a compulsory basis.

So, it will have to be wait and watch because there are these conditions only when they get triggered, that's the time the demat opportunity will come into play. It is not kind of a simple rule. It has certain ifs and buts, so only when all of them get satisfied. So, it is difficult to predict what will be the population at this stage. We'll have to wait and watch as the further quarters move forward.

On the insurance side, there has been a few amount of changes, but it's kind of really work in progress. We have a full team now looking at our insurance repository. I've spoken about it about 2 or 3 quarters before. So we have now a team in place. And we have basically the right building blocks to ensure that this kind of the opportunity would translate into business as we

Moderator: The next question is from the line of Prakash Kapadia from Spark PMS.

Prakash Kapadia: I have 2 questions. If we could get a sense of what is the mark-to-market gain in the other income for the whole year? And secondly, what is the employee base as on date versus last year at a group level? And the impact of salary hikes and annual fee will be felt in Q1, right? Is that the right understanding? Those were my questions.

Nehal Vora: I'll ask the CFO to answer that.

Girish Amesara: I'll answer you on account of employees. This year, we have closed at 335 accounts of CDSL. And last year, it was 279 employees.

Prakash Kapadia: 335 is at the group level, right?

Girish Amesara: No, this is CDSL. And mark-to-mark gain on investment is INR37 crores as on 31st March '24. And the increment would be obviously factored in the next quarter for the next financial year.

Prakash Kapadia: Till the Q1. I'll join back if I have more to ask.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: First question is on the insurance opportunity. So obviously, you mentioned that still not there.

But as in the regulation it mentioned that from 1st of April, all policies will have to be issued in the digital format. So, is it fair to assume that still there is ambiguity in terms of what digital format means? Or are we seeing traction in terms of the ei-accounts being created. And also, the market share that we have in terms of the ei-account is still very low. So what's the strategy out there in terms of are we planning to be aggressive on the insurance side? Or it's too early as of now?

And second would be on the cost side. Obviously, we have seen now a fairly strong jump in the revenues. But correspondingly, the cost also has been on the higher side and especially technology cost has been inching up especially in the last 1, 1.5 years. So from here on, is it all the investments in technology over or still we have to expand our technology capability in terms of handling

g the higher volumes?

Nehal Vora: So on the insurance side, it's the regulation is yet getting evolved. I think insurance companies are required to issue the certificates, other insurance policies in digital format, but what happens about the old? And so these are all things which are kind of evolving, and we will see.

In terms of our strategy, it's the entire tech stack, which we are contributing to and hence, the entire move towards an online technological impact or footprint on the insurance side is where we suppose that we should be able to. But these will take some time because kind of building on this will take the market has to really understand what hidden nuances are, etc. So, it's basically an infrastructure company. So it takes time for it to build up. But we are very, very hopeful, and we have put in our people there, our technology there. So, we'll see how it goes forward.

On the cost, technology and people are the 2 main costs for CDSL. And we will continue to invest in that because we have to ensure that the value proposition remains both in terms of

infrastructure as well as the applications, which are being used. And to ensure that -- and these are all kind of going to it's in the process of change. So, we'll have to continue to remain being invested. Though it's future questions, I will not be able to give too many details. But in terms of our focus remains on investing in technology and people as we go further.

Amit Chandra: And sir, one last question. So how do you see the regulatory environment because we have seen some regulatory tightening on the exchanges side. So, in terms of the regulatory risk, do you see any kind of risk in terms of pricing because we have been doing so well on volumes. So, is there any kind of risk that you see on the pricing side?

Nehal Vora: I will not be able to give a definite answer here because I think this is, again, in the future. It's also contingent on what the regulators think. But I think the cost, the pricing is approved by SEBI in case of depositories. So, it's taken on record and then it's taken forward from there. So, I think we'll see how it goes forward.

Moderator: The next question is from the line of Rushabh Shah, RBSA Investment Manager.

Rushabh Shah: Sir, talks of single demat for all types of investments have been going on since long. But based on, say, your discussion with various authorities, what level of discussions are going on sir, can you see any light in the next, say, near future, just want to understand your thoughts here.

Nehal Vora: So I think it's a process of regulatory change, everything happens. I think the account aggregator model is in the process is getting picked up. So, we'll see how it goes forward, how that will get

linked to a single demat. This is a very long-term kind of proposition. We'll have to be seen on how and in which framework format it will come in.

Obviously, the ease of doing business is a focus of all the central government as well as all with the regulator. So, it will move towards that kind of framework is what we all hope, but it will be difficult to really predict at this stage as to how and what framework format, etc.

Rushabh Shah: And sir, how much incremental cost for stake do we have to do if this comes in the next 2, 3 years. Is there any ballpark range or any percentage of current investment that you have made. How big investments do we have to make for this to handle such volumes that may come?

Nehal Vora: It will be difficult to predict because we don't know in what format, framework, new framework, if at all, it will come. So first, we'll have to really observe what the framework, if at all it comes. And then we'll only able to really assess. Any way we don't give any forward-looking and future statements. So, I would not be able to give you a specific answer on this.

Moderator: The next

question is from the line of Supratim Datta from AMBIT Capital.

Supratim Datta: I have 2 questions. One, on the cost front, have you had a significant jump in both employee and their costs in the depository business, the standalone business? And if I look at the subsidiaries, there you may see jump in the tech cost in the fourth quarter again. So, if you could just explain to us what are the areas you are investing at the stand-alone level in terms of employee and tech and in the subsidiary that has been like I can best recall. That would be very helpful.

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The second question is on the full year. I understand you don't take the folio numbers, but could you give us, what I think the growth in folios this year FY '24 versus last year. And lastly, if you could give us a breakdown of the other income between cash, e-voting and others, that could be very helpful.

Nehal Vora: The first cost technology has been all around on infra, on application, on security, network. So it's an all-round because with the increased volumes, number of demat accounts growing that needs to kind of keep a pace with that. But more importantly, we are an infrastructure company. So, we will have to kind of pre-empt also the potential de-growth. So, to ensure that the technology, but it takes time to build technology. And therefore, it has been all around. Similarly, there has been a similar kind of technology growth, which is seen in subsidiaries. CDSL has also seen a good growth. So, we need to really invest in technology out there also. So, people and technology is something, which will continue. And these things don't happen very fast. It takes time for you to invest in both these. So you need to really preplan in future in kind of really in advance as to how you will be investing in this. So that is reply to your first question.

Your second question was...

Girish Amesara: The second question was on the breakup of other income. So other income largely consists of ECAS charges of INR9.37 crores, e-voting charges of INR4.42 crores and miscellaneous income in terms of user facility charges, account maintenance charges and similar income heads.

Supratim Datta: Sir e-voting was INR4.42 crores, right?

Girish Amesara: Yes INR4.42 crores.

Supratim Datta: And my second question, I had another question on the folio growth. If you could give us...

Nehal Vora: We don't give those numbers out in the public domain. So, I'm sorry. We will not be able to share that.

Supratim Datta: Okay. And just one follow-up question. So, you said you made investments on the tech side, in infra, architecture, security and similarly corresponding employee investments have been made.

So if I could understand that the current infrastructure in place, how many folios or demat accounts would you be able to serve it?

Nehal Vora: See, it is not just folios and demat accounts. There are a lot of new products. For example, T+0 has come in. That will need new processes and new in AIF processing has come in. So it's not just a simplistic answer that how many folios you can do or etc. It's a combination of various factors, which come into play. Also new kind of value propositions, which are being put into the system to make it easier for people to trade, etc., for example, eCAS is now in multiple languages.

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So these are some of the things. So therefore, it is not linked to the folios. It's linked to the overall processing with the system is expected to do with a lot of features, which are coming in, in addition to the load wages.

Moderator: The next question is from the line of Prateek Shah, an individual investor. Please go ahead.

Prateek Shah: Sir firstly, congratulations for CDSL's team for putting great set of numbers and also I would like to congratulate Nehal sir for this.

Nehal Vora

: Prateek, can you repeat the second question? Line is a little unclear. I cannot follow your question clearly. Can you come closer to the mic?

Prateek Shah: I just wanted to understand that as you mentioned in that investor presentation that CDSL completed almost 25 years of Silver Jubilee and as I understood that a lot of cash on the balance sheet as well and adequate cash also. Is there any plan for any kind of corporate like buyback or bonus or any special dividend going forward?

Nehal Vora: So, we have given a special dividend, which is obviously subject to approval of shareholders for 25 years. So, it's INR19 plus INR3, INR22. The remaining part will have to be seen and assessed as we move forward. So, I will not be able to give any specific answer on that.

Prateek Shah: And on the first question, that is the repricing structure for insurance repository?

Nehal Vora: For the insurance repository, you said?

Prateek Shah: Yes, yes.

Nehal Vora: So, the insurance repository, the pricing structure is as I think it should be there. Yes.

Girish Amesara: So, for the insurance sector, pricing structure is divided into 2 parts: Creation of eIA and annual maintenance, so maintenance is INR25, okay, it is charged to the insurance company and not to the holder of the folio. For creation, onetime charge of INR20 is levied on the insurance company. So these are the 2 recurring charges which are charged to the insurance companies and not to the policyholders.

Nehal Vora: And I think you'll find this on the insurance website.

Moderator: The next question is from the line of Miraj from Arihant Capital.

Miraj: Congratulations on a very good set of results. I had 2 sets of questions. And one thing I -- one of the points I missed out. I just wanted you to clarify that. The clarification part is that one of the earlier participants had asked you regarding the insurance -- evolution in the insurance segment, the recent announcement for electronic issuance. And you had mentioned something that it is still evolving. Can you just repeat that part? I missed that part.

Nehal Vora: Yes. So, the point is that the law is out, how this will pan out between what the insurance companies will do, what the insurance repositories will do, how will the value chain work. All this is kind of in the process of early evolution.

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Miraj: Understood. But based on the timeline, the electronic issuance would have started already, right?

Nehal Vora: Yes. They could have started, so the insurance companies can do it themselves also or they can kind of outsource it when insurance repository, so both those models are there. So how it will finally pan out, what is good for the market, what is the value proposition to the market is something which we'll have to evolve.

Miraj: Understood. I just want to understand the point you mentioned that insurance companies can do it by themselves. I believe, sir, that they have to go through a repository only for this to maintain it in electronic form. Is it possible sir?

Nehal Vora: We will need to check this with the insurance team. Unfortunately, he is not there today, the CEO of the insurance repository. But if you want, you can send us an e-mail, and we will have it replied.

Miraj: Understood. Okay. My question regarding this insurance repository part, is that as of our annual report, FY '23 for the insurance repository business. LIC is not we are not tied up with LIC. So, in the current financial year, have we tied up with LIC because they are one the largest insurance issuing agency?

Nehal Vora: So, the process and effort is all going on. Again, it's all futuristic. Whenever we will have that, we will kind of immediately disclose that. But we generally don't talk about specific insurance companies on this call.

Miraj: Understood. Okay. I'll connect with you offline for that.

And then my second question,

is that regarding the T+0 settlement and instant settlement. We had started with 25 scrips only. So I just wanted to understand the progress on that part. Are we moving ahead with increasing the scripts over there? Or what kind of progress are we making over there?

Nehal Vora: So, if you see the SEBI press release, it clearly talks about this is regular beta phase. And they will see how many people have participated. Has there been any issues, et cetera. And based on that, we said we will take that call whether it has to be increased in what framework to how many stocks, et cetera. So those are all the nuances you should just pay attention to the press

release, if any, which will get issued by SEBI in this regard.

Miraj: Understood. Perfect. But based on our technological developments, there are no hiccups in the process as of late?

Nehal Vora: It has been part of the ecosystem. So, we have seen it go fairly smoothly till now. There have been no issues at least from the CDSL. I can mainly talk about myself, but I think overall, I don't see there has been any issues.

Moderator: The next question is from the line of Madhukar from Nuvama Wealth.

Madhukar: Congratulations on a great set of numbers. Just a couple of questions from my side. First one is insurance repository, you mentioned. So INR20 per new account creation and INR25 is it per

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account maintenance or is it per policy? And second so but one account can have policies from many different insurance companies. So, who will pay that INR25?

Nehal Vora: I think I would request you can send us an e-mail. We don't have our insurance team in the room. If you can send across this query on e-mail, we will have it replied.

Madhukar: Okay. I'll do that. And the other thing is also, you in your annual report FY '23. I think the insurance repository revenue is about INR5 million. But obviously, the number of policies is a lot more. So, are you actually making that amount? That's the other question, if you can answer that.

Nehal Vora: Making that amount means? I didn't understand.

Madhukar: On a per policy basis, how much are you making? Or I mean, are the exact rates accounted.

Nehal Vora: I would recommend if you could send across your query. Again, see, it's a process of some policies are already there, which have to be taken from the insurance company. Some is getting newly opened. So, there are various variant nuances to that. I would again request you just send us your questions on the insurance repository, and we will have them replied.

Madhukar: All right, sir. And a couple of other questions on the online data charges moved up quite sharply.

So, I wanted to know, is it majority, is it new account openings? Or is it more with steps? And I believe the total record created should be around 7 million right now. Can you sort of clarify that also? That will be helpful.

And finally, your other charges, what portion of it is regulatory charges? And they seem to be on the higher side. So, I wanted to understand what is the driver of that?

Nehal Vora: I'll ask Sunil to answer this.

Sunil Alvares: So, in the last financial year, both the number of records created and a number of records fetched have gone up substantially, which added to the overall KYC income.

What was the second question? Sorry, I didn't get that.

Madhukar: So, the number of records that we have right now, if you can look at that number?

Sunil Alvares: We actually don't give off that number. We don't give that number right now.

Madhukar: Okay. And the other charges, how much is the regulatory costs and the expenses are higher. So what is guiding that actually?

Girish Amesara: So, the regulatory cost, for the full financial year is almost INR38 crores in this financial year. And this is directly linked as a percentage of the operating revenue, so higher operating revenue, this charge would be

on a higher side.

Madhukar: Okay. And what is the formula? Is it...

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Girish Amesara: Regulation prescribes that 5% of your operating profit needs to be contributed to the investor protection fund. So majority charge is on account of this number.

Madhukar: But it seems INR38 crores would be much more than that 5% number, right?

Girish Amesara: No. The contribution to investor protection fund is 5% of operating profit.

Madhukar: So, like your FY '24 EBIT is about INR462 crores?

Girish Amesara: No, you have to work out operating profits. It cannot be on EBIT.

Nehal Vora: The point is we're trying to make it as a formula, which has to be put in place to arrive at this 5%, which needs to be debited. It's not a straight application on the profit numbers.

Madhukar: Understood. I'll take some more details with you offline. And apart so that, I think is the main driver of the other expenses or are there other big drivers as well. What was this number last year? Last year, this number was how much was the regulatory number last quarter?

Girish Amesara: Last year, the regulatory cost was INR26 crores. This year, it is INR38 crores.

Moderator: The next question is from the line of Nikhil Agarwal from VT Capital.

Nikhil Agarwal: My question was on your transaction charges. They have significantly increased year-on-year as

well as quarter-on-quarter. But the revenue per demat, if you calculate it in that manner, it's been quite volatile. I suppose the only component of that is other delivery charges that are deducted when a trade takes place in the delivery segment. Is that right? Or is there any other component to that as well?

Nehal Vora: No, the transaction charges consist of debit charges, pledge and margin pledge charges. So it's a combination of various other transactions which are happening.

Nikhil Agarwal: Okay. So the debit charges, like it depends on -- I mean, could you explain the reason for this volatility? I mean, if like one quarter, it was INR11 per demat, then it comes now towards I think it's INR6 per demat. If you could can you explain this volatility?

Nehal Vora: See, you are considering an incorrect number. Number of demat will not really work because people will open whether the transaction that demat or not will have to be the number of transactions which are occurring, which cost, so opening of demat can be opened at any point of time. CDSL does not earn any money out of that. The number of transactions which happened or the pledge transactions happened or the debit transaction happened, which contributes to this particular income.

Nikhil Agarwal: So, can you like give some metrics year-on-year, what has exactly changed? Like if you could give us the percentage of delivery turnover as a percentage of market turnover?

Nehal Vora: If you see basically the delivery-based volumes on the exchanges, there will be some amount of linkage to that because it's how much delivery is happening on the stock exchange platforms. It will lead to how many will have to happen.

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Nikhil Agarwal: Can you quantify, I mean, last year what was it? And what is it currently in FY '24 on an average and FY '23 on an average, what does it looks?

Girish Amesara: In terms of revenue number?

Nikhil Agarwal: Yes. I mean in terms of the delivery turnover percentage and that you are mentioning.

Nehal Vora: You will get from the exchange website. You asked me how it should be computed but it's a combination. Again, you cannot have one number. It's a multitude of transactions, which are happening. How many pledging is happening? How many repurchasing is happening? How many sales are happening.

You will have to look at how much is but that will not give you a 1:1 correlation. It will be depending on the volume in the

market, how many are translating into delivery, how many will be margin pledges, etc., have been created. So, it's something which cannot be done as 1:1. That is all I'm trying to say.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, Girish sir, I have few data keeping questions, which you usually disclose. Can you share the unlisted income in the annual issuer charges, pledge income in the transaction charges and impairment costs for the fourth quarter and the full year. That's the question number one.

And if you can repeat CAS income for the fourth quarter, it will be useful. I missed that number.

That's my first question.

Girish Amesara: So total unlisted income for the quarter ended March is INR1,85,00,000. For full year, it is INR5.45 crores. Margin pledge income for the quarter is INR5.95 crores.

Sanketh Godha: Perfect. For the full year, sir? Sorry, if you can give the pledge income for the full year, sir?

Girish Amesara: Full year is INR17.5 crores.

Sanketh Godha: Okay. And if you can give impairment costs?

Girish Amesara: Sorry?

Sanketh Godha: Impairment costs.

Girish Amesara: I am on that. impairment cost is INR8 crores for the full financial year on impairment. And for the quarter, we have a reversal of INR1.11 crores.

Sanketh Godha: Okay. Okay. INR1.1 crores reversal. And then if you can tell me ECAS income, if you can repeat that to be.

Girish Amesara: ECAS income for the quarter is INR9.37 crores.

Sanketh Godha: Great. Okay. Just one data keeping. Next question, I had was largely with the tech cost. I understand that you need to increase in the tech and all those things, but from INR38 crores, it's

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going to INR63 crores is a meaningful jump in the current year. So the INR63 crores also included, included repository tech, insurance repository tech costs because you wanted to scale it up given the regulations are coming. And if that is the case, do we expect this number to tone

down a bit going ahead, given we have already done 65% year-on increase in the tech cost in the current year. I just wanted to understand how should we look at this number going ahead?

Nehal Vora: See again, as I'm telling you, reforms are going to continue. There are going to be changes in the rules, the regulatory rules, there are going to be changes in newer products coming in. There is potential of growth, which is possible. So, it will be difficult. One is we don't give any future outlook. It is very difficult to really predict at this stage. We have to ensure that this is the bread-and-butter of CDSL.

Technology and people are its bread and butter. So, we have to not only ensure that the current state of volume is continuing, but even the potential future, which could potentially come in is kind of planned and factored in because building a technology platform, it takes its own time. And therefore, this is a process, which is continuously going to evolve as we are going to move forward. And we're going to get more and more sophisticated to ensure that the value proposition remains.

Sanketh Godha: Sir, but the INR63.3 crores for the full year, does it include something related to insurance, which you might have done as one-off in the current year, but might not be repeated in the next year.

Nehal Vora: The insurance is some part of it, a small part of it. Again, we'll have to see how it pans out. It will be difficult for me to give you a specific answer whether this will repeat again or not repeat again. It will have to be seen as to how the policy because the entire framework, as I told earlier, is getting evolved. We have to ensure that the technology is really up to speed to ensure that the value proposition remains.

Sanketh Godha: Sir, the reason I'm asking this question is that given insurance will be a new opportunity and it's a big -- onetime big op

portunity, which will suddenly come in FY '25. Then are we required to do more than expected additional tech cost in FY '25 to fulfill the requirement of insurance? Or we are up to the mark with respect to that requirement.

Nehal Vora: Again, as I'm telling you that the insurance sector framework is evolving. It is not that it has evolved, and we are trying to build it. We are trying to repeat the same question again in different words. I'm trying to again and again tell you that we'll have to wait and watch. We will have to ensure. And as you have seen that we have kept the pace with what the volume is there to ensure that the technology is in sync with that. That's all I'm going to say.

Sanketh Godha: Got it, sir. And next question is on insurance charges. You said INR25 AMC and INR20 is eIA creation cost. But I believe these charges are very competitive. These are at cost, but actual cost when you onboard an insurance company, might be meaningfully lower? Or you strictly follow the rack charges when you open the annual issuance charges or AMC charges?

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Nehal Vora: See, again, these are some things we don't put out in public domain. These are all things, which remains within our system. But however, if you have any specific question to the extent we put it out in the public domain, you send us an email, we will have it replied.

Sanketh Godha: Got it. Got it, sir. And on insurance, one more thing, compared to last year, if you're aware that how many number of companies AIF increased for us because we were predominantly in the past, a life insurance company -- tie up company. We had very limited exposure to general and health. And honestly, the bigger opportunity in the new norms, we are seeing in general insurance. Just wanted to understand whether we have...

Nehal Vora: The numbers, specific customers, type of customers, etc, we don't give out in the public domain. I would really request you that what we can, we can, what we cannot, we cannot.

Sanketh Godha: Got it, sir. And lastly, on capital market records, I think you published that number in the annual report. It will be great. I think last time also you said that number is 6.5 crores number of capital market records with the same KYC business. If you can spell out that number for the full year, it will be useful, sir.

Nehal Vora: Yes, we will see as part of the annual report, it will come out very shortly.

Moderator: The next question is from the line of Supratim Datta from AMBIT Capital.

Supratim Datta: This is a follow-up question. Just wanted to understand on the management transition. So I currently understand that a shortlist has been submitted to SEBI. Just wanted to understand what are the timelines? And do you expect SEBI to get back? And could you disclose who are on that shortlist as well? That would be very helpful.

Nehal Vora: So the process is on. It's a confidential list. And whenever there is a SEBI kind of a standard operating procedure at the time when it is required to be announced, CDSL would promptly announce that. So at this stage, it will not be possible to reveal but that is basically the SOP would not require us to do.

Supratim Datta: Okay. But how much time would this process typically take?

Nehal Vora: It will be difficult for me to answer that question. That is on the SEBI.

Moderator: The next question is from the line of Miraj from Arihant Capital.

Miraj: I just want to understand that the technological costs that we've taken for the T+0 settlement. Do we have to spend any more for the instant settlement part? Or have we already incurred that because that will be the next stage of development?

Nehal Vora: The constant process of evolution. So, T+0 tomorrow, there is instant but after sometimes there will be some other reform. So that will be a continuous process because the framework will have to be spelled out. And base

d on that, what is the cost on infra applications? All that will have to be assessed after that. So, it will not be possible to specifically answer whether the costs have been incurred or not because it's a process of re-evolution at this stage in terms of how the framework will work in.

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Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments. Over to you, sir.

Nehal Vora: Yes. I would like to thank you for all your questions. I wish you all remain safe and secure. Thank you so much. Take care.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

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CDSL/CS/NSE/ RG/2024/ 197 August 09, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on August 05, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated July 26 , 2024 , for scheduling of Conference
Call on August 05, 2024 , please find attached the transcript of the aforesaid Conference
Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

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"Central Depository Services Limited
Q1 FY '25 Earnings Conference Call"
August 05, 2024

Management: Mr. Nehal Vora, Managing Director and CEO,
Central Depository Services (India) Limited
Mr. Girish Amesara, Chief Financial Officer, Central
Depository Services (India) Limited
Mr. Sunil Alvares, Managing Director and CEO,
CDSL Ventures Limited
Mr. Latesh Shetty, Managing Director and CEO,
CDSL Insurance Repository Limited
Mr. Pitambar Chowdhury, Managing Director and
CEO, CDSL Commodity Repository Limited

Mr. Swaroopkumar Gothi, Financial Controller,
Central Depository Services (India) Limited

Moderator: Mr. Amit Chandra– HDFC Securities

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Moderator: Ladies and gentlemen, good day and welcome to the CDSL Q1 FY '25 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, sir.

Amit Chandra: Yes. Thank you, operator. So good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Q1 FY '25 earnings call. Today, we have with us the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We'll start with a brief overview of the quarter by Mr. Nehal Vora, and then we will open up the floor for questions. Thank you, and over to you, sir.

Nehal Vora: Thank you, Amit. A very good afternoon, and welcome to everyone. I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the first quarter of the new financial year FY '24-'25. We have posted a detailed investor presentation on our website for your reference. I'm joined by the CDSL Group's leadership team, including the MDs of the subsidiaries.

So let me start with the industry highlights. During the first quarter '24-'25, the Indian capital markets reached a significant milestone with our total market capitalization surpassing USD5 trillion. The average daily turnover surged by more than 110% quarter-on-quarter and reached about INR131,000 crores, compared to INR62,500 crores in the same quarter last year. The overall activity in the Indian securities market saw a notable increase compared to the previous quarter. This quarter, India further strengthened its retail participation in the capital markets. The total number of demat accounts in India, surpassed 16 crores in June 2024 with over 77% opened with CDSL.

As on June 30, '24, CDSL had 12.5 crores registered accounts compared to 8.8 crores in the June quarter last year, marking a 42% increase. We have leveraged growth of technology and extensive presence, especially in Tier 3 and Tier 4 cities to achieve this growth. Further enhancing value to the shareholders and to mark the celebration of CDSL's 25th anniversary, the Board during its meeting on July 02nd, 2024 approved and recommended the issuance of bonus shares in the ratio of 1:1, subject to shareholders' approval.

While the CFO will cover the financial performance, I want to highlight that CDSL's performance, result and culmination of the market dynamics and underscores our role as a trusted custodian of investor wealth.

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The presence of our services and ease of business due to quicker settlements and services and other services like eAGM, eDIS, the margin pledge system, e-voting, online account opening, etc., has had an important impact on the growth. As we celebrate our 25 years of operations, our focus remains on enhancing the capital market ecosystem by enhancing efficiency, trust and maybe transparency.

We prioritize and focus on the Atmanirbhar investor, a lot of videos you would have seen on our social, by striving for innovation and leading to consistent and sustainable financial and business

performance.

Before I hand it over to the CFO, I'd just like to say that the growth of the Indian securities market is an extremely encouraging step in India's potential. I also want to place our appreciation and gratitude to all our stakeholders, regulators, depository participants, investors, issuers and

all other market participants and employees for the constant faith in us.

With this, I will hand it over to the CFO for the financial performance. So over to you, Girish.

Girish Amesara: Thank you, Nehal. Good afternoon to everyone. Speaking of the quarterly performance on a consolidated basis, the total income for the quarter ended June 2024 has increased by 65% to INR287 crores as against INR174 crores for the same quarter during the previous year. Net profit for the quarter ended June 2024 has increased by 82% to INR134 crores as against INR74 crores for the same quarter during the previous year.

On a standalone basis, total income for the quarter ended June 2024 has increased by 30% to INR221 crores as against INR170 crores for the same quarter during the previous year. The net profit for the quarter ended June 2024 has increased by 14% to INR105 crores as against INR92 crores for the same quarter during the previous year.

Now I'll hand it over to Sunil. Thank you. Over to you, Sunil.

Sunil Alvares: Thanks, Girish. So as far as CVL is concerned, we had a decent quarter for the June quarter ending 2024. The total income was up 109 % to INR64 crores from INR32 crores in the same period of 2023. With regard to the total expenses, the total expenses increased by 62% to INR26 crores from INR16 crores for the quarter ending June 2023.

The profit before tax was up by 141% to INR37 crores for the quarter ending June 2024 as compared to the profit before tax of INR15.63 crores for the quarter ending June 2023. The profit after tax increased by 140% to INR 28.55 crores as compared to INR11.90 crores for the quarter ending June 2023.

With this, I would like to open the floor for the questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Supratim Datta from AMBIT Capital. Please go ahead.

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Supratim Datta: My first question is on the cost side. Just wanted to understand what is driving the technology cost growth? It has been fairly steep Y-o-Y, it's gone up, it's nearly doubled. So just wanted to understand what the key building blocks are here?

Two is in the second half of this year, the compulsory dematerialization of private company shares, that is supposed to kick in. Now just wanted to understand what sense of the market you have at this point because now it's more like 3 months out. So just wanted to understand, do you have a sense of the market? Have you made any investments already on this front? Or would you make the investments be it on the technology side once this opportunity starts to come through? That's the second question.

And lastly, on the KRA business, the business has grown fairly strongly. Just wanted to understand what would be the split of the business that you received from brokers versus mutual funds within this KRA segment. If you could give us some sense of where the revenue is coming from, that would be very helpful?

Nehal Vora: So yes. The first point, we are like an infrastructure company. Technology and human resources are two building blocks for building this infrastructure. And technology doesn't build fast enough. We need to plan it well. And as the growth happens, we need to plan for our hardware application security and all components of technology.

This is more of a proactive investment, which will continue to happen to ensure that we continue to have the best type of technology platforms for the market, which are best-in-class in terms of the leading p

ractices and technology, as you know, evolves also a lot. So, we need to ensure that best-in-class products are used on all our platforms.

On the second question, as I said earlier, it's compulsory not for all private limited companies, there are certain conditions under which it will be made compulsory, there are certain thresholds for sales and share capital. And only those companies will be required to be dematerialized if they transfer the shares or they raise any share capital. So, it's not, it will have to be seen how it pans out. And however, we have built our resources, both from the technology and human resource standpoint to ensure that we are able to process the load which will come in, and we are fully prepared for it. For the third question, I'll ask Sunil to answer.

Sunil Alvares: The same question was clarified earlier also. As a KRA, I do not clearly know the split between the mutual fund and the brokers because today, currently, most of the mutual fund transactions are happening on the exchange platform for which a demat and broking account is first opened, after which mutual fund purchases get credited into the investor's account. I hope that answers your question.

Supratim Datta: Just one follow-up on the technology question. I understand your point that you will continue to invest in the side of the business. I just wanted to understand that from the Q1 piece, should we see further acceleration over the next few quarters? Or this is the run rate that you plan for the coming quarters as well?

Nehal Vora: We don't give any forward-looking statements, but the overall ethos is to build a robust, resilient platform. And whatever it takes, we will have to continue to build in terms of costs. But I will
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not be able to comment specifically whether the same run rate will continue or not because we don't give any forward-looking statements.

Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: My first question is on the transaction charges. So obviously we had the impact of the rate cut that we had. So, I just wanted to clarify whether we had the full quarter impact in the first quarter? Or there is a spillover in quarter 2 as well?

And also, in terms of the revenue from others, which excludes the online data, IPO corporate action, transaction and issuer, there is a significant jump. So, if you can clarify, is there any revenue from insurance also that we have booked in that? And how do you see the insurance opportunity coming up?

Nehal Vora: Yes. On the first question, Amit, 1st June is when the transaction charges or reduction has come into play. So, it has not had the full quarter, it's one month of the quarter, which has ended. On the second one, I'll ask the CFO, Girish, to answer on the IPO and other revenue stream, and I'll ask Latesh Shetty who is the CEO of the Insurance Repository to answer on the insurance opportunity.

Girish Amesara: So, Amit, annual issuer charge is solely pertaining to the CDSL, and not have any component of CIRL. Your next question was in terms of IPO corporate action, right?

Amit Chandra: No, no, sir, I was asking the revenue excluding all these...

Girish Amesara: Other income is largely consisting of investment income, e-voting charges, CAS charges. These are the main three heads under the other income.

Amit Chandra: Okay. The other income has increased to INR26 crores. If I exclude the interest income, from INR20 crores to INR26 crores, that has seen a jump...

Girish Amesara: Largely, it is contributed by CAS and followed by e-voting, eCAS is statement income.

Amit Chandra: Okay. So, if you can quantify the eCAS and the e-voting in this quarter because we have been giving that?

Girish Amesara: So in terms of eCAS statement income, we have recorded an income of INR11 crores in this

quarter. And in terms of evoting, we have recorded an income of INR5.6 crores in this quarter.

Amit Chandra: Okay. And so, in terms of the technology cost, you mentioned that, obviously, it is being done for the robust system. But post the cyber-attack that we had, there has been a significant jump in the technology cost. So just want to understand is this the compulsory investment that we're making? Or is this based on the regulatory guidelines or based on the growth that we're having invested upfront? Or is it a compulsory investment that has to be done? And how do you see that maybe till how long will this kind of elevated investments will be required?

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Nehal Vora: So, the malware, which was found by our own systems, which was detected and switched off had happened way back in November '22. So, it's been about 1.5 years, nearly 2 years. So, I don't think that has anything to do. This has got to do with ensuring that the platform becomes more in-tuned with the latest technology products. We want to give the best kind of offerings to the market participants and to the investors.

Also, as the volumes grow, we need to plan for our capacity etc. And the requisite applications have to be upgraded. So, this is really the roadmap to ensure that CDSL as a depository is able to cater to the requiring demands of the market. At the same time giving the best kind of offerings to the securities market so that people can continue to have that ease as they move forward.

Amit Chandra: Okay sir. Thank you. I will be back in the queue.

Moderator: Thank you. The next question is from the line of Mohit from Tara Capital. Please go ahead.

Mohit: Congratulations for a good set of numbers. My first question is on the employee cost. So, I think we were to have some salary increments in this quarter as we had mentioned in the previous earnings call. So, I just want to understand what explains the sequential dip in employee cost?

Nehal Vora: I'm sorry, could you repeat that last sentence? I couldn't hear that.

Mohit: I was saying the employee cost has seen a dip sequentially. I think the impact of increments were to come in this quarter as mentioned in the previous earnings call, so I was saying what explains the sequential drop in employee cost?

Nehal Vora: Sequential drop in employee cost. I don't think there has been any drop in the employee cost. It

is part of variable pay and the increments get factored in after going through the appraisal process and that gets factored in.

Mohit: Previous quarter was INR276 crores and this quarter it was INR267 crores. So that's the reason I saw a dip, so that's the reason for the question?

Girish Amesara: To give the perspective normally we consider the increments and promotion cost in the first quarter of the new financial year. Now what happens is that whatever excess or whatever adjustment needs to be made is done in the month of March at the time of closing the financial statement. So, it might happen in some quarters that the March and the June quarter are quite similar.

Mohit: Okay, got it. And for the quarter what was the regulatory charge? I think that we shared, you do share that regulatory charges for the quarter if you can share?

Nehal Vora: Yes, I can ask.

Girish Amesara: It is at INR11 crores. Also, we are giving detailed breakup of all the expense and income heads in the investor PPT.

Mohit: Okay. Thank you so much. That's it.
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Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Congratulations on a good set of numbers. Quick one question. From October the SEBI circular on True to Label will also come into effect. So how are you planning to approach that? I believe you'll probably have to revise your

charges, transaction charges, especially as a result of that.

So, I wanted to understand how that will work?

Second, also wanted to understand how real-time settlement really impacts transaction charges? has there been any thought process around that or any developments around that? So, these two would be my questions?

Nehal Vora: Sure. So, on the first question, it is work in progress. We are working out. It will have to be approved by the Board and then sent to SEBI for its approval. The depository charges get approved by SEBI before it is done. That's work in process. You can see how that will factor in that, I will not be able to reveal too many details at this stage because it's a work in progress. As regards to your second question was I'm sorry, could you repeat your second question?

Madhukar Ladha: On the real-time settlement.

Nehal Vora: Yes, real-time settlement. So real-time settlement is yet some time away. I think that has nothing to do with the charges at this stage. I think charge is on debits which we charge irrespective of what is the frequency of basically the settlements, whether it's T plus 1, T plus 0. And anyway, instantaneous or T plus 0 is going to be on an optional basis, they are not on a compulsory basis as of now as prescribed by the regulator. So, I think the charges are going to be kind of identical whether it is to the T plus 0 or T plus 1 side. We had charged them on basically the debits which happen.

Madhukar Ladha: Got it sir. All the best.

Moderator: Thank you. The next question is from the line of Pratik Shah, who is an individual investor. Please go ahead.

Pratik Shah: Am I audible?

Moderator: Yes, sir. Mr. Pratik, you're audible. We have lost the connection of the current participant. We will move on to the next participant. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Sir, firstly could you spell out the rationale for cutting the transaction charges?

Nehal Vora: So, the rationale of cutting the transaction charges is basically the economies of scale which has happened. And therefore, the intent was to pass on those economies of scale to directly the market at large. And you will be able to see a full quarter impact from the next quarter onwards. But even if you take on a pro rata basis on an average between June from where the reduction has happened on a simple average of three months, I don't think there has been any value-wise impact which in fact it has been a positive impact which has happened. The intent is that more
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and more people would be encouraged to join the ecosystem and we are passing on some part of that economies of scale to the market.

Prayesh Jain: Just trying to get this again, but I'm extrapolating what you have done right now to the True to Label charges and I think this cut was announced after the True to Label charges announcement?

Nehal Vora: No, it was prior.

Prayesh Jain: Okay. So, do you think that you will be at the lower end of the transaction charges in the True to Label?

Nehal Vora: As I said, that is work in progress. I'm not able to state more of it till it goes through its process.

Prayesh Jain: Got that. And sir with respect to insurance repository how many companies are you engaged with today life insurance companies and health insurance companies?

Nehal Vora: I'll ask Latesh to answer. He is MD and CEO of Insurance Repository.

Latesh Shetty: Including life, health and general insurance companies we are signed up with 46 companies.

Prayesh Jain: 46 companies. And what would be the scale that we would have achieved today in terms of number of policies and the revenue?

Latesh Shetty: So, quarter ending June we have completed 1.4 million policies. Predominantly it is under life insurance.

Prayesh Jain: Okay. Any numbers on revenue for the quarter?

Lat

esh Shetty: Quarter ending I mean we don't give breakup of operational and total. The revenue we have achieved for the June quarter is INR99 lakhs.

Prayesh Jain: Okay, got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Sanketh Godha who is an individual investor. Please go ahead.

Sanketh Godha: Sir, my just a simple question was that given we have taken a price cut in the transaction charges and the lower end of the slab is 3.25 which is effective from 1st June. So, if you can give you a ballpark indicative number, average realization for the quarter per debit instruction. So just wanted to understand how much the difference between lower end is and the average realization.

Nehal Vora: We don't give that breakup as part of earning, but you can take kind off the cuff by seeing what is basically the revenue is seen as a total culmination of all that, but we don't give breakup as per each slab wise.

Sanketh Godha: Okay. No because the reason being asked is very simple that given, we will have only one price going ahead from 1st October, so most likely management will decide closer to the average

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realization or it will be closer at the lower end of the slab that's the reason I was trying to check the number, sir?

Nehal Vora: So, as I told you earlier this goes to multiple levels of approval or regulatory depository, SEBI also formally approves it as part of the operating instructions. So, it goes through the approval of the Board and then it goes to SEBI for its approval of the operating instructions. So, it will be difficult to kind of indicate. You will see as soon as the approval is got, we will be announcing it.

Sanketh Godha: Got it, sir. And some data keeping questions. Sir, if you typically give this data, impairment cost, income from unlisted companies, pledge income and number of KYC records.

Nehal Vora: So, we don't give a number of KYC records, but the other data, I will ask Girish.

Girish Amesara: In terms of unlisted company for the quarter is INR4.5 crores. And with respect to the impairment cost it is roughly around INR3 crores.

Sanketh Godha: And sir pledge income?

Girish Amesara: Pledge is around INR6.25 crores in this quarter.

Sanketh Godha: Okay. NSE came out with a circular that so many stocks are not eligible for pledge anymore.

So, with that regulation just wanted to understand do we see any impact on this line item because -- or indicated the companies which have been withdrawn from pledge, do they materially contribute to our revenue in pledging income or not?

Nehal Vora: See I think we'll have to see how it goes. We don't give any future guidance. But principally if you see our charges are same whether it is a permitted stock or a non-permitted stock which has to be pledged and people generally want to use the noncash component which is allowed up to 50% of the total margin exposure to be used as noncash if we don't lose any interest on it.

So, I think whether it is x number of stocks or y number of stocks or within x certain part not permitting. I think the quantum should not typically be really impacted because people will substitute one stock for another stock to really pledge it.

Sanketh Godha: Got it. Perfect. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: So, in terms of the annual issuer charges, obviously, in the first quarter results we see a jump, but if you can just give some more color in terms of how it has been driven in terms of number of folio growth? And also, in terms of how the mix has been in terms of slab based and folio based? And also, if you can give some color on in terms of the annual issuer charges how much is from MF folio units and how much is from stock folios?

Nehal Vora: So, Amit, we don't give

these details out in the public domain. It is based on the SEBI circular.
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Amit Chandra: Okay. In terms of the growth that we have been seeing over the last 2, 3 years, obviously it has been driven by the number of folios. So, if you can give the growth rate in terms of how the folios have grown over the years?

Nehal Vora: We don't give the number of folios, but overall, the trend is as a number of participants, demat accounts grow, people are going to own that many more stocks and therefore the folios...

Amit Chandra: And sir in terms of the transaction charges, obviously, we have taken a cut, but have you seen any similar kind of cut from the competition as well? And as you said that there is no impact in terms of value. So, is it fair to consider that lower transaction charges will attract some more volume for us?

Nehal Vora: So, there has not been any specific cut which we have seen. They had done some time ago. We had obviously very scientifically driven the process. So based on that we wanted to pass on the economies of scale to the market.

Amit Chandra: So are the charges pretty similar as of now or is there any kind of...

Nehal Vora: They are lower depending on which slab you are, but we have a lower slab for people who trade more on CDSL.

Amit Chandra: Okay. And sir, any other opportunity that you see from the recent announcement in terms of budgets, maybe in terms of land records and any other opportunity that you want us to know and what is exciting as a team CDSL, any other opportunity?

Nehal Vora: So, there are it always depends on how that budget proposals will pan out into actual action in what manner, what format, etc which way to go. So that is wait and watch at this stage. It will be difficult to predict at this stage. Anyway, we don't give any future but even then, on a policy front also it is difficult to really predict because we will have to wait and watch how that will pan out into actual actions.

Amit Chandra: Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani: Congratulations on outstanding numbers. Sir, my question is if you can give some color to the insurance repository in terms of growth prospect for the whole industry. And what kind of opportunity it could be for us?

Nehal Vora: Sure. I'll ask Latesh to answer.

Latesh Shetty: Currently, we do not give any future growth prospects. As of now, IRDA is yet to make the repository services mandatory to the insurers. So, we will wait for the decision from IRDA. And accordingly, as of now, the status quo remains, and we are optimistic that IRDA will take decision on the draft circular which came out in November last year.

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Viraj Mithani: What would be the industry size for us, you can give I understand you can't give a forward-looking guidance, but if you can tell us the industry size and the rate of growth if the IRDA comes out with this circular?

Latesh Shetty: Currently, all IRs put together are not even 10% of the overall yearly annual policy. So, the IRDA annual published numbers of cash flow shows that it is just under INR2 crores. Probably that can give you some indication.

Viraj Mithani: Sorry, or it is just under your voice broke.

Latesh Shetty: The number of policies under Demat mode is just under INR2 crores. These are as per the IRDA numbers.

Moderator: Thank you. The next question is from the line of Dhaval Shah from Fort Capital. Please go ahead.

Dhaval Shah: Sir, regarding the technology charges, I understand you cannot make your prediction, but at least can you tell us as a percentage of revenue what we should expect? Because if I see there's been varying from 5.5% to 6% to now almost 10% in the last quarter, sir you can guide us

in terms of
percentage of revenue?

Nehal Vora: So that will be difficult to predict a percentage in the future. But if you go by the past trend, they have been ranging in around that range about 10% to 12%, but I think the important thing is from an intent point of view. We would like to ensure that the platforms of CDSL have the best-

in-class technology. And whatever it takes to for us to ensure that. And that has been viewed also very positively by the market participants by more and more wanting to trade. So, I think it's like saying that like a road, we are building a road. Now the quality of your road is good, you would have more and more cars wanting to come on that road. Now why is building the road or maintaining the quality, you are not going to assess that if these many cars come, then only I will build a good quality road. My intent is to build a good quality road, and therefore, the intent is to build a good quality road without having a cognizance of how many cars are going to come on it.

Similarly, our intent is to build world-class technology platforms and continue to ensure that and that has been viewed till now fortunately very positively by the market that more and more people are wanting to come in and participate.

Dhaval Shah: Sir, one more clarification that we are investing into hardware and software. So, we are not capitalizing this because of a conservative approach, or the accounting standard doesn't allow us to capitalize this cost?

Nehal Vora: No. We do capitalize assets which can be capitalized as per the Ind AS. What cannot be capitalized has to be taken as a revenue expense. Again, everything is driven by the Indian accounting standards.

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Moderator: Thank you. The next question is from the line of Bhargav from Asian Market Securities. Please go ahead.

Bhargav: My question is on the IPO and corporate action charges. This grew by 170% year-on-year. Usually, Q1 has been the weakest quarter for this segment. I just want to know what led to this significant growth in the segment.

Nehal Vora: I'll ask Girish to answer.

Girish Amesara: The growth in IPO corporate action charges is largely related to the IPO that comes in the market. So higher number of IPO, higher number of revenues will be generated from this particular revenue stream.

Bhargav Sangi: May I know the split between IPO and the corporate action in the segment?

Girish Amesara: We are not maintaining that kind of a split. It is in one head of income.

Bhargav Sangi: Or if you can just give me a ballpark number like I guess IPO charges will be much lower than compared to the corporate action charges. Right?

Girish Amesara: Sorry?

Bhargav Sangi: The revenue, which is coming from the IPO, which I'm guessing will be much lower when we compare it with the corporate action charges revenue, right?

Girish Amesara: As I said, we do not internally track that kind of parameter between IPO and corporate action. So, for us, it is a one head of revenue because everything comes under the corporate action group whether it's IPO or a corporate action.

Bhargav Sangi: The reason why I'm asking is because if you see on a sequential basis the revenue is stable but if you see the history, Q1 will be the one of the weakest quarter over the year. So that's what I'm trying to understand.

Girish Amesara: For the market dynamics, the larger number of IPOs will have this kind of revenue. It is not only IPOs, but also the number of corporate actions. Again, that is driven by how much consolidation is happening, how many corporate actions other companies are wanting to do. So, it is completely driven by the market dynamics.

Moderator: Thank you. The next question is from the line of Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: So, I just wanted to know your update about the account aggregator. What is the status and where are we in that?

Nehal Vora: So we have been mandated to be a financial information provider, which we have been there for last many quarters. In fact, we are one of the first in the securities market ecosystem, we come in FIP and we continue as FIP.

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Parimal Mithani: Sir, can you quantify the benefit in terms of market size and how we're going to benefit from this?

Nehal Vora: I'm sorry, your voice is not clear.

Parimal Mithani: Can you -- how would we benefit in terms of going ahead in the market size being the first mover advantage?

Nehal Vora: Market size is difficult to predict at this stage because how many people as many people want to access that information by giving a consent to a financial information user to reuse the information and data in the format which investor wants it. That will be difficult to predict at this stage, as it is at the inception at this stage. It is in the preliminary stages of the entire system. We have to wait and watch over the next few quarters to see how it really pans out.

Parimal Mithani: Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Miraj from Arihant Capital. Please go ahead.

Miraj: Thank you for the opportunity, sir and congratulations on a good set of numbers. Just a couple of questions. I wanted to understand that has there been any discussion if we will be revising any other charges since we are going to revise the charges based on True to Label? Because for a long time, I think we were supposed to have some revision in the annual issuer charges as well. I know that you can't comment if there has been if they are going to or not going to, but I just wanted to know if there has been any discussion on that?

Nehal Vora: So, the True to Label is what is under consideration at this stage. And obviously, we'll have to wait and watch and see as to how the market reacts to it. But that's a continuous process of review. And the issuer charges as well as the transaction charges. And as and when the scale grows our intent is to encourage more and more people to join the securities market. And to the extent whatever role we can play.

Miraj: I think there's some disturbance. So, I was not able to hear you, sir. Could you please come again?

Nehal Vora: No, the point I was trying to make was that basically...

Moderator: Ladies and gentlemen, we have the management connection back on call.

Nehal Vora: Yes, so you can hear me now?

Moderator: Yes.

Miraj: Yes, sir.

Nehal Vora: Yes. So, the point is that the economies of scale are something which should be continuously assessed. And our intent is to get more and more people to join the securities market. And therefore, to the extent we can extend it over a periodic basis is going to be a continuous

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assessment. Also, the cost of the platform including technology, employees, etc would be taken into consideration for any upward or downward for the division which is required.

So, on one hand you have the economies of scale. On the other hand, you have the cost to maintaining a platform on a good basis. It is a kind of a culmination of this which will lead to how much the charges should go down or go up.

Miraj: Okay. So, the cost that be there will also be considered as a factor in the charges?

Nehal Vora: Absolutely.

Miraj: Perfect. And just my final question that since our last discussion since the last concall has there been any other discussions on the T plus 0, T plus instant settlements with the government. Just wanted to understand the progress on that front.

Nehal Vora: T plus 0 has already been implemented on an optional basis, continues to remain on an option basis. And there has been continuous feedback from the market on what can be improved upon and that's a continuous pr

ocess and once there is a significant time which goes and SEBI fees there is a need to move to barely instantaneous. They will think about that, but as of now T plus 0 and T plus 1 are both working.

Miraj: Sir T plus 0 is with all the depository participants or only selective?

Nehal Vora: No. See from a depository participant there are a few brokers which have done on basically beta phase. So, they can transact on those particles. There are fewer stocks and fewer brokers. And obviously, SEBI is kind of continuously assessing this. But from a depository standpoint, we have to make it available if any kind of investor within those brokers wants to opt for it. So, from our standpoint, depository standpoint, both the systems are on.

Miraj: Okay, thank you so much, sir. And all the best for the future.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments.

Nehal Vora: I wish everybody all the very best and thank you so much for your questions and thank you for all your compliments. It actually means a lot for us as a management team. Thank you.

Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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Central Depository Services (India) Limited
CDSL/CS/NSE/RG/2024/284 November 04, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on October 28, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

This is with reference to our intimation dated October 21, 2024, for scheduling of
Conference Call on October 28, 2024. In this regard, please find attached the transcript of
the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

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"Central Depository Services Limited
Q2 FY '25 Conference Call"
October 28, 2024

Management: Mr. Nehal Vora–Managing Director and Chief
Executive Officer– Central Depository Services
Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services Limited

Mr. Sunil Alvares – Managing Director and Chief
Executive Officer -- Central Depository Services
Limited – Ventures Limited
Mr. Latesh Shetty – Chief Executive Officer –
Insurance Repository
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

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Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q2 FY '25 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, Mr. Chandra.

Amit Chandra: Yes. Thank you, operator. So good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 2 FY '25 Earnings Call. Today, we have with us the management team of CDSL, represented by Mr. Nehal Vora, MD, and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We will start with a brief overview of the quarter by Mr. Nehal Vora, and then we'll open up the floor for the question-and-answer session. Thank you, and over to you, Nehal, sir.

Nehal Vora: Yes. Thank you so much, Amit. Very, very good afternoon to everyone, and thank you for joining us today to review CDSL's financial results for the second quarter of the financial year '24-'25. We posted a detailed investor presentation on our website for your reference.

I'm joined today by CDSL Group's leadership team, and we are pleased to share the company's progress and recent achievements with you. But before we go into the performance, let's first look at some important developments in the Indian capital markets. In quarter 2 of FY 2024-'25, India's capital markets demonstrated remarkable growth despite some volatility. The domestic investors continue to place their faith in the Indian capital markets, driven by the robust economic fundamentals and a strong growth of India. The long-term vision for economic reform and infrastructure investment continues to make India attractive securities market.

A significant milestone was reached in September, as the total number of Demat accounts in India surpassed 17 crores. CDSL added about 2 crore Demat accounts in the first 6 months of FY '24-'25 and about 1.2 crore demat accounts in quarter 2 of FY '24-'25, underscoring the trust placed by the market in us.

Our continued focus on digital innovation, such as ASBA and enhanced market accessibility and strengthened investor confidence, ensuring a seamless and secure trading experience. These initiatives align the commitment to empowering every investor to become self-sufficient.

We remain dedicated to leveraging technology and expanding our services to drive forward a more inclusive and a technologically advanced securities market. So, as we continue on this path, I would like to extend a heartfelt gratitude to all our stakeholders, beneficial owners, depository participants, issuers, regulators, employees and other market participants for their Central Depository Services (India) Limited

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steadfast support and partnership. We are especially grateful to our investors for the trust they place in us, which remains the driving force behind our progress.

Finally, on behalf of the CDSL family, I would like to wish you and your family a very happy Diwali and a prosperous New Year. Thank you once again for joining us today. I now hand over to the CFO, Mr. Girish Amesara, to take you through the details.

Girish Amesara: Thank you, Nehal. Good afternoon to all of you. First, I'll start with consolidated financial

results. The quarterly performance on a consolidated basis consists of total income for the quarter ended September 2024 has increased by 56% to INR359 crores as against INR230 crores for the

corresponding period of the previous year.

Our net profit for the quarter ended September 2024 has increased by 49% at INR162 crores as against INR109 crores for the same quarter during the previous year. On the half-yearly numbers for consolidated, the total income is INR645 crores, as against INR404 crores in the previous half year.

The consolidated net profit for the half year has increased by 62% to INR296 crores as against INR183 crores during the first half of the previous period. Speaking on the standalone numbers, the total income for the quarter ended September 2024 has increased by 78% to INR324 crore as against INR182 crores for the same period during previous year. The net profit for the quarter ended September 2024 increased by 95% to INR171 crores as against, INR88 crores for the same quarter during the previous year.

Now for the first half on a stand-alone basis, the total income has increased by 55% to INR545 crores as against INR352 crores during the first half of the previous year. The net profit has also increased by 53% to INR276 crores as against INR180 crores during the first half of the previous year.

Thank you all, and I will now hand over to Mr. Sunil Alvares to speak on the KRA business.

Over to you, Sunil. Thanks.

Sunil Alvares: In FY '24-'25, the first half CVL had a good half year. The total income increased by INR65.19 crores to INR144 crores in the first half of FY '25 and total expenses also increased by INR21 crores to INR55 crores.

The profit before tax was INR88 crores as compared to INR44 crores in the same period last year, which was jump by 98% and the profit after tax increased to INR66 crores from INR32 crores, which was again an increase of 100% as compared to the same period in the last year.

With this, I'll open the floor for question-and-answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: Yes. So, sir, I have a couple of questions. So the first was the other income in the P&L that you have reported in the breakup that you have given on different revenue lines, so just wanted to

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understand that this jump in the other income that we have seen, what would be the underlying heads, which would have led to this kind of growth in the numbers?

If you can give us the breakup of the major parameters that are there, which has led to this growth? And the second question is on the other expenses side. So the breakup that you have provided there, I think there is I guess, there is a taxation element.

So, if you can give us some color on the taxation element, is it because of the capital gains tax change on your treasury book, whether that is impacting? And also, within that, any other head where the expense level has increased, if you can highlight on the same?

Nehal Vora: I'll ask CFO to answer.

Girish Amesara: So, in terms of other income, largely it consists of the consolidated statement that we send and the e-voting income that we earn with a combination of this. So those are at an amount of INR22 crores in terms of consolidated account statement and e-voting income of INR23 crores for the first half. This is the breakup of other income. And in terms of expenditure, we are taxed at 25.12% as per the income tax rate and accordingly, the tax provision has increased due to increase in the overall net profit.

Swarnabha Mukherjee: Okay. All right. So, no impact on the treasury side?

Girish Amesara: Treasury income is largely mark-to-market income. So as and when there is any actual realization of income, the t

ax accrues.

Swarnabha Mukherjee: Sure, sir. Got it. And in terms of the annual issuer chargers, if you could highlight what the breakup between, say, the listed and the unlisted companies and any impact if you were seeing on more unlisted companies coming in due to the recent regulation changes?

Girish Amesara: See, normally, we give the income of unlisted income, okay? So, in this quarter, we have earned a total income of INR9.20 crores from unlisted companies.

Swarnabha Mukherjee: Sure, sir. Sir, this increase, is this because of like more of this small companies coming in. Like it was mandated earlier to get...

Girish Amesara: Yes, it will be largely attributed to the regulated requirement of admitting the capital of small companies.

Moderator: The next question is from Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Sir, my first question is on the transaction charges. Obviously, we had like two rounds of cut in transaction charges and the new rate is applicable from the third quarter onwards from October.

But for this quarter, obviously, we had a strong growth in the transaction revenues. So, if you can quantify what was the impact of the pricing cut for this quarter? And also, in terms of the

pricing, obviously, we have seen two rounds, are we expecting any further like moderation in prices? Because if you see versus competition, we are still lower.
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Nehal Vora: So, the impact of the pricing cuts will start giving effect from 1st of October where single charge as per SEBI circular, we have kind of put in place. And in terms of further cuts that is futuristic, we don't give futuristic answers. But we continue to remain compliant and overall competitive also to the market to ensure that we give the best class of services at a reasonable cost.

Amit Chandra: Okay. So, in this quarter, there was no impact of the pricing cut because last call you said that there can be incremental 1-month or 2-month impact because we went down from 4.5 to 4 and then again 3.5. So is it all volume-driven in this quarter?

Nehal Vora: Yes. So it's a combination of volumes as well as yes, the overall slab had come down as part that was effective of 1st June. But it's a combination of the number of transactions versus the rate out there. It's kind of based on the overall market activity.

Amit Chandra: Okay. And sir, in terms of the issuer charges obviously, you mentioned that there was strong additions from the unlisted side. But also in terms of realization, how different it would be? Is it onetime fees also that we collect, which is the onetime fees and then the annuity compound is also there. So for this INR9.2 crores on revenue from unlisted, how many companies like we would have added in the 3 months, unlisted companies?

Nehal Vora: I'll ask the CFO to answer.

Girish Amesara: Amit, in 3 months, we have added 3,428 companies and onetime fee i.e. issuer admission fee is around INR5.15 crores from such companies.

Amit Chandra: Okay. So out of INR9 crores, INR5 crores is onetime, and the rest is the annuity?

Girish Amesara: Annuity fee.

Amit Chandra: Okay. And sir, in terms of the costing, obviously, we have seen a jump in the employee expenses. So this is largely the annual like bonuses and annual increments or is there any other component to it? And also, we have seen the fall in the technology expenses after a long time. So, can we assume that the elevated era of higher technology expense is behind us, and it can normalize from here on?

Nehal Vora: So on the employees, it's a combination of, obviously year-end appraisal bonuses paid out but also increase in the employee strength as the operations have grown. This is to keep in sync with the increasing kind of activity at CDSL. And this will be continuous to be being on a periodic basis so that we are adequately supported by human resource as and when

required.

Second is on the technology. As I said earlier, we are like an infrastructure company we are an infrastructure company for the market. And technology is something which constantly evolves. So I think it's a more long-term play rather than a quarter-on-quarter play. And I would really urge all of you to look at it from that standpoint because there is a lot of potential yet left in the market and it has to be adequately supported by the technology in terms of the latest to be put as a part of the CDSL ecosystem.

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Amit Chandra: No, so I agree to that, but my question was more that in FY '23 and '24, both we had 45% kind of a Y-o-Y increase in FY '24, 65%. So that kind of elevated technology cost will be seen, or we assume that it will be that elevated or because we have seen some moderation in this quarter. Is there some like one-off or like most of the investments that we planned?

Nehal Vora: No, it's again a part of the overall continuous assessment we've done. we don't give future guidance so we're not able to really give you. But the intent is to ensure that the technology remains sophisticated, remains modern and it remains adequate for the kind of the activity that CDSL has to go through.

Amit Chandra: Okay. And sir, one last question so in the others in terms of revenues, in the PPT, you mentioned that there was a contribution from like PACL activity. Is it a big number or is it or it was there in last quarter also, if you can quantify that?

Girish Amesara: It is more or less similar to last quarter.

Moderator: The next question is from Supratim Datta from Ambit. Please go ahead.

Supratim Datta: My first question is with respect to the transaction charges. I understand that you have...

Nehal Vora: Can you speak up a little bit, your voice is very soft?

Supratim Datta: Yes. So, what I was asking is on the transaction charges, I understand the current rate is INR3.5. Now could you give us some sense that how different is it from the previous blended yield that you would earn on transaction charges? That would be my first question.

And on the second one on cost. Now I understand from the previous participant and the commentary that you gave to his question that you don't give forward-looking guidance on transaction charges. But I wanted to understand -- it was on technology costs, but what I wanted to understand was on the technology, what are the other projects that remain or you are looking at implementing over the next 2 to 3 years? Could you give us some color on that, that would be very helpful?

Nehal Vora: So, on the transaction charges, you can kind of work out what would be the average cost with the in the previous quarter, but it has definitely gone through very rigorous working before we came to the conclusion that INR3.5 would be a reasonable charge given the current scale of the activity. And that is single charge, which is required to be done as per the SEBI circular.

As regards your second question on our technology, so technology will remain as a core input because being a market infrastructure company in the securities market where technology is the key driver, both in terms of sophistication of hardware, applications, security as well as network is going to become a key part of our constant assessment whether A, whether products which are here are there is some small sophistication, which has come and can be really implemented. And B, if there is some kind of more value proposition, which can be brought it into the technology fold in terms of throughput, in terms of speed, in terms of the efficiency is what will need to be continuously assessed as we move forward.

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The intent being that we create an infrastructure, which is secure at the same time kind of efficient so that it is real

ly able to assess the requirements of the market in terms of the efficiency and the time required to really processing this information. So it will be difficult to specify what would be there and that's, again, a futuristic statement. But overall, the ethos is to ensure this what I have just articulated.

Supratim Datta: Got it. And sir, on the first question, could you let us know whether this INR3.5, is that a revenue neutral rate or is it lower than because why I ask is because calculating the blended yield is difficult because we don't know what is the split of the delivered quantities based on the slab.

Nehal Vora: So it will be difficult to answer whether it will be revenue neutral or not, but going by the numbers see, because revenue is a function of number of transactions into the rate. Now the rate is just 1 part of the throughput. It's a number of transactions. So, quarter-on-quarter, how much are the number of transactions will really determine that. The intent being that really the economies of scale should be extended to the overall securities market, and that is what is the endeavour which has been done.

Supratim Datta: Got it. Got it. And my final question is on the private company side. I understand that you have incurred INR9.2 crores in revenues. What would be the cost associated with this? How much -- is there any incremental cost that is associated with it?

Nehal Vora: So the incremental cost will be of the technology of the people. It's the same usual as we call it. It is kind of the blended cost, which is part of the infra, both in terms of human resource and technology. It would not so therefore, it will be difficult to kind of quantify specifically to this activity because it's an overall infrastructure which is getting provided.

Moderator: The next question is from the line of Santosh Keshri from SKK. HUF. Please go ahead.

Santosh Keshri: I must congratulate you for such a great performance. I have two questions. One is about the cash balance that we have in our books. I assume, looking at the balance sheet, by my calculation is something like INR1,400 crores. And as you can see with the rising profits, the cash balances are going up.

So I am not asking a futuristic question, but in terms of the immediate needs of the business has not been there with so much of cash balance and also CDSL completing 25 years, you're issuing bonus shares. Any other plan for rewarding shareholders with some cash dividend or do you have any plans for using this cash for some acquisition purposes?

Nehal Vora: So we will continue to wanting to reward shareholders as and when it goes forward. Our overall endeavour has been to do but also there are newer products and technologies, also the strength of the financial statement is a very critical part of ensuring the robustness of CDSL as it goes forward.

It also builds the trust in people to really invest their hard-earned savings on to the CDSL platform. So we will continue to assess this. And wherever we feel that there is an appropriate opportunity to further reward shareholders, we will continue to do that.

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Santosh Keshri: Yes, sir. But rather than giving dividend every year, it could be quarterly with the profits because the other market participants like CAMS particularly, they give interim dividend at frequent intervals. So that would also be very welcome for a company like CDSL. That's my suggestion.

Nehal Vora: Yes. So as I said that what CAMS does is as per their scale of activity. We have a different scale of activity. I don't think they're comparable in that sense. But however, we have always kept in mind the shareholder interest, but more importantly, the overall market basically resiliency to be the core of our kind of the investment.

And as you have seen that in this last 25th year, we've given the record dividends coupled with a 1:1 b

onus. So, we will definitely not be shy in rewarding the shareholders wherever the opportunity is there. But at the same time, there's the resiliency of the markets and there's resiliency of the infrastructure and CDSL as a company, is the topmost in the mind wisely.

Santosh Keshri: Okay. Understood. And 1 more question regarding the trade receivable balances we have. Last September '23, the balance was something like INR90 crores, INR89.35 crores to be precise.

Now in this half year, as of September 30, '24, the balance is something like INR124 crores. So why this good increase in the trade receivable balance...

Girish Amesara: September '24 vis-à-vis September '23 is something we should avoid because the main reason is that we do any billing in the month of April, okay? And that's quite a chunk of amount. So, this is going to be there till some time, it is fully resolved.

Santosh Keshri: That I agree sir. But the point is that even compared if you compare this with the March balance, there also it's been an increase from INR86 crores to INR124 crores, so is this because of the revenue scaling up, our receivable balances will also go up? Or this is because of some stock balances which are which we hope to realize...

Nehal Vora: No, I think the way you should look at it is as a percentage of the total revenue, which is generated. I think the percentages are nearly the same or profit's lower in this year. And as the scale of activity grows, this will also grow.

Girish Amesara: And also, the scale of revenue growth, it is bound to grow.

Moderator: The next question is from the line of Pratik Shah, who is an individual investor.

Pratik Shah: Firstly, just I would like to congratulate, Nehal, sir, for becoming again MD and CEO for the CDSL. I wish under the leadership; the company will reach its new height in coming years and congratulations to the entire CDSL team for putting a great set of numbers.

I have a couple of questions and one suggestion to the team. Just like to want to know about this insurance repository. As we all know that now onwards this mandatory to dematerialize the insurance policy. What is the progress of that? And what are the kind of advances that company achieving quarter-on-quarter?

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And one suggestion to site side can we put up some kind of numbers for this desktop, mainly for this insurance repository to this our investor presentation so that we'll get to know that what is the progress of each and every quarter and how many policies we are adding by each quarter?

Nehal Vora: So first of all, Pratik, thank you for your warm wishes both personally as well as to CDSL team, they're really valuable. I'll ask the CEO of the Insurance Repository, Latesh Shetty, to answer your second question and suggestion.

Latesh Shetty: Pratik, Happy Diwali in advance. And as you rightly pointed out, with the recent regulatory changes at IRDA end, there has been a slight awareness about insurance repository per se in the market. But largely, we still depend on the life insurance and general insurance companies for giving the business. So that still has not changed.

What we have done at our end is we have now opened the portal for any policyholder to log in and create a free account so that the end policyholder can gain the benefits of insurance repository. So that is one change which we have done. And as the numbers are already published, we are currently in September '24 quarter, we have closed at 3 lakhs and the expenses remained at 85.31 lakh and it is a healthy growth rate, which is coming in.

Moderator: Next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, you said INR9.2 crores of revenue from the unlisted companies. So and as you highlighted it is because of your regulatory thing. So, I just wanted to understand on incremental new companies which are c

onverting themselves into dematerialized form. How much we are enjoying the market share? Whether we are taking lion market share or we are actively targeting these companies to have a potential market share the way we have it in Demat account? That's my first question. I have two more. If you answer this, then I will ask those 2.

Nehal Vora: So in terms of the market share, there is no published specific numbers across the thing, but we continue to engage and continue to ensure that the value proposition is given for these because

there are some amount which is published, but whether that is total or not that needs to be assessed in overall. So hence, it will be difficult to comment on that question.

Sanketh Godha: Got it, sir. And the second question is on employee cost. Sir, this employee cost what we reported around INR31 crores, just wanted to understand, is there anything one-off variable cost which will not repeat next year in subsequent quarters?

Nehal Vora: No, no, this is part of the regular appraisal process and the new recruitments which we are doing. So, it's a combination...

Sanketh Godha: No onetime bonus kind of thing was paid in the current quarter, right, sir?

Nehal Vora: So, there is no question of onetime bonus. It's an annual appraisal cycle and there is a variable cost as well as the salary increments, which happen every year.

Sanketh Godha: Got it. Got it, sir. Perfect. And the next question was, sir, if I look at other expenses, which is excluding employee cost, depreciation, and your technology costs, which are INR67 crores in

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this quarter. So the regulatory cost was just INR13-odd crore, still the jump in the other expenses.

Admin and other expenses seem to be very high, around 52 percentage quarter-on-quarter and almost 90 percentage year-on-year.

So still want to understand the color of these expenses, what is leading to it? Because regulatory cost, I understand, it's a variable growth along with the OPM, but still other things has grown meaningfully. Just if you can give a bit of color there would be useful, sir?

Nehal Vora: Yes. I'll ask the CFO to answer that.

Girish Amesara: So if you look at the overall operation, if you look at increasing the operating income, similarly, the operating expenses has also increased. For example -- I can give you an example that due to larger scale of retail operations we have to also send various kinds of SMS alerts, e-mail alerts.

So, we have to also considering that e-voting income largely comes in second quarter. There is similar expenses for e-voting, then we have professional fees. We also have inter-KRA expense on a higher scale, considering the PRA operations on higher skills. So, all put together this is culminating into overall increase in the operating expense.

Sanketh Godha: Got you. Sir, is it fair to assume this expense always to be variable to the top line?

Girish Amesara: Yes.

Sanketh Godha: Okay. Perfect. And lastly, 2 data-keeping questions, if you can give impairment cost in the quarter and the pledge income in the quarter?

Girish Amesara: Impairment cost for the quarter is INR3.28 crores and pledge income is INR7.30 crores.

Moderator: Next question is from Uday Pai from Investec. Please go ahead.

Uday Pai: I just had one question. If you can share the unique Demat account percentage out of total Demat account that you have?

Nehal Vora: We don't give that number out in the public domain as of now. So I would not be able to give that.

Moderator: Next question is from Sanidhya from Unicorn Asset Management. Please go ahead.

Sanidhya: Two questions on the repository side. Sorry, if I missed it, I joined a little late. One, what's the revenue for this quarter? And I can see we added almost a 1 lakh policies on the repository side, if I'm not wrong?

Girish Amesara: So revenue for this quarter is INR359 crores with a

net profit of...

Sanidhya: For the repository business I'm talking about.

Nehal Vora: You're talking about insurance?

Sanidhya: Yes, yes.

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Nehal Vora: INR103 lakhs for the September ended quarter, the revenue.

Sanidhya: And what would be the number of policies that would be added?

Management: The total cumulative policy that we have added is 15.72 lakhs is the cumulative policies so far.

Sanidhya: Okay. And sir, for this quarter?

Latesh Shetty: For this quarter sorry, I don't have the breakup of this quarter.

Nehal Vora: You can just send us a mail; we will send it across to you.

Sanidhya: Sure, sir. Sir, if you go by the last quarter's numbers, so there were nearly INR99 lakh revenue from 1 million or 1 lakh policies that were added. So is it safe to assume that -- like per policy it's like INR100?

Latesh Shetty: No, we do not give the breakup of per policy number, sir.

Sanidhya: No, on an aggregate basis. If we see the yearly, let's say, we this like, let's say, last year, we had

12 lakh then this year, we have 20...

Latest Shetty: Basically a blended cost what you need to see is the blended cost. Now whatever interpretations you want to take from the total revenue and total number of policies and come out with the average cost per policy, that is fine. But whether that is very extrapolatable or as a growth is something which we will we actually would not be able to tell you at this stage.

Sanidhya: Sure. Sure. And secondly, on the same business. So we are seeing that our competitors have been able to grow like a 10 lakh policies a quarter, whereas we are adding like 1, 1.2, 1.4 lakh policies a quarter. So where are we lacking? Like I think CDSL's technology platform, everything, this customer awareness, trust, everything is far better than any private player doing this?

Latest Shetty: So now you will see those changes because the major dependency is still with the insurance companies for us to grow the business. And as you rightly pointed out, the numbers are a bargain number, so the competitor may be giving a better deal. This is not necessarily we also should follow the same path.

As I mentioned earlier, now we have opened the portal for end policyholders to directly open the account and add the policies, so that will see some growth in the numbers. So now we are changing the strategy, and we are going directly to the end policyholders. That will also see some uptick in numbers going forward.

Nehal Vora: So again, that is really expected to see some whether it will happen or not that only the future will tell us.

Sanidhya: Okay. are we launching any applications for the same? And what are the kind of advertising expenses that we are trying to do and what kind of people we are trying to reach through doing this?

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Nehal Vora: It's a general upgrade of the portal itself. So there is no separate application that we are launching, but the core application itself is seeing some upgrades.

Sanidhya: Okay. Any tie-ups with the insurance agents or anything that we are trying, or we are planning or any plans for application as well?

Nehal Vora: Yes. I'm not at the liberty to disclose that right now. But yes, there are continuous efforts to bring in the insurers, which are not participating into the fold.

Sanidhya: Okay. No, I was talking about the individual insurance agents, like would we tie-up with those people so that they may help the customer to reach through CDSL, that's what I meant. And what would be your approach in growing this particular business? Like what kind of growth numbers should we see absolute not in the revenue terms, I'm just asking in terms of policies that we acquire going forward, like 2, 3 years down the line?

Nehal Vora: So, it is difficult to reveal that. It's again a futuristic statement

. Again, our intent is always to bring in the best-in-class technology across all our products and subsidiaries and to create value proposition and leave the rest to the market to figure out and give that kind of participation. So, I think that's really the intent behind all our kind of activities. So, it will be difficult to predict also, and we don't give any futuristic statement also.

Sanidhya: No worries, sure. Just lastly, on any advertising we are planning to do for this business.

Nehal Vora: No, again, there is no specific advertising for this business or that. Wherever it is required that visibility is required, the management will not be shy in really spending that money.

Moderator: Next question is from Supratim Datta from Ambit. Please go ahead.

Supratim Datta: I have just 1 follow-up question. So in the KRA business, I understand your competitor has launched a product, which promises 10 minutes KYC so just wanted to understand that are you planning a similar kind of product or a competitive offer? How are you planning to tackle this competition that is emerging on the KRA side?

Nehal Vora: Sunil if you can answer that?

Sunil Alvares: Yes. So, to answer your question, we already launched a similar facility. So, we complete almost 50% to 60% of whatever KYC records come to us in the first hour itself. And then depending on the clarity of the image, et cetera, we verify the rest. Most of our clients, continue to be with us in spite of the competition, because of the quality of our services we offer.. I hope that answers your question.

Moderator: Next question is from Santosh Keshri from SKK. HUF. Please go ahead.

Santosh Keshri: So this question relates to CVL. As I heard correctly, the profit of CVL for this quarter increased by 96% compared to the last year, correct me if I'm wrong.

Sunil Alvares: Yes.

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Santosh Keshri: Okay. So this is a very good increase in the topline. And I wanted to know about this in the sense that do we get any revenue from CDSL or all our revenues from the third-party players, for example, mutual funds or brokers. How do we get revenue?

Sunil Alvares: See, 99.99% is from the market that is intermediaries like brokers, mutual funds, you name the intermediary in the market. With CDSL, we are doing some PAN verification, so that is the only revenue we get from CVL.

Santosh Keshri: Okay. Okay. Great. And what could be the annual profitability, not for the future, but the last 12 months, if you can just share that number?

Nehal Vora: Profitability over the last 12 months?

Santosh Keshri: Yes, last 12 months, sir.

Girish Amesara: Last year, it was INR86 crores in case of CVL.

Santosh Keshri: So that was for March end financial year ending March '24, you were talking about?

Girish Amesara: Yes. You said last year, right?

Santosh Keshri: Yes. So last 12 months, if we say year ending September '24...

Nehal Vora: So as on September '24.

Girish Amesara: So last year first half was around INR34 crores.

Sunil Alvares: It was INR32.21 crores to be exact.

Santosh Keshri: Okay. And this year, it is something like and what will be the amount for this year, sir?

Girish Amesara: Sorry?

Santosh Keshri: What will be amount for the last 6 months, that is the 6 months ending September '24?

Sunil Alvares: INR66.54 crores is the profit after tax for the first half year of this financial year.

Santosh Keshri: So sir, I have 2 requests on this. One is that if in our PowerPoint, now it's a good amount of profit that's coming from CVL, so if you can give more details, more color in our presentation -
- quarterly presentation about CVL, it will be really helpful in terms of the different revenue breakups and the expenses that we have.

And secondly, now this is a good business, something like INR90 crores, INR95 crores coming as a profit from this business. Any plans for listing this as a

separate entity in the market?

Because I remember when the CDSL was listed, the profit for the CDSL for the entire year was something like under INR100 crores. So then the management the BSE management, your shareholders thought it good to list CDSL in the market. Any plan for listing CVL as a separate entity in the market?

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Nehal Vora: So I just thought I'll clarify the reason why CDSL was listed. BSE had to divest its stake from 54% to 24% at that time and the most democratic and scientific and transparent way of this would be to go through and maybe an offer for sale and hence CDSL was really made to list at that stage. CVL, whether it will be listed or not is something which would continuously be assessed by the CDSL Board and management. And whenever we feel the appropriate time, that time we'll come forward.

Santosh Keshri: Right, sir. Fully agree with you, but that would be a very good way to reward your shareholders without costing CDSL much. You'll be able to that will be a very good exercise in terms of balance sheet management. And as you said, a democratic way to benefit shareholders of CDSL, who have been persisting with the company for a long time. Though it has rewarded, there will be much more reward if this happens.

Nehal Vora: So, we'll we have anyways taken note of your suggestion. We will see it really at an appropriate time. Thank you.

Santosh Keshri: Thank you so much, sir.

Moderator: Thank you. Before we take the next question, a reminder to participants that you may press star and one to join the question queue. The next question is from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: Sir, thank you for the opportunity and congratulations on a good set of numbers. Sir, I just wanted to know any update on the account aggregator side, sir? What is the status currently right now?

Nehal Vora: No, the account aggregator CDSL has been mandated as per SEBI circular [inaudible 0:48:34]

Parimal Mithani: Sorry, sir, I could not hear you, sir.

Nehal Vora: I'm sorry, as per the SEBI circular, CDSL is a financial information provider, so an FIP, and it continues to be that for people to access their information. We are not in the business of the account aggregator. And as regards the FIU, that will be driven by the SEBI rules as prescribed from time to time.

Parimal Mithani: Okay. And sir, second question is, there is an increase in investment in associates from almost

INR25 crores to INR46 crores. Can you give a breakup on across which subsidiaries you invested sir?

Nehal Vora: I'll ask the CFO to answer that.

Girish Amesara: The investment in associates is basically into the gold bullion doing company at GIFT City. And for GIFT City companies, there are regulatory network requirements prescribed by the IFSCA regulator. So, all the consortium members invested a similar amount in the holding company, which has floated stock exchange and repository in the GIFT City.

Parimal Mithani: Okay, sir. Thank you.

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Moderator: The next question is from Arka Bhattacharjee whose an individual investor. Please go ahead.

Arka Bhattacharjee: Congratulations on the beautiful numbers and also living up to your commitments regarding the bonus that you had a discussion on the last con-call and regarding your shareholders, so we are really grateful for that. I just wanted to know I have two questions, one on the technical stack side and another on the insurance question that asked, which is regarding if you can give you some color on the insurance repository in terms of the...

Nehal Vora: Your voice is not very clear Bhattacharjee. Your voice is a little muffled, so we cannot really understand what you're saying.

Arka Bhattacharjee: Okay. So I'll try to speak a little louder on this. Just a

follow-up question on the previous one. If

you can give me some color on this kind of repository industry that what kind of growth prospects we are looking at? And also, what is the opportunity for investors like us? And also on the technical side for the kind of tech stack that you guys are using, because there is no mention on the annual report as well?

Nehal Vora: I'm sorry, what is we have not mentioned in the annual report? I didn't get that part.

Arka Bhattacharjee: The technical stack that you guys are using because you have given an overview on the safety, security and all these things. But there's no specific mention of kind of technology that you're using. Is there a restriction to that or if you can disclose it to your shareholders on the report?

Nehal Vora: So normally on technology i.e. which technologies are used is never disclosed as a part of within those principles. It is more importantly as to what that technology is able to do and converting it into a value proposition in terms of numbers, in terms of throughput, et cetera, which I think would be more of interest to the shareholders. So typically, in any of our businesses, we don't really state about the technology. And I don't think any other companies also don't really disclose the technology is being used within your company.

And I'm sorry your first question was again, what would be the insurance repositories growth in future? We don't give any future guidance. I'm sorry, I would not be able to give you.

Arka Bhattacharjee: Yes. Right. Okay. And congratulations on the numbers.

Nehal Vora: Thank you.

Moderator: Thank you. The next question is from Shreyansh Jain from Arthya Wealth and Investments. Please go ahead.

Shreyansh Jain: Yes. Thank you for the opportunity. Actually, sir, as you mentioned that we have -- we got -- had an income of e-voting and consolidated account statement in second quarter. So it is included in our other operating income segment, or it is included in our IPO and corporate action segment?

Girish Amesara: Other operating income segment.

Shreyansh Jain: So what are the revenue streamlines for our IPO and corporate action segment, can you give some color on that?

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Girish Amesara: The IPO, corporation action income, if you look at quarter-on-quarter, this quarter, we have a healthy growth. if you look at IPO corporate action charges, it is largely because of on account of IPOs.

Nehal Vora: The IPOs, which come out and the related activity in the repository is supposed to do in terms of the validation. It's linked to that. So finally, from your point of view, it is mainly the IPO-related activities, the listing of the IPO and the validations which are required for the IPO to both.

Shreyansh Jain: Okay. So, in this quarter, the good growth in IPO income is due to higher number of IPOs or is it something related to other activities?

Nehal Vora: So, it is a number of IPOs and the size of the IPOs, both.

Shreyansh Jain: Okay. So, a higher size of IPO, we get better yield?

Nehal Vora: On the yield, it is the number of validations, which needs to be done as a part of the ecosystem.

So, there are charges for those validations. So more the number of applications, more validations.

Shreyansh Jain: Okay. Understood. Thank you so much.

Nehal Vora: Thank you.

Moderator: Thank you. That was the last question in queue. I would now like to hand the conference back to Mr. Nehal Vora for closing comments.

Nehal Vora: Yes. So, I would like to wish all of you a very happy Diwali and Happy New Year. Thank you for all your questions and continue to stay safe and sound. Thanks.

Moderator: Thank you very much. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

Call: Jan 2025

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Central Depository Services (India) Limited
CDSL/CS/NSE/PG/2025/50 January 30, 2025

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on January 27, 2025.

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

This is with reference to our intimation dated January 20, 2025, for scheduling of
Conference Call on Monday, January 27, 2025. In this regard, please find attached the
transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

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"Central Depository Services (India) Limited
Q3 FY25 Conference Call"
January 27, 2025

Management: Mr. Nehal Vora—Managing Director and Chief
Executive Officer— Central Depository Services
(India) Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services (India) Limited
Mr. Sunil Alvares – Managing Director and Chief
Executive Officer -- CDSL Ventures Limited
Mr. Latesh Shetty – Managing Director and Chief
Executive Officer – Centrico Insurance Repository

Limited
Mr. Kamalendra Srivastava - Managing Director &
Chief Executive Officer – Countrywide Commodity
Repository Limited
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

Central Depository Services (India) Limited
January 27, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the CDSL Q3 FY '25 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that the CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be constituted as forward-looking statement must be reviewed in conjunction with the risk that the company faces.

I now hand the conference over to Mr. Amit Chandra from HDFC Securities. Thank you, and over to you, Mr. Chandra.

Amit Chandra: Yes. Thank you, operator. So good morning, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 3 FY '25 Earnings Call. Today, we have with us the management team of CDSL represented by: Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO and other senior leaders. So, we'll start with a brief overview of the quarter by Mr. Nehal and then we'll open the floor for the Q&A session. Thank you, and over to you, sir.

Nehal Vora: Thank you, Amit. A very, very good morning, and welcome to everybody. I hope each one of you and your loved ones are safe and healthy. First of all, a very happy New Year to all of you.

Thank you for joining us today to discuss CDSL's financial results for the third quarter of financial year FY24-'25. We've posted a detailed investor presentation on our website for your reference.

I'm joined by the CDSL Group's leadership team including the CEOs of all the three subsidiaries. Let me start with the industry highlights and then take you through some of the key aspects of our performance. At the end of Q3 '24-'25, Indian capital markets became the third best performing equity market in the top 15 markets of the world. The average daily turnover surge by 64% in the 9 months of this financial year. And it's seeing some amount of stress based on the overall geopolitical as well as market conditions worldwide.

This quarter again India further strengthened its retail participation in the capital market. The total number of demat accounts in India surpassed 18.5 crores in December '24 with approximately 79% registered with CDSL. As of December 31, '24, CDSL had 14.65 crores registered investor demat accounts compared to 10.47 crores at the end of December quarter last year, marking a 40% increase. Approximately 92 lakh demat accounts were opened in the third quarter of the current financial year.

As we celebrate the completion of 25 years of operations of CDSL, our focus remains on enhancing the capital market ecosystem by enhancing efficiency, trust and transparency. We are committed to our priority of Atmanirbhar investor-focused approach while striving for innovation resulting in consistent and sustainable financial and business performance. CDSL has won the Market Infrastructure of the Year Award at the 7th Regulation Asia Awards for Excellence 2024 held in November '24.

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The award recognizes CDSL's innovative contribution to modernizing market access and infrastructure including initiatives like eKYC, eDIS, eAGM for all the investors. This recognition highlights CDSL's role in enhancing market efficiency, regulatory compliance and customer-focused growth.

Before I hand it over to the CFO, Girish Amesara, I'd just like to say that the growth of the Indian securities market is an extremely encouraging sign of India's potential and our journey towards Viksit Bharat. I also want to place our appreciation

and gratitude to all our stakeholders that is our regulators, depository participants, investors, issuers and other market participants and employees for their constant faith in us. And last but not the least, thank you to all the shareholders also for their constant faith in us. Thank you. Over to you, Girish.

Girish Amesara: Thank you, Mr. Nehal. Good morning. Speaking on the quarterly performance of CDSL on a consolidated basis, the total income for the December 2024 quarter has increased by 26% to INR 298 crores as against INR 236 crores for the corresponding previous year period. And the net profit on a consolidated basis for the quarter has increased by 21% at INR 130 crores as against INR 107 crores for the same quarter during the previous year.

On a 9-month numbers, the total consolidated income has increased by 47% to INR 944 crores as against INR 640 crores for the previous 9 months. The consolidated net profit has increased by 47% to INR 426 crores as against INR 290 crores during the 9 months ended previous year. On a standalone basis, the total income for the quarter ended December 2024 has increased by 26% to INR 235 crores as against INR 186 crores for the same quarter during previous year. The net profit for the quarter ended December 2024 is increased by 22% at INR 105 crores as against INR 86 crores for the same quarter during the previous year.

For the 9 months ended, the total income on a standalone basis has increased by 45% to INR 780 crores as against INR 538 crores for the corresponding previous year quarter. The net profit has also increased by 43% to INR 381 crores as against INR 266 crores during the corresponding previous year period.

Now I will hand it over to Sunil Alvares, MD and CEO of CDSL Ventures Limited to take you through the performance of CVL. Over to you, Sunil.

Sunil Alvares: Good morning, everyone and thank you for joining us for this investor call today. So far as CVL's results are concerned, the total income for the period 9 months ending December '24 increased by 61% to INR 206 crores from INR 128 crores. The total expenditure for the 9 months ending December '24 was INR 83.8 crores as against INR 53.89 crores for the same period in the previous year which was an increase by 56%.

The profit after tax increased by 65% to INR 122 crores from INR 74 crores. And the profit after tax increased by 64% to INR 92.55 crores as against INR 56.34 crores. With this, I would like to open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Chandra from HDFC Securities.

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Amit Chandra: Thanks for the opportunity. So, my first question is on the transition charges. Obviously, we have seen the steep decline in this which is a mix of volume decline and pricing cut. So if you can first quantify what was the volume decline and what was the pricing cut that we have seen in this quarter?

And also, in terms of this slowdown that is happening across the markets, so which pockets in terms of your accounts maybe which has been added in the last 2 years or maybe the older accounts are seeing a slowdown. It's a slowdown across all the segments and we have taken a 20% price reduction. Now in an environment where the volumes are declining, is there a possibility that we can see a price revision upwards also? So, this is my first question.

Nehal Vora: Okay. Continue You can finish your questions.

Amit Chandra: Okay. So, the second question is on the decline that you're seeing in the online data charges. So, we have seen that the account addition continues to be strong. So, we are not seeing any major decline there. But still the online data revenue was weak. So was there any significant decline in terms of fetches because that constitute like major proportion of our

revenues in online data,
which is the KYC revenue.

And thirdly, on the technology cost and obviously it has been the major focus area. 9 months it is up around 85% which is following a 65% increase in FY '24. So, is the major technology investment behind us or we will see this elevated cost for the coming years also?

Nehal Vora: So basically, Amit, see the overall market conditions while the demat accounts continues to grow that had also seen some slowdown. In the months, which were the full month in September, we had about 40 lakh demat accounts opened. That has now dropped to about 30 lakhs. Obviously, the transaction-making ability in a bull market is far higher as compared to a bear market.

So overall, the sluggish sentiments contributed by geopolitical issues, overall slowdown in the world, certain regulatory changes etc., have led to a muted participation which is seen across the board, whether it be transaction volume, delivery volumes and hence the market-based delivery transaction income for CDSL.

However, the important point which needs to be kept in mind is that we continue to build our value proposition, keeping it probably one of the preferred depositories for investors to open accounts and therefore, the incremental market share percentage is kind of demonstrated. However, we don't want to base ourselves on past laurels. We continue to invest ourselves to create that kind of value proposition as we move forward.

In terms of specific numbers, we don't put that out in public domain. And hence, it is based on the overall numbers which have already been put out in our investor presentations and on our

website also. In terms of technology, it's a continuous process of evolution. I think the most important constant in the technology world specifically, overall, also, but specifically technology world is that change is the only constant.

And we need to evolve both in terms of sophistication, prowess and the latest tools so that the value proposition that CDSL provides to its relevant stakeholders continues to grow and

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continues to remain. And in terms of the account opening, online charges with CVL also, I think is kind of in-line with the overall muted contribution of volumes in the market which has really led to this.

So, we are in a way an infrastructure company. Our focus and our intent is to provide the right infrastructure for the rest of the market. So, we don't drive any of these, from a short-term quarter-on-quarter, but it's a more long-term play which we are for.

Amit Chandra: Yes. Sir, just a follow-up on the technology cost. Obviously, like technology is the prime focus area. But if you can just provide some color in terms of what part of our spend would be like discretionary spends, which we can cut-off in our environment when we see challenges in the environment. And what part of the spend would be run the business kind of a spend, which we have to do despite of whatever the market condition is?

Nehal Vora: So I think our philosophy, Amit, and that's where CDSL has kind of been able to be successful, in fact, has been proactive on technology spend and not being worried too much with the market quarter-on-quarter volumes because when the spurt comes, it comes in very suddenly and you need to be very prepared for it.

It's like your Bandra-Worli Sea Link Road or the coastal road in Mumbai which is built with a certain amount of capacity of traffic. The traffic may not be as much immediately, but it creates that sense of value proposition which, therefore, creates more demand. And that has been our philosophy.

So, we continue to embark on a journey where we do what is correct rather than what is convenient, what is necessary versus what is required from a business point of view. Because when the spurt came in, during COVID and after COVID, we were able to withstand that increased d

emand because of our proactive investment in technology and the ability to scale when the volumes went up.

Amit Chandra: Okay sir. Understood. Thank you and all the best for the future.

Moderator: Thank you. The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Good morning, sir. Thank you for the opportunity. So, my first question I just wanted to understand on the folios part of the business. So, I know that you don't give a forward guidance but wanted to understand from you that so far in 9 months FY '25, if you can give us sense that vis-a-vis the average folios which were there, which were billed for FY '25, so average full year of FY '24. What would be and by how much should we be largely up by now?

If you could give some color, not the exact number but a ballpark also that would help us to understand how the issuer charges, etc. might pan out. So not looking for any forward guidance, but whatever number you have recorded so far, if you can give a ballpark color in terms of growth. That is the first question.

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Second is in terms of the IPO corporate action line item which you report. If you can broadly give us a split on how it trends quarter-on-quarter between IPO and corporate action, whether there would be any seasonality in terms of corporate action in that which some color on that would be useful?

And thirdly, sir, I mean, I think already has been -- you have given some color in the previous question, but just wanted to understand that given that there is at least a transient weakness in the market, but that should not mean that we would expect that your further investments in technology will be curtailed at any level? So, it will be going on at the same level of what we are seeing right now, would that be a fair understanding?

And if you could also share fixed and variable cost proportion in your overall expenses, that would be very helpful. These are my questions.

Nehal Vora: So Mr. Mukherjee we don't give out the folios, but we give out the value of the annual issuer charges. And that could be a proxy for you to really understand on how the folio growth will happen, but that is a culmination of both - addition of new investors coming in versus the folio growth with CDSL employees. So, you could take that as a proxy.

In terms of your second question on IPOs and corporate actions, we don't give that breakup. But

it's again, IPOs, you are seeing the numbers which are out there. Corporate actions is a culmination of issues like bonus, rights, and also if any takeovers, mergers, acquisitions or any corporate actions emanating out of such things are taken. It's kind of a mixture of that which really takes forward.

So, it's the overall market conditions which will determine whether the IPO bucket will grow versus the other corporate restructuring market growing. And I think that is where we would like you to take this in terms of how we see it. Third question on technology. We continue to embark on the journey of both creating the right technology products and platforms on all three counts of hardware applications, security, network.

And also, building the right people as a skill set because as technologies evolve, you need that kind of skill set to drive those innovations also. The important thing is to continue to remain as far as possible from an intense standpoint on top of the game to ensure that your technology is kind of best-in-class.

And the important thing which I think one needs to also understand that lot of these reforms are happening on a segregated account structure which is opposed to the West, which is an omnibus structure. And we are far more inclusive and detailed where in terms of being a segregated account structure. This is because of the investment we've made in our technology.

Swarnabh Mukherjee: Right

t, sir. If you could give a proportion of fixed and variable costs in your mix. And also, sir, one follow-up on the IPO corporate action. So, between the quarters is there a discernible seasonality in the corporate action part? If you could just highlight that like whether the second quarter or the third quarter would have a higher amount?

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Nehal Vora: We don't give the breakup between fixed and variable costs because it's kind of in a very hybrid function. So, it may not give the right picture. We give it as a consolidated number. Also, it's difficult to predict the seasonality for IPO Corporate Income because for the IPO, whether they come out or not is completely market-driven.

And it depends on the ability of issuers coming out with market with the IPOs. When they will come out, there has been no specific trend whether the first quarter, second quarter, third quarter or fourth quarter where the highest number.

Swarnabh Mukherjee: I was sorry to interrupt. I just wanted to ask about the corporate action portion. I know you gave a consolidated number, but internally you would be having a breakup. So just wanted to understand, but only if I would think about revenue coming from corporate action, would there be a discernible seasonality in that number?

Nehal Vora: It will be difficult to predict either way because it is all market determined. So, any prediction of the past also is not indicative of the future because what may be in the past may not necessarily be mirrored. So, I think, therefore, it will be best left to the forces of market to determine.

Swarnabh Mukherjee: Sure. Understood. Very helpful. Thank you and all the best.

Moderator: The next question is from the line of Akshay from CD Integrated Services Limited. Please go ahead.

Akshay: Thanks for the opportunity. Sir, my first question is based on our competitive edge. So, if we compare ourselves to the NSDL then what sets apart in terms of technology or in terms of service or in terms of growth when we compare our services to the NSDL and yes, so what is our competitive edge?

Nehal Vora: So, Akshay our intent has never been to get market share or competitive edge. Our intent has always to be create the value proposition for the stakeholders and let the stakeholders decide which road to take. Whether you or those stakeholders take x road versus y road. It's like the coastal road versus the normal road, each one has its own demand, own requirements.

The intent being that we want to give the best-in-class technology, which is really available and continue to embark upon that journey and leave that rest to the market. Our intent is not to be one up over anybody else. I think the entire ecosystem has a lot to achieve. Only 7% of the Indian population is yet in the Indian securities market and I think there is enough space for everybody to thrive and succeed.

But the intent is that we want to give the best-in-class to the Indian capital markets and to the Indian investors so that they can trust with their hard-earned savings when they invest within our ecosystem.

Akshay: Okay, sir. And sir, my second question is based on the our revenue split. So, our deposit for this quarter, we largely divide our revenue in two splits, depository activity and data entry and storage. So, what comes under the data entry and storage? So which type of activity and what comes in the depository activities? So broadly wanted to understand that.

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And a follow-up question on that would be our issuer charge, annual issuer charge. So, despite our annual issuer numbers that grows quarter-on-quarter, but revenue on that front is flat quarter-on-quarter. So, any comments on that?

Nehal Vora: So, the data charges is the CVL side of it and the depository charges is the CDSL side of it. On t

he annual issuer charges depository charges are determined by SEBI. And I've said this multiple times in my previous investor interactions that as and when is the right time and moment that economics would get changed kind of upwards, but we are committed to remaining ensuring that our costs are under control, and we are giving the best value proposition to our stakeholders. Girish Amesara: Just to add here one thing that any issuer charge per se based on the average folio held during the previous year-end. So whatever additional in account that gets opened during FY 24-25, the impact would be on the next year annual issuer income.

Akshay: Okay sir. Thanks for the answers and all the best for the future.

Moderator: The next question is from the line of Supratim Datta from Ambit. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the private company side. So last quarter you had booked around INR 9 crores in revenue from private company dematerialization. Could you let us know how is that progressing? How much revenue have you booked from that side this quarter? That's my first question?

Secondly, on the pricing side, wanted to understand that on the annual issuer side, you haven't taken a price hike since 2015. Wanted to understand what would be the key triggers for us to approach the regulator for a price hike here? You could give us some benchmarks that you would be looking at before approaching the regulator for a price hike, that would be helpful?

And lastly, if you could give us a breakdown of the eCAS and e-Voting revenue that you typically do every quarter, that would be very helpful again?

Nehal Vora: Yes. So, I'll answer the second question. I'll ask Girish to answer the first and third question. The second question is on basis on what the overall cost on servicing is basically the investors, what is the technology cost. There's a multitude of factors which the regulator goes through. Unfortunately, that is not available in the public domain. That is what is seen by that regulator and overall economic conditions, how much the issuers would be willing to pay, wanting to pay, required to pay.

So based on that, they come up with numbers. So that's the answer to your second question. I'll ask Girish to answer the first and third question.

Girish Amesara: In terms of unlisted income for the quarter, we have earned income of INR 7.47 crores, out of which INR 4.76 crores is the processing income which is onetime income. And in terms of eCAS treatment charges it is at INR 14 crores and eVoting is at INR 5 crores.

Supratim Datta: And sorry, the unlisted INR 4.7 crores was the income for this quarter and what was the onetime fee during that?

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Girish Amesara: I said INR 4.76 crores is processing fees which is onetime fee.

Supratim Datta: Got it. Thank you.

Moderator: The next question is from the line of Santosh from SKK HUF. Please go ahead.

Santosh: Hi, thank you for giving me an opportunity.

Management: Yes, little hazy. Can you come closer to the microphone.

Santosh: Sure. Am I better now?

Management: Yes better.

Santosh: So, sir, I have two questions. One is that about the regulatory charges that we are disclosing the quarterly financials, so there we can see that on a 9-month basis, there is an increase of 50% towards regulatory charges. And even quarter-to-quarter, there's an increase of almost 16%. So, is there any revision in the charges from the SEBI side or there is a new charge that we have to pay? What is the scene here if you can just explain?

Nehal Vora: I'll ask Girish to answer that.

Girish Amesara: So, if you understand the regulatory fees, it consists of a charge which is supposed to be paid to IPF, which is a percentage of operating profits. So, if we compare 9 months versus 9 months, our operating profit has increased, hence, that has increase

d. And apart from that we have to pay

annual fees to SEBI and we also have to pay incentive to DPs. That is based on the collection that we make towards the annual issuer charges, custody charges.

Nehal Vora: So, to answer your other question, there has been no increase. It is completely driven by the increased numbers over the last 9 months.

Santosh: Okay. So, in a way, we can say that the cost of doing our business?

Nehal Vora: Yes.

Santosh: And I have a second question about the IT cost and the employee cost. So, what we have seen is that the employee cost is increasing on the one hand, the IT cost is also increasing on the other hand. So there looks like the IT cost is not leading to any reduction in the manual processing that you may be doing, or this is on account of something else and we are looking at we must look at it something differently.

I understand that you explained that IT is something that is important for future business and also for the safety and security of the market institution database, but can there be a correlation seen here in the long term with the increased IT cost, there could be a reduction in the employee cost in future?

Nehal Vora: So, Santosh if you understand this business, the employee and the IT costs are the two only costs which we have in the business. And they are not competitive with each other, they are

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complementary to each other. We need to ensure this, as this is a very specialized business. So, both in terms of the employees as well as the technology, it will continue to kind of be further invested in.

You also need to keep in mind that the revenue has grown, not at the same pace at which the technology and the employee costs have grown. And that shows the investment, the nature of this company. That is an infrastructure company, and you need to have a certain investment in employees as well as infrastructure for the technology, but the revenue based on market conditions, continue to grow exponentially higher than the growth you've seen which is not the case in most of the other companies where there is a correlation between the revenue and the costs.

And therefore, you need to see it in that perspective as we continue to grow because if we do not invest in the right people and the right technology, it will not create that value proposition when the market shows those kinds of demands where this continues to remain the preferred place where people try to open demat accounts.

Santosh: Okay. That clarifies. And I have a last question about the previous participant asking about any chance. I will not say chance, but the way we reduce our rates, transaction charges in October and even before May. So, can it be increased without any regulatory approval the way it was reduced? So, my point to ask you is that do we need any regulatory permission before we think of revising the collection charges or it is something that we can do of our own?

Nehal Vora: No. The regulatory charges, as far as the depositories are concerned, it requires prior approval of SEBI. And the reduction has also gone through that process. The increase, if any, in the future would also need to.

Santosh: Okay. So, sir, I just -- what is the need for revising the charges downward because we enjoy oligopoly, and we are the largest players. Our annual reports say that incrementally we are getting 84% demat accounts from our stable. So, is there any pressing need for reducing the charges?

Because as you can see that the capital markets, all participants have increased their charges. Even the government has increased their STT charges. So, the investors and the traders have to pay extra for doing the trade. So CDSL happens to be the only entity reducing the charge and, in the process taking a hit on the profit.

Nehal Vora: We are not taking a hit on the profit. I think it's economies of scale

which is coming into play.

And that was in a way your first question, that technology and employee cost are not in sync. See, the intent is that only 7% of the Indian population is today in the securities market. How do I make that to 20%, 25%, or 30%? There's a social inclusion, financial inclusion agenda also which is a long-term sustainability of the depository also.

So, our philosophy and our strategy has always been not looking at quarter-on-quarter but looking at a more long-term sustainable strategy. So that this becomes the preferred demat account depository. And we would like to include more and more people into our fold. The point is that despite the reduction in terms of our numbers, we continue to remain to be profitable.

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We continue to invest in the latest technology. We continue to recruit the right kind of people.

So, we have not compromised any of this. But at the same time, we would like more and more people to join the fold of the depository system. And hence this is kind of an added advantage, which we are working on.

Santosh: Okay. Thank you so much it clarifies. Have a good day.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Thank you for taking my question. So, a couple of them. First, on the annual issuer charges, you said that about INR 7.5 crores was the total from unlisted companies in this quarter and about INR 4.7 crores for the onetime sort of a number. So, the balance is obviously the more recurring portion.

Now my question is that we had this tailwind that the private unlisted companies had to dematerialize their shares. Are we sort of through with it? Have we seen that completely play out or is it still continuing or is that activity still on? That's my first question. Second, on IPO and corporate action charges. Quarter 3 had a very huge very large number of IPOs and a lot of fund raise and the market saw a lot of large IPOs as well.

But if we compare this line item from quarter 2, the jump is only about INR 6 crores from INR 52 crores to INR 58 crores. So, I wanted to understand what is sort of why the jump is a little less? So, if you can give me some idea as to what the corporate action component was in quarter 2 and then what the corporate action component is in quarter 3? And what the IPO component is, that will be helpful if you can just split that line item a little bit?

And finally on the expense side, some sense of what sort of salary increments are we looking at for FY '26? Yes, that again will also be useful. So, these would be my three questions?

Nehal Vora: So, on the first question, private limited companies continue to embark as and when they become eligible. The overall government nudge is to move the private limited companies into the demat world also. And so as and when they become eligible as per the conditions laid down by the Ministry of Corporate Affairs, they would be kind of very eligible to and they would be required to move into the demat world.

Again, difficult to predict numbers because which private limited companies become really eligible or not depends on the conditions, which we need to fulfil. Your second question was on the IPO corporate actions, we don't give the breakup of this. And hence, it's a culmination of again what is corporate restructuring versus IPOs as a unit. And therefore, it is leading to that kind of things in terms of how it will work on quarter-on-quarter.

And your third question on the potential increment on employees, we don't give forward guidance. I'm sorry, I would not be able to.

Madhukar Ladha: Just coming back on the first question. Actually, what I wanted to understand was what part of it; so we had the new sort of guidelines for dematerialization of shares for private companies -- Central Depository Services (I

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for the eligible private companies was sort of 30th September '24. And now that sort of played out most of it. So, I wanted to get some sense has that sort of played out, that bunch up and all of them sort of dematerializing the shares or these things...

Nehal Vora: Okay. I follow what you are asking. I would urge you to look at the rules of MCA. It talks about the large corporates which are INR40 crores of turnover and INR4 crores of share capital. Private limited companies, they become eligible to dematerialise when they want to raise capital, or they want to transfer capital.

So, there are two contingent conditions which has to be affected for these large corporates to be required to move into the demat world. Now, 30th September was the date after which this rule kicks in. So, whenever those two conditions of the filter of large private companies and those two other contingent conditions kick in, they are supposed to kind of move into the demat compulsory demat world.

So, I hope I have answered that. Therefore, it is difficult to predict whether it is played out or not played out.

Madhukar Ladha: Understood. This is very helpful. Got it. And just on the annual issuer charges, the processing fee that is part of annual issuer charges only or it's not sitting in other charges?

Nehal Vora: Yes.

Madhukar Ladha: Okay. Got it. Thanks a lot. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Sir, the cash ADTO for the industry as a whole declined by 20 percentage Q-o-Q and our transaction income declined 29 percentage quarter-on-quarter. So, is it fair to tell that INR3.5 which we are using in true to label, the price average realization seems to be lower compared to previously when we're doing flattish pricing? And if that is the case, then what is the cut we have to I mean, price cut of 9 to 10 percentage is a fair assumption, sir?

Nehal Vora: We don't give that number out in public domain. But the important thing is again don't look at or my urge to all of you all would be don't look at quarter-to-quarter. This is an infrastructure company. It's for long-term sustainability. So, what we are looking at is more investor participation on a long-term sustainable basis.

And therefore, the true-to-label cost whilst it's a regulatory nudge is also an important part of the strategy of CDSL to ensure that there's a long-term sustainable participation by more and more

new investors coming into the securities market fold and into the demat fold, so that the percentage of participation of a growing population increases from a 7%, at least 15% to 20%.
Sanketh Godha: Got it, sir. Fair point. Sir, the next question what I had was that if you look at other expenses outside the regulatory cost, that seems to have declined almost in line with the KYC income on quarter-on-quarter basis. So is it fair to assume that given your communication costs would have
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also come down because of lower KYC income, that expense has declined. So broadly, it's a variable cost in line with the KYC income?

Nehal Vora: Yes. That's right. Absolutely.

Sanketh Godha: Okay. Perfect, sir. And one more thing. We know that KYC income has slowed down. So just if qualitatively if you can say that the KYC income slowdown happened largely because of lower IPO applications or probably people fetching less from mutual funds or something just to get a color what led to the slowdown in the KYC income?

Nehal Vora: The color is overall securities market participation, secondary market. So it's a combination of primary market and secondary market, but it's a cumulative culmination of secondary market and primary market. So, when there is muted activity on secondary market, that

means less

number of fetches. The lower number of demat accounts, which have opened month-on-month as compared to September is another factor, the number of IPOs.

But it's difficult to point out category-wise. It's kind of cumulative contribution of the overall market sentiment, which is determined mainly by the traded volumes, the delivery volumes, the number of IPOs coming out, the number of demat accounts being opened, the number of unique client codes being opened. It's kind of a combination of that.

Sanketh Godha: I got it, sir. But the reason I was asking is that given the market is a little weak today, and say, next year the IPO activity is materially low because of the weak market. So then whether we see that KYC income is more under pressure because of the primary activity compared to the secondary market activity?

Nehal Vora: That will be difficult to predict, Mr. Godha because it depends on what the market conditions are in the future whether due to low market conditions, is the market going to be bullish with our low volumes or bullish with high volumes or bearish with low volumes or bearish with high volumes. That will determine whether the KYC income will be lower or not. So, there are a lot of variable factors which are difficult to predict at this stage.

Sanketh Godha: Got it. And two data-keeping questions. If you can spell out pledge income in the current quarter and impairment costs in the current quarter? That would be useful.

Girish Amesara: Impairment cost is INR 2.46 crore and pledge income is INR 6.06 crores in this quarter.

Sanketh Godha: Okay sir. Got it. Thank you very much.

Moderator: Thank you. The next question is from the line of Sunny from Individual Investor. Please go ahead.

Sunny: just I am new to your company. So, I just wanted to know the breakup of the online data charges as well as other income. So, what exactly falls under this other income and online data charges.

That's it, sir?

Nehal Vora: I will ask Girish to respond.

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Girish Amesara: So online data charges is the income of our subsidiary, CDSL Ventures Limited and other income consists of eCAS statement charges, eVoting charges, investment income, eSign and other KRA related income and other income of CDSL.

Sunny: Okay. So, what is the major income of this subsidiary CVL I mean, what exactly consists of that substantial part of the income of CVL subsidiary?

Girish Amesara: eCAS charges, eVoting charges and investment income are the major out of INR 49 crores. I hope you're asking the breakup of INR 49 crores...

Sunny: Yes, not the breakup of the INR 49 crores. I'm asking the breakup of this INR51 crores, the online data charges breakup, the subsidiary breakup?

Girish Amesara: That is all pertaining to KRA-related income. There is no breakup of those.

Sunny: So, all KRA related. That's it. Thank you so much.

Moderator: Thank you. The next question is from the line of Rushabh from RBSA Investment Managers. Please go ahead.

Rushabh: I just had one question, sir. So recently, we have seen a change of CEO at NSDL who's on private sector. So I just want to understand on ground, have you seen, have they become quite aggressive in terms of new customer acquisitions from their earlier stance? Just want to understand or is it too early to judge?

Nehal Vora: I would not like to comment on my competition. I think there is enough room for both of us to coexist and there are enough territories to cover. As I said earlier, 7% is the population which is contributing to the securities market. I think there is a lot more. So, I think there's a larger canvas at play and let us look at the bigger picture.

Rushabh: Okay. Thank you.

Moderator: The next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: So, I had a question on the IPO and corporate action line item. So, if I ju

st look at the number of

IPOs that we listed this quarter, it was about 76. The previous quarter it was 111. So, despite that, we're seeing an increase in the revenues quarter-on-quarter increase in the revenue of the IPO and corporate action line item. So, can you just give me some of the drivers of this of the IPO revenue that we generate because we're seeing a substantial decline in volume, right, over here?

Nehal Vora: Sorry, your voice was not very clear, Mr. Nagpal. Could you summarize it? I know your question was very long. Could you summarize it?

Rohan Nagpal: Yes. I think the volume of IPOs are reduced from 111 in Q2 to 76 in this quarter. But despite that, we're seeing a sequential increase in our IPO and corporate action revenue. So, could you just provide some color on the drivers of revenue of this line item or is it fair to infer from this that corporate action revenue was higher this quarter compared to last?

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Nehal Vora: Yes. You can it all depends.

Sunil Alvares: Yes, the revenue really depends on the number of applications which subscribe for the IPO and subsequently what are the number of allottees. It really does not depend on the capital. So, there could be a case in a particular quarter there is just one IPO, but there's a large number of applications and large number of allottees whereas in the next quarter there could be 100 IPOs with lesser number of investor applications for the IPO. So that's not really any comparison.

Rohan Nagpal: Okay. Fair enough. And just a follow-up on that. So, this quarter, I mean, in Q3, we got a number of notifications about a change in RTA. So, what is all of that revenue booked in Q3?

Sunil Alvares: Sorry, we didn't get your question. Can you come again?

Rohan Nagpal: There were notifications, so I think Link Intime was changed to MUFG Intime. There was a change in the RTA that is listed for a lot of companies. Was all of that revenue booked by CDSL in Q3 or will some of that be booked in Q4 as well?

Nehal Vora: I don't understand what is the revenue with Link Intime MUFG got to do with us?

Rohan Nagpal: I mean, a change in RTA or whatever there's a change in RTA?

Sunil Alvares: A change in RTA doesn't result in any income as the record just gets transferred from one RTA to the other. So, what really happens in our system, the name of the old RTA gets changed with the name of the new RTA for a particular ISIN.

Rohan Nagpal: Okay. There is no...

Nehal Vora: Mr. Nagpal, what you need to see is again a long-term view that more and more people if they're coming into our fold, this will be a long-term sustainable revenue. So again, I would really urge you all to start looking at the real long term because this is finally an interest.

Rohan Nagpal: Fair enough. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: My question has been answered. Thanks a lot.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr.

Nehal Vora for closing comments.

Nehal Vora: So, I wish you all a very safe and healthy life. Continue to remain invested and open more and more demat accounts. Thank you.

Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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Central Depository Services (India) Limited
CDSL/CS/NSE/ AD/2025/ 142 May 08, 2025

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on May 05, 2025.

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated April 25, 2025, for scheduling of Conference Call on Monday, May 05, 2025. In this regard, please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Compliance Officer
ACS No.: A20586

Encl: As above

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"Central Depository Services (India) Limited
Q4 FY '25 Conference Call"
May 05, 2025

Management: Mr. Nehal Vora –Managing Director and Chief
Executive Officer – Central Depository Services
(India) Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services (India) Limited
Mr. Sunil Alvares – Managing Director and Chief
Executive Officer -- CDSL Ventures Limited
Mr. Latesh Shetty – Managing Director and Chief

Executive Officer – Centrico Insurance Repository Limited
Mr. Kamalendra Srivastava - Managing Director & Chief Executive Officer – Countrywide Commodity Repository Limited
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

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Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q4 FY '25 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be on listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risk that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities. Thank you, and over to you.

Amit Chandra: Yes. Thank you, operator. Good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 4 FY '25 earnings call. Today, we have with us the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, the Chief Financial Officer; and other senior leaders. We will start with a brief overview of the quarter by Mr. Nehal Vora, and then we will open up the floor for the Q&A session. Thank you, and over to you, sir.

Nehal Vora: So first of all, I'd like to thank Amit and the HDFC Securities team. A very, very good afternoon, and welcome to everyone. I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the final quarter and the year ending March 31, 2025. We posted a detailed investor presentation on our website for your reference. I'm joined by the CDSL Group's leadership team, including the CEOs of all the subsidiaries.

Let me start with the industry highlights and then take you through to some of the key aspects of our performance. Financial year 24-25 has been a record year for CDSL with our revenues reaching an all-time high of INR1,199 crores, and an annual net profit of INR526 crores with a year-on-year growth of about 25% on the consolidated profits.

The Indian capital markets have experienced some amount of movement, volatility in the wake of circumstances. However, despite these fluctuations, the markets had achieved a historic milestone of crossing the highest-ever market capitalization of US \$5.7 trillion in September 2024.

The average daily turnover has surged by about 37% in FY '25, reaching over INR1,20,000 crores. This growth is reflected in the growth of demat accounts in this year. India has added about 4.1 crore demat accounts in the year, taking the total to about 19.24 crores as on March 31, 2025. CDSL has experienced a 32% growth in the number of demat accounts reaching a total of 15.29 crores and enjoying a market share of about 79%.

To further enhance our offerings for investors, CDSL introduced the unified features in the investor app, MyEasi, earlier in the year. The significant update allows investors to access their information across market infrastructure institutions in one place. I'm also pleased to announce Central Depository Services (India) Limited
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that electronic consolidated account statement has been successfully integrated in various apps as on 1st April.

CDSL also successfully executed the second addition of the CDSL Annual Symposium in February 2025 where the theme was 'Reimagine CapTech and the Future of Capital Markets'. We were honoured to have the late ISRO Chairperson, Dr. Kasturirangan, as our chief guest. It was his last public event.

I would like to reaffirm that CDSL's focus remains on enhancing the capital market ecosystem by enhancing efficiency, trust and transparency

cy. We are focusing on Atmanirbhar Investor approach while striving for innovation resulting in consistent and sustainable financial and business performance.

Before I hand it over to our CFO, I'd just like to say that the growth of the Indian securities market of the past year has been extremely encouraging, and it focuses India's potential and a journey towards Viksit Bharat. The market with its ebbs and flows has shown incredible strength even in this quarter as we owe it to a strong ecosystem who put their constant faith on us. My appreciation and gratitude to all our stakeholders, our regulators, depository participants, issuers, investors, all other market participants, market infrastructure institutions and all employees. Thank you, and over to you, Girish.

Girish Amesara: Thank you, Nehal. Good morning and good afternoon to all of you. So I'll start speaking on consolidated numbers first. So speaking on the consolidated quarterly performance, the total income for the quarter ended March 2025 is at INR256 crores as against INR267 crores for the corresponding quarter of the previous year. The net profit for the quarter ended March '25 is at INR100 crores as against INR129 crores for the corresponding quarter of the previous year.

Speaking on consolidated yearly numbers for the year ended March 2025, the total income has increased by 32% to INR1,199 crores as against INR907 crores for the previous financial year. The consolidated net profit has increased by 25% to INR526 crores as against INR420 crores during the previous financial year.

Now I'll speak on stand-alone numbers. On a standalone basis, the total income for the quarter ended March 2025 is at INR205 crores, which was at a similar level compared to previous corresponding quarter of the previous year. The net profit for the quarter ended March 2025 is at INR81 crores as against INR97 crores for the corresponding quarter during the previous year. Speaking on our stand-alone yearly numbers for the year ended March 2025. The total income has increased by 33% to INR985 crores as against INR743 crores during the previous financial year. The net profit has also increased by 27% to INR462 crores as against INR363 crores during the previous financial year.

Now I will request Mr. Sunil Alvares, MD and CEO of CDSL Ventures Limited, to take us through the CVL's performance. Over to you, Sunil. Thank you.

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Sunil Alvares: Thank you, Girish. Good afternoon, everyone. So far as CVL's performance for 31st March 2025 is concerned there was an increase in income by 35% from INR188 crores to INR254 crores. The expenditure increased by 42% from INR76 crores to INR108 crores. And the profit for the year was increased by 28% from INR86 crores to INR109 crores.

With this, I'll open the floor for question and answers.

Moderator: We'll take our first question from the line of Supratim Datta from Ambit .

Supratim Datta: My first question is on the cost side. So the technology cost for FY '25 in the fourth quarter was similar to what you had spent on an annual basis in FY '23. So could you help us understand where is this technology spend really going towards? What proportion of this would be recurring versus what proportion of this would be onetime?

That would be very helpful. I understand you have talked about technology costs previously as well, but given the magnitude of increase here, some kind of granularity would be very helpful for investors.

The second question would be on the KRA business. Now recently, the SEBI Chief had indicated that a centralized KYC system is being implemented, and it could be in practice pretty soon. In that scenario, what is the benefit of a KRA system? Or would the KRA system get consumed within this CKYC, which gets implemented across the board? And hence, how would that impact CDSL's pricing

ability? If you could give some color on that, that also will be very helpful.

And lastly, on the dividend payout. Now the dividend payout ratio was around 50% versus 55%, 60%. Any reason for a reduction there given you are not using that much of cash? Those were my three questions.

Nehal Vora: Okay. Thank you, Supratim. First, on the technology spend, I have been saying that we are in the process of building and consolidation. It's on all the core aspects. It's the hardware, the infra, the applications, the security and the connectivity. And that's a process which we are going through to obviously bring in newer tools and techniques so that the market can really benefit from better tools and technology, speed would go up, etcetera .

But the intent being is that we are market infrastructure company, and technology is one of the key building blocks. And it would need a continuous assessment of newer tools and newer techniques so that the market will benefit from that. I don't think we gave out in the public domain as to what is a onetime versus a recurring expense.

But we have kind of maintained a steady percentage as part of the revenue on the technology costs. And basically, the regulators' expectations also have been to ensure that the newest

technology is being deployed. Whilst this is a policy nudge, but from our end we continuously assess and improve upon our technology infrastructure on a very, very serious note. As regards to the second question on KRA, it's a process, which is the same interview of the SEBI Chair also. It talks about the efficiency of the KRA. We will have to wait and watch how Central Depository Services (India) Limited
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that really pans out because it's yet not come out. It is all work in progress. So we will see how it goes. But I'm sure that all the aspects will be taken into consideration before we move forward. And the third one on the dividend payout, I think there has been a calculation error at your end. We are about 61.3% payout. So, we've continued to maintain our policy guidance on dividend payout at 60% of our operating profits. In fact, it is slightly more than that this year.

Supratim Datta: Okay. So just one follow-up on the technology bit, I do understand you don't give out the recurring and nonrecurring. But can you give us the split of hardware? How much of the spend would be on hardware versus application?

Nehal Vora: We don't give that because, see, I'll tell you why we don't give it, Supratim, because it's a combination of fusion costs. So, you cannot segregate what is infra versus application. There is some, which is mixed cost. So, it would not create a right differentiation, and it is not right to even differentiate.

The important thing is to ensure that the systems remain strong and the systems remain modern. Whatever it takes to do that and that has been our intent whether it is in the hardware end, network end, security end or the application end, whatever it takes to ensure that intent is...

Supratim Datta: Okay, okay. So maybe let me ask it in this way that where are you in this journey of modernization? Is the modernization complete or you are 60%, 70%? Where are you in this modernization journey, Nehal?

Nehal Vora: I think if you ask any company, none of them will be able to say that they are completely there in the modernization process, because it's a continuous process of change. The larger companies also are continuously changing. Techniques evolve, methodologies evolve, products evolve, and tools evolve. So, I think it is in a constant state of work in progress because intent is to ensure that the modern infrastructure is provided to our clients and to the market.

Supratim Datta: Got it, got it. In the dividend payout ratio that you're seeing, is that on the stand-alone? Or is it on the consol?

Girish Amesara: Standalone.

Nehal Vora: It is on

stand-alone.

Moderator: We'll take our next question from the line of Prayesh Jain: from Motilal Oswal.

Prayesh Jain: Just extending the question of the previous participant on technology. So how much of it is going towards capacity buildup and how much of it is towards efficiency buildup? So generally, the reason I am asking that is the capacity buildup spend would probably be like a onetime spend or a spend that would get added and then probably will come again once you have reached those thresholds. So is there a spend towards capacity buildup or it's purely efficiency buildup?

Nehal Vora: So Prayesh, the way I look at it is that there's a popular Hindi saying that, eat fruits, why count the trees. (translated) The intent is efficiency. Whether that is due to capacity buildup because

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efficiency is also a function of ensuring adequate capacity. But it's not only capacity, it's about ensuring how the application works. It's how the security works. So, it's a combination.

The intent is ensuring efficiency, modern infrastructure, and the modern tools. So that the market and the stakeholders are always subject to the newest form of technology. And it's a process of really evolution.

If I look back at our journey 5 or 6 years ago, technologies used, have completely changed and as we have moved on, the market participants have not known those changes which has happened. So, it's a continuous process of change, which has happened to ensure that the market is subject to the newest and the most modern tools and products.

Prayesh Jain: So, is it fair to assume that as a percentage of revenue, this would sustain? I know you don't give forward-looking guidance. But for us, it becomes very important to understand whether we should model it as a percentage of revenue. Or how should we look at it?

Nehal Vora: So, you should look at our past and then take a call. I actually would not be able to give you the future because we don't give future guidance. On that, apologies.

Prayesh Jain: The other question is on the online KYC business. Could you explain it to me how much of it is coming from demat accounts and how much is coming from non-demat accounts? Or it's purely

demat accounts.

Sunil Alvares: See, if you really look at the KYC business, for us, it is very difficult to say what pertains to the demat or say to a mutual fund account because when an entity fetches, he could be a broker who's also a DP for demat services. So, whether he's opening a demat account for mutual fund or whether he's opening for securities, we do not know as the investor may be taking delivery of the mutual fund in the physical form. So it's very difficult to give you that answer.

Nehal Vora: And also Prayesh, in addition to what Sunil said, I think the intent is again that CVL is being built to stand on its own feet. So, whether it is demat account or non -demat account, the intent is it should be independent enough to stand on its feet. And that is how we have really progressed. If you see the way both these despite being a 100% subsidiary, we gave it a requisite flexibility to grow, to ensure that the shareholders of CDSL are benefited by both the growth, not only of CDSL, but of CVL also.

Prayesh Jain: Any other adjacencies that you're looking at to kind of get into on the BFSI space where you can get more KYC revenues?

Nehal Vora: So that's, again, a process of future. It's all really regulation driven. And I think as the journey of India is really embarking on public infrastructure, moving to a technology base, I think the process is something, which we are all basically hopeful in the future. But how much that will impact, what products, all that is a little futuristic. It is all regulation -driven. It is how the regulation policymakers will kind of create that framework in which it will

pan out.

But I think the overall theme and the trend is that more and more people are joining into this fold, and that is what we all have to hope for and pray for.

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Prayesh Jain: Last question on the charges for both transaction and the issuer charges. Any representation to the regulator, especially for the issuer charges to increase the prices or anything that you can let us know?

Nehal Vora: It is all, again, between us and the regulator. We don't generally reveal that in the public domain. But as and when a final call would be taken, that would be kind of announced to the market. So, we will all have to wait till then.

Moderator: We'll take our next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: So, first question is on the KYC revenue. Obviously, there has been a fall in the last 2 quarters, and it is because of the market slowdown and slowdown of the account charges. But if you see our account numbers, it has been increasing over the last 2 quarters. So in the KYC charges, if you can provide some color in terms of what has led to that steep fall?

Is it such as it had come down considerably? Or is it because of any other being in terms of discounts being given to the brokers in this? Or if you can provide some breakup of this, fetch versus account opening in the online data charges?

Nehal Vora: So, before I ask Sunil to answer, I think, Amit, overall, the market volume, delivery volumes, growth in demat account has all seen a muted response we've seen in the fourth quarter. And I think that is kind of the overall impact on CVL also, but I'll ask Sunil to take that question.

Sunil Alvares: Yes. So, like what Nehal just said, that the number of accounts anyway has dropped not only in the last quarter, but in the last 2 quarters we've seen a drop in account opening as also with mutual fund investments and also with IPOs, which have come in, in the last 2 quarters.

So typically, even if the account openings would have gone up, it could be more because of some fetch records, etc. But overall, we've seen the number of records itself, which are created have fallen as well as the number of fetch records also have fallen significantly. So that's what has led to the drop in income.

Amit Chandra: Okay. So, in terms of the fall, like what I was trying to understand is, is it more from the fetch activity that because as far as my understanding goes, fetch was 70%, 80% of the overall revenue. So, has that come down significantly in terms of the mix?

Sunil Alvares: It's more or less in line with what is the creation. So, in terms of percentage, it's almost the same.

Amit Chandra: Okay. And also in terms of the IPO and corporate action, obviously, it is market linked and there has been a sharp fall. But still in terms of the mix between the IPO and the corporate action revenue, what explains the sharp fall, is it only IPO or is it the combination of both? And is there any component in this revenue stream, which is recurring kind of?

Sunil Alvares: No, if your question is directed to CDSL, I think we don't look at it separately as a IPO or corporate action, we look everything as a corporate action in CDSL. So maybe Nehal would like to answer that.

Nehal Vora: Yes, So, could you repeat that very last part? I couldn't hear your last sentence.

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Amit Chandra: So, I was just trying to understand that the mix between the IPO and the corporate action in this piece. And what has led to the fall maybe in the last 2 quarters? Is it a combination of both? Or any one part has gone down significantly?

Nehal Vora: So, it's overall market impact, the impact is across both those teams. We don't give that different categories in the public domain. But to answer your question, it is o

verall impact amount.

Amit Chandra: Okay. And in the annual issuer charges, obviously, you don't give forward-looking guidance, but what has been in terms of the number of folios in this year till March? And also, you'll see the impact of this in like next year? And also has there been any increase in the unlisted revenue? And what unlisted revenue is good for the full year in FY '25?

Nehal Vora: I'll ask CFO to answer that. Girish?

Girish Amesara: See, we had disclosed that in the first quarter. Throughout the 4 quarters, it almost remained the same. We have disclosed that 22.76 crores folios that we had billed.

Amit Chandra: So, for the revenue for unlisted for this full year I want.

Girish Amesara: Unlisted revenue for the full year is at INR35.95 crores, so almost INR36 crores.

Amit Chandra: Okay. And obviously, lastly, on the insurance piece, we have finally tied up with LIC. Any progress on that? If you can throw some more color on that.

Nehal Vora: So I'll ask Latesh to answer.

Latesh Shetty : Yes. Latesh is here. So basically, it's just a sign-up, which has happened. Integration work is in progress. So, we are expecting that.

Moderator: I'm sorry, sir, you're sounding very distant.

Latesh Shetty : Yes. LIC sign-up has just happened basically, and the integration work is in progress. We are expecting LIC to provide us the resources to do the integration there.

Moderator: We'll take our next question from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha : Just on that number that you just said, 22.76 crores. Is that number, correct?

Girish Amesara : Of course, yes. Why?

Madhukar Ladha : No, no. I'm just asking as I was not clear on the numbers. So that is the number of demat that is the number of folios, which is basically a number of scrips into the demat accounts. Like I wanted to understand context of that number.

Girish Amesara: Yes. As per SEBI circular, we have to raise the bill based on either slab basis or on the full year folio basis. Now this folio, how it has to be worked out, it is an average of the folios at full year, which is held in any demat account for any company.

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Madhukar Ladha : Understood, understood. Okay, okay. Got it, got it. And then I'm not sure whether you gave the unlisted revenue number for FY '25?

Girish Amesara: I just gave. I just said unlisted revenue from issuer is INR36 crores for the full financial year.

Madhukar Ladha : Got it, got it. And this quarter, we saw a little bit of jump in that number from like you were doing about INR81 crores, we did about INR87 crores. Is there any onetime sort of processing fee, etc., in this quarter or on an overall sort of basis because a lot of unlisted companies have also come into demat in this year? So, is there any onetime processing fee in the annual issuer charges, if you could share that number?

Girish Amesara: So, for unlisted companies, we charge a onetime processing fee of INR15,000 per company.

Madhukar Ladha : Okay. So, what would that total number be?

Nehal Vora: To answer your question, it's again a combination of both more companies coming on and it's actually that more companies are coming into the field. So that continues as our journey as we move ahead.

Moderator: We'll take our next question from the line of Santosh Keshri from SKK Huf.

Santosh Keshri: Yes. I have been a shareholder since 2015, and I have been really looking at the portfolio for the company for a long time. So I have two questions. One is about insurance repository business where we can see that our nearest competitor is enjoying a market share of more than 40% now and they are having additions for something like INR1 crore policies with eIA accounts close to 10 million or so eIA accounts. So somehow, we do not see the same kind of performance and same kind of gen

es in CDSL repository.

And also, our PowerPoint presentation about insurance repository didn't cover much of the details. It just gives a little bit of numbers. It didn't say that what is the revenue that we are earning, how many general insurance companies we have tied up. Like last quarter, we said that we have tied up with 48 companies. This quarter, we are saying the number is reduced.

So my point is that we are sort of not giving extra numbers for us to assess the business or maybe the business is not being given full attention in terms of better performance and the kind of action that we are seeing in the market. That's not seemed to be happening here. So I'm concerned from the point of view of being a long-time shareholder? That's my first question.

Nehal Vora: Sure. You want to finish both questions then I can answer that?

Santosh Keshri: Sir, second question is a little longer. So, let's discuss this and then I'll come to the second question.

Nehal Vora: So, the first question is maybe Latesh Shetty is here, who's the MD of the insurance repository. But before I hand it over to him to answer, our intent is, like any infrastructure business, we spend a lot of time in ensuring that the platform, the technology, etc., becomes robust. It links up well with the relevant stakeholders and that takes time on both sides to ensure it needs to be planned, tested, etc.

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And therefore, that time is taken before it. Because we believe in a philosophy that once you are in it, you try to give the best product, take time in kind of planning. But once you're in it, so that's the confidence and trust of the stakeholders. I'll just hand it over to Latesh to take that.

Latesh Shetty: Yes, am I audible?

Moderator: Not very clear, sir.

Latesh Shetty: Okay. If you look at the past performance, we are in this business for almost 14 years. And again, the insurance repository business is also regulatory driven. The initial 10 to 12 years, we were hoping that the repository as a product would be made mandatory by the respective regulators, and we shall await and are hopeful that in future that guidelines may come in.

But yes, since this is not a mandatory subject, we have been limiting our investments on this business. But last year, there has been a lot of changes, which has happened. Apart from 3 revenue streams from which the business comes, we have now opened up the direct portal for the end policyholders to come and directly open their accounts and there has been some traction. We have not yet started marketing, digital marketing there. But yes, the voluntary growth has started coming in.

And just to give you some flavor, you mentioned briefly about the competitors as well. Just to give a context of the insurance business, it's all in public domain. Annually, the country turned out some INR30 crore policy and all the IR put together, we have just crossed INR2 crores. So 90% of the market is still up for grabs and that's what we are strategizing on, and you'll see the positive outcome in the times to come.

Santosh Keshri: That's right. But then we haven't got an app also, something like a digital app, which can be -- like our competitors have already launched an app. And the with this kind of thing is with app and connectivity and the network effect that you get by getting the new customers and the more new customers you have, the better acceptability is there for the newer customers to come and get into our platform.

So all I'm saying is that we are missing a lot of action here. Maybe something can be done and better details can be given in the PowerPoint presentation for the quarterly update. That would be really helpful.

Latesh Shetty: Coming to my recent website, we are under production, I think you haven't seen of late. So it has been a complete revamp from what was the

re last year. And we have a web-responsive

application. So yes, you are right, we do not have a mobile app per se, but our portals are web responsive, and it is visible on the mobile as well. But I take your point. So that's for us to work on.

Santosh Keshri: Okay. Now my second question is about the direction that the company is going towards, Nehal.

One is that, see, like we do not charge anything for the demat account, and we say that we have 15 crore-odd demat accounts. Then we have a huge amount of cash in our books, INR1,500 crores, for which there didn't seem to be obvious usage that what you said is going to be put to.

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And the analyst community and investor community have been talking about this in almost every call, but it looks like that there is no clarity in terms of annual report or the presentation that comes out after the quarter result. Every time we get to hear that the Board of Directors would decide and we do not make futuristic statements so -- that we get to hear.

And then we also get to hear that the extra amount of technology expenses that we have for a stable infra institution, something like the technology expenses went up by almost 70%

compared to the last year, and our operational metrics also had been going down. Like this year, our PBT margin is something 58% and last year it was 61%. Quarter-on-quarter, it is even worse. So, my question is that are we settling into some kind of happy infrastructure institution and nothing beyond? We don't want to go further beyond this because a lot of action is happening on the digital side, a lot of action is happening on the market side. Our associate, BSE, is doing so well in terms of not only share price, but in terms of a lot of regulatory forbearance they've got, a lot of marketing action that's happening.

The new CEO over there, he has really changed the company. The same kind of thing I'm not seeing in CDSL. So, I'm not trying to express any kind of disappointment in the company, I'm just trying to express my feeling that we are lacking certain direction here or maybe we are we need more better communication. If you can clarify, Nehal?

Nehal Vora: Santosh, you need to see those various communications. I think it is your opinion, I don't think that's the opinion of people who I meet and certainly not the opinion of what is in the mind of CDSL as a management and also Board. We have a very specific focus. Otherwise, in the last 5 years, we would not have grown from about 1.8 crores demat accounts to 15.5 crores. These numbers cannot just happen out of thin air. It needs a lot of planning and there's a lot of behind-the-scenes planning.

Second is the revenue, profits if you see for the last 5 years has gone through a significant uptick. And that can only happen when you are focused on what you want to do and how you want to do it.

Third is the number of shareholders who have been there for the last 5 years, total number of shareholders who had invested in CDSL has grown by multiple times. This also would not have been there if the shareholder interest and maximization principal focus was not a part of CDSL's core activity.

Now these numbers show a different picture than the conclusion which you are trying to draw. And I think you need to look at it from that perspective. Number of employees have grown in CDSL. The importance and the brand of CDSL has grown very stronger. All these are clear indicators that if there was no focus, nothing on how we are taking it forward, we would have continued to remain at the same level as in 2019, which is not too far away. It is just about 5 years away.

And in fact, that quarter-on-quarter, despite markets going through its ups and downs, we continued to grow in terms of number of demat accounts, number of people wanting to become a part of the CDSL ecosystem

clearly showcases that this is with a customer-centric focus.

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Otherwise, this would not have happened. So, I would really like you to urge you to rethink on your conclusion because these metrics don't show the conclusion, which you are trying to draw.

Santosh Keshri: But the thing is that though we are being customer-centric, are you also being shareholder friendly? If that is also being taken into account, it would be really helpful. I do not want to go beyond this, but that is something I wanted to highlight.

Nehal Vora: So, shareholders, you will see, again, metrics on shareholders, 1:1 bonus, highest dividends year-on-year. Last year, the company issued a dividend of INR 19 per share, incorporating a regular profit distribution of 60% plus a special dividend of Rs 3 per share marking the company's 25th anniversary. This totaled to INR 22 per share when considering the special dividend. This year we declared a record dividend of INR 12.50 per share. With the 1:1 bonus factor, it effectively doubles to INR 25.00 per share, the highest ever. Thus, this year, we have surpassed that by offering INR 25 per share, showing our commitment to shareholder interests. Had we not been shareholder-centric also, these numbers would not have come in.

Moderator: We'll take our next question from the line of Siddharth S. from Vitae Money.

Siddharth S.: The main thing that as a concern would be that the Q2 of your company last year did really well and there has been a dip in terms of both Y-o-Y and Q-o-Q quarter. Can you just highlight what led to it and what the trajectory going forward would be? And like on an approximate number-wise math, what growth rate can we expect from CDSL's overall management as a whole?

Nehal Vora: So, one is, Siddharth, we don't give future guidance. I won't be able to answer what is the future. It is for each shareholder to assess for themselves. But to your question on why Q2 was higher than Q3, Q4 is because the overall market volumes have dropped, the delivery base volumes have dropped. An important metrics, which one needs to look at is the delivery-based volumes on the stock exchanges, which shows the market participation, which culminates into delivery. And that's what is important from a depository standpoint. Our business is in long-term products that people take more and more shares into delivery, and that's how we are promoting a culture of also people staying long term in markets. And also, as an infrastructure institution, it's important to understand that we are building the right building blocks so that when we saw the

spurt in volumes during COVID and post COVID, CDSL was able to withstand that higher volume and continue to work seamlessly.

So, I think that is where our focus and intent is, that under all circumstances we have to keep on ensuring the value proposition to the market. And when the market volumes spurt, the infrastructure should be equipped to handle that excess volume. So that's where our focus is. Siddharth S.: Got it, sir. And the delivery -based volume has led to the entire dip as such. Do you have any idea on how it might be going forward if you would be willing to share any, I mean, insights or any idea on that?

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Nehal Vora: No, Siddharth, we don't give future guidance. But had I even known, you and I would not need to work any longer because if we all can predict what the volumes are going to be. It's cumulative thing of the entire market participation. So that's something for us to wait and watch.

Moderator: We'll take our next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha : Sir, initially, a few data -keeping points, can you spell out cas income, e -voting income and pledge income in the current quarter and

also the impairment cost?

Nehal Vora: Yes, I'll ask the CFO to answer that.

Girish Amesara: So, the CAS statement income was at INR11 crores in the quarter. E -voting was around INR6 crores. You also wanted the debtors' provision, right?

Sanketh Godha : Yes. Provision cost, impairment costs and the pledge income.

Girish Amesara: Sure. So, impairment was INR88 lakhs in this quarter, and pledge income was INR5.40 crores.

Sanketh Godha : INR5.40 crores. Okay. And sir, the second question was, yes, sir, you alluded to the point that a number of folios at the start of the year was 2,276 lakhs . So just if you can tell me how it grew compared to the previous year? I just wanted to reconfirm the point that this 2,276 lakhs was based on number of average folios of '24, which got reflected in '25.

So given the number of IPOs, we are so strong in '25. Is it fair to say that the number of portfolios surely would have gone up because of more listing and that will get more reflected in '26 as a growth in the annual issuer charges?

Girish Amesara: So Sanketh, previous year, it was at 19.50 crores. And current year, it is 22.76 crores.

Sanketh Godha : Okay, okay. Yes. So, the point, what I'm trying to make that given the 22.76 crores was reflected to last years number of folios, which we actually would have grown because of number of IPOs.

So, the benefit will be more reflected in the next year, sir?

Girish Amesara: Yes. Possibly.

Sanketh Godha : Okay, okay. And the third thing, sir, just if I look at cash ADTO, quarter -on-quarter, it declined by 8 percentage for the country, BSE, NSE put together, cash ADTO. But if I look at our transaction income, it has dipped by 17 percentage as Q -o-Q. So there seems to be a little divergence typically is not there. So just wanted to understand what led to more fall in transaction income compared to the fall in cash ADTO?

Girish Amesara: See, Sanketh, when we closely monitor the delivery volumes of exchanges vis -a-vis our billable transactions and we don't see that kind of slowdown decrease compared to what it is based on the what we see is the delivery volume and the average daily billable transaction move hand -in-hand. That's what we see from the historical data that we have.

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Sanketh Godha : So, the reason why I was asking this question was that sir, have you seen any market share loss with respect to transaction income because our decline seems to be a little more compared to cash ADTO, what we can see from the public information ?

Nehal Vora: So, we don't know the billable transactions of our competition. We only track what is there at our end. And you have to compare it with the overall volumes out now.

Moderator: We'll take our next question from the line of Parimal Mithani from Credential Investments.

Parimal Mithani : Sir, I just wanted to know a couple of quarters back you had mentioned about account aggregator thing. Can you give a highlight on where are we and what is the progress in terms of that? And secondly, sir, in your CDSL Venture, you do eSign and eKYC. Is there further scope expanding that services, if you could?

Nehal Vora: Could you just repeat that final part, that was not too clear.

Parimal Mithani : So, in your CDSL Ventures, you do eSign and eKYC, and I think there are significant traction in both of that. If you can explain, how do you plan to go ahead with that?

Nehal Vora: Yes, we don't give future guidance, but I'll ask Sunil to answer the second question. But before that, on the first question on the account aggregator, we are part of the Account Aggregator

Framework. We are there is something called an FIP or Financial Information Provider. CDSL was first amongst the kind of the ecosystem, at least in securities market, one of the first, which has become a part of this FIP, and we have been continuously gi

ving that.

So that is what our role is. So whatever account wherever data is requested by investor through the FIU or a Financial Information User, it gets routed through the Account Aggregator and comes to us and we provide that information after ensuring that relevant security checks, etc..

So that's what our role is. I'll ask Sunil to answer the second...

Parimal Mithani : Revenue stream from them? If you can if there is any? Or is it just an add -on, value -added service, sir?

Nehal Vora: Yes. Revenue as of now is not yet been there. It is in the process of getting formulated because these are early days. But I think there is some discussion, which is going on, but how much it will fructify and all, that is yet to be seen.

Sunil Alvares: Yes. On the second part, with regard to the traction, what you're seeing on the eSign and the eKYC business, is that so far as eKYC is concerned, the intermediary like the DPs, etc., need to be registered as a subcarrier. Currently, they are using DigiLocker for these services, but we are seeing some intermediaries who have registered recently.

And once they start off in this financial, ye ar, we will see more revenues coming from there. On the eSign business, the way it functions is that we do not tie up with the end customer who is a participant or the broker, but there is a third -party service provider, who gives the entire onboarding solution to the end client and eSign is just a part of it.

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So basically, we have tied up with a couple of such third -party service providers and we are looking at adding more such service providers. So, when we add some more, definitely we'll see an increase in income out there as well.

Moderator: We'll take our next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha : Sir, one small clarification. You said 22.76 folios. If I multiply by INR11, the revenue comes at INR250 crores. But what we reported is INR326 crores. So, the difference between INR250 crores and INR326 crores is predominantly explained by what, sir?

Girish Amesara: See, Sanketh, you have to look at the SEBI circular. We have to raise invoices on the company based on folio and the capital. And apart from that, we have unlisted companies also. So, everything put together is a final number, which is there as an annual issuer income. What you are looking is limited to only the folios.

Sanketh Godha : Right. Okay, okay. So, sir, basically, where you charge the fixed fees and basically what you charge for the listed companies, which could be much higher compared to number of folios what they have explains the difference between 2 numbers, right, sir?

Girish Amesara: It's a combination of both.

Moderator: We'll take our next question from the line of Mohit Surana from HDFC AMC.

Mohit Surana : Can you also the way you gave 22.76 crore number for the last year, could you give the number for this year?

Girish Amesara: That would be possible only in next quarter.

Moderator: We'll take the next question from the line of Swarnabha Mukherjee from B&K Securities. I'm sorry, Mr. Swarnabha's line is disconnected. We'll take a question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just a bookkeeping question on the other income. What drove the sequential improvement in other income so much? And could you give us a breakdown of your investment in terms of where all the money is parked?

Girish Amesara: So other income is largely constituting of CAS charges, e -voting income, eSign income and investment income. The investment income is largely based on investment in fixed deposits, investment in mutual funds debt scheme and investment in bonds. These are all based on an investment policy approved by t he Board.

Prayesh Jain: Okay. So, the large part of the jump in the other income in the quart

er is mainly because from

the mark -to-market. Is that a fair way to assume on the debt side?

Girish Amesara: Yes.

Moderator: We'll take our next question from the line of Swarnabha Mukherjee from B&K Securities.

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Swarnabha Mukherjee : Yes. So, sir, I just wanted to understand on the IPO corporate action part. So, the INR25 crores we have reported this quarter, this would be mainly from corporate action, right? So I mean, I just wanted to know that this INR25-odd crores, - how much would be seasonality across the quarter? Is the second, third quarter much more heavier? If you can give some indication based on the trends seen in last 2, 3 years.

Nehal Vora: I'll ask the CFO to answer.

Girish Amesara: IPO corporate action income is largely based on the IPO that comes in the market. So, it is directly linked with market activity in terms of the IPO that gets business during the quarter. So, if you ask us a seasonality, it is directly related to the market.

Nehal Vora: Yes. And also...

Swarnabha Mukherjee : Yes, sir, please go ahead.

Nehal Vora: We have to look at the past to see which quarter has more, but I don't think there's any specific trend in that. It depends on market activity.

Swarnabha Mukherjee : Right, sir. I'm just trying to understand that since in fourth quarter, since you don't give the breakup of IPO and corporate action in this fourth quarter, I think the contribution of IPO income would be quite negligible so just to understand only the revenue from the corporate action.

So, this is INR25 crore number is a good number to work with? So, I just wanted to understand that if I were to think about the same revenue only from the corporate action in second and third quarter, for example, where there were a lot of IPOs, but additionally was there also a higher seasonality of corporate action? So the corporate action number in second and third quarter will be more than -- significantly more than INR25 crores or would that be near about?

Nehal Vora: See, again, there are lots of corporate action like share split, the bonuses there. Now there is no seasonality on that also. It depends all on each company and I don't think that can be predicted.

If somebody is willing to do the part research and come out with some finding, that's a different matter, but we don't see it that way. We see it again our intent is that platform should be robust and stable. And so that people, whenever they want to come, they can come.

It is like a road and all, like the road has to ensure its value proposition. It has to ensure security, so that cars as and when, whether it comes in the middle of the day, middle of the night, whether they come more in January or they come more in March, that is not the focus on how a company who makes roads is going to focus. We have a similar kind of a focus on how we really structure and plan ourselves.

Swarnabha Mukherjee Right, sir. Understood. And also, sir, so if I were to think between the demats in your custody. So just as a conceptual clarification. So, if there is shift of folios, say, from retail participants towards more institutional participants, then how would that impact our, say, annual issuer charges, if you could give some color?

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Nehal Vora: So, the rules are there in the public domain. Number of folios, it's a combination of various factors on how issuer charges are getting charged. So, it is the fulfilment of those conditions. It's not only folios, it's a combination of various other factors also.

So that will have to be assessed. We cannot give a simplistic answer as to if there is a trend, a change in trend, etc. It all depends on all those conditions to ensure what would be the impact on the issuer fees, which we would receive.

Moderator:

Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Nehal Vora for closing comments. Over to you, sir.

Nehal Vora: I would sincerely like to thank all the callers for their questions and also their keen interest. Continue partnering with us as we embark on this journey of this phenomenon called India, which is growing at a great rate. Thank you so much and stay safe.

Moderator: Thank you, members of the management team . On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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CDSL/CS/NSE/ AD/2025/ 204 August 01, 2025

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on July 28 , 2025 .

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated July 22, 2025 , for scheduling of Conference Call on Monday, July 28 , 2025 . In this regard, please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Compliance Officer
ACS No.: A20586

Encl: As above

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Q1 FY '26 Earnings Conference Call”
July 28, 2025

M
ANAGEMENT
:

Mr. Nehal Vora
—
Managing
Director
and
Chief
Executive Officer
—

Central Depository Services
(India) Limited

Mr. Girish Amesara
—

Chief Financial Officer
—

Central Depository Services (India) Limited

Mr. Sunil Alvares
—

Managing
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Mr. Kamalendra Srivastava
-

Managing Director &
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Mr. Swaroop Gothi, Financial Controller

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ODERATOR
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Mr. Amit Chandra
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Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q1 F Y '26 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you and over to you, Mr. Chandra.

Amit Chandra: Thank you, operator. Good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Q1 F Y '26 Earnings Call. Today, we have with us the management team of CDSL, represented by Mr. Nehal Vohra, MD and CEO, Mr. Girish Amesara, Chief Financial Officer and other senior leaders from the management team. We will start with a brief overview of the quarter by Mr. Nehal and then we will open the floor for the question -and-answer session. Thank you and over to you, Mr. Nehal, sir.

Nehal Vora: Very good afternoon and welcome, everyone. I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the first quarter of the FY '25-'26.

We posted a detailed investor presentation on our website for your reference. I am joined by the CDSL Group's leadership team. Let me start with the industry highlights and take you through some of the key aspects of our performance.

The average daily turnover at BSE & NSE in Q1 FY '26 was at about INR1.16 lakh crores, a jump of 15% from the last quarter. I am glad to report that we are close to a count of 20 crore s Demat accounts as an industry. CDSL saw more than 56 lakh accounts opened in this quarter, bringing our total to 15.86 crore Demat accounts, maintaining a 79% market share. This is as on June 30, 2025.

In order to further the mission of investor education empowerment, both the depositories have collaborated to introduce a new feature in the respective investor apps, CDSL's app being called MyEasi. This reform enables retail shareholders to access proxy advisory recommendations while voting on company resolutions through the e -voting system.

The intent of doing this is to ensure more shareholder activism and more power and tools to each retail shareholder to responsibly vote for their shareholder meetings. This will also enhance transparency and corporate governance standards across the Indian industry. Having access to the proxy advisory recommendation will also enable investors to make informed decisions with confidence.

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The CDSL Investor Protection Fund also introduced its new awareness platform, a comprehensive online resource made available in English and 11 other languages. This website or microsite has been designed specifically for investors as a one-stop shop for all the investor education and empowerment concepts, including securities market concepts, to encourage responsible investing. The new feature in the investor app and the new website with CDSL IPF were both unveiled by the Honorable SEBI Chairperson Shri Tuhin Kanta Pandey.

We invite you to explore both platforms and share them within your circles so together we can continue building a more informed and engaged investor community. I'm also happy to share that CDSL was recognized with the 'Innovation in Market Infrastructure Award' at the Leaders

in Custody Asia Awards 2025 by Global Custodian.

In June 2025, Mr. Girish Amesara, Chief Financial Officer, was declared as a winner of the FE CFO award in the Small Enterprises segment under services sector. We are humbled by these recognitions and continue to remain committed to serving the Indian securities market.

Before I hand it over to Girish Amesara, Chief Financial Officer, I would like to reaffirm that CDSL's focus remains on enhancing the capital market ecosystem by enhancing efficiency, trust and transparency. We are prioritizing our #Atmanirbhar Investor-focused approach while striving for innovation resulting in consistent and sustainable financial and business performance.

The market with its ebbs and flows has shown incredible resilience in these last few months and we owe it to the strong ecosystem who put their constant faith in us. My appreciation and gratitude to all our stakeholders, regulators, depository participants, investors, issuers and the wider ecosystem and last but not the least the employees of CDSL. Thank you and over to you, Girish.

Girish Amesara: Thank you, Nehal, Good morning to everyone. Speaking on the consolidated quarterly performance, the total income for the quarter ended June 2025 is achieved at INR295 crores as against INR287 crores for the previous corresponding quarter. The net profit for the quarter ended June 2025 is at INR102 crores as against INR134 crores for the corresponding quarter of the previous year.

On a stand-alone basis, the total income for the quarter ended June 2025 is at INR312 crores as against INR221 crores for the corresponding quarter of the previous year. The net profit for the quarter June 2025 is at INR152 crores as against INR105 crores for the corresponding quarter of the previous year.

Now I will hand over to Mr. Sunil Alvares who will take us through our wholly owned subsidiary CDSL Ventures performance. Over to you, Sunil. Thank you.

Sunil Alvares: Thanks, Girish. CVL total income for the three-month FY '26 was at INR43.06 crores as compared to INR64.37 crores for three-month FY '25. The total expenditure was at INR30.35 crores for three-month FY '26 as against INR35.82 crores for three-month FY '25. The profit after tax for three-months FY26 was at INR12.71 crores as against INR28.55 crores. With this, I will open the floor for the questions and answers.

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Moderator: Thank you very much. We will now begin the questions and answer session. First question is from Ashish Kumar from Ampersand Capital Investment Advisors. Please go ahead.

Ashish Kumar: So, my first question is on employee expenses. There has been a sharp rise on QOQ basis. So, what was the reason for this and what kind of growth are we expecting for the full year? Second question is on what kind of IT spends are we looking for the full year and is it going towards any new products or like it is mostly maintenance? Are we looking for some innovative products which are coming in the market? So, those are my two questions.

Nehal Vora: So, one is at the outset, we do not give forward-looking statements. So, I will restrict my comments to the current expenses and what the overall theme and intent is. See, the two important inputs for CDSL as a market infrastructure institution is the technology spend and the human resource spend.

So, as we are growing in size, and I would urge you to even look at the market infrastructure institutions with regulations which SEBI have mooted. For depositories, there is a separate regulation and separate for exchanges and clearing corporation. It constitutes into vertical 1, vertical 2 and vertical 3, where the IT and critical operations form a part of vertical 1, regulation risk and control functions form part of vertical 2 and business and others form part of vertical 3.

vertical 3.

So, as per that, the requisite focus needs to be given for continuity of critical operations and technology and as we are growing in size and sophistication, we need the people to get recruited

in all these three verticals at the paramount form. Also, the year-end performance appraisal variable payouts have been reflected in this quarter. So, that is the other thing which you will need to factor in.

Our intent is to build a more long-term resilient infrastructure institution as I have been saying in all my past investor calls. So, it is more of a long-term play which this company is going into, had been, has been and will continue to embark on.

On the technology front, on all the four components of infrastructure, application, security and network is where we are continuously innovating as per the new products which are getting initiated. This is to bring in a lot of nimbleness in our systems but at the same time bring in the best-in-class products. So, it is a combination of building newer platforms and also enhancing the efficiency and the sophistication of the infrastructure.

Ashish Kumar: Thanks, thanks. That is all from my side.

Moderator: Thank you. The next question is from Mr. Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, sir. Thanks for the opportunity. So, my question is on the annual issuer charges. So, obviously, we have seen a very sharp jump in the annual issuer charges both on sequential and YOY basis. So, if you can explain now what could be the reason for such a sharp jump here? Is it only increase in the number of retail participants and the folios or is it also because of the unlisted revenue if you can provide some breakup there?

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And how do we see that like moving because we have been accelerating on that front? So, that is my first question. Second would be on the online data drive which is the KYC revenue. This is the third quarter where we are seeing sequential decline and the second quarter we are seeing ROI decline.

And, what is causing this and is there any measures we are taking to correct this? And if you can give the mix between the KYC creation and such and what is exactly causing the decline here? Thank you.

Nehal Vora: Yes. So, on the first count, it is mainly an account of increase in folios which are relevant to the CDSL part as per the framework which SEBI has prescribed on how such charges are supposed to be charged to companies. So, that will answer your first question. In the unlisted front while it is a new source, it is kind of early days in terms of the overall scheme of things.

So, again, going back to my earlier question that we want to build a strong resilient long-term business proposition and which is seamless. So, I think that when you get more and more people using your platform and then that causes the increase in the overall revenue on a long-term sustainable basis.

On the second question, I will ask Sunil to answer that.

Sunil: If you ask the percentage of creation and fetch, it is about 85% to about 15%. And the drop in income was primarily because of market conditions where the number of accounts were lower, which resulted in lower KYC fetches. I hope that answers your question.

Amit Chandra: Okay. My last question would be on the cost side. Obviously, you have mentioned about the increase that we have seen in the employee benefit expenses. But from an overall perspective, based on what this new SEBI regulation suggests, where are we in the journey in terms of the overhamp of our cost structure?

Is it we are going to see similar kind of investments going further into employee? Or are we like invested and we see a steady rise from here in terms of employee benefit expenses? So, I just want to understand in terms of where we are in the journey in terms of the overall t

hat we are

doing in terms of the overall heavy structuring that we are doing internally. And secondly, on the tax rate for this quarter has been on the higher side, if you can explain that. Thank you.

Nehal Vora: Yes. So, on the first one, we again do not give a forward-looking statement. But the ethos is that we currently are in overall the theme which has been laid down in the regulation from a spirit standpoint is being applied.

And it is more of building the right platforms to ensure that we are all set for growth as we move forward. And as the overall Indian economy grows, more and more people are expected to join the ecosystem. CDSL is equipped to ensure that it has the right infrastructure, the right people to handle that load.

So, it is more of a combination of current business operations coupled with a more long-term planning also, so that we are completely in sync with what is expected. Supposedly, like we see

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a growth what we have seen about two or three years ago, post-COVID. And that is more of a

more proactive planning also which is going.

It is also to ensure that the overall sophistication which is expected by the wider ecosystem is also adhered to. And we are able to kind of gauge what the requirements are and nimble enough to restructure our infrastructure as and when required. So, it brings in a lot of sophistication as we move along. On the tax, I will ask the CFO to answer.

Girish Amesara : See Amit, normally we receive dividends from our subsidiary companies. And that we take advantage for the purpose of taxation on a stand-alone basis. So, when we do a consolidation in the first quarter, wherever there is a dividend increase in stand-alone, the tax, deferred portion of the tax tends to increase at a consolidated level. All subsidiary companies taxes are considered in consolidation based on the stand-alone taxes. So, it is an impact of tax adjustment on account of dividend received from subsidiary companies.

Amit Chandra: Okay, sir. Thank you. Thank you.

Moderator: Next question is from Uday Pai from Investec. Please go ahead.

Uday Pai : Hi, thanks for taking my question. I just had one question on the KYC front. So, there is a newflash that government is going to revamp central KYC from March 2026. So, can you give us some color? Is that beneficial to us or how would it impact us, our KYC business? Thank you.

Nehal Vora: So, see overall we will have to see once the new model is announced. But I think the intent is that the existing KRA system is efficient. It is seen by the market. So, how it can be leveraged further to enhancing the benefits of that as we move to the next phase of the KYC model. So, it is kind of really early days, but I am fairly sure and certain that the existing benefits of our system will continue and is at least expected to continue in the new framework also.

Sunil Alvares : Yes, like just what Nehal said, the KRAs will be integrating with the CKYC. That is all we know about it as of now. So, as and when it happens, and we have more details, we will be able to tell you how it is going to happen.

Uday Pai : Sure, sir. Can you just tell me what is the KYC revenue as a percentage of your total console revenue right now?

Girish Amesara : It is around 13% in the current quarter.

Uday Pai : Sure, sir. Thank you. That is it from my side.

Moderator: Thank you. Next question is from Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani : Yes, I just need a clarification on the annual issue charges. So, I understand that the revenue for any year is based on the average number of folios in the previous financial year. So, can you just let us know how does it accrue over the four quarters? And does it mean that the addition of issuers in a quarter does not contribute much to revenue? So, if you can just explain

in that, please.

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Nehal Vora: No. So, there are two parts of the annual issuer. One is that what is the going concern of which are already listed is based on the past financial years folios which is getting billed to the issuer at the beginning of the first quarter. And as on there are new issuances, those will be payable by these issuers to depositories based on the size, etc., as and when it happens. And then in the subsequent financial year, it will follow the framework which I described earlier.

Mohit Motwani : Sure. And in regard to the IPO, corporate action revenues, so we saw a sharp decline sequentially in the number of applications, yet the IPO corporate action didn't see a very sharp decline. So, was it like the corporate actions contributed much to the revenues? If you cannot share the number, the qualitative sense would be helpful.

Nehal Vora: Yes. So, you can take an estimate. The number of IPOs is anyway out in the public domain. And that the remaining would be the corporate actions which are consolidated number which is getting reported

Mohit Motwani : Okay. So, corporate action would have contributed more to this quarter revenue. Is that understanding correct?

Nehal Vora: Yes. I mean, as a percentage as compared to the other quarters, the corporate action percentage contribution to this combined bucket will be more because the number of IPOs are comparatively lower.

Mohit Motwani : Sure. Thank you for those answers. Thank you. That's all from my end.

Moderator: Thank you. Next question is from Vaibhav Sharma from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: So, this is Madhukar Ladha from Nuvama. So, just one on the annual issuer charges. Sir, can you give a breakdown of unlisted and listed? And I think in one of the previous calls, you had also mentioned the number of folios. So, which was, I think INR 22.76 crores for the previous period. So, can you also give me the folio count for what you're using in FY26?

Next on employee cost, you mentioned that there is some bonus provision also in Q1. So, can you give me the bonus provision number as well? So, yes, those would be my two questions?

Nehal Vora: I'll ask the CFO to answer both the questions.

Girish Amesara: So, the folio, average folio for this financial year is INR33.26 crores. In bonus provision, normally we don't give the breakup of the employee cost in financial results. But it is as per the overall policy that we have implemented at CDSL, which is consistently being followed since last couple of years.

Madhukar Ladha: And sir, unlisted charges. So, how much is that for unlisted companies?

Girish Amesara: So, unlisted revenue for this quarter is INR6.39 crores.

Madhukar Ladha: Okay. And is there any one-time element in the annual issuer charges for in Q1?

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Girish Amesara: The application processing fee that we collect is one-time fee, and it is at INR5.23 crores.

Madhukar Ladha: Got it. This is very helpful. Yes, I'll come back in a few.

Moderator: Thank you very much. Next question is from Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Thank you for the opportunity. Most of my questions have been answered. I just wanted to understand that this bonus provision that you have mentioned, that is unlikely to arise or is it like provided over every quarter for the whole year? If you could show some color on that and also some data keeping questions, if you could split out the cash income, voting income and pledge income for the quarter and any impairment cost?

Nehal Vora: Sure. I will ask the CFO to answer.

Girish Amesara: So, the provisions are made on a quarterly basis. And it has been consistently followed on accrual concept. In terms of the

other income breakup that you want, the income from consolidated account statement is at INR13 crores, e-voting at INR6.5 crores. The other part of other income which has been reported in the investor presentation is largely on account of the investment income which is at INR35 crores. Apart from that, we have e-sign and e-KYC income of INR4.5 crores and miscellaneous income of INR7 crores. This gives the breakup of the consolidated amount mentioned in the investor presentation.

Swarnabh Mukherjee: Right, sir. Very helpful. Just one follow-up, sir. You said the unlisted revenue for the quarter is around INR6.23 crores. I mean, I think last year sorry, sir, can you come back?

Girish Amesara: I said INR6.39 crores was the income from unlisted companies.

Swarnabh Mukherjee: Okay, sir. So, I think last call you had mentioned it to be almost about INR36 crores. So, like in case of listed companies, we generally see a stability of the quarterly run rate. Is it any different for the unlisted part?

Girish Amesara: Basically, this is dependent on the companies who intend to do any transactions in their member index. So, as and when there is a requirement at the company's end, they will come to the depository for admitting their security.

Swarnabh Mukherjee: Right, sir. But whatever was admitted last year, there we continue to incur, right?

Girish Amesara: Yes, more or less, yes. They will pay the issuer fees. They will not pay the application fees. Application fees is a one-time fee.

Swarnabh Mukherjee: Okay. Understood, sir. Of last year's INR36 crores, how much will be the application fee component of that?

Girish Amesara: It was INR19.74 crores.

Swarnabh Mukherjee: Okay, sir. Understood. Very helpful. Thank you so much, sir and all the best.

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Moderator: Thank you. Thank you. The next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. And for the quarter, it was almost 32. So, is it fair to say that for the future, it will rise back to 25 at the console level?

Nehal Vora: That will be difficult to predict. We don't give forward-looking statements. So, we will have to wait and watch as each quarter unfolds.

Sanketh Godha: Okay. Got it, sir. And just one thing on KYC. I think KYC income, we all know that there is a bit of slowdown in Demat account opening incrementally compared to what we witnessed in the past. So, is it fair to say that our KYC income will also see a bit of slowdown with the Demat account opening slowing down? Or you can see that can be more than compensated by probably IPO?

So, basically, the color what I wanted to understand, sir, is that in KYC income, whether Demat account opening contributes the most or MFR or something else contributes most in KYC to understand the legal sustainability of this growth?

Nehal Vora: Yes. So, I think it's a combination. It will be difficult to create specific contributors on a consistent basis. It depends on that market dynamic, as well as the environment. And how the market as an entire unit is kind of accessing whether it's mutual funds versus Demat accounts,

fetch versus creation. So, there is no specific model or percentage. It depends on each quarter - to-quarter.

Sanket Ghoda: Okay. No, sir. The reason why I'm asking is that Demat account in general because we already added so many people in last 5 years is gradually slowing down. So, this slowdown will invariably impact on KYC. That's the reason I was asking that question.

Nehal Vora: Yes. But again, Demat accounts slowing down may not only be because a lot of them added, because lot of people are using .

Sanket Ghoda: Okay. Okay. Got it, sir. Last two more. If you can give a pledge income data and impairment data for the quarter. And lastly, just again on this employee cost

means there is this path is one

time which is getting reflected in the current quarter or this variable path in subsequent quarters .

Because I just wanted to check whether this variable path fully reflected in the current quarter , or we will see due to play out in next quarter too.

Girish Amesara : So, the margin pledge income for this quarter is INR5.05 crore. And there are no onetime costs as far as employee cost is concerned.

Nehal Vora : No, no, he's asking. So, your question if I've understood is right that the payout happens in the first quarter, but the accrual for all of that happens equally as per the accounting standards in each quarter. Payout happens for the entire , like in any other company variable pay is getting paid out based on the performance at the end of the financial year and is therefore paid out.

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Sanket Ghoda: Okay, understood. So, if you can even give me the impairment cost number which you typically spell out.

Nehal Vora: It is a INR3.69 crore s.

Sanket Ghoda: I'm sorry, can you repeat, sir?

Nehal Vora: INR3.69 crore s.

Sanket Ghoda: Okay, INR3.69 crores . And lastly, sir, in the unlisted revenue, which you said is INR6.39 crores. In that you are saying application related income INR5.23 crores. It's part of that INR6.39 crores, right, sir?

Nehal Vora: Yes.

Sanket Ghoda: Okay, okay, perfect. That's it from my side. Thank you.

Moderator: Thank you. Next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi, sir. S ir, personally on, if I look at your EBITDA margins, we were on a console basis, we are running at 60% thereabouts in most part of last year. And now that you know, it's being at about 50% in the past couple of quarters, any pricing action or either on issuer charges where you are going back to the regulator for a price hike, or for that matter, even transaction charges, you plan to increase or anything of that sort that i s there in the offering?

Nehal Vora: So, the price for issue for the investors or transaction was that that one charge with the circular requires. So that time we had factored in certain economies of scale and made it at 3.5. We are about INR0.50 cheaper than our competition. This is to factor in the economies of scale. And there was an additional INR0.25 discount given for female investors in the first to encourage a lot of diversity in the holdings.

For mutual funds and for bonds individually, there's another INR0.25 discount again to kind of encourage more and more people to hold mutual funds and bonds through the Demat holding. Issuer charges has been increasing on a periodic basis. As you know, depository charges have to be approved by the regulator. So, this is something which is a continuous process of work in progress and as we factor in. So, as and when the necessary approvals come in, it is, I would be able to disclose it only o nce it comes out in the public domain.

Prayesh Jain: So, have you applied for it?

Nehal Vora: Again, we do not generally discuss our conversation with the regulator in the public domain. Confidentiality . So, but as and when the process is approved, we will make sure that it is put out in the public domain.

Prayesh Jain: Got that. And s ir, any strategy that you can talk about with respect to 3 -in-1 accounts, wherein if the ASBA is implemented across various aspects of the business, how well we are versed or how well we are positioned to kind of do the 3 -in-1 accounts for particularly for discount brokers?

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Nehal Vora: So, I think 3 -in-1 accounts is a methodology for each of the DPs to offer. We have the necessary technology APIs and solutions for them to kind of factor that in. It's a bank account versus Demat account. So, we are responsible as a depository

for the Demat account and ensuring that the necessary technology enablement's are already in place. And those will continuously be enhanced and made more sophisticated as we move forward.

So, I think that is the business model of the ecosystem . As CDSL, I need to play my part as a depository to ensure that the Demat side of the business is being properly structured. At the same time, it has a necessary technological connects to facilitate any innovation which is required. How much of this has to be associated with various banks that brokers would have partnered with? So, how much involvement is there with respect to building the association with the customers' banks? You will have to ask those DPs and intermediaries.

Prayesh Jain: How much of this has to be associated with various banks that you or your brokers would have partnered with? So, how much involvement is there with respect to building the association with the broker's bank or the customer's banks?

Nehal Vora : That you will have to ask those DPs and intermediaries.

Prayesh Jain: Okay.

Nehal Vora : I can...

Prayesh Jain: We have a limited role.

Nehal Vora : I can only say about what my business is. So, I can only say that, it's facilitating ease of doing business in terms of ensuring that the technology enablements are necessarily implemented for the process to be smooth.

Prayesh Jain: Got it. And the last question on insurance repository, what's happening there? What is your strategy to gain market share in that particular segment now that, even LIC has onboarded the various insurance repositories? What is the opportunity? What is the strategy there?

Nehal Vora : I'll ask the insurance repository CEO , Latesh Shetty, to answer.

Latesh Shetty: Yes. Hi. Yes , the LIC integration is work in progress. We are expecting the integration to happen soon. Out of the four repositories, three have participated and we are one of them. And as far as the overall opportunity is concerned. Yes, there is a large number of accounts which are still untapped. So, we have gone live with our online opening of account over there and we are expecting a steady growth there as well. We are actually betting to increase the market share in the coming quarters.

Prayesh Jain: What is the kind of number of policies or e -insurance accounts that we have?

Latesh Shetty: We have crossed 18 lakhs policies overall cumulatively.

Prayesh Jain: And e -insurance accounts?

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Latesh Shetty: E-insurance accounts is also in the range of 20 lakhs .

Prayesh Jain: Okay. All right.

Moderator: Thank you. The next question is from Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Good afternoon, sir, and thank you for the opportunity. Firstly, I just wanted to understand on this unlisted space, what would be the total number of companies which are eligible to be converted to be dematerialized? And how much of that would have been done by the end of say FY '25 or 1Q FY '26?

Nehal Vora : So, that will be difficult to assess because there are various conditions. And as and when those conditions get fulfilled, they become really eligible. So, there is no fixed number as such because that's a dynamic condition. And once that condition gets fulfilled, they are required to open the Demat accounts. So, I think make it compulsory Demat . So, I think that is something which is not fixed for any period of time, etc, because it's a condition that keeps on changing and evolving.

Devesh Agarwal: But can we say that the regulation when they came, a larger number of companies would have converted by now and incrementally companies would convert as and when they are required?

Nehal Vora : It will be difficult to assess that, because if you read the conditions then this question would be answered by itself. Because there are certain conditions which needs to get fulfilled.

It has to be

a large private limited company. They want to transfer or raise capital. So , these are all conditions contingent for the Demat to happen.

Even if I may be a large private limited company, but if I don't wish to raise any capital or don't want to transfer, then I don't need to make it compulsory. So how do I answer that whether large number have done or not done? It depends on what they want to do in future.

Devesh Agarwal: Right, sir. And any numbers of how much companies have actually dematerialized within the unlisted space?

Nehal Vora : This you have to answer, Girish.

Girish Amesara: In this quarter, we have admitted 3,486 companies in unlisted space.

Devesh Agarwal: In all, sir? Outstanding number as on date?

Girish Amesara: I don't have that number ready, but it would be in the range of 20,000 plus.

Devesh Agarwal: Understood, sir. And the other question is, sir, on DEMAT account, would you say that the proportion of the DEMAT account where there are no folio holdings that has been increasing in the system or for you over the last, say, two years, three years?

Nehal Vora : No. It's more or less remaining at the same constant percentage. But again, see, people have holdings, then they sell off those holdings, so they become zero. Then again, it's a constantly dynamic concept. So , I don't think there is any numbers to it. It is more on what the activities and what the intent of the Demat holdings.

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Devesh Agarwal: Right. So ,it's not that three years back, if that number was 10% today, that has become 20%. That is not the case.

Girish Amesara: No.

Nehal Vora : No. More or less. See, again, as I have been saying in all my investor calls ...

Devesh Agarwal: Sorry.

Nehal Vora : We are finally an infrastructure provider. We provide roads, cars will ply on that road like a normal road, as and when there is a value proposition or there's an intent of going from one car to another. That's the process we follow as overall ethos.

Devesh Agarwal: Make sense sir. And sir, any number that you could share? What would be the percentage of Demat without any holding s , say, either FY '25 or 1Q FY '26?

Nehal Vora : We don't give that number.

Girish Amesara: Okay. We don't give that at the moment.

Moderator: Next question is from Mihir Shah from Banyan Tree Advisors.

Mihir Shah : Thank you for taking my question, sir. So, two questions. Firstly, from 2014, we can see that CDSL has gained incremental market share in the number of D emat accounts as against its competition.

And post -2020, it has been able to get the majority market share in terms of D emat accounts.

So, firstly, like what sets you apart from the competition like for the discount purpose, is it the tech or is it the low cost? My first question is that.

And the second question, if you look at the incremental market share in the number of companies getting listed, your competition still has the majority market share in terms of total market share and also incremental market share. So, why are issuers still choosing competition over your company? And why is it happening the inverse in D emat accounts? Thank you.

Nehal Vora: So, on the first question on D emat accounts, I think this has been the since past 5 to 6 years. It has been, it is a culmination of technology platform service standards . So, from an infra stand point , we are a centralized architecture from a cost of holding that infra is lower. There is a variety of measures which has caused this advantage too.

On the private limited, it is a process , and we are continuously working towards that why they have been chosen. Only one reason which I can say that over historically, ISIN issuance was kind of restricted to only one depository. There are, it is a work in process that both the deposit aries will now can issue the I

SIN.

So, possibly the overall optics would be tha t you go to the person issuing the ISIN. But I think we've been able to gain more and more companies also as compared to the previous quarters is

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that we are enhancing our journey in terms of technology and servicing. So, more and more people are wanting to come to our platform also.

Moderator: The next question is from Santosh Keshri from SKK HUF .

Santosh Keshri: Hello. Okay. Sir, I have one question regarding technology expenses. Like we have been seeing for the past 2, 3 years, technology expenses have been rising. And we also have been seeing that the number of Demat accounts have been rising exponentially for CDSL . That's a good thing. But what are we doing to, we can also see that technology expenses has given rise to reduction in the EBITDA margin.

So, are we planning to arrest our EBITDA margin and bring it back to the levels that we saw 2, 3 years back? Or we want to operate on this level only? And the guidance on technology expenses, it may not be futuristic, but we want to know that what is the end plan we have? Is it going to recur forever or it is something that we have reached a plateau and it will go back to 2, 3 years back level?

Nehal Vora: So, I think you need to understand the nature of technology. Technology is something which constantly evolves. And as and when newer technologies will come, I think CDSL aspires to be on, at least on the sophistication front, ease of doing business and bet ter way of operating. Everything goes through a process of evolution. Our journey has always been that we don't give shocks to the market. It's a constant process of gradual changes which are happening. So, it ensures that there is efficiency which is constantly being experienced by the relevant stakeholders.

And also, there is a process of innovation which happens because as the number of Dem at accounts grow, they have to have the number, the necessary technology controls, the technology efficiency. So, to answer your question, I don't think it is basically a start and stop kind of technology expense. It's a constant process of evolution as we embark on a journey. And therefore, there will be a constantly a process of evolving this thing. It is like saying your roads, you have a particular road and you build another road as the traffic grows. Again, you keep on maintaining that road with better material. So, better technology comes in. So, that's the kind of the analogy which needs to be drawn to the technology expense.

Santosh Keshri: Sir, what about the EBITDA margin that we used to enjoy 2 years back, now that seems to be eroding?

Nehal Vora: So, I think I have always gone on my previous interactions also. Our intent is to provide a long - term proposition. Whatever EBITDA we earn, our intent is not to earn a particular EBITDA margin, either high or low. We ensure that the right platform is provided to the market, to the ecosystem.

EBITDA margin is the byproduct of that because I think it's the intent is the long -term intent to ensure that the value proposition continues to be enjoyed by the ecosystem. And then that will lead to whatever the EBITDA margin is. So, I think that is what my take on.

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Santosh Keshri: I do understand that, sir, but I would like to give you a suggestion. Since, as I have told you that the depository numbers have increased and that has led to a lot of transaction expenses also have imploded. So, maybe we can think of revising or collecting depository charges from our single individual customer, just like a road which is used by customers, motorists, they pay toll charges. So, just like that, we should also be looking at this as a business. Rather than becoming a different kind of business, we should be

working on full -profit maintainability and look at this from the perspective of what they just require, rather than just being a market infrastructure institution, unlike other places.

For example, BSE doesn't have so much of technological expenses and they are doing quite well. Hence , didn't have so much. They had an issue, but they expense or maybe look at the recovery of the expense from the depository participants or depository holders. So, that is my suggestion. Maybe you can think about it. Thank you, sir.

Nehal Vora: Okay.

Moderator: Next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. So, just a clarification again, sorry on harping on this employee cost front. So, if in a hypothetical situation, if we are not adding any employees in the remainder of the fiscal, this INR39 crore s quarterly run rate will continue? That is the fair way to think, right?

Nehal Vora: We don't give forward -looking guidance. So, that's the call which you will have to think and your hypothesis is also I think not fair , because employees are going to enter and exit both sides. So, it's not going to remain fixed. So, I don't think in terms of future, we don't give forward - looking guidance. So, I'm sorry, I actually would not be able to answer.

Prayesh Jain: So, if you would have provided for INR100 of variable pay that will come INR25, INR25, INR25 and 4 quarters. That is a fair way to think?

Nehal Vora Yes.

Prayesh Jain: Yes. Thank you so much.

Moderator: Thank you. Next question is from Mihir Shah from Banyan Tree Advisors . Please go ahead.

Mihir Shah: Yes. So, I have a question on the divide value per account compared to your competition. Your competition is far more in terms of the divide value per account. So, I'm assuming that they are more of institutional client , and you all have more of detailed plan. Would I be correct in assuming that?

Nehal Vora: I would not be able to comment on what my competition has. I can just say that we present whatever value is there on a fair, transparent basis. It's a combination of institutional retail holdings which are held with CDSL. And so, the answer to that question is a factual number, whatever the number is.

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Mihir Shah: Okay. So, understood. And I'm just trying to understand like what could be the switching cost?

Like why would one depository participant decide to choose your company over your competition and decide like to change that? Is it the low cost? Is it the tech enablement?

Nehal Vora: I think I have actually answered that in a previous question. That is a combination. It's the technology, the cost of infrastructure, the services which we give, the technology, the upgradation, etc. There is no one factor such is a combination.

Mihir Shah: Thank you.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference over to Mr. Nehal Vo ra for closing comments.

Nehal Vora: Thank you so much for all your questions and wish you a very safe and secure life with your loved ones. Thank you. Take care.

Moderator: Thank you very much. On behalf of HDFC Securities, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2025

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Central Depository Services (India) Limited
CDSL/CS/NSE/ AJ/2025/ 297 November 06, 2025

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on November 03, 2025 .

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated October 27, 2025 , for scheduling of
Conference Call on Monday, November 03, 2025 . In this regard, please find attached the
transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Compliance Officer
ACS No.: A20586

Encl: As above

Central Depository Services (India) Limited
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"Central Depository Services Limited
Q2 FY26 Earnings Conference Call"
November 03, 2025

MANAGEMENT : Mr. Nehal Vora–Managing Director and Chief
Executive Officer– Central Depository Services
(India) Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services (India) Limited
Mr. Sunil Alvares – Managing Director and Chief
Executive Officer – CDSL Ventures Limited

Mr. Latesh Shetty – Managing Director and Chief
Executive Officer – Centrico Insurance Repository
Limited
Mr. Kamendra Srivastava – Managing Director &
Chief Executive Officer – Countrywide Commodity
Repository Limited
Mr. Swaroop Gothi, Financial Controller

MODERATOR : Mr. Amit Chandra – HDFC Securities

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Moderator: Ladies and gentlemen, good day and welcome to CDSL Q2 FY'26 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL's outlook for the future or which could be construed as forward-looking statement must be reviewed in conjunction with the risks that the company faces. I now hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, Mr. Chandra.

Amit Chandra: Thank you, operator. Good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 2 FY26 Earnings Call. Today, we have with us the management team of CDSL, represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, Chief Financial Officer; and other senior leaders from the management team. We will start with a brief overview of the quarter by Mr. Nehal Vora, and then we will open up the floor for the question-and-answer session. Thank you, and over to you, Nehal sir.

Nehal Vora: So first of all, thank you so much, Amit. Very good afternoon, and welcome, everyone. I hope each one of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the second quarter and half year ended September 30, 2025. We posted a detailed investor presentation on our website for your reference.

I'm joined by the CDSL Group's leadership team. Let me start with the industry highlights and then take you through some of the key aspects of our performance. The combined average daily turnover at BSE and NSE for the quarter 2 ended FY '26 was around INR1 lakh crore. It is about 18% less than the September 2024 quarter as per the SEBI Bulletin. I am also glad to report that we crossed 20 crore demat accounts as an industry.

CDSL saw more than 65 lakh accounts opened in the quarter, bringing CDSL's total number of demat accounts to 16.5 crore, maintaining our 80% market share. This quarter also marked the launch of the nomination Phase 2, a feature designed to simplify and strengthen the nomination process for our investors.

This enhancement is part of our ongoing commitment to investor protection and ease of access. We believe that enabling investors to secure their holdings with clarity and convenience is a small but meaningful step towards long-term financial empowerment. Secondly, investor education continues to be the cornerstone of our mission.

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In collaboration with SEBI and other market infrastructure institutions, we actively participated in the World Investor Week, a global initiative to promote financial literacy and responsible investing. Under SEBI's guidance, we also launched the SEBI vs SCAM campaign, which aimed at raising awareness about fraud prevention and to empower investors to make informed decisions. These efforts are aligned with our belief that an informed investor is a protected investor.

I am glad to share that in quarter 2 of FY '26, we have reported a total income of INR290 crores and a net profit of INR128 crores. The CFO, Girish Amesara, will take you through the detailed numbers shortly.

As we reflect on the quarter, our focus remains on building infrastructure that is not only scalable and secure, but also inclusive and investor first. We are prioritizing our #AatmanirbharInvestor-focused approach while striving for innovation, res

ulting in consistent and sustained financial and business performance.

I would like to reaffirm that CDSL's focus remains on enhancing the capital market ecosystem by enhancing efficiency, trust and transparency. The market with its ebbs and flows continues to support the Indian economy, and we owe all the progress to a strong ecosystem who put their constant faith in us.

My appreciation and gratitude to our stakeholders, the SEBI, RBI and all the other regulators, the depository participants, investors, issuers and other market participants, the shareholders and last but not the least, the employees. Thank you, and over to you, Girish.

Girish Amesara: Thank you, Nehal. Good afternoon to all of you. Speaking on consolidated quarterly performance, the total income for the quarter ended September 2025 is at INR341 crores as against INR359 crores for the corresponding quarter of the previous year. The net profit for the quarter ended September is at INR140 crores as against INR162 crores for the corresponding quarter of the previous year.

On a half yearly performance on a consolidated basis, the total income for the 6 months ended September 2025 is at INR637 crores as against INR645 crores for the corresponding 6 months. The net profit for the 6 months is at INR242 crores as against INR296 crores for the corresponding 6 months.

Speaking on stand-alone half yearly performance, the total income for the 6 months ended September 2025 is at INR602 crores as against INR542 crores for the corresponding 6 months. The net profit for the 6 months is at INR280 crores as against INR276 crores for the corresponding 6 months.

On a quarterly standalone basis for the quarter September 2025 is at INR290 crores as against INR324 crores for the corresponding quarter of the previous year. The net profit for the quarter ended September is at INR128 crores as against INR171 crores for the corresponding quarter of the previous year.

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Kindly note that during September 2024 quarter and June 2025 quarter, our reported profit had included a significant contribution from dividend received from our subsidiary, amounting to INR47.5 crores and INR62 crores, respectively, for the same quarters. The dividend has positively impacted our total profits for the quarter. In comparison, the profit reported for September 2025 quarter has entirely been generated from our core operations and other regular business activity. With this, I will request Sunil to take us through CVL numbers. Thank you.

Over to you, Sunil.

Sunil Alvares: Good afternoon, everyone. So far as CVL's results are concerned for the half year ended FY '26 versus half year ended FY '25, CVL had a total income of INR92.84 crores against INR144.41 crores. The total expenditure was INR57.01 crores as against INR55.97 crores. PBT was INR35.82 crores versus INR88.44 crores for the previous half year. And the profit after tax was INR27.09 crores versus INR66.48 as compared to the previous year.

With this, I hand over the floor for question and answers.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Lalit Deo with Equirus Securities.

Lalit Deo: Congratulations on a good set of numbers. So just two questions. Firstly, we have seen a...

Nehal Vora: Just one minute. Just can you maybe speak up a little bit? Your voice is a little soft, cannot be heard clearly.

Lalit Deo: Is this better?

Nehal Vora: Yes, it's better.

Lalit Deo: Yes, sir. So just two questions. So like in this quarter, we have seen a strong revival in this IPO and corporate action income. So just wanted to understand like within this two, what would be the split between IPO led income as well as the corporate action income? Like, any rough any qualitative aspect on the same will also work?

And secondly, like, in the CVL business on the KYC, so

like one of our competitors has

highlighted that they have also started receiving newer KYCs from the brokerage clients as well.

So just wanted to understand like how are you seeing the overall competition landscape over there?

Nehal Vora: Yes. Okay. The first number, we don't give it out in the public domain. So, you'll have to take it as a consolidated number. This is our practice. On the second question, I'll ask Sunil to answer.

Sunil Alvares: Yes. I mean if you are referring to KFinTech, they have just started operation. And we have not really seen any impact as on date. I believe they have also stated that some of the Fintech brokers have joined them. I hope that answers your question.

Moderator: Next question comes from the line of Amit Chandra with HDFC Securities.

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Amit Chandra: Sir, my first question is on the annual issuer charges. So obviously, we have seen strong growth Y-o-Y, but on a sequential basis, it has been almost flat. This is despite sequential strong growth in terms of the number of issuers and the ISINs that we have, and we have also added a lot of around 1,400 unlisted companies as well. So, has there been a sharp drop in the number of folios? And if you can also break up in terms of the listed and unlisted revenue for the annual issuer charges. So that would be first. And second, last time, you also highlighted that there has been some chances in terms of taking a hike in terms of the annual issuer charges, wherein it is required to fund the technology cost, because technology cost has been rising, and there is still a lot of areas where the MII has to invest. So is it a consideration in terms of an area where the regulator can take it up and allow the annual issuer charges to go up?

Nehal Vora: So, I'll take the second question first and ask the CFO, Girish, to answer the first question. The second question is, it's again, I have specifically mentioned. In fact, I remember stating that we generally don't disclose our conversation with SEBI.

But as has been happening in the past, periodically, the charges are increased. So as and when the discussion fructifies and it is a necessary advice that would have to be issued by SEBI to enable the increase in the charges, I'll ask Girish to answer the first question.

Girish Amesara: So, Amit, the annual issuer charges normally are raised in the first quarter of the financial year to all the companies which are admitted till 31st of March based on the process that we follow every year, which is as per the SEBI circular.

Now having said that, the incremental revenue that would accrue to CDSL would be on account of new admitted companies, which is in line with what we had achieved during last quarter also.

So, in this quarter, we have admitted 3,593 unlisted companies, and that has accrued the relevant income in our annual issuer charge. I hope that will answer your question.

Amit Chandra: Okay. And sir, just a follow-up on this. In terms of the unlisted market share, if you can state what is the unlisted market share that we have currently? And we also now can issue the ISIN, can there be an increase in the unlisted market share in terms of number of companies we are adding versus the competition?

Nehal Vora: So, the market share in unlisted is about 30% to 32%. The ISIN system is under testing between the two depositories. As soon as it is made live, we are hopeful that then there will be a clear level playing field across both depositories. So, we'll have to wait and watch.

Amit Chandra: Okay. And sir, my last question is on the technology and the employee cost. Obviously, it has been growing up every quarter. And in this quarter, the trend has been this, like similar to what we have seen earlier.

So, any kind of I know you don't give the forward-looking numbers, but in terms of the technology cost, whether the similar pace of growth

h will continue, or we can see some normalization because it has been, I think, the third or fourth year where we are seeing very high kind of a growth in the technology cost? So, is there any point where we can assume that most of the investments are behind, or still a lot of things are like pending from our end?

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Nehal Vora: So, I think, really, Amit, I have said this multiple times, we are constantly in an endeavor that human resource and technology are the two core inputs or reasons for our business and creating the value proposition on both sides is very, very critical. So, we have been embarking on a journey to ensure that our technology sophistication and our technology advancement would reach a state which ensures that it creates that value propositions for all the new players which are coming in.

The recent survey report which SEBI has published on the investors shows that there is a significant upside, which is possible of people wanting to enter the securities market. And therefore, it is but natural that CDSL would embark on a journey to ensure more proactive – in early investments in technology because technology takes time to be built, tested and then be rolled out.

Besides that, there are a number of regulatory initiatives and newer initiatives in terms of new circulars and products which are getting rolled out. So, all this will require necessary investments to be made into technology, and that has been our core driver, both the human resource and the technology.

So basically, the environment is very, very vibrant and changing. And CDSL has to keep in sync with that, to ensure it continues to create the value proposition for all the stakeholders.

Moderator: Next question comes from the line of Madhukar Ladha with Nuvama Wealth.

Madhukar Ladha: Congratulations on a great set of numbers. So first, I wanted to understand on the online data charges thing. I think one of the competitors also made a remark which implied that the number of fetches a mutual fund would require to do from a KRA would reduce. I did not really

understand the full context and what's happening over there. So, I wanted to understand what's the discussion and why if the fetches would reduce from KRA agencies? So that's my first question.

Second, on the annual issuer charges, I wanted to understand the split between onetime charges. So, I believe that you do charge a onetime sort of processing fee when you admit unlisted companies. So how much is that? And what is the onetime charges that you have charged in this quarter?

And also the listed companies, which are getting sort of listed in this year. During this year, we are seeing a lot of listings happening. I wanted to understand in what form I understand that how the revenue will build up for these companies in FY '27. But I wanted to understand in FY '26, how do we build them? So yes, these would be my two questions?

Nehal Vora: So, on the first question before I ask Sunil to really reply. See, any change will require some kind of a circular from SEBI. And I think it would be most prudent to wait for the SEBI circular to come in before really assessing the impact on whether the fetch will reduce or not reduce, et cetera. So this has been my experience that it's best to wait for the SEBI circular before you kind of come to what would be the potential impact. But I'll ask Sunil to kind of add in to that question.

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Sunil Alvares: See, today also, if you see that the AMCs fetch a particular PAN only once during the lifetime of the investors. So, if you are saying they are going to reduce their PAN fetch, you're saying they will not fetch any PAN at all. I don't think that would be possible. Secondly, if you see the RTA circular, the AMCs or the RTAs have to maintain a Chinese wall between the RTA

operations of each AMCs, which they are handling. So that effectively means the RTAs cannot share the KYC amongst themselves, unless somebody is violating the guidelines.

Madhukar Ladha: Got it, sir. Got it.

Nehal Vora: On that second question, I'll ask Girish to answer, second and third.

Girish Amesara: So, in terms of unlisted issuer charges, in this quarter, we have a value of INR3.53 crores. And in terms of application processing, we have a number of INR5.39 crores. And this is based on 3,593 companies admitted during this quarter. With respect to the listed securities, which upon the IPO, your question was how it will span out on issuer charges.

So, if the investor holds the security throughout the year, then based on the ISIN being there in that particular demat account, the annual issuer charge will be decided. Now it's an average of full 1 year. So, depending upon the holding of that particular security in the ISIN, the necessary issuer charge would be calculated.

Madhukar Ladha: Yes, sir, I understand that, but that will be applicable for FY '27. I wanted to understand in FY '26, let's say...

Girish Amesara: In FY '26, again, the same formula applies, okay? If there is any holding being in that particular ISIN and demat account, then it will be counted in the issuer income value. In addition to that, on the corporate action charge, when a company completes an IPO and securities are credited in the investor account, we earn the corporate action charge in the first year and from Second year onwards the issuer starts paying annual issuer charge.

Madhukar Ladha: Okay. So, first year, it's in FY '26, you get the corporate action fees, which is that INR11 per folio.

Girish Amesara: INR10 per credit.

Madhukar Ladha: Yes. INR10 per credit, that charge. And then from FY '27, you follow the standard formula?

Girish Amesara: Yes.

Moderator: Next question comes from the line of Devish Agarwal with IIFL Capital.

Devish Agarwal: Firstly, sir, congratulations on a good set of numbers. A few things that I wanted to understand.

First, a clarification one. In annual issuer charges, you mentioned two revenues. One was INR3.53 crores, which you said has come from unlisted and INR5.39 crores, which was the processing. So, this processing will include only unlisted, or this is unlisted and listed both?

Girish Amesara: Unlisted.

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Devish Agarwal: Okay. So, the total unlisted is this INR3.53 crores plus 5.39 crores?

Girish Amesara: Yes.

Devish Agarwal: Right. And sir, within the transaction charges, how much would be the pledge income?

Girish Amesara: So, pledge income is INR5.09 crores in this quarter.

Devish Agarwal: Okay. And what was this, sir, last quarter, 1Q?

Girish Amesara: INR5.05 crores.

Devish Agarwal: Similarly, sir, could you also share the breakup for eCAS, e-voting and e-AGM, this other which

are part of your other revenues? What was that in total?

Girish Amesara: Sure. The other income is at INR59 crores, which consists of consolidated account statement revenue of INR12 crores, e-voting income of INR20 crores, investment income of INR21.46 crores and other operating revenue of INR6 crores.

Devish Agarwal: Right, sir. And sir, if we see there has been some little restatement in your KYC income, which has been restated upwards for the previous quarters also. Could you explain what reclassification have been done?

Swaroop Gothi: So earlier in our presentation, we were providing the only online data charges on CDSL Ventures Limited. Now we have included other KRA income as well in this category, like KYC income, esign income and other.

Devish Agarwal: Sorry, sir.

Girish Amesara: Earlier, it was in other income category.

Devish Agarwal: Yes, yes. But what was this line item, sir?

Sunil Alvares: So basically, in the CDSL Ventures, we handle multiple projects apart from the KRA. So, one is

the online data charges. The other income pertains to the other product i.e., projects what we are doing like eSign, eKYC/CKYC, GSP services and all the other products.

Devish Agarwal: So now these have been shown under KYC?

Sunil Alvares: Yes.

Girish Amesara: So, it's an improvement. What we believe is that we should be constantly improving ourselves. And accordingly, we have tried to present all KRA related revenue. Rather than including other non-significant part in other income, we have started including all KRA related income into one portion. I hope that suffices your question.

Devish Agarwal: Sure, sir. That does explain. And sir, one last question. If you see our market share on incremental demat account additions, right, it has been coming down for the last two, three quarters. If you see, it peaked somewhere around 3Q FY '25, when we had 93% market share.

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And this number in this quarter has come down to 82%. So, any particular reason that you can highlight where we've been losing market share?

Nehal Vora: We've not been losing market. See, again, you have to look at the absolute numbers. Percentage is basically a relative number. So, what is the total accounts which have been opened?, you have to see the absolute numbers which are getting opened between quarter-to-quarter. It has steadily been on an increase.

And basically, I think that percentage is only an indication. It is not something which is showing a downward trend as a percentage doesn't mean that the number of accounts opened are going down. If the number of accounts opened are going down, then it's a potential area of concern. But see, again, I have always stated this in various investor calls that this company is finally a market infrastructure company, like a road, you have to look at a little more medium-term and long-term perspective. Quarter-to-quarter is kind of a snapshot, but these are all a culmination of various market conditions, the external environment, etcetera. So, I think you need to look at it from that particular perspective.

Devish Agarwal: So, sir, if we would try to understand, say, for example, among your top 20 clients who contributes a maximum in terms of new account creations, is there any client which was earlier exclusively working with CDSL and now is working with both the depositories? Has that changed among your top 20 clients?

Nehal Vora: We don't give any client-specific information. It's a culmination of all this. Once again, I would really urge you, if you look at the numbers on quarter-to-quarter. On the first quarter, we had opened 56 lakh demat accounts. Quarter 2, it has been 66 lakh demat account.

Moderator: Next question comes from the line of Sanketh Godha with Avendus Spark.

Sanketh Godha: Sir, my question is related to your tax rate. So, for the first half, it looks to be around 27.4% for the consol tax rate. So, is it fair to assume that in second half, your tax rate will be lower so that in full year, it will be around 25-ish? So that's my first question. And second question with respect to data keeping is that if you can quantify your impairment cost in the current quarter, that will be useful?

Girish Amesara: Sure. So Sanketh, the tax rate of CDSL, we are at 25.17%, consisting of 22% base rate and then surcharge and education cess. Having said that, when we look quarter-on-quarter, our average tax rate would range from 22% to 25%, depending upon various kind of impact of the deferred tax assets or deferred tax liability. I hope that suffices your query. And with respect to data set, the debtors' provision is at INR5.07 crores.

Sanketh Godha: INR5.07 crores. Okay, sir. And second question is that last quarter, you mentioned that your number of folios were INR22.76 crores. So, any incremental growth in that number in the current quarter compared to the previous quarter? And another t

hing we just want to understand is on

Insurance Repository. See, last year, given in the annual report, Insurance Repository revenue looks to be around INR8 crores for the full year.

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And last year, many insurance companies probably started opening demat accounts or Insurance Repository accounts. So still there is not a meaningful growth. So just wanted to understand revenue growth outlook and how basically, how do you want to scale this business, what kind of market share you think and what kind of tie-ups you have made so that we can see a decent trajectory in the Insurance Repository part?

Girish Amesara: So Sanketh, on the folio count that we had provided in the first quarter, it was INR3,326 lakhs and what the number that you said, it was of previous year. And normally, when we annually issue our invoicing in the first quarter, that number remains constant throughout the year. And with respect to the insurance-related question, we'll request Latesh Shetty to respond.

Latesh Shetty: Yes, Sanket. Latesh Shetty here from Centrico. With reference to the current half yearly closing, we have signed up two new customers. LIC integration is expected to go live in November. So we expect some numbers to increase from there. As far as the numbers of insurance accounts opening is concerned, we are actually reflecting the industry numbers. although we do not count the premium numbers.

But if you look at the number of policies issued from the IRDA results, there has been actually a decrease in the number of policies opened. But still, we have shown a 30% growth vis-a-vis last year. And we expect that the online portal opening, which we have done, should contribute more.

So just to give you a perspective, there are three channels from where the business comes. One is from the insurance companies. Second is directly from the customers. And the third channel is the broking channel. So we have opened the second channel, first channel was always there. The insurance companies' business has been our basic revenue model.

We have opened the online portal 6 months back, and we have seen a steady trickling of numbers from there. The third broking channel is which we are working on, and we expect that the future growth should come from the broking channel. I hope it answers your question.

Sanketh Godha: Yes, sir. But last and a follow-up to this. So, in insurance, in your view, large part of the growth will come from life rather than from general insurance companies. Is it a fair assumption to make?

Latesh Shetty: Sorry, we do not give breakup, but please come again with your question. What is the question I didn't...

Sanketh Godha: No, I was not asking for the breakup, sir. I'm just saying from an Insurance Repository business point of view, for the industry as a whole, that the main source of revenue will be life rather than general insurance business. Is it a fair assumption to make?

Nehal Vora: No, I don't think so. That will have to be seen as to how the industry evolves. And it depends on what is the regulatory formulation also, which happens. Again, drawing the same analogy that on the road, we prepare roads. Now whether there are scooters or trucks or cars, that is really irrespective. The intent is to create value propositions for all the vehicles which are coming on that.

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Moderator: Next question comes from the line of Rohan Narkar with Helios Capital.

Rohan Narkar: So, if I just look at the revenue booked under online data charges, traditionally, this has tracked the number of new demat accounts. But this quarter, the number of new demat accounts has grown about 14-odd percent, but the revenue booked under this line item is up about 30%. So could you just provide some color on exactly what's going on and what has changed qual

itatively

under the hood?

Nehal Vora: So, see, when the accounts are opened, that shows the number of new people coming into the fold. But there could be multiple transactions which happen, which includes pledge transactions.

It includes your actual buy and sell transactions. And each one is recorded as a revenue.

So, it depends on the market activity in that quarter, which determines what the total income from that market-driven activity constitutes. There may not be a 1:1 correlation between account openings and the income, which is earned out there. And hence, you have to take it in that perspective.

Rohan Narkar: Just a follow-up. Wouldn't the pledge income and, say, transaction-related income be booked under different lines within the revenue accounts rather than online data charges?

Girish Amesara: Transaction charge and pledge income is depositories income not KRA income. So, it is not recorded under the KRA income.

Rohan Narkar: Right. So, my question was the online data charge revenue the revenue booked under online data charges is up about 30% quarter-on-quarter. But...

Nehal Vora: Yes. So that's what similarly, like is in the core Depository CDSL and CVL also, it constitutes various other activities like fetch and etcetera. I'll ask Sunil to give you more details, but the intent is that there may not be a 1:1 correlation between account openings and these online charges account openings and market transactions. That is the point I'm trying to make.

Sunil Alvares: You also have to understand that it's only not demat accounts which are getting opened by way of KYC, there are mutual fund investors also coming in. So effectively, the KYC, what you see the numbers, what you see is getting divided amongst demat accounts and mutual funds. That is investors investing only in mutual funds. So, I hope that answers your question.

Rohan Narkar: Okay. So, is it more fetches that are being generated by first-time investors with an AMC that has sort of driven the revenue this quarter?

Sunil Alvares: See, we do not actually get into those things, we only track more of the overall fetches which are happening, okay, compared to or whether the new investors are fetching. What we normally see as a trend is the new investors which come in, the fetches take at least about 6 to 1 year to actually start coming.

Rohan Narkar: Okay. Understood. So, this quarter, we've seen an increase in the number of fetches on the KYC records. Is that a fair understanding?

Sunil Alvares: Yes, quarter-on-quarter, yes.

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Moderator: Next question comes from the line of Prayesh Jain with Motilal Oswal Financial Services Limited.

Prayesh Jain: Sir, just one question on the transaction charge. Some brokers on the website show per transaction, while some show per ISIN debit. So, can you clarify whether if there is one ISIN debit at the end of the day, the customer is charged only once, or there can be multiple charges also possible during the day?

Nehal Vora: See, again, you need to understand that depository charges the depository participants. What the DP/ broker, broker is a different activity, and depository participant, different activity. That will depend upon the arrangement or the agreement which is between the ultimate customer and the intermediary. Both these are put out on the public domain.

So, the market at large knows that what the depository is charging, what the brokers are charging.

And it is up to each customer or beneficial owner to choose which DP. And there could be various options. DP A may charge different from DP B or DP C or DPD, and it is up to the investor to choose which DP it would like to choose for its own self.

Prayesh Jain: But as a depository, you get charged only once when the ISIN gets debited at the end of the day?

Nehal Vora: Not at the end of the day. Each transaction i.e. each settlement.

Prayesh Jain:

sh Jain: Each settlement? Okay. Got that.

Sunil Alvares: So effectively, every time there is a debit, there is a charge into the investor.

Prayesh Jain: Okay. Got that. That was my only question. Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to Nehal Vora for closing comments.

Nehal Vora: I would just like to thank you all for the questions which have been asked. I wish you all a safe and secure journey. Thank you once again and see you at the end of the third quarter for the investor call. Thank you.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

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Central Depository Services (India) Limited
CDSL/CS/NSE/ JB/202 6/20 February 06, 202 6

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on February 02, 202 6.

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated January 27, 202 6, for scheduling of
Conference Call on Monday, February 02, 202 6. In this regard, please find attached the
transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Compliance Officer
ACS No.: A20586

Encl: As above

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"Central Depository Services Limited
Q3 FY '26 Earnings Conference Call"
February 02, 2026

MANAGEMENT : MR. NEHAL VORA – MANAGING DIRECTOR AND
CEO
MR. GIRISH AMESARA – CHIEF FINANCIAL
OFFICER
MR. SUNIL ALVARES – MANAGING DIRECTOR &
CEO – CDSL VENTURES LIMITED
MR. LATESH SHETTY, MANAGING DIRECTOR &
CEO – CENTRICO INSURANCE REPOSITORY

LIMITED
MR. KAMLENDRA SRIVASTAVA – MANAGING
DIRECTOR & CEO– COUNTRYWIDE COMMODITY
REPOSITORY LIMITED
MR. SWAROOP GOTH, FINANCIAL CONTROLLER

MODERATOR: MR. AMIT CHANDRA – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to CDSL Q3 and FY '26 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would like to hand the conference over to Mr. Amit Chandra from HDFC Securities. Thank you, and over to you, sir.

Amit Chandra: Yes. Thank you, operator. Good evening, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 3 FY '26 Earnings Call. Today, we have with us the management team of CDSL, represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders from the management team.

We will now start with a brief overview of the quarter by Mr. Nehal Vora, and then we will open up the floor for the question-and-answer session. Thank you, and over to you, Nehal sir.

Nehal Vora: Good afternoon, everyone. I hope you and your loved ones are safe. Welcome to the Q3FY26 earnings concall. I'm joined here today by the CDSL Group's team of senior leaders. Let us start with the industry highlights and then we can go through some of the key aspects of our performance. The combined average daily turnover at BSE and NSE for December 2025 was around INR1 lakh crores, about 8.3% less than the average daily turnover during the same period

of the previous year.

I'm glad to report that as a depository industry, we have crossed 21.6 crores Demat accounts and CDSL saw more than 75+ lakh accounts opened during this quarter, bringing our total to 17.27 crores Demat accounts, maintaining our 80% share.

During the quarter, CDSL received certain key recognitions, including two of the major global awards, including the Central Securities Depository of the Year 2025 by Asset Servicing Times and Market Infrastructure Award at the Regulation Asia Awards for Excellence 2025. Whilst our CSR efforts were also recognized with the Project of the Year Healthcare Award at the India CSR Awards 2025.

For us, the investors remain at the heart of our ecosystem, and we strive to stay closely connected with them through our various social media platforms. I'm pleased to share that these efforts have paid off as we recently crossed a milestone of 100 million YouTube channel views on the CDSL account. This achievement reinforces our commitment to reaching and educating as many persons as possible.

In the last quarter, CDSL also launched its first ever Reimagine Ideathon, an initiative under its Annual Reimagine Symposium, engaging young innovative minds to reimagine investor

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empowerment to ensure that the market can really trust it at scale. The Ideathon saw around 1,000 + registrations with us and witnessed participation of students from nearly 100 institutions across 21 states and two union territories. The final rewards will be announced on this coming

weekend.

As we move on to a new quarter for the new year of 2026, our focus remains on building the infrastructure that is not only scalable and secure but is also inclusive and investor first. We endeavour to continuously monitor and upgrade the capacity, security and sophistication. We continue to prioritize our Atmanirbhar investor focused approach while striving for innovation into consistent and sustainable financial and business performance. We'll continue to work efficiently while upholding our investor-centric culture.

I would like to reaffirm that CDSL's focus remains on enhancing the securities market ecosystem by enhancing trust. The market with its ebbs and flows continues to support the Indian economy, and we owe all the progress to a strong ecosystem that has put constant faith in us. My appreciation and gratitude to all our stakeholders, starting from the SEBI as regulator, other regulators, depository participants, issuers, investors and all participants, shareholders and employees.

Thank you, and over to the CFO, Girish.

Girish Amesara: Thank you, Nehal. Good morning and good afternoon to everyone. On a consolidated basis, for the 9 months performance, the total income is achieved at INR970 crores as against INR944 crores for the corresponding 9 months for the previous year. Consolidated net profit for the 9 months is achieved at INR375 crores as against INR426 crores for the corresponding 9 months. In terms of quarterly performance on a consolidated basis, the total revenue of the quarter ended December is achieved at INR334 crores as against INR298 crores for the corresponding quarter of the previous year. The stand-alone net profit is achieved at INR133 crores as against INR130 crores for the corresponding quarter of the previous year.

Talking on stand-alone performance for 9 months, the total income is achieved at INR881 crores as against INR780 crores for the corresponding 9 months. The net profit for the 9 months is achieved at INR399 crores as against INR381 crores for the corresponding 9 months of the previous year.

On a quarterly basis, the stand-alone total revenue is at INR279 crores as against INR235 crores for quarter of the previous year. The net profit for the quarter ended December is achieved at INR120 crores as against INR105 crores for the cor

responding quarter of the previous year.

With this, I will request Sunil to take us through CVS numbers. Thank you, and over to you.

Sunil Alvares: Good evening and thank you for joining us today. For the 9-month period ended December '25 So for the 9-month period December '25, revenue from operations was INR132 crores compared to INR189 crores in the 9MFY'25. Total income was INR145 crores compared to INR206 crores in the previous year. Total expenses were INR90 crores compared to INR83 crores in the Public

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previous year. Profit before tax was INR55 crores as against INR122 crores in the previous year. Profit after tax was INR42 crores as compared to INR91 crores 9FY25.

Moderator: I'm really sorry, but there is a background issue from the management line. If you can please fix that. Our first question comes from the line of Supratim Datta from Jeffries. Please go ahead.

Supratim Datta: Okay. So, my first question is on the cost side. So, your technology costs have increased by around 4x since FY '23, whereas during the same period, volume increase has been somewhere around 1.82x. So, I just wanted to understand, if you could give us some color or understanding with respect to how you are seeing the technology spend or which areas are you spending this money and what further capacity requirements do you need to put in place?

Because in a market where volumes have not been growing since the last one year, still the computer technology cost appears to be growing sequentially. So, I just wanted to understand, get some clarity on what is happening here, which are areas that you are spending on and how So that's one.

The second part is on the KRA business, you're the market leaders there. The pricing there is significantly higher than the CKYC business there. And now that the government is improving the quality of data on CKYC, do you see that as a risk for pricing or the KYC registration business overall? If you could give us some color there that also will be very helpful?

Nehal Vora: So, on the first question on technology, see, as we grow in business, it's like -- as I've said many times, it's like similar to basically an infrastructure company. So, as we increase capacity, the costs have to grow to ensure that the latest technology is used. There are newer products also which have been coming into play, which the regulator keeps on kind of doing some time-to-time. There seems to be some cross connection. Can you put yourself on mute?

So, as we have grown from '23 to '25, the newer forms of technology, both on application, on hardware, network and security. All 4 areas, we are trying to ensure that the latest products are put into play. And that says the capacity building process so that as the surge in case if it happens

like we have seen in 2020, '21, it becomes seamless for the market. It does not face any issues from the standpoint of people wanting to open newer accounts.

Also, the latest survey of SEBI is also saying that there are a lot of people whilst have participated in the securities market, a lot of people have known and are willing to participate. There's a potential, which is there. So, in sync with that potential, we have to be prepared to prepare the necessary technology infrastructure to be in place so that in case if those volumes come into the market, it becomes seamless from that standpoint. And on your second question, I'll ask Sunil to answer.

Sunil Alvares: On the KRA business, you mentioned that CKYC is introducing 2.0 and there could be a risk to CVL. But if you see in case of the securities market where KRAs are operating, KRAs have totally validated data as against that of CKYC.

Moreover, the KRAs data has a larger number of fields as compared to the CKYC. Recently, there is also a consultation paper from SEBI where they have proposed other details like bank Public

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details, occupation, etc., which comes as a part of client due diligence; and is proposed to be held in the KRA.

Also, there is a circular from the Ministry of Finance, Department of Revenue, where they've asked the KRAs to get connected with the CKYC so that any intermediary wanting to upload data into the CKYC can do it through the KRAs or the intermediary can do it directly. Keeping this development in mind, I feel that the KRAs are here to stay.

Supratim Datta: That's very helpful. Thanks a lot for providing the clarity. Just wanted to understand from that capacity build, I do understand that with every year, you need to build further capacity. But is the ramp-up or the scale of ramp-up mostly done? Or should scale of ramp-up continue at this level, again, considering the fact that how markets have been in the last 1 year?

Nehal Vora: So, the point is that as newer technology comes into play, there is, as we all know, really artificial intelligence also is coming into play. We would like to ensure that our infrastructure has the latest in sync technology. Also, in other products like application, security, etc., there are newer products which keep on coming.

So, it depends on the kind of innovations which are happening, which will entail in future, whether this will continue. But the process of ensuring that a seamless experience is there for all the participants is our intent and all basically will be able to see their holdings, etc., in a very seamless manner is what is basically the intent.

Moderator: Our next question comes from the line of Amit Chandra from HDFC Securities.

Amit Chandra: So my question is on the annual issuer charges. Obviously, on a Y-o-Y basis, we are seeing very strong growth here. And it has been a function of the higher additions and the rising folios. So, if you can give the number of folios because you used to give. So, what has been the exact number of folios, if you can give that number?

And also it has also been helped by the unlisted companies addition but seeing the change in regulation that has happened 1st of December, where the definition of not so small companies have been changed?

So, in that context, how do you see the unlisted addition on behaving because that basically shortens the definition or in terms of scope? So like we are adding around 2,000 companies in the quarter. Can we see a significant dip there in terms of the unlisted additions? This is my first question?

Nehal Vora: Yes. So, I think, Amit, on the unlisted piece, again, it's not growth or definition has become wider. But again, those conditions remain only when they want to raise capital, or they want to transfer capital. So those are very circumstance driven as to when they are mandated to be registered with us.

So, I think overall, we'll have to wait and watch. We don't give a futuristic outlook as to how we are going to see these numbers. But the intent is that we ensure that our systems are in place and Public

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experience of the issuers is seamless so that more and more people as and when they would want to join the depository fold becomes easy for them to. And for folio, I'll ask the CFO to answer.

Girish Amesara: The folio remains what we had disclosed in first quarter, it is 33.76 crores.

Amit Chandra: Okay. So, the folio number is set, obviously, will happen 31st of March. But with the number of IPOs coming in because this has been a heavy IPO. So, it is expected that maybe this folio nu

number reset can be a higher number versus what we have seen last year because

Girish Amesara: That we have to wait and watch in the first quarter of the next year.

Amit Chandra: Okay. Okay. And sir, second question, if you can give the breakup of e-voting and eCAS and also the drop that we have seen because

usually, e-voting is a weak quarter, and we have seen

a drop there sequentially. If you can like give that number. And also, in Y-o-Y terms also, the fall has been pretty sharp.

So, is it that on a Y-o-Y basis also the adoption of e-voting has declined, or we are seeing loss of market share there? If you can give some color there? And obviously, correspondingly to the decline in the e-voting, there used to be a decline in the other expenses as well. But in this quarter, we have not seen that decline. So, can you explain what has led to the higher other expenses?

Girish Amesara: Sure. So, the CAS income that we have generated in this quarter is INR12.78 crores and e-voting income is at INR5.23 crores. Normally, all e-voting income gets accrued in second quarter of the financial year. So, in last quarter, September quarter, we had accrued income of INR19.77 crores that we had reported.

And when you compare current quarter's income with Y-o-Y income of previous year, same quarter, we had achieved income of INR4.71 crores. So current quarter is better off compared to same quarter of the previous year.

Amit Chandra: Okay. And in terms of expenses, the expenses the corresponding decline we are not seeing in terms of expenses, other expenses?

Girish Amesara: Other expense for e-voting?

Amit Chandra: No, no. So, in terms of the other expenses, we report, which was INR62 crores last quarter, which has come down to INR60.6 crores in this quarter. So, the decline of eVoting generally used to happen and we used to see the decline also corresponding the cost also in the other expenses. But this ex of that, the jump in or we can say that ex of the eVoting drop, the jump in other expenses is also pretty high. So, any one-offs there or anything that you want to highlight?

Girish Amesara: No, there are no one-off costs in comparison. If you look at overall other cost, it is in line with what our overall cost structure is. For example, if we speak about KRA, then interKRA has reduced, eSign expense has also reduced. The eVoting expenses is more or less in line with the income that we have generated in Dec-25 quarter.

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Amit Chandra: Okay. Okay. And sir, lastly, now the increase in terms of the overall spend is higher than the growth. And also, the spend in technology seems to be pretty high and it's not like normalizing.

So, is it fair to assume that we can ask for an issuer price hike, which is now pending for the last 10 years? And how is the regulator is saying to the proposal of having an issuer fee hike?

Nehal Vora: So, I think, Amit, as I've told earlier, we don't generally disclose the correspondence we have with the regulator. But I'm sure they are also seeing this probably at the appropriate time, the increase will come.

Moderator: Next question comes from the line of Siddharth S. from Vittae Money.

Siddharth S: I'd just like to quickly get clarity on 2 set of questions. So, I just wanted to understand how is the insurance repository side of the business? And what is the projections going forward in terms of the upcoming projects and the potential revenue contribution from that side of the business?

And second would be, as we can see for the past 1.5 years and as a general position that there is some softness that is prevailing in the capital markets in general in terms of the general market activity and with the commodities taking over and attracting a lot of investors right now. So, I just want to understand like how would you, your plans or some clarity on how would you like to navigate or what plans there to navigate and basically get through this phase of softness in general and the general long-term outlook should be good to go? Thank you.

Nehal Vora: First question, I'll ask Latesh to answer who is the CEO of Insurance Repository.

Latesh Shetty: Hi, Latesh here. Yes. From the Insurance Repository

point of view, the operating revenue has

been steady. And as you typically see, Jan, Feb and March period is the crucial period. So, we are trying to capitalize on this. And largely, we are in sync with the insurance industry growth.

As you would have seen the IRDA numbers, the insurance industry policy number growth has been more or less stagnant. It's not been increasing as expected. But yes, within the same scheme of things, we are trying to increase our market share within this framework.

Nehal Vora: On your second question about commodities becoming more popular. So, I think this is really a market phenomenon dynamic, it keeps on changing as per changing circumstances, geopolitics, economic conditions, etc. As a market infrastructure provider, we are continuing to build on our

systems, whether we have a great period or a lean period because when the growth comes, it comes all of a sudden like we've seen in the past 3 or 4 years.

So, we need to be well prepared because the infrastructure has to be well prepared for any kind of growth. How this will pan out in the overall scheme of things, I think India as a country is doing well. It is fundamentally strong. And that will get echoed in the necessary securities market and commodities market as per what the perception is of the entire securities market and commodities market.

So, I think it will be difficult to predict what will happen when. But we've seen that like any infrastructure company, if your infrastructure is well prepared, is well done, when the growth comes, you are prepared to take on that growth, and that's the time you see a significant uptick in the revenue. The intent is to ensure that it is a seamless infrastructure which is provided. And Public

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it is a continuous process of growth, continuous process of the evolution, which we need to continuously do as we move forward. I hope I have answered your question.

Moderator: Our next question comes from the line of Shreya Kejriwal from Moneyvesta Wealth Management. Please go ahead.

Shreya Kejriwal: So, my question is regarding the yesterday's news regarding the hike in the security transaction charges. So, could you share your views on how this might impact the CDSL revenue? So, this is my first question. And my second question is around the IPO and Corporate Action segment. This revenue is like around 2% to 3%. The growth has not been so promising. So, could you talk about the potential tailwinds you foresee for this segment going forward?

Nehal Vora: On the first one, there is no direct impact on the depository business. It's more on the trading side and futures and options is not a security, which is normally kept in these demat accounts. So I don't see any perceived impact on CDSL's line of business as of now.

The second question is on the IPO. I think, as I've said earlier that we are building our systems well so that whether there are a lot of large IPOs which are expected to come, So, CDSL has the right infrastructure to ensure that it can cater to these large demands. How much road is used, we are similar to a road. So how much a road is used depends on basically the traffic and other conditions. But the road provider has to ensure that the value proposition of that road continues to remain seamless. And that is what is the way we are building our line of business.

Moderator: Our next question comes from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Deo: Sir, a few questions. So firstly, with respect to the TER cuts for the mutual fund business. So, there has been also talks about reducing the fixed cost for the AMCs such as like KYC charges, especially on the smaller investments. So, do we foresee any changes in the or any revisions in the KYC charges for us in terms of the new creation cost, which is INR20 and also the fetching which is INR35 going ahead?

Nehal Vora: We don't generally give futuristic things, but I'll ask Sunil to answer that.

Sunil Alvares: Like Nehal just said that in case there is any reduction in charges, we will inform the market accordingly. So yes, we'll have to wait and see.

Lalit Deo: Sir, just one data keeping question. Can you give us the revenue from the unlisted companies and the pledge income for this quarter?

Nehal Vora: I'll ask the CFO to answer.

Girish Amesara: Sure. So, the pledge margin pledge income in this quarter is INR5.42 crores and unlisted issuer income is INR2.66 crores and application processing income is INR3.17 crores.

Moderator: Our next question comes from the line of Sanketh Godha from Avendus Spark. Public

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Sanketh Godha: Sir, you just mentioned in unlisted income, INR2.66 crores is the regular annual issuer income and INR3.17 crores is the joining fees what you earned in the quarter. That's the right understanding, sir?

Girish Amesara: Yes.

Sanketh Godha: Yes. Understood. And maybe one more data keeping, and I have a couple of questions. So if you can even quantify your impairment cost in the quarter?

Girish Amesara: In the quarter, it is INR4 crores on a stand-alone basis.

Sanketh Godha: Understood. Understood. And sir, just want to understand at any DP level or a broker level, have you seen mass migration happening from your company to another company? Or you have got any intimation that the guys who were invariably working exclusive with you have even started

considering to open from a risk management point of view, maybe 2 demat account or to work with 2 depositories. Just wanted to understand whether there is any such kind of a development happened at your company level?

Nehal Vora: So, I think the number of demat accounts opened in each month-on-month is disclosed across both the depositories. Also, we put out how many DPs are registered in each quarter. So, I would really urge you to look at those numbers also. That will show you the picture where they are. Finally, it is each DP's choice where they would like to see. And therefore, the value proposition and to the earlier question that why we invest, continue to invest in technology is to ensure that that value proposition remains intact. And more and more people would want to use the product, will sell for itself and there's a value proposition, which is put there.

Also, in terms of cost, we are INR0.50 cheaper than that of our competition. So, it is the overall scheme of things, which people will take into consideration as to where they would like to. But I think the numbers is something, which really speak for itself. So, we don't generally reveal. I think the question would be answered in that manner that the number of demat accounts opened at CDSL as well as NSDL will show it for itself that where the focus is.

Sanketh Godha: Understood, sir. Sir, the reason why I asked this question was, sir, that on an incremental basis, somehow maybe on an outstanding basis, we still have a leadership. But on an incremental basis, we lost a bit of market share. So, is it due to either guys going for 2 depositories or there is a mass migration? That was the reason why I asked. I understand the numbers speak about how the growth is happening. But given the incremental market share has dropped a bit, I was just asking from that perspective?

Nehal Vora: See, the incremental market share has dropped based on certain seasonal circumstances if some DP is facing slower growth in 1 or 2 months. But overall, if you see the numbers is ranging in that same range. So, there has been no significant drop as I would see it as of now. And our intent, as I said, is to ensure again and again, value proposition from a technology standpoint, from a service standpoint to ensure that more and more people continue to remain with us.

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dia) Limited

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Sanketh Godha: Understood, sir. And one more question on maybe again on KYC because there is incrementally too much noise in the market that somewhere they kind of be capping or on the KYC fetching income, especially. And probably number of fetch multiple times if it's done for the same KYC record, they could be capped or utilized in multiple ways. Just wanted to understand that do you expect any big regulatory change to come in KYC business, especially from a revenue capping or the charges capping or the amount of fetches can be done for the same KYC record?

Nehal Vora: I'll ask Sunil to answer that.

Sunil Alvares: So currently, there is no capping for the same KYC record, primarily because there are different intermediaries fetching that record and they pay separately. So far as fetch is concerned, an intermediary fetches the record only once and we charge them a onetime fee of INR35. He can fetch the record as many times as he would like to. I hope that answers your question.

Sanketh Godha: Understood. Yes, sir. But if an intermediary already has done, it can be considered a validation for the other intermediary or no, he needs to do it again?

Sunil Alvares: Obviously, no. Why will one intermediary pay for another intermediary?

Sanketh Godha: Okay. Understood, sir. And lastly...

Sanketh Godha: I understand, sir. But someone we were assuming that there will be one more intermediate layer where it will fetch and pass it on to other intermediaries. And that intermediate layer will consider to be fetched once. So naturally, that funnel of number of fetches hitting your KYC business might come down. Anything on those lines is what I was considering is happening or not?

Sunil Alvares: See, the regulations are very clear that an intermediary has to fetch for itself. And no intermediary can share the KYC record for financial gain. So, these 2 things are very clear in the KRA regulations. In case any changes have to be done, the regulations have to be changed.

Sanketh Godha: Understood, sir. Perfect. And lastly, can you give your employee count, both for stand-alone and consol?

Nehal Vora: I'll ask CFO to answer.

Girish Amesara: Stand-alone basis, the employee cost is at..

Sanketh Godha: Number of people working, sorry?

Girish Amesara: Normally, we don't disclose employees count on a quarterly basis. We are disclosing in the annual report that we are publishing on a year-on-year basis.

Sanketh Godha: No, the reason I'm asking the reason again, sir, this question is asked because the employee cost has grown and even tech cost is going up. Is it we are hiring more people to overcome the tech cost, and that's leading to the tech and employee cost to go up relatively?

Girish Amesara: So, if you compare quarter-to-quarter, it has remained the same. Now if you compare to same quarter of previous year, obviously, there will be incremental costs required to be incurred, isn't it? So, the count will be available at the end of the financial year.

Sanketh Godha: Okay. Sir, I understand that point, but my more question was that is it more due to hiring or more due to increments? That's the only thing which I wanted to confirm.

Nehal Vora: I think, again, Sanketh, you can just say in Hindi we say, eat the fruit, why are you counting the trees. The important thing is that CDSL has a performance role. Now how many employees, whether it is increasing, whatever is required to ensure that it remains in business, the value proposition remains, that is what is most critical. And at the timeline when we are required to disclose at the end of the year, you will surely get the numbers.

Moderator: Our next question comes from the line of Rohan Nagpal from Helios Capital Management.

Rohan Nagpal: I had a question on the technology spend. So, as another participant poi

nted out that technology

spend has grown a lot faster. So, it gone from about 7% of revenue to 14%. So just looking backwards in terms of what this has enabled for us, could you give us some sort of, some KPIs in terms of success rate on transactions or capacity of transactions that CDSL is able to handle as a result of the increasing investment intensity?

Nehal Vora: So, I think, Rohan, you've got to see the number of demat accounts growing quarter-on-quarter, month-on-month, quarter-on-quarter, year-on-year. Now as the number of demat accounts grow, the number of transactions grow, the margin pledge transactions grow, the number of securities, new IPOs come in, that many more ISINs grow. So, there are multiple facets, multiple touch points, which are continuously increasing and the number of people who are entering the market is also growing. So, it's a function of all this, which has to be put into play whilst how the technology has to keep in pace.

Second is there are newer ways on security side, on the application side, which make it easier, more seamless with AI coming in also. So, the technology has to keep in step with all these newer reforms which are coming into play also. So, it's a combination of all these points, which has to be put into play. Also, there are newer requirements from SEBI's security standpoint, they will shoot various circulars. The requirements are growing. So those also have to be fairly executed. So, I hope I've answered it.

Rohan Nagpal: Yes. So, is it fair to assume that this is the floor on like we have to spend at least this much on an ongoing basis on technology to ensure business continuity?

Nehal Vora: There is no simple answer to this because, see, the market is changing continuously. What are the new products which are going to come in the future? We also don't know. What those new products will entail in terms of newer processes, if there are new types of products, transactions which are coming into play, which are required by SEBI, etc. or by the wider ecosystem.

So it's a function of all this, whether the technology cost will remain what it is or it will grow. It is not a simple line because the line in which we are in technology and human resource is the raw material work in progress and finished goods. So, to continuously evolve as the market

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conditions change. And those market conditions are something which continuously will evolve. So there is no simple answer to this, whether it will remain the same, whether this is a floor, etcetera. It all depends on the circumstances.

Rohan Nagpal: Okay. So, put it different way, is there a portion of this technology spend that is a variable cost and a portion of this technology spend that is sort of an investment in the future? Just trying to understand like how this moves with businesses..

Nehal Vora: So, any technology system has costs which are on a routine basis and one which is building for the future also. So that's how good technology systems are built. But there is no fixed percentage, and we don't reveal also that percentage because it's a continuously evolving process. Because what was seen to be routine 3 years or 5 years ago has changed the way we actually perform now, and that will again change in the next 2 or 3 years. So, it's a continuous process of really evolution. And therefore, there is no simple firm answer to that.

Rohan Nagpal: Fair enough. I understand that. Just as a piece of feedback from the perspective of people modelling the operations CDSL, I think it would help if you could get slightly more disclosure in terms of what your fixed costs are in terms of technology since it has scaled significantly over

the last few years. So, if we could get some sense of what portion is fixed variable, etc., and what is investment for the future? I think that would be really helpful for us as

analysts to understand the company going ahead.

Nehal Vora: Yes. But the line of business, which we are in is difficult to predict the fixed cost and the variable cost. It all depends on circumstances and hence we are not putting it. It's not that we don't want to put it out. It's because of the kind of expenses which we are having.

It is tough for us to put it out what is firm fixed and what is firm variable because there are lines which go beyond fixed and variable also. So hence, we are not putting out. So whatever best we can put out, and we have been very transparent in whatever we have to put out is what we are putting out there.

Rohan Nagpal: Understood. Thank you. Thank you. That's it from my end.

Nehal Vora: Thank you.

Moderator: Thank you. The next question comes from the line from Amit Chandra from HDFC Securities. Please go ahead. Mr. Chandra, you may please proceed ahead with the question.

Amit Chandra: So, in the technology cost, we don't include any employees who are related to technology in this? Or is it only related to software and hardware spend that we do?

Nehal Vora: So, the employee cost is in the employee cost, which includes all employees, including technology employees. So, the cost is technology is for technology.

Amit Chandra: Okay. So, technology cost is just the hardware, and the software spend here, right? And if you can give some breakup in terms of what is hardware, what is software here because the rise has been more on the subsidiary side in this quarter, if I do just the consol minus standalone, so the Public

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rise in the subsidiary has been significant. So, is it that the most of the investments are going in subsidiary? Or is it across standalone and CVL?

Nehal Vora: Yes. So, you've seen the numbers what is stand-alone versus what is in consolidated. But as I said earlier, infrastructure is a line of business that as you reach a certain scale, you need to invest in that. And the investment is in a larger proportion to the growth which you see. It's not commensurate with the growth you're seeing because it's kind of building a road.

Now the road cost has to be built. If you have to build from point A to B, that road has to be built. Now how many cars are going, if it's 5 cars also you have to build the same road, 50 cars also have to build the same road. But as the 50 becomes 500, the quality of the road, etcetera, of the road has to grow. And that cost is significantly higher.

So that is the same way we are investing in our subsidiary, again, to ensure that the value proposition remains intact and the clients and the customers who come to us feel that it is feeling the value proposition on whatever they are doing with us.

Amit Chandra: Okay. No, sir, that I understand, sir. But just in terms of numbers, you can break down this INR42 crores that we have spent. Is it only on licenses, opex because obviously, this is opex. But if you can give some more color in terms of what is because we are not including hardware spend here, right, because it is mostly capitalized.

Nehal Vora: Yes. We don't give that breakup because, again, that will not in the type of business, which we are in, it is difficult to give that breakup. So, we don't give that.

Amit Chandra: Okay. Okay, sir. Thank you.

Nehal Vora: Thank you.

Moderator: Thank you. Our next question comes from the line of Muskan Chopra from Motilal Oswal Financial Service. Please go ahead.

Muskan Chopra: Yes. So, I just wanted to know, can you give the financial data regarding CVL. Actually, it wasn't clear in the start.

Girish Amesara: Can you repeat the question? We could not...

Nehal Vora: Financial data regarding CVL.

Muskan Chopra: CVL, yes.

Girish Amesara: Financial data in the sense?

Muskan Chopra: The total income pack, whatever you gave, it wasn't actually very clear in the beginning.

Sunil Alvares: Just

a minute. So, for the 9-month period December '25, revenue from operations was INR132 crores compared to INR189 crores in the 9 months FY '25. Total income was INR145 crores compared to INR206 crores in the previous year.

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Total expenses were INR90 crores compared to INR83 crores in the previous year. Profit before tax was INR55 crores as against INR122 crores in the previous year. And profit after tax was INR42 crores as compared to INR91 crores in 9 months FY '25. So, I hope that answers your question.

Muskan Chopra: Yes, yes. Thank you.

Girish Amesara: Welcome.

Moderator: Thank you. As there are no questions from the participant, I would like to hand the conference over to Mr. Nehal Vora for the closing comments. Thank you, and over to you, sir.

Nehal Vora: Thank you all for your questions. We have all answered as per what is to the best of our ability. I hope we have answered your questions. Thank you and stay safe.

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: May 2026

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Central Depository Services (India) Limited
CDSL/CS/NSE/ SJ/202 6/63 May 0 7, 202 6

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on May 0 4, 202 6.

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated April 27, 202 6, for scheduling of Conference Call on Monday, May 0 4, 202 6. In this regard, please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Compliance Officer
ACS No.: A20586

Encl: As above

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“Central Depository Services Limited
Q4 FY '24 Conference Call”
May 04, 2026

MANAGEMENT : M R. NEHAL VORA–MANAGING DIRECTOR AND CEO
MR. GIRISH AMESARA – CHIEF FINANCIAL OFFICER
MR. SUNIL ALVARES – MANAGING DIRECTOR &
CEO– CDSL VENTURES LIMITED

MR. LATESH SHETTY , MANAGING DIRECTOR & CEO
– CENTRICO INSURANCE REPOSITORY LIMITED
MR. KAMLENDRA SRIVASTAVA – MANAGING
DIRECTOR & CEO – COUNTRYWIDE COMMODITY
REPOSITORY LIMITED
MR. SWAROOP GOTHY , FINANCIAL CONTROLLER

MODERATOR : M R. AMIT CHANDRA – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the CDSL Q4 FY26 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be on listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be construed as forward-looking statements must be reviewed in conjunction with the risk that the company faces. I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities. Thank you and over to you.

Amit Chandra: Yes, thank you operator. Good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 4 FY 2026 earnings call. Today we have with us the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders from the management team. We will start with a brief overview of the quarter by Mr. Nehal Vora and then we will open up the floor for the question-and-answer session. Thank you and over to you, Nehal sir.

Nehal Vora: I'd like to thank you, Amit, for the kind introduction. A very good afternoon and welcome everyone. I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the fourth quarter and financial year 25-26, which ended on March 31, 2026. We've posted a detailed investor presentation on our website for your reference. I'm joined by the CDSL leadership team. Let us start with the industry highlights and I would like to t

ake you through some of the key aspects of our performance. The recent geopolitical developments have added some uncertainty to the global environment, influencing energy prices, capital flows, and short-term market sentiment. Whilst India's fundamentals continue to remain extremely strong, these global crosscurrents have led to phases of volatility, including in Indian markets. In such periods, the role of trusted market infrastructure becomes even more important.

Our priority has remained to ensure the market operations, depository processes, and investor-facing systems continue to function smoothly and securely. For CDSL, the system performance is not only about managing peak volumes, but it is also about being prepared for evolving market structures, regulatory developments, and a continuously expanding investor base.

Against this backdrop, the quarter has been one of steady participation and continued broad-based growth, even as market activity moderated from last year's highs. Our focus remains on strengthening the underlying value proposition of the platform through technology, service standards, ease of integration, and trust.

The combined average daily turnover at BSE and NSE for March was around 1 lakh crores. At the same time, investor participation continued to broaden. I am happy to report that we have crossed 22.4 crores demat accounts as a depository industry. CDSL saw more than 2.7 crores

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accounts opened this financial year, bringing our total to 18.01 crores demat accounts as on

March 31st, 2026, maintaining our 80% plus market share with a consistently incremental market share of 85% to 90%, supported by the continuous trust of investors and depository participants on our platform.

We are encouraged further by the key recognitions CDSL received during the quarter, including the Golden Peacock Innovative Product Service Award for the year 2026 and the Golden Peacock Award for Corporate Social Responsibility for 2025 for our CSR activities. We were recognized as the Best Institution in Asia for Diversity, Equity and Inclusion by Asia Asset Management Awards 2026.

I'm also humbled to share that Business Today recognized me, on behalf of the entire CDSL team and the ecosystem that has placed its trust in us, in the Market Infrastructure Institutions category as India's Best CEO of 2026. Among many others, CDSL IPF also received multiple awards at the IMAI awards for various investor education campaigns. These recognitions continue to motivate us in strengthening our focus towards innovation, inclusion and trust across the Indian securities markets.

In the entire year, we continue to strengthen our presence across adjacent areas of market infrastructure. CDSL Ventures, our wholly owned subsidiary and the first and largest KYC registration agency received SEBI's no objection to set up a separate business unit at GIFT IFSC, proposed to be registered with IFSCA as the first KYC Registration agency. The setting up of CDSL IFSC in GIFT City is an important step to support international issuers, investors at the India International Financial Centre.

Both CDSL and its subsidiaries spanning KYC, insurance, commodities and GIFT City are positioned to extend the principle of dematerialization and online onboarding infrastructure further into the financial ecosystem, opening fresh avenues of long-term value creation. I would like to add, amongst the many key market reforms which have been launched in this quarter, the one which I would like to highlight is the Form 15G, 15H, now Form 121.

Additionally, we also executed the next phase of the Demat account portability cum closure automating investor transfer and smooth transmission of securities from nominee to legal heirs. Form 15G, 15H now can be accepted by both depositories as a measure of ease of doing business. The Securities

Market Code 2025 tabled in the Honourable Parliament in December 2025, is a significant development in India securities market rules and regulations since SEBI's creation in 1992.

The code aims to consolidate Indian securities market framework into a single statute governing primary and secondary markets, market intermediaries, depositories and other Market Infrastructure Institutions. We are cognizant of the scope of this regulation and look forward to the next phase of the statute as and when it is passed by the Honourable Parliament. We will continue to study the developments closely and engage constructively as the framework evolves. Public

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In line with the evolving nature of our ecosystem, this quarter, we hosted the third edition of our Reimagine Symposium on the theme of 'Reimagine Securities Market through Data Synergy' held in Mumbai on 7 Feb 2026. The event was graced by eminent leaders, including the honourable SEBI Chairman, Shri Tuhin Kanta Pandey, SEBI Whole-Time Member, Shri Sandip Pradhan; Shri Mistry, former Vice Chairman and Chief Executive Officer of HDFC; Shri Avneesh Pandey, Executive Director, SEBI, Shri Sunil Kadam, Executive Director, SEBI, among other key leaders of the Indian Securities Market.

At the Symposium, CDSL IPF team launched its own investor education comic book in collaboration with 'Amar Chitra Katha'. This initiative reflects our efforts to make investor education simpler, more accessible and more engaging, especially for the first-time investors who would like to enter the securities market from across India.

It is another step in helping investors stay aware, alert and protected. I would really encourage all of you to look at the comics on the CDSL IPF website. And the interesting thing is it's in 12 languages. so, you can read these comics in your regional language and would really encourage you to share them with the near and dear ones from all the age groups.

As the participation deepens across metros and beyond metros, including younger investors and women investors, our responsibility is to make access, education and protection move together as a single unit. Our priorities remain centered on strengthening market infrastructure, improving process efficiency and supporting the evolving needs of a growing investor ecosystem.

Now coming to our financial results, I'm glad to share that for the Year '2025-26', we've reported a stand-alone total income of INR1,096 crores and a standalone net profit of INR468 crores. The

CFO will take you through the detailed numbers shortly. Steadily moving forward into the financial year, we remain focused on enabling every Indian Investor to become a truly Atmanirbhar Investor.

Through continuous innovation and investor education, we aim to deliver consistent and sustainable financial and business performance while upholding our investor-centric culture. As always, our role is to enable the markets to function efficiently across cycles, and we remain focused to do this objective with sharp discipline and responsibility.

That has been possible because of the strong ecosystem of all Market Infrastructure Institutions. So, I'd like to extend my sincere appreciation and gratitude to all our stakeholders, basically SEBI, the depository participants, investors, issuers, other market participants, shareholders and employees.

Thank you. Over to you, Girish.

Girish Amesara: Thank you, Nehal. Good morning, everyone. First, I'll speak on standalone numbers for the full financial year. The total income on a standalone basis is achieved at INR1,096 crores as against INR985 crores for the previous year. The standalone net profit for financial year '25-'26 is achieved at INR468 crores as against INR462 crores.

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Speaking on the fourth qua

ter of this financial year. On a standalone basis, the income is achieved at INR215 crores as against INR205 crores for the corresponding quarter of the previous year. The stand-alone net profit for the quarter is achieved at INR69 crores as against INR81 crores for the corresponding quarter of the previous year.

In terms of consolidated numbers for the financial year '25-'26, the total income is achieved at INR1,239 crores as against INR1,199 crores for the previous year. The consolidated net profit is achieved at INR455 crores as against INR526 crores for the previous year.

For the fourth quarter on a consolidated basis, the income is achieved at INR268 crores as against INR256 crores for the corresponding quarter of the previous year. The stand-alone net profit -- consolidated net profit for the fourth quarter is achieved at INR80 crores as against INR100 crores for the corresponding quarter of the previous year.

With this, I will request Sunil to take us through CVL numbers. Thank you, and over to you, Sunil.

Sunil Alvares: Thank you, Girish. So far as CVL was concerned, the revenue from operations for FY26 was INR182 crores as compared to INR231 crores for the previous year. Other income was INR15 crores as against INR23 crores for the previous year. Total income for FY26 was INR198.17 crores as against INR254.94 crores.

Total expenditure in FY26 was INR124.09 crores as against INR108.44 crores for the previous financial year. Profit before tax for this year was INR74.07 crores as against INR146.50 crores and profit after tax was INR55.36 crores as against INR109.95 crores.

With this, I would open the floor for your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We'll take the first question from the line of Supratim Datta from Jefferies.

Supratim Datta: My first question is on the technology cost. You have highlighted previously that you have been investing for the future. This line item has been growing at somewhere around 30% for the last 2 years. Just wanted to understand over the last 2 years, what kind of capacity have you already created versus when you started 2 years back? If you could give us some color?

And versus 2 years back now, how much more folios or how much more demat accounts can you now handle versus when you started 2 to 3 years back? If you could give us some color on how this technology spend has actually translated into capacity creation, that would be very helpful? That's the first part.

Secondly, typically, your business has been an operating leverage business. So, I wanted to understand, while I do understand you don't give forward-looking guidance, but how much further would you need to invest in technology from here? Do you need to invest at the same pace? Or should the pace slow down now that you have created the capacity? If you could give some color on that, that also will be very helpful. Lastly, could you give us the sense around

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how many folios did you end FY26 with? And what is your eCAS and e-voting revenue? Those are the 3 data keeping questions.

Nehal Vora: So, thank you for your questions, Supratim. I think one needs to see this business, and I have been talking about this, that technology is the DNA of our business. It's kind of the Raw Material, Work in Progress, and Finished goods. What we have done over the years is creating, both horizontal and vertical scalability.

And you would have seen that in September 2019, we were 1.8 crore demat accounts. Today, we are about 10x plus more in a short period of 6 years. So, technology has to cope with the scale, both in terms of infrastructure, application, security and the linkages which form this. All these 4 components have to be invested in.

Second is that products change and the ecosystem platforms are also changing. So, we need to

create that value proposition of the same value of a large fintech player who may have its entire infrastructure of technology within itself versus a mid-sized player who may have taken a product, versus a small player, who may outsource a lot more to an outside product. Now the value proposition for all these 3 components have to remain high for them to remain continuously invested and committed to the CDSL platform. And therefore, the scalability of volumes is one aspect, but the scalability of access across depository participants having different scales themselves, it has to be up to speed and ahead of the curve to kind of ensure that the value proposition of this connectivity remains extremely high. And you see the number of application protocol interfaces with which CDSL has moved about has grown significantly and exponentially.

Now this is to ensure that the entire account opening to transactions to pledging, etc. becomes extremely seamless when it's an API-based protocol because that respects the scale at which each DP is, without kind of constraining it with focusing more on the lower end or on the higher end. It gives that flexibility of that infrastructure to customize the access to the scale at which I would like.

To draw really an analogy which I've done in the past is the coastal road or the recently launched metro line in Mumbai. Now if you see the scale, the roads are built to give a value proposition. And you can have a small car also being driven on the coastal road and a large car also being on the road.

The requirements from an infrastructure point of view for both these cars are very different, but they both need to feel the value proposition when they drive on these roads to get mass scale in. And this has been the same foundation on which CDSL infrastructure has been built. And therefore, there has been a consistent growth investor wanting to access the CDSL platform, the market share of new account openings always in the range of 85% plus. Now to maintain that kind of a market share, one needs to continuously invest in the technology and the people so that the value proposition, the commitment and loyalty towards CDSL platform continues to remain high.

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Your second question was in terms of how much do you think this will continue? See, as markets evolve, the ecosystem evolves, the players evolve. And when that is not constant, it's difficult for me to commit on what would be the constant at CDSL then because our commitment is to remain constant as a partner to the entire ecosystem. We want to deepen our partnership with every part of the ecosystem so that they continue to remain committed to the platform.

Whatever it takes to ensure that this commitment remains high is what we are committed to in ensuring that our technology platform is really ahead of the curve. So, it's a process. It's like saying the coastal road is built from point A to point B and now the second phase and, the third phase is getting built.

And the value proposition of the first phase will enhance when second and third phase also grow. So that's the same philosophy with which CDSL is continuing to grow on its technology platform. The second component to that is that there are newer products and new asset classes, which are slowly coming into the ecosystem. And each of these will require its own nuances on what is the expectation of technology.

Now whether the current technology is able to handle that or it requires certain tweaks to ensure that the facilitation and the customization necessary for such products is also taken into play, is

something which needs to be built upon. Your third question is how long do you see this? I would see there's a huge potential as SEBI survey itself talks about only 9% to 10% participation of the growing and young population. And this can easily grow to

25%, 30%. In the Western world, it is as high as 40% to 50%. So that's the kind of headroom which is available from a population which is growing. And the last nuance is that there is a paradigm shift which is happening where the age of the investor opening the demat account, which was intuitively understood to be 18 plus, has now moved to a few days. Post birth...

So, there's a cultural shift which is happening where a lot of newborn demat accounts are getting opened. And that enhances the expectation which this platform has in ensuring a wide basing and a broad basing of what the needs are. So today, a newly born investor will have different needs from a mature investor to a frequent trader. So, as I said, there are participants of different shapes and sizes, the investors of different shapes and sizes, they are assets of different shapes and sizes.

Now the culmination and the permutation combination of all this will need to be effectively addressed by the technology rollouts that CDSL will continue to do. And hence, it is very difficult to give a firm answer if whether this is good or this is not good because goalposts are all moving in a very rapid basis. So, I hope I have answered your question.

Garish Amesara: On the question of your question on Folio, financial year '25-'26, we had disclosed Folio of INR33.26 crores. Folio as on 31st March '26, we'll be disclosing in the earnings call for June quarter '26-'27.

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Moderator: We'll take our next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Sir, my question is also on the technology cost, and I know you have answered it in quite detail. But just to get some numbers around it because the rise in the cost has been pretty steep. It has been 4x over the last 3 years. And now the technology cost is higher than the employee cost for the full year on a consol basis. So, if you can provide some numbers around how much of this cost of INR162 crores is regulatory led or related to the upgrades of the existing systems? Or is it a catch-up in terms of versus what the competition is investing? And if you can provide some numbers, what is the opex here? What is the capex number? And how much we are investing in the tangibles and the intangibles related to technology?

Nehal Vora: So, thank you, Amit, for your question. I would first like to start off that technology cost, as you have rightly pointed out that the technology cost on a consolidated basis has overtaken the human resource cost. This kind of demonstrates my vision, which I have been articulating in various investor calls in the past that we are a tech-based and applied technology-based company.

Our intent is to ensure that the efficiency and the leverage effect of technology rollout will overtake the employee cost. So, it's becoming a more tech-based company supported by able humans, is how CDSL is restructuring itself as compared to people, as to how we see ourselves as participating in the wider ecosystem. In terms of your second question, whether it is growth or regulatory-driven or competition catch up,

I think the numbers between me and my competition would speak for itself as to where we are and where we are. I would not like to comment on the competition because I think as a Market Infrastructure Institution, our core focus and intent is to support the ecosystem and to make it as seamless for investors to access the platform, the Depository Participants to access the platform. And numbers speak for themselves, but our focus is not numbers. Our focus is value proposition. And that's what I have been talking for all these years.

On your third question, whether we are investing in any tangibles or intangibles, I think tangible is that the number of APIs which have been rolled out, the ease in which the Depository Participants have seen speed and scale even

when there are larger volumes is something which is the tangible.

The intangibles is the loyalty, which we continue to enjoy, the commitment we continue to enjoy the market share of new account openings we continue to enjoy, the age bracket, which I mentioned about lower age people entering the ecosystem and trusting us with their hard-earned savings and money for their newly born also these are the core intangible which we are really enjoying and hope to continue to enjoy in the future.

Amit Chandra: And also on the annual charges, how many folios we would be having right now? And with the

flurry of IPOs that we have seen in FY '26, what kind of folio additions are we expecting because we see a reset in the first quarter. So, if you can give some color on that in terms of how strong the folio addition has been with the data that we have currently.

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And also, in terms of the sharp fall that we have seen in the IPO and the corporate action revenue, I know there has been pretty less IPOs in quarter 4, and that is a known number. But the extent of fall has been pretty sharp. And I think if you can give some breakup between the IPO revenue and the corporate action revenue and whether it is largely led by only fall in the IPO or there is a part of sharp fall in the corporate action as well?

Nehal Vora: So, we don't give the numbers between IPO and corporate action it's just correlated. That's the reason we don't give it. But I think it's overall, the industry has seen less IPOs. Both the depositories have seen a significant fall in the IPO and corporate action income. In terms of large IPOs, yes, there are large IPOs expected in this financial year. And this is exactly the point which I was making that we need to be platform ready, infrastructure ready connect ready and speed ready in these large platforms and these large IPOs come. So, it's really building for the present and also for the future and remaining that scalability factor that as and when large IPOs come, we are able to support that.

In terms of folio increase, we will be disclosing this as per our practice as the CFO mentioned earlier, in the first quarter call of the next, financial year after the June quarter end. So, at that time, you will be able to see what our folio situation has been as compared to the previous year.

So, I hope I have answered your questions.

Amit Chandra: Okay, sir. And sir, some bookkeeping questions. What has been the reason for the sharp fall in the other income? And if you can provide the eCAS revenue, the pledge revenue and the revenue from the unlisted companies?

Nehal Vora: Yes, I'll ask the CFO to answer these few questions.

Girish Amesara: Sure. So, Amit, the investment income is subject to mark-to-market as on 31st March, and that is the main reason for the fall in investment income. In terms of consolidated account statement revenue, it is INR12.08 crores for March quarter. E-voting is INR5.58 crores and other operating income of INR3.23 crores. This is the breakup of the other income that we have provided in the investor presentation.

Amit Chandra: Okay. So, the onetime processing fee is the revenue from listed companies, if you can repeat that, sir?

Girish Amesara: Unlisted you are talking about?

Amit Chandra: Yes, unlisted.

Girish Amesara: Okay. The application processing fees for the March quarter has been at INR3 crores.

Amit Chandra: Okay. And the issuer revenues from the unlisted?

Girish Amesara: It is INR3.5 crores.

Amit Chandra: Okay. Okay sir, thank you that answers my question. Thank you.

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Moderator: Thank you. We'll take our next question from the line of Madhukar Ladha from JPMorgan. Please go ahead.

Madhukar Ladha: Hi. Morning. Just one question on online data charges. Can you provide me with some breakup

between Fetch and new record creation, even like sort of proportion, what percentage is from Fetch and data creation, record creation that will be helpful. I think in the previous question, I think you did not mention the pledge revenue. So, it will also be helpful if you could give me the pledge revenue? Yes, that's it from my side. Thanks.

Nehal Vora: Yes. So the first question I ask Sunil to answer. Second one, the CFO, Girish, to answer.

Sunil Alvares: Typically, the breakdown between fetch and creation is about 80%, 20%.

Girish Amesara: Pledge income for March quarter is INR6.30 crores.

Madhukar Ladha: Thank you and all the best.

Girish Amesara: Thank you.

Moderator: Thank you. Next question is from the line of Vetrivil an Individual Investor. Please go ahead.

Vetrivil: Congratulations on the quarter. My first question is the expenses margin. Technology and the employee-related expense have increased during the year. Should we expect that to continue over the next few years versus a large investment lead in future growth inactives? And my second question, unidentified investor and app strategy. Could management on the long-term strategy of the unidentified investor app, how would you see the engagement monetization evolution of the overtime? The third question is data app business opportunity. Do you see the data service have the API the infrastructure and verification related service becoming a meaningful revenue contribution of the next few years?

Nehal Vora: Okay. Thank you for your questions. The first question was the employee and technology costs. See, we don't give any futuristic statements. And I have, I think, given a very detailed explanation on how the technology spend is being planned as ethos or as a foundation for CDSL. If you see, we are in a business where technology and human resource are the only cost, there is no other cost which is there to this business.

And it has to be a state-of-the-art to ensure that the value proposition remains extremely strong. But unfortunately, I'm not able to give you futuristic statements because we don't give any future outlook. And second question, if I understood, your line was not very clear, but what I understood is on the investor app. Is it right?

Vetrivil: Yes, sir.

Nehal Vora: Yes. So, on the investor engagement, I will put it rather than only the app. One is on eCAS, we've launched it in 23 Indian languages to ensure that the inclusion i.e., financial inclusion and social inclusion is extremely high. Similarly, the investor apps also are in multiple vernacular Public

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languages. It's a continuous process of evolution, and we are improving on the UI, UX also of this, but basically will be rolled out in the next few months or so. The intent is obviously to ensure engagement and information flow, which is happening seamlessly for the ultimate beneficial owner also.

So, this is to ensure that the foundation and the value proposition increases as we move forward and the loyalty and the commitment of the investors towards ecosystem will also grow with that. Your last question is on information and data as a business. There is a new act, which has come in, the DPDP Act, which kind of gives the foundation on how data needs to be protected and used. In terms of whether data can be leveraged as a business will be driven by the SEBI's rules on what is to be provided free and what can be charged for. So as and when that framework comes out, we will be able to take that forward.

Vetrivil: Okay sir thank you.

Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. So, one data keeping question is on the impairment cost for the quarter. And second question, sir, is with respect to one of the DPs migrating fully to the compet

ition. So just wanted to understand whether we are seeing any incremental trends because the reason why I ask this question is that with our incremental market share, though our outstanding market share is still stable on demat accounts, but incremental market share is seeing a bit of pressure, not big bit, but small bit.

So are you seeing any enemy competitive pressure from the, any existing DP either trying to be more open architecture giving for 2 companies or even migrating from one to another in the sense. So just, that's one question. And second is the data keeping impairment cost.

Nehal Vora: So, I'll ask the CFO to answer the first question. But before that, I'll answer your second question. I think your information is slightly misplaced. There is no DP which has completely moved. It continues to remain on both the platforms.

In terms of competition is the way of life, and that's why we have 2 depositories. And I think that is to ensure that the best value proposition continues to remain driven to the ecosystem, to the intermediaries and to investors. So that is basically the, and I would like to welcome that because that's how we have always functioned as India has always functioned with 2 depositories.

I think the exact reason why we are investing in technology and people is for this very reason, is to ensure that the value proposition not only remains high, it remains really ahead of the curve and gives the entire ecosystem what it really aspires for.

And that's our constant endeavour to ensure that the product, services and platform remain

robust, but at the same time, nimble to the changing needs of the market. So, whilst competition will do what it has to do, we will do what we have to do. But I think as a collective ecosystem, Public
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the intent is that more and more people, the participation of the Indian securities markets grows. So, I would see it as a collective effort in getting more and more people into the Indian securities market.

Sanketh Godha: Understood, sir. And maybe on the impairment cost.

Girish Amesara: The impairment cost is INR7.62 crores for the March quarter.

Sanketh Godha: And lastly, sir, on the unlisted revenue opportunity, which got moderated a bit. So incrementally, do you think this run rate of INR3 crores per quarter or INR3.5 crores per quarter will continue because the opportunity now has been largely addressed.

And second, with related unlisted companies only because their join fees play a significant role. And somehow though we have managed to crack the market share in the demat account in a big way, but somehow in unlisted companies, we did not do as much, how much we did in the demat account. So, any additional efforts or BD, which is required to be done to make sure that we gain market share in unlisted space?

Nehal Vora: So, on the unlisted revenue, I think, is something which as the markets evolve, as the economy grows, as the GDP grows, the level of these private limited companies are also going to grow. And I think that's the reason why there has been that.

So, I see it as a positive that more and more larger companies will come into the fold. And obviously, that regulation is also not cast in stone. These numbers are not cast in stone as they see the participation grow and the inclusion grow; I think the intent is to bring more and more companies into this fold. In respect to your second question, the market share as compared to our competition. So, there was basically the ISIN issuance, which has been exclusively given to our competition for many years.

The intent is now it's going to be done by both in the near future. So therefore, that additional advantage, perceived additional advantage, which is there would now be with both the depositories. I think we will continue to focus on our service and the ease of doing business and the service

standards to ensure that more and more people choose our platform.

But on the overall picture, I think it's yet a very small ecosystem. There is a large, untapped demand, which is waiting to get tapped. So, I think I would see it as maybe early days in terms of coming to a conclusion who has won, who has not won. I think overall, the more and more companies come into the ecosystem, that is where the intent is.

Sanketh Godha: Understood. Sir, ISIN thing it already went live that both the depositories can give, or it will become effective in a couple of quarters?

Nehal Vora: I'm sorry, could you repeat that?

Sanketh Godha: No. Sir, you said in unlisted companies, the ISIN number issuance is to today available with the Competitor.

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Nehal Vora: It has to yet go live. It will be done in the future.

Sanketh Godha: Okay. But any effective timeline, sir?

Nehal Vora: No, no. So again, timelines, we don't give any futuristic outlook. You'll wait and watch. We are continuously on it to ensure that it would go live as soon as possible.

Sanketh Godha: Understood, sir. Thank you.

Moderator: Thank you. We'll take our next question from the line of Harshit Toshniwal from Premji Invest. Please go ahead.

Harshit Toshniwal: Hi, sir. I just had two quick questions. Am I audible?

Moderator: Harshit, your volume is very low.

Harshit Toshniwal: Hi, is this better?

Nehal Vora: Yes, it's better.

Harshit Toshniwal: Sir, the first one was on the KYC regulation. So, for example, I think from 1st April onwards,

that fetch rate has reduced from 35 to 28 and probably creation fees also to some extent. So, on a like-to-like basis, if you can help us with what exactly would be the rate impact, is it a 20% rate impact which we should build, assuming volumes remain same?

And sir, the second question was, sir, I think on the technology people have asked you a lot already, but I just want to say that obviously 24 crores demat accounts which we have right now is a number which has grown 5x in the last 5, 6 years, and which hence justifies our increase in technology till date. But if I look at our today's number of run rate, INR160 crores is the cost and another INR120-INR100 crores we keep spending on the fixed asset accretion. So roughly INR250- INR240 crores is what we are effectively investing in technology on an annual basis. My only question is that say suppose from here on if the demat accounts, obviously 5x is a large amount, but if it starts growing at a moderate 10-15% rate, then should we at least as investors assume that our technology spends will also track that? Because what you are saying is not giving that clarity as to what will be the rate versus even the demat account growth. So, these are the two questions. Would be helpful and if you can be more specific about that these questions.

Nehal Vora: Harshit, I have been specific to the extent as per our policy, and I think have been fairly elaborate also on the thinking which goes behind this. One is your number is slightly misplaced, it's 10x more, INR1.8 crores in September 2019, it has grown to INR18 crores as we speak in 2026. So, it's a 10x growth and not a 5x growth, number one.

Number two, as in any technology rollout, there are certain foundational costs and there are incremental costs as we add the volumes grow. But the road and the foundation have to be such that it can support this additional server, assets which has to be built. And therefore, this is a Public

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transformational change in that sense to allow that scalability to take place both on vertical basis as well as horizontal basis.

So, the way I would like you to see this is that what is needed is being done, and therefore, we have been consistent for the last 6.5 years of seeing consistent grow

th happening. Had we not

invested, the question could have been asked in 2019, the rate of demat account growth on a monthly basis was similar to today's times. But when COVID hit us, there was a sudden spike, which happened. Are we prepared for that? And the answer is we should be because when the opportunity comes, infrastructure takes time to build.

You need to be future ready for these kinds of spikes to take place. And we have seen those kinds of consistent spikes happening in the past. And we do not want to be saddled with losing the trust and faith of the ecosystem. We believe that this is one system which will continue to give us that value proposition at whatever scale we are able to grow.

Moderator: Harshit, I request you to join back the queue, please.

Harshit Toshniwal: Yes, the first question is what was answered.

Sunil Alvares: Yes. with effect from 1st of April, the fetch charges have been reduced by 20% from INR35 to INR28 and the creation charges have been reduced by 75% from INR20 to INR5

Harshit Toshniwal: Sir 80% of our KYC charges.

Nehal Vora: It's going to be across basically the industry. So, it is not only for CVL.

Harshit Toshniwal: No, sir, 80% of our right now KYC charges we get is creation, you said, the mix of creation and fetch 80% is creation.

Sunil Alvares: 80% is fetch and 20% is create.

Harshit Toshniwal: Okay. Thanks a lot.

Moderator: Thank you. Next question is from the line of Neeraj Toshniwal from UBS Securities. Please go ahead.

Neeraj Toshniwal: Just continuing with this question on KYC, I just wanted to get some sense on what are the counter we have to kind of recoup some of the lower revenues now from the KYC?

Nehal Vora: Yes. So, I'll ask Sunil to answer that, but the intent is that as markets deepen, more investors will come into play. This is an incentivization which the regulator believes with lower cost, more people will want to join the ecosystem. So, the entire population of people investing in securities market will grow further, which will lead to a higher number of people within the ecosystem.

Moderator: Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal.

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Prayesh Jain: Sorry to harp this KYC thing again. So, one is the implementation of one India, one nation, one KYC. Theoretically, how does that change the business model and approach? Do the fetches increase and creation go down? Or how does that really kind of work? That is one. And second is from a competitive dynamic's perspective with quite a few players now wanting to get into the discount broking model, we've heard quite a few. How is the kind of negotiations or competitive environment there with respect to getting onboard on to the new players that are coming? That would be my 2 questions. Thanks.

Nehal Vora: So, your first question is about one KYC. And I think KRAs are well positioned, not only CVL, but all KRAs are well positioned because there's a validation process, which will ensure that the expectations out of KYC becomes more sharper or more influenced by, as there'll be an intermediary layer of KRA. That's the way we see it. But we'll have to wait for the formal announcements to happen to see what the impact is.

In terms of new discount brokers wanting our platform, etc., again, going back to my earlier reply that foundationally, if we are providing value proposition, speed and our investment in technology is what differentiates us as a technology product or as a platform product is what will drive people coming to us. So, it's not only about speaking to them, reaching out to them, but even the look and feel of the experience once they go through the platform would be the main driver on whether they will want us versus our competition.

Moderator: Next question is from the line of Rohan Nagpal from Helios Capital Management.

Rohan Nagpal: Just

a couple of questions on my end. So just wanted clarity, you said the split between creation and Fetch was 80% 20%? Or was it the other way around?

Nehal Vora: Creation was 20%, Fetch is 80%.

Rohan Nagpal: And I think you mentioned on last quarter's call that there was a shift in volume in the revenue mix towards fetch. Is that continuing? Or is it in steady state?

Nehal Vora: It was always that.

Rohan Nagpal: Okay, thank you. That's it from my end.

Moderator: Next question is from the line of Mitesh Gohil from Axis Capital.

Mitesh Gohil: Yes, sir. Thanks for taking the question Most of the questions have been answered. Just one question on the online data charges. So as against INR35, what is our blended charge as of 31st March? And as from today, what is that blended price charge posts the negotiation with the client? Have you taken the entire 20% price cut?

Nehal Vora: So, there is no question of a blended cost as you are mentioning. Each one has its own cost and driven by what SEBI has described.

Moderator: Next question is from the line of Prajay Soni, an individual investor.

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Prajay Soni: Hi, good afternoon to everyone, and congratulations for the year. Thank you for taking my question. I have just one quick question. How are we billing our customers for the depository segment? Like basically, our core revenue drivers? And how are we recognizing those revenue for this segment? And if we have any key metric which we can measure to see it translate to our top line?

Nehal Vora: So, I think the key revenue drivers is I think put down. It's part of our investor presentation is the market-based transaction charges and also folio-based charges, which are charged to the issuer companies. You can do a trend analysis of the past to see as the demat accounts grow what has been the increase in the portfolio-based issuer charges versus the transaction-based charges, which is a function of the market volumes also. So, I think it's fairly clearly identified in the presentation, which is put out on our website. So, you could have a look at it. If you have any further queries, you can send us a mail.

Moderator: Thank you . Next question is from the line of Mehul Pathak, an individual investor.

Mehul Pathak: Hello. Thanks for this opportunity I have only one question. Sir, congratulations on the good set of numbers. Sir, if you can explain some principles on pricing. Last 2 years, if you see at an economy level, there is inflation of 5% to 6%. Now when number of accounts increase and the transactions increase, operational leverage kicks in and therefore, there is always this sense that prices should reduce.

Therefore, now when would you consider a change, an upward change in prices? Could you

explain the principles and how these decisions are taken? And how much is the regulatory interface as far as increasing prices is concerned?

Nehal Vora: Yes. I think it's a very good question, Mehul. I think the intent is that inclusion. And as we've seen in the mobile phone market, what were the charges when it started off, it's kind of become 120 or 125 of that because that scale grows, the charges go down so that there is more usage, more inclusion.

So, the same fundamental principle on which it is based. CDSL has always been very fair in terms of ensuring that we are cheaper than our competition, giving that value proposition also.

So, it's giving lower cost for inclusivity for more and more players to come into the fold, but also not compromising on the quality, which is getting given to such people at a lower cost. So, it's the best of both worlds is where I would want to really look at this.

We have not changed our charges for many, many years. But in terms of the structure, the SEBI approves charges where depositories are concerned. So there needs a prior approval or any change upward or downward, ob

viously, after deliberation by the honourable CDSL Board, but it has to be then proposed to SEBI for it to be approved before this gets rolled out. So, I hope I've answered your question.

Mehul Pathak: The inflation of the last 2 years and all that, does it not necessitate some change now?

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Nehal Vora: They are saying the scale is going up. So that's a play which they keep in mind, what would be the role of the increase in scale versus basically the inflation. They are also very fair in terms of things. So, all these factors are taken into account before any charges are changed.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nehal Vora for closing comments. Over to you.

Nehal Vora: No, I would just like to thank everybody for your participation and continue to remain safe and healthy. Thank you, everyone.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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